



BayernLB 2017 Annual Report and Accounts

Consolidated financial statements

BayernLB Group at a glance

Income statement (IFRS)

EUR million	1 Jan – 31 Dec 2017	1 Jan – 31 Dec 2016	Change in %
Net interest income	1,659	1,475	12.5
Risk provisions in the credit business	–94	–87	8.2
Net interest income after risk provisions	1,565	1,388	12.7
Net commission income	263	296	–11.1
Gains or losses on fair value measurement	205	142	43.9
Gains or losses on hedge accounting	–142	–80	77.2
Gains or losses on financial investments	23	274	–91.4
Administrative expenses	–1,258	–1,280	–1.8
Expenses for the bank levy and deposit guarantee scheme	–98	–88	12.1
Other income and expenses	91	51	77.0
Gains or losses on restructuring	2	4	–36.2
Profit/loss before taxes	652	708	–7.9
Income taxes	27	–158	–
Profit/loss after taxes	679	550	23.5
Cost-income ratio (CIR)	59.9%	59.3%	0.6 pp ¹
Return on equity (RoE)	7.4%	8.1%	–0.7 pp ¹

Balance sheet (IFRS)

EUR million	31 Dec 2017	31 Dec 2016	Change in %
Total assets	214,521	212,150	1.1
Business volume	255,679	251,897	1.5
Credit volume	183,222	174,225	5.2
Total deposits	146,387	141,005	3.8
Securitised liabilities	41,847	39,618	5.6
Subordinated capital	1,903	3,081	–38.2
Equity	10,816	11,035	–2.0

Banking supervisory capital and ratios under CRR/CRD IV (after close of year)

EUR million	31 Dec 2017	31 Dec 2016	Change in %
Common Equity Tier 1 capital (CET1 capital)	9,393	9,564	–1.8
Own funds	10,756	11,059	–2.7
Total RWA	61,420	65,206	–5.8
CET1 ratio	15.3%	14.7%	0.6 pp ¹
CET1 ratio (fully loaded)	15.3%	13.2%	2.1 pp ¹
Total capital ratio	17.5%	17.0%	0.5 pp ¹

Employees

	31 Dec 2017	31 Dec 2016	Change in %
Number of employees	7,219	7,133	1.2

Current ratings

	Long-term	Short-term	Pfandbriefs ²
Fitch Ratings	A -	F1	AAA
Moody's Investors Service	A1	P-1	Aaa

¹ Percentage points.

² Applies to public Pfandbriefs (Fitch und Moody's) and mortgage Pfandbriefs (Moody's).

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Foreword

*Dear customers and business partners,
ladies and gentlemen,*

2017 was a historic year for BayernLB. In June we repaid the EUR 1 billion final tranche of silent partner contributions from the Free State of Bavaria, allowing us to meet the requirements of the EU state-aid proceedings two and a half years ahead of the deadline. We thus closed the toughest chapter in the history of BayernLB using our own financial muscle.

The early repayment was made possible by our Bank's very strong business performance and the solid capital base that goes with it. In both cases this was thanks to the systematic realignment of our business model over the past few years. At all times we were able to fully count on the support of our shareholders, the Free State of Bavaria and the Bavarian savings banks. The valuable trust and great loyalty of our customers and hard work of our employees and governing boards were also a tremendous help.

BayernLB continued along its successful path over the past year and increased its consolidated net profit to EUR 677 million (FY 2016: EUR 545 million). Profit before taxes remained largely stable at EUR 652 million (FY 2016: EUR 708 million), despite the one-off income of EUR 178 million in the previous year from the sale of shareholdings in Visa Europe Ltd. and Deutsche Factoring Bank. The Bank significantly boosted its operating income, posting a big increase in net interest income of around 13 percent to EUR 1,659 million (FY 2016: EUR 1,475 million). At the same time our efforts to limit costs also paid off. Despite the higher costs of complying with regulatory requirements and investing in digitalisation projects, administrative expenses fell slightly by 1.8 percent to EUR 1,258 million (FY 2016: EUR 1,280 million).

We significantly improved our capital base again and increased our CET1 ratio (fully loaded) to a very solid 15.3 percent (FY 2016: 13.2 percent). While doing so we continued to expand and improve our digital platforms and made good progress in realising major regulatory projects. Last but not least we made further refinements to our operating model and implemented a programme to improve our efficiency, which we will continue to systematically follow through on over the coming years.

BayernLB's sustained positive performance and the success of its customer-focused business model was also confirmed by another rating upgrade in 2017. In April, the agency Moody's raised BayernLB's long-term issuer rating one notch from A2 to A1, maintaining the outlook at stable. It was the third time Moody's has upgraded the Bank's rating since 2014.

At the start of 2018, BayernLB also won an award from independent sustainability rating agency oekom research for its handling of social and climate-related challenges. The Group is now one of the top 10 banks in the world in this field. In the future we will focus even more heavily on

green finance, for example, by funding climate protection investments using green bonds. There is not only attractive business potential here, but also the opportunity for the Bank to be an effective partner, assisting companies in the necessary process of transforming themselves into ecologically compatible businesses.

To take BayernLB further forward and ensure its long-term success, it will be necessary to raise earnings and boost profitability even more. This will be in addition to the ongoing task of improving efficiency. We will also tap into the opportunities of the future afforded to us by the steady evolution of digital banking. And we will take advantage of the new freedom that our successful completion of the EU proceedings has secured us, without abandoning our tried-and-tested risk guidelines or taking the focus off German customers and the German market. Over the past year we also drew up a package of strategic initiatives. One of these envisages building up a strong exposure to selected foreign markets. We will, for example, be expanding our Mittelstand business, which has helped us secure a strong market position in Germany, into Austria and Switzerland.

In our Global Corporates business, we will build on our highly profitable customer connections abroad. And, to provide another example, our Munich office and our foreign branches will now be providing support to international customers in, for instance, North America, in carrying out their commercial real estate operations.

The goal we all have in mind is very clear: we want to continually create added value for our customers, both new and old, and thereby cement our BayernLB's position as one of Europe's strongest regional banks.

On behalf of my Board of Management colleagues and all the staff at BayernLB, I would like to thank you, our customers and business partners, for the trust you have placed in us. We look forward to working with you in the future.

Sincerely,



Dr Johannes-Jörg Riegler
Chief Executive Officer

The Board of Management

Allocation of tasks
as at 16 August 2017



Dr Edgar Zoller
Deputy CEO

Real Estate & Savings Banks/Association
Bayerische Landesbodenkreditanstalt
Real I.S. AG Gesellschaft für Immobilien
Assetmanagement

Marcus Kramer
Member of the
Board of Management
CRO

Risk Office
Credit Consulting

Dr Markus Wiegelmann
Member of the
Board of Management
CFO/COO

Financial Office
Operating Office



Dr Johannes-Jörg Riegler
CEO

Corporate Center
Deutsche Kreditbank AG

Michael Bucker
Member of the
Board of Management

Corporates & Mittelstand

Ralf Woitschig
Member of the
Board of Management

Financial Markets
**BayernInvest Kapitalverwaltungs-
gesellschaft mbH**

Report by the Supervisory Board

Ladies and gentlemen,

Over the past financial year, we advised the Board of Management on the administration of the company and continually monitored its management activities.

In 2017, BayernLB's Board of Management kept the Supervisory Board and its committees informed of key developments at the Bank and within the Group at regular intervals, both promptly and comprehensively, in writing and orally. This included its supervisory duty to disclose deficiencies detected by the internal Audit division.

We held detailed discussions with the Board of Management on BayernLB's business policy and fundamental issues relating to corporate planning, especially in its financial, investment and personnel aspects. We were also briefed on business performance, focusing especially on the Group's earnings, expenses, risks, liquidity and capital status, profitability, legal and business relations, material events and business transactions.

Between meetings, as Chairman of the Supervisory Board, I remained in regular and close contact with BayernLB's Board of Management, particularly its Chairman. The Supervisory Board was also notified in writing of important matters and, where necessary, resolutions were passed.

The Supervisory Board was involved in key decisions affecting BayernLB and gave its approval where necessary.

As in previous years, meetings were once again held in financial year 2017 between the Joint Supervisory Team from the ECB and national supervisory authorities on the one hand and the Chairman of the Supervisory Board and the chairpersons of the Audit Committee and Risk Committee on the other to discuss the main issues pertaining to the respective body. These focused on strategic and regulatory matters and on BayernLB's risk situation and committee affairs.

For the banking sector as a whole, the past financial year was once again dominated by persistently low interest rates, ever tighter regulatory requirements and stiff competition. This was counter-balanced by continued very good economic performance and unusually low risk provisioning requirements. Against this backdrop, BayernLB brought the state-aid proceedings, which were initiated in 2009, to a successful early close in summer 2017. In response to the ending of restrictions on business policy, the Bank's committees agreed to a number of measures in September 2017, which included modestly expanding the foreign business.

Supervisory Board meetings

In the reporting year the Supervisory Board held a total of nine meetings which were also attended by representatives of legal supervisory authorities and, in some cases, of banking supervisory authorities.

Besides the detailed reports of the committee chairpersons on the activities of the various boards and committees, the scheduled Supervisory Board meetings dealt with the regular reports of the Board of Management on the status of BayernLB's financial position and performance and on regulatory and supervisory issues, especially the results of the on-site audits by the supervisory authorities. In connection with this, we continued to take a detailed look at IT-related issues, in particular the progress of the project set up to update and improve IT infrastructure. The Board of Management also provided us with regular updates on current business policy issues and the current status of the talks with the European Commission and the ECB within the state-aid proceedings. We subjected the Board of Management's reports to the Supervisory Board to critical scrutiny and requested additional information in some cases, which was always immediately provided in full.

In addition, the Supervisory Board spent the past financial year dealing with various "Offshore" issues related to the disposal a few years ago of the private banking business of its former Luxembourg subsidiary bank. In connection with this, the Bank's committees also approved an offshore policy.

Over several meetings, after prior consultation in the relevant committees, we discussed Board of Management and Supervisory Board affairs, including the assessment of the Board of Management and Supervisory Board, which must be conducted in accordance with statutory requirements, and matters relating to remuneration policy. In relation to the latter we also considered the revised Remuneration Ordinance for Institutions, which came into effect in August 2017. We also set the targets for the Board of Management for 2017 and agreed the feedback to the members of the Board of Management for the past financial year.

Additionally in 2017, we regularly discussed BayernLB's capital situation, especially with regards to the conditions under the EU state aid proceedings. Another regular item on the agenda was our DKB subsidiary, specifically its current financial position, performance and risk situation.

In January 2017, the Board of Management gave us its preliminary indications for the 2016 annual financial statements. The Supervisory Board also focused on the auditor reforms and next steps in relation to this matter. Besides various regulatory issues, we were also updated on the current status of the efficiency programme and a strategic project within the Savings Banks & Association division.

In our March meeting, we discussed in detail the business performance in 2016. We also looked at the internal Audit division's annual report and the annual audit plan for 2017. The Supervisory Board and the Board of Management also discussed the progress of the project portfolio.

In April 2017, the focus was on the Board of Management's Report for financial year 2016, the adoption of the annual financial statements and the approval of the consolidated financial statements. The resolution was based on the recommendations of the Audit Committee and a subsequent detailed discussion with the auditors Deloitte GmbH Wirtschaftsprüfungsgesellschaft. In accordance with a proposal by the Audit Committee, the Supervisory Board also recommended to the General Meeting that the auditing firm Deloitte GmbH be reappointed to audit the 2017 annual financial statements of BayernLB and the Group, which the General Meeting agreed to. Another key focus of the meeting was the current status of the EU state-aid proceedings and the related application for the full repayment of the silent partner contributions of the Free State of Bavaria, which we approved. We also looked at the updating of key planning parameters and their impact on the medium-term planning for 2017–2021. The Supervisory Board also noted both the human resources report and status report on variable remuneration for employees in financial year 2016.

The focus of our meeting in July 2017 was the ending of the EU state-aid proceedings. In this connection, we and the Board of Management discussed for the first time the launch and expansion of business activities. The Board of Management also kept us abreast of the results of the ECB's thematic review in connection with a major regulatory project. We also noted the remuneration officer's remuneration monitoring report and the investments report.

In our closed meeting in September we stepped up the strategic discussions with the Board of Management about enhancing the business model after the end of the EU state-aid proceedings and approved a modest expansion of the foreign business. We were also informed by the Board of Management about the current status of the efficiency programme.

In our regular September meeting, we devoted greater attention to issues related to DKB's retail customer business, particularly in light of current developments in digitalisation and innovation. Besides status reports on business policy matters, the Supervisory Board addressed the issue of future non-financial reporting under the German Corporate Social Responsibility-Directive Implementation Act. In addition, the Supervisory Board agreed to recommend to the General Meeting the appointment of the audit firm PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft as the new auditor for financial year 2019. This follows the recommendation of the Audit Committee, which dealt with the change of auditor in financial year 2017.

The main item on the agenda of the December meeting was the Group's medium-term planning for 2018–2022, which we discussed in detail with the Board of Management and then approved. Furthermore, as part of the strategy dialogue, the Supervisory Board took a look at the Business Strategy and related sub-strategies. We and the Board of Management also discussed the ECB's decision to create supervisory requirements (SREP decision) and were briefed on the current performance of our sales offices and certain regulatory requirements.

Supervisory Board committees – an overview

In a total of six meetings, the **Risk Committee** dealt with all major issues relating to the risk strategy agreed by the Board of Management and all aspects of BayernLB's risk situation at both Group and Bank level. It discussed the Group-wide risk strategies, which must be updated at least once a year, and approved individual loans requiring authorisation. It also examined reports by the Board of Management on sub-portfolio strategies, risk trends and especially risk-bearing capacity. The Risk Committee also checked whether the terms and conditions in the customer business were in line with the Bank's business model and risk structure.

The Risk Committee and the Board of Management also regularly discussed geopolitical and macroeconomic risks in connection with regulatory issues. Special topics included the impact of Brexit, the effects of a rise in interest rates and the future of the car industry.

The **Compensation Committee** carried out its legally mandated duties in a total of five meetings. It discussed in particular the Board of Management's reports on the structure of the remuneration systems for employees (focusing partly on their relationship to the Business and Risk Strategy), monitored their suitability and received regular updates on specific issues. It evaluated the impact of the remuneration systems on the Bank's and Group's risk, capital and liquidity situation and discussed the size and distribution of a total bonus pool. The Compensation Committee also discussed with the Remuneration Officer her report on the suitability of the remuneration systems for BayernLB staff. It additionally devoted much of its attention to enhancing the remuneration systems for employees and for members of the Board of Management, taking into account new regulatory requirements. Under its original area of responsibility, the Compensation Committee also provided advice on matters related to Board of Management remuneration and prepared decisions by the Supervisory Board.

The Compensation Committee and Risk Committee worked closely together and regularly exchanged information.

The **Executive and Nominating Committee** met five times in the reporting period. The discussions particularly centred on preparations for Supervisory Board meetings and business and corporate policy considerations. The Committee also prepared decisions on Board of Management matters for the plenary session. Furthermore, the Executive and Nominating Committee carried out an assessment of the Board of Management and the Supervisory Board in accordance with the German Banking Act.

In a total of seven sessions, the **Audit Committee** dealt with the monitoring of the accounting process and the effectiveness of the risk management system, particularly the internal control system and the internal Audit division. The Committee also oversaw the implementation of the audit of the annual financial statements and of the consolidated financial statements, particularly with regard to the independence of the auditors and the services they provided, including any necessary approvals of non-audit services supplied by the auditors. Another issue the Committee looked at in detail was the Board of Management's reports on BayernLB's current financial

position and performance and on the status of large (regulatory) projects (including for IFRS 9). In 2017, the internal Audit division and Group Compliance reported to the Audit Committee on their work and audit findings and other matters. The Committee deliberated on the money-laundering and financial crime threat analysis and conferred with the auditors Deloitte on what the audit of the 2017 annual financial statements should focus on. Other key points on the agenda of the Audit Committee in 2017 included in particular the impact of the auditor reforms and the related matter of the choice of a new auditor for financial year 2019, as well as the progress of the project set up for improving IT.

In its two meetings, in accordance with its legal duties, the **BayernLabo Committee** dealt with all matters in respect of BayernLabo on behalf of the Supervisory Board and passed resolutions concerning BayernLabo's affairs for which the Supervisory Board is responsible. It also discussed the business and risk strategy, refinancing and HR planning with both the Board of Management and BayernLabo Management. The Committee was updated by the Board of Management and BayernLabo Management on business performance and it approved BayernLabo's own contribution to its internally funded programmes.

The Supervisory Board and respective committees carried out the tasks assigned to them by law, the Statutes and current Rules of Procedure.

Additional specialist training

The Supervisory Board attended two information events given by specialists from the Bank, external experts and representatives of the external auditors on current developments, with the focus on BayernLB. Besides macroeconomic aspects, they delved into selected areas of supervisory law and regulatory requirements, especially developments in banking regulation and various IT and digitalisation-related issues.

Corporate governance

The BayernLB Corporate Governance Principles set out the regulations on corporate management and corporate supervision that apply to BayernLB on the basis of binding and in-house regulations. The Supervisory Board discussed compliance with these Corporate Governance Principles in 2017 in its meeting on 21 March 2018. The Board of Management, Supervisory Board and General Meeting agreed that they were aware of no evidence that these principles had not been observed in financial year 2017.

Changes to the Supervisory Board

Prof. Dr Christian Rödl stepped down from the Supervisory Board on 30 April 2017 and was succeeded in the post by Stephan Winkelmeier on 1 May 2017.

Audit and approval of the 2017 annual accounts

Deloitte GmbH Wirtschaftsprüfungsgesellschaft conducted the audit of the annual financial statements and consolidated financial statements of the Bank, the management report and the Group management report and the annual financial statements and management report of BayernLabo, a legally dependent institution of the Bank. Deloitte issued an unqualified opinion. The Supervisory Board and BayernLB's BayernLabo Committee each verified the independence of the auditors of the financial statements in advance.

The financial statements documentation and audit reports were duly presented to all Supervisory Board members. The BayernLabo Committee and the Audit Committee discussed each of the documents forming part of the annual and consolidated financial statements in conjunction with the auditors' audit report and in detail with the auditors themselves. Each committee chair reported to the Supervisory Board on this matter.

In its meeting of 11 April 2018, the BayernLabo Committee adopted BayernLabo's submitted annual financial statements and approved the management report to BayernLabo's accounts.

In its meeting today, on the recommendation of the Audit Committee, and after examining the auditors' reports and the annual and consolidated financial statements documentation and discussing these in detail with the auditors, the Supervisory Board approved the findings of the audit and concluded that it had no reservations even after the final outcome of the audits.

In its meeting today, the Supervisory Board adopted the Bank's annual financial statements submitted by the Board of Management and approved the management report; it also approved the consolidated financial statements and Group management report.

Furthermore, the Supervisory Board proposed to the General Meeting that the Board of Management be discharged and that the reported net retained profits of EUR 50 million be distributed to the providers of capital. The General Meeting gave its approval to both proposals in its meeting today.

A thank you to the customers, the Board of Management and the staff

The Supervisory Board would like to thank all of BayernLB's customers and business partners for their loyalty over this past financial year. It also wishes to thank the members of the Board of Management and all of BayernLB's staff for all their hard work over the past year, and for their huge personal contribution.

Munich, 12 April 2018

On behalf of the Supervisory Board

Gerd Haeusler
CEO

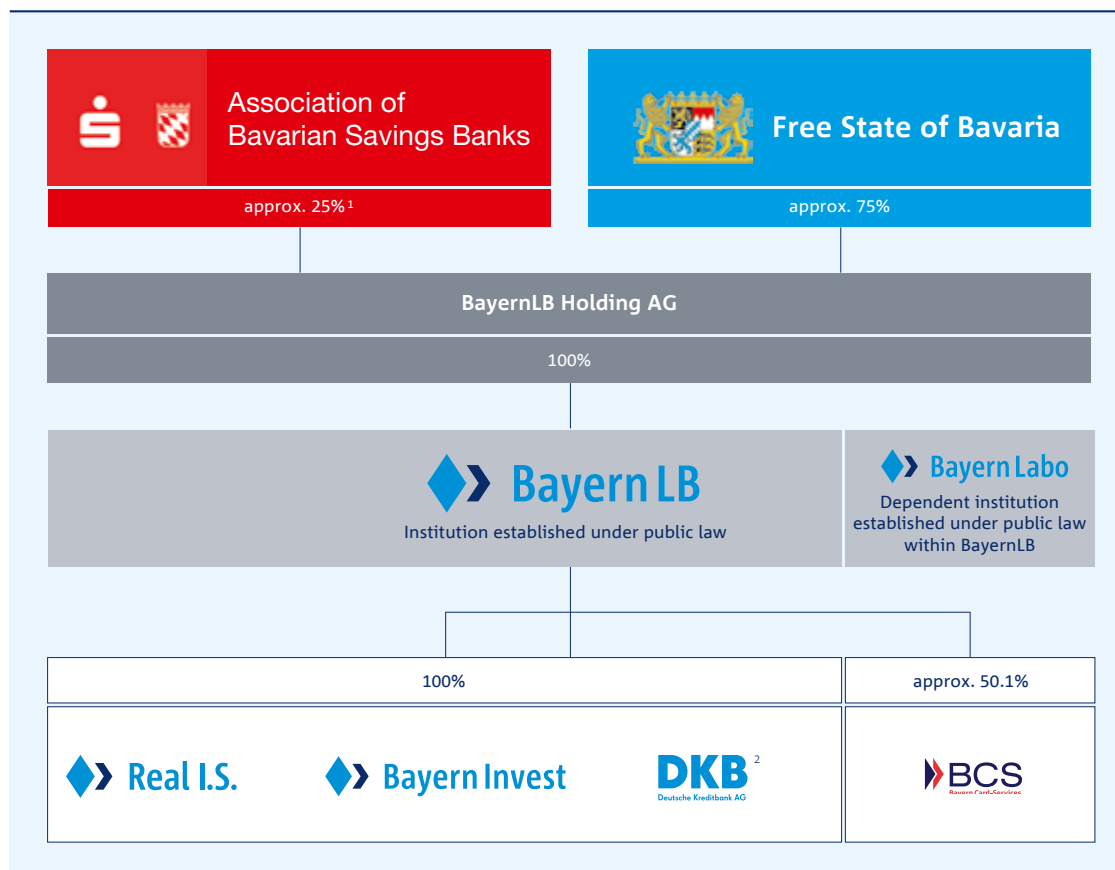


BayernLB Group management report

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Overview of the BayernLB Group

Ownership and Group structure



1 24.99999994%

2 DKB sub-group

The BayernLB Group consists largely of the parent company Bayerische Landesbank, Munich (BayernLB or Bank). BayernLB is an institution with legal capacity established under public law with its registered office in Munich and a nominal capital of EUR 2,800,000,000. The nominal capital is due to BayernLB Holding AG, Munich as the entity that has direct ownership. The Free State of Bavaria and the Association of Bavarian Savings Banks are indirect owners through their respective stakes in BayernLB Holding AG.

The rating agencies Moody's Investors Service (Moody's) and Fitch Ratings (Fitch) have assigned the following ratings to BayernLB:

	Moody's	Fitch
Long-term (unsecured)	A1	A–
Short-term (unsecured)	P-1	F1
Public Pfandbriefs	Aaa	AAA
Mortgage Pfandbriefs	Aaa	–
Financial strength/viability rating	baa3	bbb

Business model and strategy

As a commercial bank, Landesbank and central bank to the savings banks, BayernLB is a strong corporate and real estate lender focused geographically on Bavaria and Germany as well as a reliable partner to the Bavarian savings banks.

BayernLB's strategic business model is based on the following operating business segments (operating segments):

- **Corporates & Mittelstand**
- **Real Estate & Savings Banks/Association**, including the legally dependent institution Bayerische Landesbodenkreditanstalt, Munich (BayernLabo) and the consolidated subsidiary Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (Real I.S.)
- **DKB** with the core business activities of the Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB) sub-group and Bayern Card-Services GmbH – S-Finanzgruppe, Munich (BCS)
- **Financial Markets**, including the subsidiary BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest)

Corporates & Mittelstand

The Corporates & Mittelstand area handles business with large German and selected international companies and the Mittelstand corporate customer business in Germany, Austria and Switzerland. These large customers are mostly DAX, MDAX and family-owned companies with annual sales of at least EUR 1 billion. The focus in Mittelstand is on companies with annual sales of over EUR 50 million.

BayernLB's core competencies include traditional and structured credit financing, comprising working capital, capex and trade financing, project and export financing, lease financing and transportation finance (including rolling stock). Since the early completion of the EU proceedings, the transportation finance product range has also been complemented by asset-based aircraft financing. In addition, BayernLB helps its customers tap capital markets for their financing needs, for example through traditional bonds, German Schuldschein note loans and interest rate and currency hedging. BayernLB also has a strong market position in the state-subsidised loan business.

Real Estate & Savings Banks/Association

BayernLB's real estate business focuses on long-term commercial real estate financing and services. The regional focus here is on Germany, although it also supports customers' activities abroad to diversify the portfolio and risks. In the commercial real estate area, products include financing for existing real estate assets, project development, housing developers and real estate portfolios. In the managed real estate area, the focus is mainly on financing concepts for hotels, logistics centres, hospitals, clinics and care homes, and syndicated financing with savings banks. To serve customers more comprehensively under one roof, the Bank makes extensive use of its working relationship with subsidiaries and affiliates, such as Real I.S., Bayerische Landesbank Immobilien-Beteiligungs-Gesellschaft mbH & Co. KG, Munich (BayernImmo), LB Immobilienbewertungsgesellschaft mbH, Munich (LB ImmoWert) and Bayern Facility Management GmbH, Munich (BayernFM).

The Bavarian savings banks and BayernLB are linked together in a preferred partnership. For the Bank, the savings banks are both important customers and sales partners and thus they form one of the key pillars of its business model. BayernLB acts as a central service provider for the savings banks and supplies them with tailored products and services in its Association business. The focus of the relationship is on supplying the savings banks with a range of complementary products and services for both their own business and their customers, including payment services, capital market business, international business, syndicated and subsidised loan business, as well as foreign notes and coins/precious metal activities. The savings banks outside Bavaria also have access to selected product segments. Liquidity management is particularly important for these customers. Funding from the savings banks is an important source of refinancing for BayernLB and for strengthening the common liquidity pool. BayernLB also acts as a lender and service provider to the public sector and institutional investors. The focus here is on intensifying sales in Germany and on expanding market share in the core market of Bavaria in close partnership with the Bavarian savings banks. It provides a wide range of customised financing and investment solutions to state governments, local authorities and public institutions. BayernLB also stands out in this segment thanks to its expertise in public-private partnership projects and the renewable energy sector. BayernLabo fulfils a public mandate by carrying out the state-subsidised loan business for BayernLB.

Financial Markets

Financial Markets offers a range of money market, forex and capital market services, funding and treasury strategies, and a broad portfolio of structured investment products. Main customers include the savings banks, banks, German and international large and Mittelstand customers, real estate customers and institutional customers, which are served in the respective business areas. Securities asset management for BayernLB is handled by the Group subsidiary BayernInvest. This investment company focuses mainly on advisory services and managing securities investment funds for institutional and private investors.

DKB

DKB, an integral part of the BayernLB Group, complements the business model. It operates in the retail segment as an online direct bank with a steadily growing customer base, and in the infrastructure and corporate customers segment as a specialist. Its expertise extends especially to financing and investment products in the environmental technology, residential, municipal, social infrastructure, health services, education & research, energy, utilities and other segments.

Implementation of the business model

BayernLB continued to rigorously implement its business model in 2017 by pursuing a clear strategy of being a customer-focused bank. The Bank's strategic framework is formed by the current strategic goals and target structure they are based on. In this regard, BayernLB's focus is on strengthening its sustainable operating business areas, while winding down portfolios with elevated risk.

In business with corporate customers, the positive earnings trend in the Mittelstand has been maintained since the previous year. In the commercial and residential real estate businesses, the Bank virtually achieved its growth target for new business of around EUR 5 billion. In the retail customer area, DKB grew its customer base to about 3.7 million in 2017. BayernLB is the exclusive service provider for the Bavarian savings banks in the field of subsidised loans. BayernLB also plays a leading role across the German market in the foreign notes and coins/precious metal business.

The transformation of BayernLB's capital markets business continued in 2017. The main emphases here were on making further investments in the customer support processes to improve customer penetration and increase earnings from customers, while continuing to steadily update and digitalise the system landscape required for the capital market business.

With the signing of the agreement for BayernLB to repay EUR 1.0 billion to the Free State of Bavaria, the EU state-aid proceedings were brought to a close in June 2017 as the Bank had complied with all major EU conditions and commitments about two and a half years ahead of the deadline. As part of the state-aid proceedings, BayernLB repaid around EUR 5.0 billion in state aid ahead of schedule.

Now that the EU state-aid proceedings have come to a close, the BayernLB Group is pursuing a moderate growth trajectory and focusing in particular on increasing its earnings. This includes leveraging additional business potential which should gradually improve the Bank's profitability over the next few years. With a view to offsetting the higher costs in the upcoming years, further efficiency measures were identified in the operating model and implemented. The BayernLB Group maintained its favourable position relative to its peers in terms of cost structure. The long-term optimisation of the operating model and transition into an agile organisation will provide a sound basis for expanding market share in the core business areas and leveraging new sources of earnings in the medium to long term.

The still challenging market environment had an impact on the BayernLB Group's operating business in 2017. Accordingly, the main challenges it faced in securing its earnings base were the persistently low interest rates and stiff competition from established market participants and increasingly from new market entrants such as fintechs. Meanwhile, rising regulatory requirements affecting, for example, capital requirements (in terms of quantity and quality), liquidity requirements, risk management, and IT infrastructure increasingly put pressure on the fixed cost base.

In the annual strategic process, the BayernLB Group drew up and then fleshed out strategic directions and goals and specific measures for all its segments based on the interplay between current strengths and weaknesses and future market opportunities and risks. To ensure long-term competitiveness, the Bank is targeting moderate growth in the opportunities-rich core business, increasing stability, efficiency and flexibility, and taking a very customer-focused approach. The Bank's main aim here is to increase and intensify business with existing customers while gaining new customers in the defined core segments. The Bank will work towards achieving this by making sure that products and services meet customer needs and by taking measures to step up sales and further improve customer-focused sales structures, and also by increasingly digitalising the entire value chain. This, coupled with a solid capital base and the good, longstanding customer relationships that the Bank enjoys, will lay the foundations for the successful growth of the BayernLB Group.

Internal Group management system

The BayernLB Group's management system is based on managing the inter-related variables of profitability, risk, liquidity and capital. One of the main goals of the internal management system is to continuously optimise resources employed while simultaneously ensuring the Group's capital and liquidity base is adequate.

The profitability of the BayernLB Group is managed using two key financial ratios that act as crucial indicators of performance: return on equity and cost efficiency. Return on equity (RoE) is calculated by dividing profit before taxes by shareholders' equity as calculated according to regulatory requirements. At Group level, the average Common Equity Tier 1/CET1 capital available over the financial year has been used since the start of financial year 2016. For all management levels below this, the average economic capital employed in the financial year is derived from the risk-weightings of the underlying individual transactions (RWAs) specified by regulatory authorities. Cost efficiency is monitored by means of the cost/income ratio (CIR), the ratio of administrative expenses to gross earnings¹. In addition to measuring return on equity and cost efficiency, BayernLB also uses other ratios. These include measures of the profitability and expense of risk-weighted assets (RWAs) employed, and also economic value added (EVA). This expresses the profit of a company before deduction of the income tax components, taking account of the cost of the capital employed denominated in euro. In order to ensure integrated and consistent management, the key figures RoE and CIR are used at all levels of management. The management cycle is a continuous process of carrying out annual medium-term planning, producing intrayear detailed target vs actual comparisons and making regular projections to the year-end.

Risk-bearing capacity is monitored using the Internal Capital Adequacy Assessment Process (ICAAP). This process is used in the BayernLB Group, BayernLB and DKB. The aim of ICAAP is to ensure that there is sufficient economic capital at all times to fully cover the risks assumed or planned. For risk management, BayernLB follows a liquidation-based approach in ICAAP that is designed to protect senior creditors. The method for calculating risk-bearing capacity is assessed and refined on a regular basis to ensure it takes adequate account of external factors and internal strategic targets. The economic capital is of suitable quality to absorb any losses and is calculated, based on the liquidation approach, by deducting from the sum of equity and subordinated capital those items that are not available in the event of liquidation (e.g. intangible assets). To produce an in-depth, forward-looking analysis of economic capital adequacy, risk-bearing capacity is calculated based on the Business Strategy and supplemented by stress tests.

The strategic principles for dealing with liquidity risk within the BayernLB Group are set out in the Group Risk Strategy. The overriding priority of liquidity risk management and monitoring is to ensure that the BayernLB Group can meet its payment obligations and obtain funding at all times. In addition to stringently ensuring solvency, the primary goal of BayernLB's liquidity management is to ensure adequate access to markets. In the BayernLB Group, daily limits are placed on liquidity risks at the operating unit level based on defined scenarios. Amongst other things, operating liquidity management is based on capital flow accounts and limit utilisation ratios. Additional information can be found in the Risk Report.

¹ Gross earnings = net interest income + net commission income + gains or losses on fair value measurement + gains or losses on hedge accounting + gains or losses on financial investments + other income and expenses.

Capital is managed using the CET1 ratio and the total capital ratio in accordance with the fully loaded Capital Requirements Regulation and Directive (CRR/CRD IV) and the guidelines from the ECB's Supervisory Review and Evaluation Process (SREP). The capital required and the corresponding capital ratios are derived from the Business and Risk Strategies and the latest medium-term planning. RWAs are allocated to monitor and ensure compliance at all times with the capital ratios planned and required by the regulator as a basic condition for all business activities. As part of overall bank management, target capital amounts, risk-bearing capacity and funding are combined.

Human resources

2017 was a year in which BayernLB implemented its targeted new strategy. Human Resources was focused on helping the business areas and the central areas achieve their strategic and economic goals. The highlights were successfully concluding the HR-related changes in the cost-cutting programme while simultaneously supporting the business areas and central areas to implement organisational measures and expand and train employees in response to the stepping up of sales activities and increasingly complex regulatory working environment. As at 31 December 2017, 7,219 people were employed in the Group. The increase in headcount of 86 in the BayernLB Group was mainly due to the fact that, in parallel with reductions in the workforce at BayernLB, new employees with specific qualifications were recruited in particular to manage regulatory requirements and to work in the Group subsidiaries Real I.S. and DKB.

Corporate responsibility

One of BayernLB's stated corporate goals is to achieve commercial success while meeting its social responsibilities. The BayernLB Group therefore attaches great importance to its work in the community, the fields of education and science and the world of art and culture. It equally goes without saying that sustainability management and reporting play no less important roles in BayernLB's business activities.

Specialised, independent sustainability rating agencies regularly rate the targets and measures of the Bank's sustainability management on behalf of investors and give it very high scores compared with its peers for its commitment to dealing with the social and environmental challenges facing the public banking sector.

The BayernLB Group has held the oekom prime status distinction from rating agency oekom research since 2001 and thereby demonstrated its continual commitment to sustainable development. Both DKB as a sub-group and BayernLabo continue to hold the prime rating.

Key changes in the scope of consolidation and the investment portfolio

Due to the repayment of all securities held or issued by BayernLB Capital Trust I and BayernLB Capital LLC I, both in Wilmington, Delaware in the US, the companies, which had been consolidated up to that point, were dissolved. The holding in Banque LB Lux S.A. i. L., Luxembourg was deconsolidated on 31 December 2017 as it ceased to meet materiality criteria. There were no other significant changes in the scope of consolidation as at 31 December 2017.

Report on the economic position

Macroeconomic and sector-specific environment

Germany's economy continued to post strong growth in 2017, thereby exceeding the Bank's forecasts. Economic output was up 2.2 percent on the year before². This growth was broad based, as it was fed both by public and private consumption and capital spending on buildings and equipment. The jump in capex in particular came as a surprise in light of the plethora of political risks which had raised uncertainty for companies on repeated occasions over the course of the year. The outcome of the elections in the Netherlands and France, which was positive for Europe, lightened corporate sentiment and willingness to spend. This was bolstered by easy financing conditions, driven by the European Central Bank's (ECB) expansive monetary policy. Exports also drove growth in 2017 as they rose more than imports. The global economic environment brightened as the year progressed, while the uptick in global demand boosted the economy in Germany. In the economically favourable environment, unemployment fell further over 2017, closing the period at 5.5 percent on a seasonally adjusted basis³. The high volume of refugees accepted into the country and coming onto the labour market in increasing numbers was, however, more than offset by an even higher pace of job creation, with some sectors already reporting shortages of qualified workers.

Inflation in Germany averaged 1.8 percent over the course of 2017. This was noticeably higher than in the previous year and BayernLB's expected figure of 1.6 percent, but it did fall short once again of the ECB's target of "below, but close to 2 percent"⁴. The ECB stuck to its generally highly loose monetary policy in 2017. The interest rate spread (between the deposit facility rate and marginal lending facility rate) remained between -0.4 percent and 0.25 percent. However, the ECB took the decision in December 2016 to reduce the volume of securities it was purchasing every month. From April 2017, it cut monthly purchases from EUR 80 billion to just EUR 60 billion. Then in October 2017 it agreed to scale down the purchase volume monthly to EUR 30 billion from the start of 2018 and so take one further small step towards monetary normalisation⁵. But against this background, bank lending to companies and households in Germany hardly picked up over the year and in October was 1.4 percent higher than a year earlier. Overall demand for lending can still be characterised as subdued⁶.

Contrary to BayernLB's predictions, in 2017 the euro appreciated by 14 percent to USD 1.20/EUR, breaching the sideways corridor it had been in since 2015 of about USD 1.05–1.15/EUR. A factor in this, besides Emmanuel Macron's electoral victory in France and the unexpectedly good state of the economy in Europe, was ECB president Mario Draghi's speech at the ECB conference in Sintra in Portugal in June, where he held out the prospect of a less heavily expansionary monetary policy. The euro also got some uplift from the general depreciation in the US dollar that began in 2017. As the Bank had predicted, the Brexit process and a cooling UK economy caused

² See Statistisches Bundesamt 2018, press release no. 011.

³ Agentur für Arbeit, monthly report December 2017; <https://statistik.arbeitsagentur.de/Statistikdaten/Detail/201712/arbeitsmarktberichte/monatsbericht-monatsbericht/monatsbericht-d-0-201712-pdf.pdf> (German only)

⁴ See Statistisches Bundesamt 2017, press release no. 478.

⁵ ECB press release of 26 October 2017; <https://www.ecb.europa.eu/press/pr/date/2017/html/ecb.mp171026.en.html>

⁶ See Deutsche Bundesbank 2017: "Banking Statistics – December 2017, Statistical Supplement I to the Monthly Report", Table I 6a; https://www.bundesbank.de/Redaktion/EN/Downloads/Publications/Statistical_Supplement_1/2017/2017_12_banking_statistics.pdf?__blob=publicationFile

the pound sterling to weaken further against the euro. However, this softening was less pronounced than forecast mainly because BayernLB had not expected the Bank of England to hike rates in November 2017. Also unexpected was the faltering of the Swiss franc against the euro during 2017. This was due to the boost to the euro from the buoyant state of the eurozone economy and sunnier political sentiment in Europe (resulting in lower demand for the “safe haven” franc). The Swiss National Bank is also keeping to its negative interest rate policy, despite the weaker franc.

At the start of 2017, yields on 10-year German government bonds were at 0.2 percent⁷. Growth and higher inflation expectations in particular led Bunds to advance into 0.5 percent territory twice in the first quarter⁸. The uncertainty that arose in the run-up to the French presidential election and the impact from the US did, however, result in setbacks. In mid April – shortly before the first round of the election in France – 10-year Bunds were yielding around 0.15 percent⁹, their low point for the year. The positive election results and especially ECB president Draghi’s speech in Sintra at the end of June drove up yields significantly. By mid July, the yield had topped out for 2017 at just over 0.6 percent¹⁰. After that, disappointing inflation figures in the US caused yields to steadily fall until September. There was no new pick-up from September to December, with the result that 10-year Bund yields hovered mainly between 0.3 and 0.5 percent¹¹. If one considers that inflation in 2017 was overestimated by markets and analysts and global demand for Treasuries remained high, it is hardly surprising that the position of 10-year US Treasuries at the end of the year was virtually unchanged on their position at the start of it¹². As growth was also stronger, yields on 2-year bonds rose steeply, meaning that the Treasury curve was significantly flattened¹³.

Risk premiums on Pfandbrief and covered bond markets fell across all country segments over the past year. A spur came from the ECB’s widescale covered bond purchases and the outcome of the elections in the Netherlands and France. At the end of the year average risk premiums on covered bonds reached new highs; here too the volume of new issues remained lower than average. Bonds from Italy and Portugal also benefited from ratings upgrades.

7 See Deutsche Bundesbank 2018: Daily yield of the current 10-year federal bond, time series BBK01.WT1010; https://www.bundesbank.de/Navigation/EN/Statistics/Time_series_databases/Macro_economic_time_series/its_details_value_node.html?nsc=true&https=1&tsId=BBK01.WT1010&dateSelect=2017

8 See Deutsche Bundesbank 2018: Daily yield of the current 10-year federal bond, time series BBK01.WT1010; https://www.bundesbank.de/Navigation/EN/Statistics/Time_series_databases/Macro_economic_time_series/its_details_value_node.html?nsc=true&https=1&tsId=BBK01.WT1010&dateSelect=2017

9 See Deutsche Bundesbank 2018: Daily yield of the current 10-year federal bond, time series BBK01.WT1010; https://www.bundesbank.de/Navigation/EN/Statistics/Time_series_databases/Macro_economic_time_series/its_details_value_node.html?nsc=true&https=1&tsId=BBK01.WT1010&dateSelect=2017

10 See Deutsche Bundesbank 2018: Daily yield of the current 10-year federal bond, time series BBK01.WT1010; https://www.bundesbank.de/Navigation/EN/Statistics/Time_series_databases/Macro_economic_time_series/its_details_value_node.html?nsc=true&https=1&tsId=BBK01.WT1010&dateSelect=2017

11 See Deutsche Bundesbank 2018: Daily yield of the current 10-year federal bond, time series BBK01.WT1010; https://www.bundesbank.de/Navigation/EN/Statistics/Time_series_databases/Macro_economic_time_series/its_details_value_node.html?nsc=true&https=1&tsId=BBK01.WT1010&dateSelect=2017

12 See U.S. Department of the Treasury 2018: Daily Treasury Yield Curve Rates; <https://www.treasury.gov/resource-center/data-chart-center/interest-rates/Pages/TextView.aspx?data=yieldYear&year=2017>

13 See U.S. Department of the Treasury 2018: Daily Treasury Yield Curve Rates; <https://www.treasury.gov/resource-center/data-chart-center/interest-rates/Pages/TextView.aspx?data=yieldYear&year=2017>

On European credit markets, risk premiums on investment-grade bonds, as tracked by iBoxx Euro Corporates, tightened by around 25 basis points in 2017. Besides there being constant demand from central banks, private investors were also increasingly on the hunt for (positive) yields. This fillip, however, was not only observed on the secondary market. Primary markets posted a new record in 2017 with new issues of EUR 361 billion¹⁴, significantly outperforming the previous record year of 2016 (EUR 321 billion).

The German stock market benefited in 2017 from an unexpectedly strong global economy, rising corporate earnings and ultra-loose monetary policy. German and European equities were, however, reined in by the appreciation of the euro against the dollar. The German stock exchange (DAX) rose 12.5 percent (including dividends) to 12,918, the biggest annual growth since 2013¹⁵, making it the sixth year of growth in a row. In 2017 the EURO STOXX 50 (price index) trailed the DAX's performance somewhat, with a 6.5 percent rise to 3,504¹⁶. But, if dividends are included, it grew by +10.0 percent¹⁷.

Course of business

The difficult market environment for banks continued in 2017, with persistently very low interest rates, tough competition and the high costs of implementing regulatory requirements. Despite this, BayernLB increased its consolidated profit by 24.4 percent to EUR 677 million. Profit before taxes of EUR 652 million was slightly down from the previous year's figure of EUR 708 million.

Whereas the earnings of the previous year had been boosted by the one-off effects from the sale of equity interests amounting to EUR 178 million, the increase in the consolidated profit for 2017 was mainly down to income tax gains. Overall, operating earnings and expenses were on par with the previous year.

At EUR 214.5 billion, total assets were stable year on year (FY 2016: EUR 212.1 billion). The lending business once again had a major impact on the Group's assets in 2017.

The financial situation was solid throughout the reporting period and solvency was assured at all times. The economic situation of the BayernLB Group remained stable.

After repaying state aid to the Free State of Bavaria in the amount of EUR 1 billion, the BayernLB Group improved its solid capital base (CET1 ratio fully loaded) from 13.2 percent to 15.3 percent (both figures take account of the respective approved annual financial statements) due to the reinvestment of profits and another fall in risk assets.

¹⁴ See Bloomberg: aggregation of all issued EUR bonds of non-financial companies with a minimum size of EUR 100 million, published via Bloomberg.

¹⁵ See Deutsche Börse: DAX 30 performance, taken from Thomson Reuters Datastream 15 February 2018

¹⁶ See STOXX: EURO STOXX 50, taken from Thomson Reuters Datastream 15 February 2018

¹⁷ See STOXX: EURO STOXX 50, taken from Thomson Reuters Datastream 15 February 2018

Results of operations

EUR million	1 Jan–31 Dec 2017	1 Jan–31 Dec 2016	Change in %
Net interest income	1,659	1,475	12.5
Risk provisions in the credit business	–94	–87	8.2
Net interest income after risk provisions	1,565	1,389	12.7
Net commission income	263	296	–11.1
Gains or losses on fair value measurement	205	142	43.9
Gains or losses on hedge accounting	–142	–80	77.2
Gains or losses on financial investments	23	274	–91.4
Administrative expenses	–1,258	–1,280	–1.8
Expenses for the bank levy and deposit guarantee scheme	–98	–88	12.1
Other income and expenses	91	51	77.0
Gains or losses on restructuring	2	4	–36.2
Profit/loss before taxes	652	708	–7.9
Income taxes	27	–158	–
Gains or losses on continuing operations	679	550	23.5
Profit/loss after taxes	679	550	23.5
Profit/loss attributable to non-controlling interests	–2	–5	–67.3
Consolidated profit/loss	677	545	24.4

Rounding differences may occur in the tables. Further information can be found in the notes.

Net interest income

EUR million	1 Jan–31 Dec 2017	1 Jan–31 Dec 2016	Change in %
Interest income	6,335	6,494	–2.4
of which:			
• credit and money market transactions	3,594	3,871	–7.1
• financial investments	215	238	–9.8
• hedge accounting derivatives and derivatives in economic hedges	2,141	2,178	–1.7
• negative interest	385	207	85.6
Interest expenses	–4,676	–5,019	–6.8
of which:			
• from liabilities to banks and customers	–1,440	–1,748	–17.6
• for securitised liabilities	–448	–424	5.7
• for subordinated capital	–152	–196	–22.6
• from hedge accounting derivatives and derivatives in economic hedges	–2,144	–2,310	–7.2
• from negative interest	–386	–206	87.8
• other interest expenses	–106	–135	–21.7
Net interest income	1,659	1,475	12.5

Net interest income rose by 12.5 percent to EUR 1,659 million, despite the unfavourable interest rate environment. Most of this income in 2017 again came from the credit business. This is mainly due to the reduction in interest expenses at BayernLB and DKB.

Risk provisions in the credit business

EUR million	1 Jan – 31 Dec 2017	1 Jan – 31 Dec 2016	Change in %
Additions	–498	–449	10.8
Direct writedowns	–22	–23	–4.7
Releases	314	303	3.6
Recoveries on written down receivables	98	69	43.1
Other gains or losses on risk provisions	14	14	0.4
Risk provisions in the credit business	–94	–87	8.2

As in the previous year, risk provisions in the credit business were kept low at EUR –94 million (FY 2016: EUR –87 million). There was only a slight increase in additions to the risk provisions, despite a higher charge from an individual exposure in the last quarter of 2017, and this was also offset by another high volume of releases and recoveries on written down receivables. On a netted basis, the volume of risk provisions is low, which is a clear indication that portfolio quality remains high overall.

Net commission income

EUR million	1 Jan – 31 Dec 2017	1 Jan – 31 Dec 2016	Change in %
Securities business	114	104	10.3
Lending business	132	152	–13.1
Payments	–45	–46	–3.3
Cards business	42	72	–41.3
Other net commission income	19	15	29.1
Net commission income	263	296	–11.1

Net commission income fell to EUR 263 million (FY 2016: EUR 296 million) primarily due to lower earnings from DKB's credit card business that was the outcome of lower interbank fees to card-issuing banks. Lower commission in the credit business was partly compensated by higher earnings in the securities business.

Gains or losses on fair value measurement

The gains or losses on fair value measurement item posted a gain of EUR 205 million (FY 2016: EUR 142 million), with most of this due to higher earnings in interest-related transactions, which rose from the previous year's EUR 102 million to EUR 143 million. Most of the increase was

derived from swap transactions by DKB, which offset losses from hedge accounting. Fair value adjustments added EUR 66 million to earnings (FY 2016: EUR 6 million). There was no measurement gain or loss from own credit spreads (FY 2016: loss of EUR 20 million).

Gains or losses on hedge accounting

The EUR –142 million (FY 2016: EUR –80 million) reported under the gains or losses on hedge accounting item includes the mark-to-market value of underlying transactions and their hedges. The differences in value balance out over the terms of the instruments. There are also corresponding and opposite effects, particularly in fair value measurement and in net interest income.

Gains or losses on financial investments

Gains or losses on financial investments (EUR 23 million) was mainly impacted by proceeds from the sale of bonds, notes and fixed-income securities. The figure of EUR 274 million in the previous year period was largely due to the impact of income from sales of equity interests, particularly Visa Europe Ltd., London (Visa).

Administrative expenses

EUR million	1 Jan – 31 Dec 2017	1 Jan – 31 Dec 2016	Change in %
Staff costs	–663	–718	–7.7
Other administrative expenses	–559	–508	10.2
Amortisation and depreciation of property, plant and equipment and intangible assets (not including goodwill)	–36	–55	–34.7
Administrative expenses	–1,258	–1,280	–1.8

Administrative expenses were EUR 1,258 million, down by 1.8 percent overall. The 7.7 percent drop in staff costs to EUR 663 million was partly offset by a 5.8 percent rise in overheads (other administrative expenses plus amortisation and depreciation of property, plant and equipment and intangible assets). The main reason for the increase was external support services and IT costs to implement major projects to meet regulatory requirements.

Expenses for the bank levy and deposit guarantee scheme

Expenses for the bank levy and deposit guarantee scheme reduced earnings by EUR 98 million in total (FY 2016: reduction of EUR 88 million). The charge included EUR 52 million for the bank levy (FY 2016: EUR 51 million) and EUR 46 million for the contribution to the Savings Bank Finance Group Institutional Protection Scheme (FY 2016: EUR 37 million).

Other income and expenses

Other income and expenses in the amount of EUR 91 million (FY 2016: EUR 51 million) included mainly income and expenses from the non-banking activities of the subsidiaries, gains from releases of provisions and the net interest boost from tax refunds to and additional tax payments by BayernLB.

Gains or losses on restructuring

Gains or losses on restructuring at the BayernLB Group came to EUR 2 million overall (FY 2016: EUR 4 million).

Income taxes

The BayernLB Group reported an income tax gain of EUR 27 million in financial year 2017 (FY 2016: expense of EUR 158 million). The item comprises expenses of EUR 56 million from the netting of current tax income and expenses, and gains of EUR 82 million from the netting of deferred tax income and expenses. The main impact on current tax expenses came from tax refunds for previous years. The principal source of deferred tax income was the capitalisation of deferred tax assets in the BayernLB Group.

In accordance with the BayernLB Group's management policy, starting in 2016 return on equity¹⁸ (RoE) is no longer calculated based on reported equity, but rather on regulatory capital. RoE in 2017 amounted to 7.4 percent (FY 2016: 8.1 percent), the cost/income ratio¹⁹ (CIR) was 59.9 percent (FY 2016: 59.3 percent).

Segments

The segment report is based on the monthly internal management report to the Board of Management and reflects the BayernLB Group's segments. As at 31 December 2017 the four operating segments were:

- Corporates & Mittelstand
- Real Estate & Savings Banks/Association, including the legally dependent institution Bayerische Landesbodenkreditanstalt, Munich (BayernLabo) and the consolidated subsidiary Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (Real I.S.)
- DKB, with the business activities of the Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB) sub-group and the subsidiary Bayern Card-Services GmbH – S-Finanzgruppe, Munich (BCS)
- Financial Markets, including the subsidiary BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest)

¹⁸ RoE = profit before taxes/average CET1 capital

¹⁹ CIR = administrative expenses/(net interest income + net commission income + gains or losses on fair value measurement + gains or losses on hedge accounting + gains or losses on financial investments + other income and expenses)

The Group also includes the Central Areas & Others segment, which includes the consolidated subsidiary Banque LBLux S.A. in Liquidation, Luxembourg, which was deconsolidated on 31 December 2017, and the consolidation entries not allocated to any other segment. This segment also included the subsidiary BayernLB Capital LLC I, Wilmington until its deconsolidation on 30 June 2017.

The former Non-Core Unit is no longer managed as a separate segment. All non-core activities of the BayernLB Group were pooled here up to the end of financial year 2016. The remaining non-core activities of the Credit Consulting central area (formerly the Restructuring Unit) and the former Other NCU sub-segment are reported as part of the Central Areas & Others segment. The remaining non-core business of the DKB sub-group was integrated into the DKB segment.

The contributions of the individual segments to the profit before taxes of EUR 652 million (FY 2016: EUR 708 million) are shown below:

EUR million	1 Jan – 31 Dec 2017	1 Jan – 31 Dec 2016
Corporates & Mittelstand	–44	203
Real Estate & Savings Banks/Association	175	209
DKB	272	353
Financial Markets	94	23
Central Areas & Others (including Consolidation)	156	–80

Corporates & Mittelstand segment

- Operating earnings from net interest and net commission income fall slightly, while administrative expenses remain stable
- Earnings weighed on by single exposure in risk provisions
- Previous year's earnings boosted by sale of an equity interest reported in other income

The Corporates & Mittelstand segment posted a slight decline in operating earnings from net interest income and net commission income totalling EUR 388 million (FY 2016: EUR 418 million) on account of the difficult market and interest rate environment. Credit volumes in Mittelstand were higher year on year. The marked fall in profit before taxes to EUR –44 million (FY 2016: EUR 203 million) was due to additions to risk provisions, particularly from a single exposure. Gains or losses on fair value measurement were lower than in the previous financial year at EUR 30 million (FY 2016: EUR 44 million) due to the continued sluggish demand for capital market products. However, administrative expenses stabilised at EUR –291 million (FY 2016: EUR –293 million) due to strict cost management.

Real Estate & Savings Banks/Association segment

- Real Estate division continues to report an uptick in new business and good performance
- Savings Banks/Association division records falling earnings due to low interest rates and lower refinancing needs by BayernLB
- BayernLabo's earnings stable after adjusting for measurement effects in the previous year

The Real Estate & Savings Banks/Association segment reported profit before taxes of EUR 175 million (FY 2016: EUR 209 million), which represents a year-on-year drop.

The Real Estate division once again made a significant contribution to the segment's earnings by posting a profit before taxes of EUR 137 million (FY 2016: EUR 127 million). Customer demand remained high and the volume of acquired new business was once again higher compared with the year before. Operating earnings from net interest and net commission income rose to EUR 181 million (FY 2016: EUR 165 million). As in the previous year, risk provisions contributed EUR 23 million to earnings (FY 2016: EUR 23 million) thanks to the very good portfolio quality. Administrative expenses remained stable at EUR –72 million (FY 2016: EUR –72 million).

Profit before taxes in the Savings Banks & Association division was EUR –15 million, down on the previous year (FY 2016: EUR 0 million). As in the previous year, the negative results were largely due to weaker earnings as a result of the good liquidity supply within the BayernLB Group and the resulting modest funding needs, and low interest rates which also dampened demand for capital market products. The EUR 7 million increase in administrative expenses was largely the result of regulatory projects.

BayernLabo posted a profit before taxes of EUR 45 million (FY 2016: EUR 77 million). Operating earnings were stable. The drop in earnings largely reflects mark-to-market gains on derivatives to hedge interest rate risks in the previous year. Administrative expenses amounted to EUR –44 million (FY 2016: EUR –46 million). Their fall on the previous year was due to cost savings in non-staff costs.

The subsidiary Real I.S., which is consolidated in the segment, lifted its profit before taxes to EUR 8 million (FY 2016: EUR 6 million). The higher earnings were the outcome of operational performance which was reflected in an increase in both new business and net commission income. This more than compensated for the rise in administrative expenses from expenditure on projects.

DKB segment

- Good business performance continues, with a strong gain in net interest income
- Number of retail customers surpasses 3.7 million mark for the first time
- Earnings in the previous year sharply boosted by the sale of the shareholding in Visa

The DKB segment's profit before taxes amounted to EUR 272 million (FY 2016: EUR 353 million), most of which the DKB sub-group accounted for with EUR 263 million (FY 2016: EUR 340 million). Earnings were therefore sharply lower than the previous year, which had been boosted by the proceeds from the sale of the shareholding in Visa for EUR 132 million. Adjusted for the Visa transaction, earnings for financial year 2017 increased. Net interest income was again significantly

higher than the previous year at EUR 935 million (FY 2016: EUR 794 million) despite the persistently difficult interest rate environment. The interest income came partly from an improved refinancing structure and a more cost-effective replacement of expired transactions. Expenses for risk provisions amounted to EUR –127 million (FY 2016: EUR –129 million) and were stable. The number of retail customers surpassed the 3.7 million mark (FY 2016: 3.4 million) for the first time, further cementing DKB's position as Germany's second largest online bank. Administrative expenses increased marginally to EUR –477 million (FY 2016: EUR –450 million), mainly as a result of implementing and complying with new regulatory requirements. Expenses for the bank levy and the deposit guarantee scheme also rose slightly to a total of EUR –35 million (FY 2016: EUR –27 million).

Consolidated subsidiary BCS posted profit before taxes of EUR 7 million (FY 2016: EUR 11 million). The significantly higher previous year's figure included income from the sale of an equity interest.

Financial Markets segment

- Significant improvement in segment's earnings of EUR 71 million
- Positive contribution to earnings due to higher net interest income and mark-to-market measurement of existing exposures
- Stable earnings from the customer business in a difficult market environment

The Financial Markets segment posted a profit before taxes of EUR 94 million in financial year 2017, a jump of around EUR 71 million on the previous year. As usual, earnings from Financial Markets products on behalf of the other customer-serving business segments were reported under those segments. Earnings from the customer business were stable year on year despite persistently subdued demand. The sharp increase in net interest income to EUR 142 million (FY 2016: EUR 40 million) significantly boosted the segment's earnings. Besides the boost from optimising management in the low interest environment, this was due to one-off earnings and a more cost-effective replacement of expired transactions. Mark-to-market measurement likewise had a positive impact on earnings from the portfolio. The release of fair value adjustments of derivatives transactions resulted in a mark-to-market gain totalling EUR 64 million (FY 2016: loss of EUR 13 million). In contrast, administrative expenses were higher than in the previous year at EUR –196 million (FY 2016: EUR –176 million). This was due to the expansion of sales activities and the costs of projects.

Consolidated subsidiary BayernInvest generated profit before taxes of EUR 6 million (FY 2016: EUR 7 million). The marginal fall in earnings resulted from the costs of investing in infrastructure and projects. Operating earnings were, however, higher.

Central Areas & Others segment

- BayernLB's remaining non-core business makes positive contribution to earnings thanks to releases of risk provisions and recoveries on written down receivables
- Segment's earnings include expenses for the bank levy and deposit guarantee scheme

The Central Areas & Others segment, including the consolidation entries not allocated to the segments, produced a profit before taxes of EUR 156 million (FY 2016: loss before taxes of EUR 80 million).

This was mainly due to the positive performance of BayernLB's remaining non-core business, which contributed EUR 190 million (FY 2016: EUR 18 million) to profit before taxes. The segment's earnings were mostly impacted by the releases of risk provisions and recoveries on written down receivables. Earnings were once again weighed on by a charge for the expenses for the bank levy and deposit guarantee scheme totalling EUR 64 million (FY 2016: charge of EUR 60 million). Administrative expenses stood at EUR –38 million, after EUR –119 million in financial year 2016 including provisions and legal costs.

As in the previous year, the consolidation entries shown in the Consolidation column had no net impact on profit before taxes. These amounts mainly arise from differences in the way internal Group transactions are measured and the application of hedge accounting to cross-segment derivative transactions.

Financial position

Further information can be found in the notes.

Assets

EUR million	31 Dec 2017	31 Dec 2016	Change in %
Cash reserves	3,556	2,096	69.7
Loans and advances to banks	37,783	28,794	31.2
Loans and advances to customers	134,686	134,760	–0.1
Risk provisions	–1,185	–1,305	–9.2
Portfolio hedge adjustment assets	455	831	–45.2
Assets held for trading	11,981	16,936	–29.3
Positive fair values from derivative financial instruments (hedge accounting)	813	1,073	–24.3
Financial investments	23,363	26,708	–12.5
Investment property	31	32	–3.8
Property, plant and equipment	340	347	–2.1
Intangible assets	86	86	–0.6
Income tax assets	554	402	38.0
Non-current assets or disposal groups classified as held for sale	–	25	–100.0
Other assets	2,060	1,365	50.9
Total assets	214,521	212,150	1.1

The BayernLB Group's total assets were almost unchanged at EUR 214.5 billion (FY 2016: EUR 212.1 billion). Credit volume, defined as the sum of loans and advances to banks and customers and contingent liabilities from guarantees and indemnity agreements, rose by 5.2 percent to EUR 183.2 billion (FY 2016: EUR 174.2 billion), mainly as a result of increased loans and advances to banks.

The rise in loans and advances to banks of EUR 9.0 billion to EUR 37.8 billion was offset by a fall in assets held for trading and financial investments of EUR 8.3 billion. Loans and advances to customers, which account for just under two thirds of assets at the BayernLB Group, stood at EUR 134.7 billion, on par with the previous year (FY 2016: EUR 134.8 billion).

Risk provisions in the credit business fell a further 9.2 percent to EUR 1.2 billion. The low figure is an indicator of the long-standing good quality of the portfolio.

The 29.3 percent decline in assets held for trading to EUR 12.0 billion related mainly to lower positive fair values from derivative financial instruments (not hedge accounting).

Positive fair values from derivative financial instruments allocated to hedge accounting under IAS 39 amounted to EUR 0.8 billion (FY 2016: EUR 1.1 billion).

Financial investments also shrank, falling by 12.5 percent to EUR 23.4 billion. This was driven by the further reduction in bonds and notes on the books.

Liabilities

EUR million	31 Dec 2017	31 Dec 2016	Change in %
Liabilities to banks	54,442	54,211	0.4
Liabilities to customers	91,945	86,795	5.9
Securitised liabilities	41,847	39,618	5.6
Liabilities held for trading	7,681	10,974	-30.0
Negative fair values from derivative financial instruments (hedge accounting)	841	1,124	-25.2
Provisions	4,233	4,421	-4.7
Tax liabilities	252	199	26.8
Other liabilities	562	671	-16.3
Subordinated capital	1,903	3,081	-38.2
Equity	10,816	11,056	-2.0
Total liabilities	214,521	212,150	1.1

Although liabilities to banks were almost unchanged at EUR 54.4 billion (FY 2016: EUR 54.2 billion), liabilities to customers posted a fresh rise of 5.9 percent to EUR 91.9 billion. With a share of around 43 percent, they are the BayernLB Group's most important source of refinancing and indicate the Group has a broad funding base.

Securitised liabilities rose slightly by 5.6 percent to EUR 41.8 billion.

The decline in liabilities held for trading of 30.0 percent to EUR 7.7 billion related to negative fair values from derivative financial instruments (not hedge accounting). Negative fair values from derivative financial instruments allocated to hedge accounting under IAS 39 fell to EUR 0.8 billion (FY 2016: EUR 1.1 billion).

Provisions were stable at EUR 4.2 billion (FY 2016: EUR 4.4 billion). Most of this amount, EUR 3.7 billion, was in the form of provisions for pensions and similar liabilities.

Subordinated capital stood at EUR 1.9 billion and thus EUR 1.2 billion lower than in the previous year. The fall was due to a high volume of maturing instruments in 2017.

Equity

EUR million	31 Dec 2017	31 Dec 2016	Change in %
Subscribed capital	3,412	4,412	-22.7
Compound instruments (equity component)	45	69	-34.2
Capital surplus	2,182	2,182	0.0
Retained earnings	4,825	4,064	19.3
Revaluation surplus	288	315	-8.6
Foreign currency translation reserve	2	-1	-
Consolidated profit/loss	50	-	-
Profit/loss attributable to non-controlling interests	13	15	-14.4
Equity	10,816	11,056	-2.0

Equity was nearly unchanged overall at EUR 10.8 billion. The final tranche of the Free State of Bavaria's silent partner contribution in the amount of EUR 1.0 billion was repaid from the subscribed capital. This was offset by raising the retained earnings by EUR 0.8 billion. The consolidated profit of EUR 50 million will be distributed to BayernLB's providers of capital.

For information on the banking supervisory ratios of the BayernLB Group under CRR/CRD IV, please refer to the consolidated financial statements (see note 81). The capital ratio under section 26a para. 1 KWG was 0.32 percent (FY 2016: 0.26 percent). Details on "country by country reporting", which is also governed under section 26a para. 1 sentence 4 KWG, can be found after the "Auditor's Report" as an appendix to these annual financial statements.

BayernLB's non-financial declaration and the BayernLB Group's non-financial declaration are combined in accordance with section 315b para. 3 HGB in conjunction with section 289b para. 2 sentence 2 HGB and are published in the 2017 annual report of the BayernLB Group. The combined non-financial report for 2017 will be submitted to the operator of the Federal Gazette along with the consolidated financial statements and the Group management report of the BayernLB Group for financial year 2017, and published in the Federal Gazette. The combined non-financial report for 2017 is attached to these consolidated financial statements as an appendix after the "Auditor's Report". BayernLB's annual financial statements and its annual report can also be viewed online at www.bayernlb.de.

General overview of financial performance

The BayernLB Group's financial position and financial performance was stable in financial year 2017, despite an environment that remains challenging.

As is evident from its earnings performance in 2017, the BayernLB Group is well on track overall in its core business areas and its business model has proven effective even in the difficult market environment. The BayernLB Group has expanded and strengthened its market position. Moreover, risks were reduced further and appropriate measures taken in the reporting year for the future. Proper account has been taken of the risks.

The Bank's liquidity was good throughout the reporting period. The Risk Report contains additional information on the financial position.

For information on events of major significance after the close of the financial year, please refer to the notes to the consolidated financial statements (see note 86).

Report on expected developments and on opportunities and risks

Report on expected developments including opportunities and risks

Economic environment

Growth momentum is likely to remain high in 2018, even if the (in some cases) very high quarterly growth rates from 2017 will probably not be matched entirely. For Germany BayernLB is therefore forecasting a slight slowdown in growth on the previous year to 2.1 percent. The country's economy will continue to benefit from the strong economic picture around the world. The approved programme of tax reforms in the US will play a role, as it should temporarily bulk up the economy there and probably crank up demand in Germany too. There is, however, still a great degree of uncertainty surrounding the Brexit process, which is likely to cause some of the euphoria on the part of companies in Europe to evaporate over the whole of 2018. All in all, Germany's upturn will remain on track, driven by strong domestic demand and external economic activity. Consumption will, once again, play a leading role, even if the increase in consumer spending power will in all likelihood be tempered slightly by a small increase in inflation. In addition, public spending will probably increase again in 2018. High tax receipts and the currently low interest burden on public-sector budgets suggest that this can again be achieved while maintaining a budgetary surplus. But investment should also nudge up gross domestic product because the need to expand is gaining traction where production capacity is fully utilised and the steady influx into metropolitan areas is resulting in higher spending on construction. Real estate prices should climb further in this environment, especially in conurbations with high migration rates.

With capacity utilised and wages growing slightly more strongly, inflation should move towards the ECB's target of less than but close to 2 percent. BayernLB expects it to average 1.9 percent over the course of the year. The ECB should thus continue to slowly exit from its expansive monetary policy. However, the interest rate spread should remain unchanged in 2018, while securities purchases will probably be extended until the end of the year, but at an even smaller volume from October. The biggest economic risks to Germany are (global) inflation rising by a much greater extent than expected and therefore accompanied by a marked tightening of monetary policy (above all in the US economy where capacity is more fully utilised). This could lead to markets overreacting, putting the brakes on global growth momentum. Despite there being many unresolved political problems in Europe (from Brexit right through to the creation of sustainable architecture for the currency union), BayernLB is not expecting a new crisis in 2018 in its baseline scenario. It cannot, however, rule out fresh uncertainty triggered by specific events, such as the outcome of the new elections in Italy. The protectionist measures recently initiated in the US are unlikely to lead to any major countermeasures from its trading partners and it should therefore be possible to avert a major trade war. There is, however, the risk in the short term of market turmoil from trade disputes.

Regarding exchange rates, BayernLB is expecting the US dollar to increase in value against the euro during 2018, to close the year at USD 1.13/EUR. The US Federal Reserve is likely to hike key rates by 25 basis points every quarter (i.e. much faster than markets expect) if the economy is doing well, there is full employment on the labour market and wage and inflationary pressure builds up. However, if core inflation in the eurozone rises only slowly, the ECB will probably not end its securities purchases for good until the end of the year, initially disappointing market

expectations that an interest rate pivot is fast approaching. In the case of the pound sterling, BayernLB is expecting the currency to depreciate to GBP 0.95/EUR in 2018. The Bank believes it should become increasingly apparent when the negotiations on the future EU-UK relationship open, that the UK will only have very restricted access to the EU Single Market after the transition period, on par with the existing free trade agreement with Canada. BayernLB also expects the UK economy to cool further over the course of the year, snuffing out market expectations of another rate hike by the Bank of England. The Bank believes that the Swiss franc will tread water at its now weaker level in 2018. There is no prospect of a sustained appreciation in the franc so long as the Swiss National Bank clings to its negative interest rate policy and there is no major rise in risk aversion on the markets.

In the eurozone, the biggest risk to the bond markets in the first quarter is the tapering of security purchases by the ECB. That is because, aside from the significant reduction in net purchases to EUR 30 billion by the ECB, there will also be little reinvestment during this period, whereas high volumes are likely to be issued simultaneously at the beginning of the year. In the first quarter, persistently low inflation will, however, probably limit yield rises to 0.6 percent due to a drop in demand. The pace of growth should quicken slightly thereafter, given the higher deficit in the US that the expected tax reforms will generate, the Fed's shrinking of its balance sheet, expectations that the ECB will become less expansionary, and most importantly that inflation will rise from the second quarter. By year-end the Bank is expecting 10-year Bunds to be yielding around 1.0 percent.

In respect of the covered bond market, the Bank is anticipating spreads widening moderately in the market as a whole due to the withdrawal of ECB purchases. Covered bonds from the euro periphery will probably underperform their EU core counterparts.

Even if the ECB bond purchase programme is likely to remain a significant factor in 2018, the impact of support purchases will continue to fade over the course of the year. This means the fundamental trend for the corporate bond market should increasingly come under the spotlight. The combination of a constructive economic environment, solid earnings growth and still low rates of defaults can be viewed as positives, but they are unlikely in the medium term to hold spreads at the current cyclical low. Although BayernLB is forecasting moderate widening of 10–15 basis points in the investment grade segment (iBoxx Euro Non-Financials), this is likely to be exceeded in the high-yield bracket (BofA Merrill Lynch Euro High Yield), which should see a stretching out of around 60 basis points.

The upward trend on stock markets will probably continue in 2018, carried by the continuing strength of the world economy. Greater price volatility is, however, expected. Stock markets in 2018 will be boosted in particular by further increases in corporate earnings. The exchange rate trend of a moderate depreciation of the euro against the dollar that has been forecast by the Bank should fuel European equities further, in contrast to 2017. However, with the potential for positive surprises about economic growth not being so strong, the tailwind from monetary policy ebbing and capital market interest rates rising, share prices will probably enjoy slower growth globally compared with 2017. Potential triggers for rising volatility and temporary price corrections are the increase in fears about stronger monetary tightening by central banks, uncertainty surrounding global economic growth and (geo)political conflicts.

The BayernLB Group's future performance

The successful implementation of the Business Strategy requires the capital base to be solid and the core business to remain stable. In 2017, as one of the key cornerstones of BayernLB's future strategic direction, the Bank defined an overarching strategic course and drew up the specific measures for achieving it. The focus of the strategic goals will be on prudent internationalisation to achieve a sustained increase in returns, regional diversification of risks, selective digitalisation of sales channels, targeted volume growth within the existing risk guidelines to increase the ability to cover fixed-costs, and strengthening of sources of earnings not dependent on interest. The BayernLB Group's market presence will continue to be shaped by its universal bank-like business model with a geographical focus on Bavaria and Germany.

In 2018 the strategic direction set in the previous years will continue to be followed and the potential opened up by the premature ending of the EU proceedings will also be used. Key factors in the Bank's success here will be expanding the Mittelstand business to the neighbouring regions of Austria and Switzerland, selectively extending the customer portfolio in the large international companies segment and expanding transportation finance to include asset-based aircraft financing. In doing so BayernLB will be able to build on a strong customer and product portfolio. The intensively competitive interest rate environment, irritations posed by protectionist developments, political uncertainties and, in particular, potentially stronger inflation growth in the US with concomitant significant increases in interest rates harbour risks and will create a tough decision-making and investment environment for international companies, project developers, sponsors and investors.

With regard to commercial and residential real estate customers, the focus and core aspects of the strategic goals will be to boost sales activities and increase market penetration by offering comprehensive customer relationship management across the whole product range. In addition the foreign portfolio share will also be increased from 25 percent to around 35 percent (especially via the Paris, London and Milan branches, with the US business re-established via the New York office) to achieve better portfolio and risk diversification. BayernLB expects to achieve steady portfolio growth between now and 2022 by implementing the planned increases in business with existing customers in Germany and abroad and expanding the customer base, for example by opening new sales offices. BayernLB believes portfolio quality will remain good and stable for financial institutions in developed markets, while ongoing (geo)political tensions and macro-economic risks could lead to a deterioration in the previously good portfolio quality in certain emerging markets. The quality of the Countries/Public-Sector/Non-Profit Organisations sub-portfolio should continue to be very good and stable. The Corporates sub-portfolio should also remain stable overall in 2018. Furthermore, BayernLB believes the portfolio quality of the real estate business will stay stable as well.

Given the strategic focus of the business areas and the London branch on international companies, it is predicted that any negative impact of Brexit on the Bank's target customers will be moderate and bearable and that business activities with these clients could be continued. BayernLB's Business and Risk Strategies are regularly assessed in relation to Brexit; no notable adjustments have yet been made. From a current perspective, there is no negative impact on earnings forecasts and the Bank is assuming that planned business can be realised as soon as there is adequate political and economic certainty.

The successful, trust-based collaboration with savings banks and municipalities is based on the sales and customer-orientated support model, with a holistic approach and range of needs-based products and services.

DKB's strategic focus is on ensuring stable and profitable customer relationship management by achieving a good balance in its lending and deposit business. In the retail customers business, online bank DKB will aim for more customer growth and higher wallet share through a comprehensive range of products and services. In the corporate and infrastructure customer segments it operates with a broad-based network and sector-specific expertise for the defined core customer groups.

The Bank assumes that interest rates will remain low. Institutional investors will therefore continue to turn to longer-dated instruments and credit risk (senior unsecured and subordinated capital) to generate returns. For BayernLB's part, this interest rate environment calls for more focus to be placed on managing funding costs. Thanks to the expected presence of central banks as both bond buyers and suppliers of liquidity (e.g. ECB – TLTRO II), the Bank is forecasting a plentiful supply of market liquidity in 2018. BayernLB will, however, continue to work on its funding portfolio so it can call on a comfortable funding base even when central bank activity starts to ebb.

Increasing importance will be attached to managing loss absorption capacity, which is determined by the supervisory minimum requirement for own funds and eligible liabilities (MREL) and, as an additional aspect, has a significant impact on BayernLB's capital market rating.

The BayernLB Group sees opportunities, especially if the economic data turns out better than expected. A rapid increase in interest rates in particular would help net interest income. On the other hand, further falls in interest rates would weigh on the Bank as, for example, it would need to inject more funds into pension provisions. Furthermore, the greater strategic freedom of action offered by the premature ending of the EU state aid proceedings offers the chance to realise additional earnings potential. Earnings and cost-cutting potential could also be generated by targeted efficiency and digitalisation measures.

International Financial Reporting Standard 9 was introduced on 1 January 2018. IFRS 9 contains new requirements on the classification and measurement of financial instruments, new rules on the recognition of impairments of financial assets and the treatment of hedge accounting. From the first-time application of IFRS 9, the BayernLB Group is expecting an effect (excluding deferred taxes) on reported equity of between EUR –170 million and EUR –190 million. This is largely due to the expanded presentation of impairments due to the new provisions on impairments.

The BayernLB Group will not make use of the supervisory transitional provisions for the first-time effects from IFRS 9 pursuant to Article 473a of the CRR. However, the BayernLB Group currently expects capital ratios to remain largely the same.

BayernLB forecasts that it will once again post a profit before taxes in the mid-triple-digit million range for 2018. RoE will stay in the mid-single-digit range, while CIR should stay at around the 2017 level despite rising regulatory costs.

It cannot be ruled out that any change in the assumptions underlying our forecasts may affect the BayernLB Group and its financial position and performance.

Risk report

Principles

This risk report is prepared in accordance with the requirements of IFRS 7.31 et seq. on the reporting of risks arising from financial instruments to which the Group was exposed at the end of the reporting period. Presentation of the risks is mainly based on information supplied as a basis for risk management and monitoring to the Board of Management and the Risk Committee of the Supervisory Board (management approach). Credit risk is also presented on the basis of the IFRS consolidated figures (balance sheet approach). In addition, portfolios with elevated risk profiles (as recommended by the Financial Stability Board) and information on forbearance exposure are shown within the report. For information on the inclusion of forborne exposures in risk-orientated management, please refer to the problem loan handling and forbearance section of the risk report. Quantitative data on forborne exposures are shown as renegotiated credits in the “Portfolio overview in accordance with IFRS 7.36 a (Balance Sheet Approach)” section.

The risk report further contains information required in accordance with German Accounting Standard GAS 20. The report also complies with the requirements in section 315 para. 4 of the German Commercial Code (Handelsgesetzbuch (HGB)) in conjunction with section 315a para. 1 HGB, which require limited companies (Kapitalgesellschaften) within the meaning of section 264d HGB to describe the key features of the internal monitoring and risk management system used in the consolidated accounting process.

Key developments in 2017

- Risk profile remains stable
- New business expanded in line with strategy
- Risk-bearing capacity maintained at all times
- Liquidity position continues to be healthy

The risk profile at the BayernLB Group remained stable in financial year 2017.

Gross credit volume rose by EUR 8.7 billion or 3.4 percent to EUR 266.4 billion.

The BayernLB Group's good portfolio quality improved again and benefited from new business in good quality assets and the positive financial and economic environment in Germany, the BayernLB Group's core market.

Thanks to strict risk discipline, the key metrics of portfolio quality remained stable, with a high investment grade share of 84.7 percent (FY 2016: 83.5 percent) and a lower non-performing loan ratio of 1.5 percent (FY 2016: 1.6 percent) of the portfolio.

Risk-bearing capacity was maintained throughout financial year 2017 as the provision of risk capital was solid. In addition, the BayernLB Group had a good supply of liquidity on hand.

Internal control and risk management system

Tasks and objectives

The BayernLB Group has established an internal control system (ICS) to ensure that its accounts are properly prepared and reliable. This includes principles, procedures and measures for ensuring the accounts are produced in an efficient and cost-effective manner. Consequently, the internal control system helps to limit risks in the accounting process and plays a key role in providing a true and fair view of the BayernLB Group's financial performance and financial position.

One key aim of the internal control system is to ensure that all transactions are fully and properly entered, processed and documented in accordance with legal requirements and standards, the Bank's statutes and other internal directives. This also ensures that risks are disclosed in line with supervisory requirements. The IT systems used by the central areas participating in the process are suitable for this purpose and the staff have been given adequate training in the legal and internal standards and in how to use the IT systems.

Management structure

The organisation of the committees and boards below the Board of Management reflects a new European regulatory structure led by the ECB, involving the Single Supervisory Mechanism (SSM) and Supervisory Review and Evaluation Process (SREP), and with the objective of making corporate management more consistent and transparent within the BayernLB Group.

Management structure

Supervisory Board				
Executive and Nominating Committee	Compensation Committee	Audit Committee	Risk Committee	BayernLabo Committee
Board of Management				
Management Committee	Performance & Capital Committee	Risk Committee	Liquidity Committee	
Senior Management				
Remuneration Board	RWA Board	Credit Risk Board	Corporates & Mittelstand Investment Board	
	Project & Investment Board	Regulatory Board	Real Estate Investment Board	
	CFO/COO Board	Ad Hoc Board		
		Product Board		

Supervisory Board and committees

The Supervisory Board monitors and advises BayernLB's Board of Management. It is assisted in its work by the committees described below:

The Audit Committee monitors the accounting processes, the effectiveness of the risk management system, particularly the internal control system and internal Audit division, and the correction of open findings from audits and the annual accounts.

The Risk Committee mainly deals with issues relating to the risk strategies approved by the Board of Management and the risk situation at BayernLB Group and BayernLB level, and decides on loans requiring approval by the Supervisory Board under the German Banking Act and BayernLB's Competence Regulations.

In addition to the above-mentioned committees, the Supervisory Board is supported by the Executive and Nominating Committee, the Compensation Committee and the BayernLabo Committee.

Board of Management and committees (committees and boards)

In managing the business and the company the Board of Management is supported by committees and boards.

Each committee is headed by a member of the Board of Management. The Board of Management has transferred responsibilities and, to an extent, decision-making powers to the committees. The committees have a largely advisory function. The individual Board of Management member's responsibility for his/her segment and the overall responsibility of the Board of Management pursuant to the Rules of Procedure and the allocation of tasks of the Board of Management continue to apply.

The Performance & Capital Committee, chaired by the CFO, monitors the performance/earnings situation and (regulatory) capital base. It also prepares decisions on BayernLB's and the BayernLB Group's performance and capital management for the Board of Management.

The Risk Committee, chaired by the CRO, supports and advises the Board of Management in discussing changes in the Group risk profile, assesses potential recovery situations, discusses the main quantitative procedures and methods for managing and monitoring all types of risk (apart from liquidity risk), reviews new regulatory requirements and initiates implementation in terms of Pillar 2.

The Liquidity Committee, chaired by the member of the Board of Management responsible for Financial Markets, is essentially concerned with ensuring the ongoing liquidity of BayernLB and advises and takes decisions within the parameters of the guidelines set out by the Board of Management.

In addition, the Board of Management is supported in its activities by the Management Committee.

Senior management

At senior management level the boards generally act across the segments, without any direct involvement by the Board of Management.

The RWA Board, chaired by the head of the Controlling division, monitors and manages changes in risk-weighted assets (RWAs) at BayernLB.

The Credit Risk Board, chaired by the head of the Risk Office Credit Analysis division, is the highest competence holder on credit matters below the Board of Management and deals with sector portfolio, country and product reports and policy issues regarding credit risk management for the core business.

The Product Board, chaired by the Group Risk Control division, is responsible for complying with MaRisk requirements for the launch of business activities in new products. It is mainly responsible for the approval of new products and regularly approving the valuation models used and changes to these models.

The Corporates & Mittelstand Investment Board and the Real Estate Investment Board are the highest decision-making bodies with authority to allocate capital and resources below the Board of Management member responsible for their business area and are responsible for the business area-specific management carried out on the basis of central rules and ratios and the strategic targets of the area.

Other boards set up by the Management Board include the Remuneration Board, the Project and Investment Board, the CFO/COO Board, the Regulatory Board and the Ad Hoc Board.

Organisation

Besides segregating the functions of the Sales and Risk Office units and the Trading and Back Office units, a business organisation must have adequate internal control procedures and mechanisms to manage and monitor key risks.

The Board of Management is chiefly supported in this task by the Risk Office, Financial Office, and Operating Office central areas as well as the Corporate Center.

Risk Office

The Risk Office of BayernLB comprises the Group Risk Control, RO Credit Analysis, Mid Office, Group Compliance and Research divisions.

The Group Risk Control division independently identifies, values, analyses, communicates, documents and monitors all risk types at aggregated level. For the purposes of operational management of risk types and risk-bearing capacity, Group Risk Control provides the Board of Management and the committees of the Supervisory Board with independent and risk-relevant reports.

In addition to periodic and ad-hoc reporting on the BayernLB Group's risk situation to internal decision-makers, communication also comprises external risk reports filed in accordance with legal and supervisory requirements. This includes reports on the performance of the indicators selected in accordance with the Minimum Requirements for the Design of Recovery Plans (MaSan) and the German Recovery and Resolution Act (Sanierungs- und Abwicklungsgesetz (SAG)).

Decisions regarding risk management are made in accordance with the Business Strategy and Group Risk Strategy, which are harmonised with each other. Credit risk management is a joint responsibility of the Sales units and Risk Office units, with segregation of duties being ensured at all times. In this management process, the RO Credit Analysis division is responsible for analysing, assessing and managing the risk-relevant exposures in the core business (the Risk Office role). It takes the lead in setting the Credit Risk Strategy for individual customers, sectors, countries and special products such as leasing, project finance and acquisition finance, is responsible for ongoing credit and transaction analysis and votes on behalf of the Risk Office in the credit approval process. The same applies to DKB.

The Mid Office division pools the credit-related tasks and frees up the sales and credit analysis units to concentrate on their primary tasks, and with its standardised, lean processes, makes a key contribution to boosting customer business and achieving the planned business growth.

The Group Compliance division was allocated to the Risk Office central area in 2017. The division monitors and ensures compliance with legal and supervisory requirements. It also coordinates the compliance activities of the subsidiaries.

The Research division is responsible for risk assessment of countries and sectors, and issues economic analyses and forecasts, as well as capital market studies and recommendations (including on bonds and Schuldschein note loans from individual issuers). The division contributes to risk management at the BayernLB Group and provides analyses and forecasts for BayernLB customers and for the securities and currency business of the Financial Markets business area and the Bavarian savings banks.

A new Functional Data Management department was set up in 2017, reporting directly to the Chief Risk Officer. This is mainly responsible for managing data quality and requirements, the data quality report and data governance. The head of the department acts as Chief Data Officer.

The Group Regulatory Office department reports directly to the Chief Risk Officer and acts as the central point of contact at the working level for the BayernLB Group with banking supervisory authorities such as the ECB, BaFin and the Deutsche Bundesbank.

Credit Consulting

The Credit Consulting division looks after the restructuring and liquidation exposures. The division performs the roles of both the Sales units and the Risk Office for the exposures assigned to it.

Financial Office

Operational implementation of Group-wide accounting standards is the responsibility of the Financial Office central area, in particular the Finance division, which ensures that the accounts are properly prepared. It is also responsible for establishing the accounting process and making sure it is effective.

Its key tasks include preparing the consolidated financial statements and the Group management report, establishing accounting policies, initiating accounting-related projects, and providing guidance on national and international developments in accounting.

The Financial Office central area also implements the relevant accounting standards and legal requirements on accounting, which are detailed in the directives for preparing the accounts. These directives, which are an important component of the accounting-related internal control system, are summarised and documented in the Group Accounting Manual, and in the instructions for Group companies for preparing the financial statements.

The consolidated financial statements and Group management report are compiled in accordance with the directives for preparing the annual accounts, produced by directive of the Board of Management, checked by the auditors and approved by the Supervisory Board. The Supervisory Board has set up an Audit Committee whose duties include discussing the audit reports and preparing the resolutions for the Supervisory Board's approval of the consolidated financial statements and Group management report. Upon request, the auditor takes part in the discussions of the Audit Committee and Supervisory Board on the consolidated financial statements and reports on the key findings of its audit.

The Controlling division is also assigned to the Financial Office central area. This unit is responsible for supervisory reporting and the operational implementation of consistent rules across the Group as part of management controlling, and lays down standard methods and procedures.

Operating Office

The Operating Office central area is responsible for BayernLB's operating processes and supporting these in the Group IT, Operations & Services and Organisation divisions.

Corporate Center

The Audit division audits BayernLB's business operations and reports directly to the CEO. Taking a risk-oriented auditing approach, its auditing activities extend to all activities and processes within BayernLB. In particular, its activities also include important processes and activities outsourced to third parties. Pursuant to MaRisk BT 2.1 sub-section 3, BayernLB can forego its own auditing activities in cases of material outsourcing arrangements, insofar as the other internal audit activities performed – i.e. the external service provider's internal auditing – satisfy the MaRisk AT 4.4 and BT 2 provisions. Where companies performing material outsourced activities have no internal audit service of their own, BayernLB's internal Audit division undertakes its own auditing activities. The internal auditing units of companies performing material outsourced activities are regularly reviewed to ensure they are capable of satisfactorily performing their duties. As Group internal auditor, the Audit division also supplements the internal auditing units of subordinate companies.

The CEO is directly in charge of the Legal & BoM Support, Group Strategy & Group Communications, and Human Resources divisions.

Scope of monitoring and monitoring procedures

The internal control and risk management system is governed by the internal written organisational rules (schriftlich fixierte Ordnung (SFO)).

The rules governing the accounting-related internal control system are set out in the Group directives for preparing the accounts. The main component of these directives is the Group Accounting Manual, which contains key requirements for ensuring accounting policies are uniformly applied throughout the Group based on the regulations that the parent company is subject to. This is supplemented by instructions on preparing the consolidated annual accounts. These are internal guidelines for Group companies consolidated in the consolidated annual financial statements. The instructions on preparing the annual accounts include information on reconciling and eliminating intra-Group transactions, the debt consolidation process, expenses and earnings consolidation, as well as on tasks, contacts and deadlines relating to the preparation of the consolidated annual financial statements. In addition changes in accounting standards, IT systems and control procedures for ensuring high quality reporting and data are also explained.

Group and institution-level instructions on risk management are prepared on the basis of the Group Risk Guidelines. These rules govern the risk management and monitoring processes used for the timely identification, full documentation and appropriate disclosure of major risks.

As with the Group Accounting Manual and instructions for preparing the annual accounts, these rules are regularly reviewed, updated and published internally.

To ensure transactions are fully and correctly processed, and that bookings, data entry and documentation are in compliance, a number of internal control procedures have been implemented within BayernLB. Measures include the segregation of duties, a differentiated access authorisation system to prevent unauthorised intruders, ongoing checks within the workflow process applying the dual control principle, and checks programmed into the IT systems. The internal control system reconciles ledgers and sub-ledgers, monitors manual bookings in the main ledgers and conducts posting runs. Additional checks and reconciliations are also conducted to ensure data is correctly transferred between IT systems.

When preparing the consolidated financial statements, checks are carried out to determine if the underlying data is properly presented, and the quality of the data in the accounts is assessed (e.g. applying the dual-control principle, conducting plausibility checks). The Group uses server-based consolidation software, for which separate editing and reading rights have been assigned. This software has a number of checks built into the program to ensure entries are properly made and correctly documented.

The consolidated accounting process is checked regularly for inherent risks, so that measures can be taken when necessary to refine the internal control system.

Some services at the BayernLB Group are outsourced to external companies. This mainly relates to IT services, infrastructure services, rating services and securities processing. Loan processing at DKB has also been outsourced.

Both central and decentralised units in the BayernLB Group ensure that these outsourced services are subject to the internal control system:

The Central Outsourcing Management office in the Organisation division of BayernLB sets the rules for the outsourcing process in the BayernLB Group and provides centralised status reports on outsourcing to the Board of Management. The ongoing monitoring and managing of external service providers as required by section 25b of the German Banking Act (KWG) and MaRisk AT 9 is performed decentrally by outsourcing managers in the business units responsible for accepting the services. Assessment of outsourcing risks forms part of the regular risk reporting to the Board of Management.

Risk-oriented management

Group Risk Strategy

Decisions regarding risk management are made in accordance with the Business Strategy and Group Risk Strategy, which are harmonised with each other.

The Group Risk Strategy, which is based on the Business Strategy and reviewed regularly, is set by the Board of Management and discussed with the Risk Committee of the Supervisory Board. The general objectives and guidelines of the Risk Strategy and the strategic requirements for the different types of risk are drawn up based on the Business Strategy.

The Group Risk Strategy sets the following main objectives and guidelines for 2017:

Objectives:

- Ensure on a sustainable basis that the amount and quality of capital is appropriate from both a regulatory and economic perspective
- Ensure the BayernLB Group is solvent at all times
- Achieve sustainable earnings using value-based management of RWAs

Guidelines:

- The BayernLB Group only takes on risks it is able to assess and manage
- In those areas where the strategy allows for portfolio growth, quality takes priority over quantity
- Sales and Risk units are jointly responsible for earnings after risk provisions
- The BayernLB Group applies high ethical principles in its business activities.

The economic capital available for allocation in the BayernLB Group is based on the long-term capital available and was allocated within the BayernLB Group by risk type in line with the Risk Strategy in force for 2017.

The basis for setting the Risk Strategy is the annual risk inventory carried out in accordance with MaRisk and the risk-bearing capacity calculation. The risk inventory examines not only BayernLB but also the subsidiaries and special purpose entities in the BayernLB Group, regardless of whether they are consolidated under German commercial law or supervisory requirements. The BayernLB Group's risk profile is then shown in the risk map within the risk inventory and presented to the Board of Management for information purposes. The major risks at the BayernLB Group are credit risk, market risk, including risk from pension obligations, operational risk, investment risk, risk of a rise in the cost of liquidity, and business and strategic risk, including reputational risk. The individual risk types are described in greater detail further on in this report.

Capital management

Capital management is based on a planning process that incorporates strategic, risk-based and regulatory factors into a multi-year operational plan. The Business Strategy is an essential element for preparing the capital planning and the Group Risk Strategy.

Integrated risk and earnings reporting

Trends in the four key areas of performance, capital, liquidity and risk are integrated into a monthly Group management report presented to the Board of Management. As a component of the integrated reporting, the Group management report provides a brief impression of the current situation with key figures and ratios. Additional detailed information focused on the four key areas are then presented and commented on.

The instruments used to manage and monitor the achievement of Business and Risk Strategy goals are constantly refined at Group level.

The processes involved in managing regulatory capital adequacy and internal capital adequacy are described in the sections below.

Regulatory capital adequacy (solvency)

To ensure BayernLB has the proper amount of regulatory capital, the objectives, methods and processes below have been defined: The starting point for the allocation of regulatory capital is the BayernLB Group's own funds planning. Own funds are defined as Common Equity Tier 1 capital (CET1), additional Tier 1 capital and Tier 2 capital. Common Equity Tier 1 capital comprises subscribed capital plus reserves and various supervisory adjustments and deductions. Tier 2 capital comprises profit participation certificates and long-term subordinated liabilities.

Own funds planning is based largely on the internal target Common Equity Tier 1 capital ratio (ratio of Common Equity Tier 1 capital to RWAs) and an internally set target total capital ratio (ratio of capital to RWAs) for the BayernLB Group. It establishes upper limits for credit, market and operational risks arising from business activities in the planning period.

Regulatory capital is distributed in the planning process to each planning unit through RWAs. The planning units (Group units) are the defined business areas/central areas within BayernLB, BayernLabo and DKB.

RWAs are allocated to the Group units through a top-down distribution approved by the Board of Management for credit, market and operational risks, combined with an internally assumed capital ratio of 12.5 percent (FY 2016: 11.5 percent) of the portfolio. Compliance with the RWA limits available to each Group unit is constantly monitored by the Performance & Capital Committee. The Board of Management receives monthly reports on current RWA utilisations.

Details on increases or decreases in the BayernLB Group's supervisory ratios are provided in the Notes under Capital management. BayernLB publishes additional information in the disclosure report in accordance with section 26a KWG. The disclosure report can be found on BayernLB's website under "Disclosure Report".

Economic capital adequacy (risk-bearing capacity)

Economic capital adequacy (risk-bearing capacity) is monitored using the Internal Capital Adequacy Assessment Process (ICAAP) at BayernLB, DKB and the BayernLB Group levels, including the consolidated risk units of the above-mentioned major subsidiaries. The aim of ICAAP is to ensure that there is sufficient economic capital to fully cover the risks assumed or planned at all times.

For risk management, the BayernLB Group follows a liquidation-based approach in ICAAP that is designed to protect senior creditors. This is computed using internal targets for the accuracy of risk measurement, which correspond to a confidence level of 99.95 percent. The method for calculating risk-bearing capacity is assessed and refined on a regular basis to ensure it takes adequate account of external factors and internal strategic targets.

The economic capital is of suitable quality to absorb any losses and is calculated in accordance with the liquidation approach by deducting those items that are not available in the event of the liquidation of the BayernLB Group (e.g. intangible assets) from the sum of equity and subordinated capital.

The Group Risk Strategy, in tandem with the Business Strategy, sets the risk appetite and the framework for risk planning. The Risk Strategy allows only a proportion of the available economic capital to be allocated to risks in the course of business activities.

The maximum risk appetite at Group level in 2017 for the risk types was EUR 8.0 billion (FY 2016: EUR 8.1 billion) and corresponds to 71.9 percent (FY 2016: 69.5 percent) of the available economic capital (EUR 11.2 billion (FY 2016: EUR 11.6 billion)).

The planning of economic risks for the risk-bearing capacity calculation and the planning of the economic capital are integral parts of the Group planning process described under the "Regulatory capital adequacy" section. To produce an in-depth, forward-looking analysis of economic capital adequacy, risk-bearing capacity is calculated based on the Business Strategy and supplemented by stress tests. Both scenario and sensitivity analyses are carried out for this purpose. In addition to historical scenarios, the impact of adverse changes in risk factors both on specific risk types and across all risk types is also analysed using hypothetical scenarios. The latter in particular have a major role in the analysis of situational scenarios.

The liquidation-based analysis of risk-bearing capacity is supplemented by a going concern perspective. This analyses capital adequacy with respect to the sustainability of the business model in the event of a loss that is statistically probable only once over a rolling five-year planning horizon.

Sensitivity analysis also plays a part in the comprehensive analysis of risk-bearing capacity by increasing transparency of the impact of potential changes in individual risk factors (such as the impact of changes in interest rates).

Risk-bearing capacity is quantified routinely and as required from a liquidation perspective and based on the going concern scenario and is reported monthly to the Board of Management as part of the regular ongoing internal risk reporting, together with the results and key assumptions of the stress tests performed.

Current situation

The table below shows year-on-year changes in risk capital requirements at the BayernLB Group.

Risk capital requirements

EUR million	31 Dec 2017	31 Dec 2016
Credit risk	1,385	1,173
Market risk	1,658	1,863
• of which actual market risk	705	888
• of which pension risk	953	975
Operational risk	484	514
Investment risk	138	127
Business and strategic risk (includes reputational risk)	799	799
Liquidity cost risk	249	283
Total	4,713	4,759

The BayernLB Group had adequate risk-bearing capacity, as the provision of risk capital was solid.

The fall in the risk capital requirement mainly related to market risk. Market risk, which includes the risk from pension liabilities, declined as market volatility fell and positions were changed. No risk capital is required for real estate risk because of the high level of hidden reserves and higher market values for BayernLB's own real estate.

As part of the BayernLB Group's stress testing programme, the possibility of a severe economic downturn arising (ICAAP stress scenario) is routinely calculated. Since September 2017 the ICAAP stress test has been based on the downside case used in the 2017–2021 medium-term planning. As specified in AT 4.3.3. MaRisk, this reflects the impact of a "severe economic downturn". The update to the medium-term planning has resulted in an adjustment to the macro-economic basis used to derive the changes in the risk factors for the material risk types examined under the ICAAP stress test. Linking the ICAAP stress test to the latest downside case ensures that the stress parameters will always be up to date, forward looking, economically sound and therefore plausible, and that the stress scenario is consistent within the Bank and across the Group.

Under the severe recession scenario, the risk capital requirement for the individual risk types including real estate totals EUR 6.3 billion (restated FY 2016: EUR 6.7 billion).

A severe economic downturn (ICAAP stress scenario) would see 60 percent utilisation of available economic capital (restated FY 2016: 58.6 percent). The regulatory minimum capital ratios were also met in the going concern scenario.

Inverse stress testing

Inverse stress tests were conducted at the BayernLB Group level as an integral element of the stress testing programme. Contrary to the logic of conventional stress tests, scenarios that could potentially jeopardise the existence of the BayernLB Group's current business model are identified using a retrograde procedure. Inverse stress tests are conducted for both individual risk types and across all risk types. The integration of different divisions in the scenario parameters makes it possible to analyse varying perspectives of the BayernLB Group's risk and earnings situation simultaneously and integrate them into the stress testing in a consistent manner. Both qualitative and quantitative analyses are carried out, based in particular on the effects of current developments in external and internal risk factors of the BayernLB Group.

Recovery plan

The BayernLB Group has had a recovery plan in place since 2013, in accordance with the German Recovery and Resolution Directive (Sanierungs- und Abwicklungsgesetz (SAG)), Minimum Requirements for the Design of Recovery Plans (Mindestanforderungen an die Ausgestaltung von Sanierungsplänen (MaSan)) and the supervisory requirement. This sets out the options open to the BayernLB Group to ensure it has sufficient capital and liquidity even in situations of financial stress. Thresholds for one and two-stage indicators are continuously monitored so that early action can be taken to ensure solvency. The status of these indicators is reported to the Risk Committee and the Board of Management monthly and to the Risk Committee of the Supervisory Board quarterly in the risk reporting.

The recovery plan is updated annually and was amended in 2017, in particular by changes in the system of indicators. The thresholds for the one and two-stage indicators in the recovery plan, which are set mainly at the Group level and are based on the German Recovery and Resolution Directive (Sanierungs- und Abwicklungsgesetz (SAG)) and Minimum Requirements for the Design of Recovery Plans (MaSan), were complied with by comfortable margins. Against this background, no recommendations for action needed to be sent to the Board of Management.

Resolution plan

As part of the reaction to the 2008 financial crisis, lawmakers established the EU regulation on a uniform Single Resolution Mechanism (SRM Regulation) and the Recovery and Resolution Directive (SAG). These direct resolution authorities at the European and national level to maintain resolution plans for banks that can be activated in an emergency to avert threats to the financial system, where possible without the need for taxpayers' money.

BayernLB complied with its legal responsibilities by assisting the responsible resolution authorities (the Single Resolution Board (SRB)) and the German Financial Markets Stabilisation Institution (Finanzmarktstabilisierungsanstalt (FMSA)) to develop a resolution plan for the BayernLB Group.

Credit risk

In accordance with its business model, the largest risk for the BayernLB Group is credit risk. Its clients include large corporates and Mittelstand companies, real estate customers, financial institutions, the public sector and the savings banks in Germany. The business model is rounded off by DKB, which provides retail banking services and serves target customers in the infrastructure and corporate customers sectors.

Definition

Counterparty risks arise if a transaction results in a claim against a borrower, issuer of securities or counterparty. If these fail to meet their obligations, the Bank suffers a loss equal to the unpaid amount less the value of any realised collateral plus the related settlement costs. This definition covers both lending and guarantee risks from the credit business, and issuer and counterparty risks from trading activities.

Risks from changes in the credit rating of securities are managed primarily through the management of interest rate risks. When managing interest rate risks, a distinction is made between market-related and credit rating-related interest rate risks; this is also reflected in the separate presentation of the risk capital requirements for counterparty risks and market risks.

Country risks, which are another type of counterparty risk, are also measured, managed and monitored. Country risk is defined in the narrow sense as the risk of a country or a business partner whose registered office is located in another country failing to meet its obligations on time or at all due to sovereign acts or economic or political problems (transfer and conversion risks). Country ratings are a key tool for measuring individual country risk. At the BayernLB Group, both country risk in the narrow sense and the sum of the assumed counterparty risks of individual customers in the respective countries (domicile principle) with the exception of Germany are considered when measuring and limiting risks.

Credit Risk Strategy and approval process

The Credit Risk Strategy – which is part of the comprehensive Risk Strategy – is determined by BayernLB's Board of Management for BayernLB and the Group, taking account of risk-bearing capacity considerations.

While the EU proceedings were still ongoing, the Investment Boards checked compliance with the conditions imposed by the EU that customers and/or transactions had to have a connection with Germany before concluding any transactions.

The credit approval process at BayernLB consists of several stages. The Competence Regulations define the authority of the different competence holders based on the loan volume to be approved, the business area it is allocated to and the rating classification. Credit decisions that ultimately

require approval by the Board of Management or Risk Committee of the Supervisory Board must first go through the Credit Risk Board, which itself is a competence holder. The Supervisory Board's Risk Committee decides on all loans that require the approval of the Supervisory Board under the German Banking Act or the Competence Regulations.

New products and products for new markets are subjected to the new product process.

The decision-making process at DKB is similarly organised. In addition, members of BayernLB's Board of Management sit on DKB's Supervisory Board and its committees.

Risk measurement

Risk classification procedure

In accordance with the Internal Ratings Based Approach (IRBA), BayernLB uses rating procedures that are approved by the supervisory authorities. To maintain and refine the rating procedures, BayernLB works mainly with RSU Rating Service Unit GmbH & Co. KG and Sparkassen Rating und Risikosysteme GmbH. All rating procedures are subject to a regular validation process to ensure they are able to correctly determine the default probabilities in each customer and financing segment. Validation includes both quantitative and qualitative analyses of the rating factors and the overall model. The accuracy and calibration of the procedure, the data quality and the design of the model using statistical and qualitative analyses, and users' feedback are examined.

The procedures are regularly modified where necessary. For instance, market-induced factors have been incorporated into various rating procedures in recent years in order to further improve their accuracy.

Exposure at default

Exposure at default is the expected claim amount taking account of a potential (partial) drawdown of open lines and contingent liabilities that would negatively impact risk-bearing capacity in the event of a default. For trading transactions, the current market value is taken as the basis. Any replacement risks are taken account of by means of an add-on.

Collateral valuations and loss ratios

The market value is taken as the starting point for collateral valuation. It is reviewed on both a scheduled and ad-hoc basis and adjusted whenever there is a change in valuation-relevant parameters. Based on these individual collateral valuations, the Bank estimates the size of the loss upon default, which is principally calculated using differentiated models for realisation ratios (average expected proceeds from the realisation of collateral) and for recovery rates (share of proceeds from the unsecured portion of a claim). The unsecured loss given default (LGD) is determined using the recovery rate. It shows the expected loss from the unsecured exposure of a loan. The different resolution scenarios (resolution, restructuring and recovery) are considered. These models are likewise updated and refined in partnership with RSU Rating Service Unit GmbH & Co. KG using pooled data and internal loss data. All models are regularly validated and checked for their representativeness.

Expected loss

Expected loss per transaction/per borrower is a (risk) ratio which not only takes account of the expected claim amount at the time of default but also the customer's credit rating/assigned probability of default and the estimate of losses upon default. This ratio can be used as an indicator of a portfolio's expected risk level.

Expected losses are also relevant for the calculation of standard risk costs, which are used to calculate the risk-adjusted credit terms in the preliminary calculation of the individual transaction (credit pricing). Expected loss allowances are also incorporated into the calculation of portfolio risk provisions.

Unexpected loss

BayernLB calculates unexpected loss at portfolio level using a simulated credit portfolio model, which estimates default risks on a one-year horizon with a confidence level of 99.95 percent. Dependencies among borrowers in the portfolio are estimated using a country and sector-specific model. In addition, the effects of rating migrations and uncertainties in calculating loss ratios are also taken into account. The impact of an unexpected loss by an individual business partner on the whole portfolio is also calculated for risk analysis purposes.

Risk monitoring

The following instruments are used for monitoring and limiting credit risks in the BayernLB Group:

Early warning

All relevant borrowers and exposures are monitored daily using the Bank's internal early warning system. The goal is to identify negative changes in the risk profile early on by means of suitable early risk warning indicators (e.g. based on market price information such as CDSs or share prices and internal information, in particular information about business partners and transactions) so there is still sufficient scope for action to avoid or minimise risk.

Risk capital requirements

BayernLB manages unexpected losses/risk capital requirements using appropriate limits at Bank and business-area levels. In addition, the sensitivity of key risk input parameters (mainly probabilities of default, loss ratios and correlations) is calculated regularly and supplemented by various stress tests, which in different forms (hypothetical, based on historical data) are used to assess risk-bearing capacity.

Counterparty default risk limits for borrowers/borrower units

In keeping with MaRisk, counterparty risks at borrower and borrower unit level are monitored daily using a limit system. BayernLB and DKB each conduct their own monitoring. The monitoring takes account of various transaction features using different credit limit types (e.g. issuer risk limit). Where the limits within the BayernLB Group add up to at least EUR 400 million per economic borrower unit, a Group-wide (Group) limit is required. BayernLB's Group Risk Control division

monitors the Group limit centrally. To limit risk concentrations, the maximum gross credit volume for each economic borrower unit is limited to EUR 500 million Group-wide. The Board of Management or the Risk Committee of BayernLB's Supervisory Board may approve exceptions to this limit in well-founded individual cases (e.g. good credit rating, profitability and strategy). These customers are individually listed in the quarterly Group Risk Report with their Group limit and gross credit volume.

Sector and country limits

To manage risk concentrations, limits are set for sectors and countries. Sector and country limits apply Group-wide. Limits are set on gross credit volumes and, in some cases, also on the net credit volume for specific countries. Limits are set by BayernLB's Board of Management or can be delegated by it, based in part on an analysis of the sector, country and portfolio structure and a vote taken under the lead of the RO Credit Analysis division. In addition to sector and country limits, the Board of Management also sets or approves as delegated additional specific portfolio guidelines and individual transaction conditions to safeguard portfolio quality. Sector and country limits and portfolio guidelines are monitored centrally by BayernLB's Group Risk Control division. Compliance with the individual transaction conditions is reviewed in the course of the approval process. Sector and country strategies are reviewed annually. Irrespective of this, strategies can be changed as events arise.

Collateral

Another key way in which risks are limited is by accepting the usual types of bank collateral and valuing them on an ongoing basis. When deciding what collateral is needed, particular account is taken of the type of financing, the borrower's available assets, their value and liquidity and whether the relative costs are reasonable (costs of acceptance and ongoing valuation).

Collateral is processed and valued in accordance with the relevant directives, which set out the procedures for valuing the collateral, any discounts to be applied, and how often the valuation must be reviewed. Net risk positions are calculated on the basis of the liquidation value of the collateral.

As part of its IRBA approval, the supervisory authority has granted BayernLB approval to lower its regulatory capital requirements through the use of real estate liens, ship mortgages, registered liens on aircraft, guarantees, financial collateral in the form of securities, cash deposits and credit derivatives.

The BayernLB Group employs derivative instruments to reduce market and counterparty risks. In derivatives trading, the usual practice is to conclude master agreements for the purposes of close-out netting. Collateral agreements exist with certain business partners restricting the default risk associated with certain trading partners to an agreed maximum and authorising a call for additional collateral should this limit be exceeded. Banks and public-sector customers are the main counterparties in the derivatives business. Limits are imposed as part of the generally applicable limitation process for counterparty risk. Furthermore, large credit risks are subject to both regulatory and internal management methods.

In credit default swaps (CDSs), BayernLB takes positions as both protection seller and protection buyer, but its focus is not on actively trading credit derivatives. CDS positions are valued and monitored daily at individual transaction level. Gains and losses on these positions are calculated daily on the basis of these valuations.

Problem loan handling and forbearance

Problem exposures are classified in accordance with the standard international categories (“special mention”, “substandard”, “doubtful” and “loss”) in terms of their level of risk, and a special restructuring and risk monitoring process is implemented if warranted.

By initiating suitable measures as part of an intensive support or problem loan-handling process at an early stage, BayernLB aims to minimise or completely prevent losses from occurring.

BayernLB defines problem loans in the substandard and doubtful categories as forbearance exposures. DKB uses a comparable definition with defined criteria in line with the EBA definition.

Exposures which have been restructured in order to minimise the risk of losses are defined as forbearance exposures. An exposure has been restructured if concessions have been granted to a counterparty in financial difficulties in the form of refinancing/restructuring and/or if the original terms and conditions of the loan agreement are modified (e.g. a deferral, waiver or standstill agreement).

Exposures cease to be reported as in forbearance if all of the following criteria apply:

- They have not been classified as non-performing (master rating 22 to 24) for more than two years (probationary period).
- Principal and interest payments have been duly made during the probationary period on a material portion of payments due.
- None of the borrower’s exposure is more than 30 days overdue at the end of the probationary period.

Quantitative data on forbearance exposures is shown as renegotiated credits in the “Portfolio overview in accordance with IFRS 7.36 a (Balance Sheet Approach)” section.

Please see the accounting policies in the Notes for details of how risk provisions are calculated and assets written down.

Risk provisions

Where necessary, proper account has been taken of the risks in the credit business through risk provisions. The principles governing loan loss provisioning and writedowns for problem loans establish how loans at risk of default are to be handled, valued and reported (see the note on risk provisions).

Current situation

The following presentation of credit risk uses the management approach, which is based on the figures used for internal reporting to the Board of Management and the Risk Committee of the Supervisory Board. In certain aspects, the figures derived from the financial situation (such as taking account of undrawn internal current account facilities) therefore deviate from the rules applicable for balance sheet purposes.

There may also be deviations from the accounting-based scope of consolidation, as under MaRisk internal risk management includes only BayernLB and DKB.

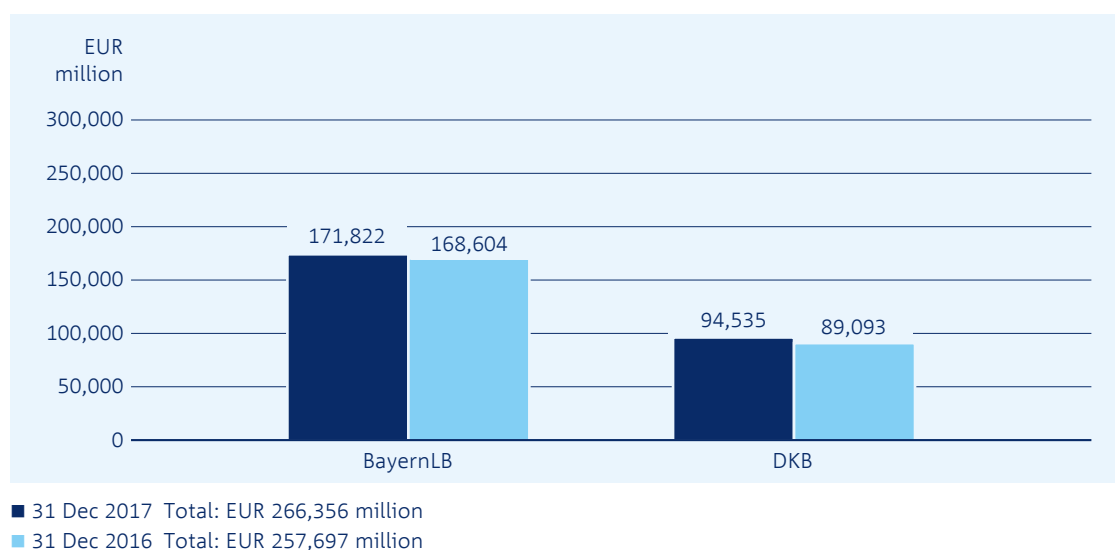
The Financial Stability Board, which was established by the supervisory authorities and governments of countries in which the world's leading financial centres are located, issued recommendations in 2008 on the disclosure of information on portfolios with elevated risk profiles. The greater transparency is intended to strengthen trust among financial market participants. Further details are therefore presented for higher risk portfolios, especially structured transactions and leveraged finance transactions. The indirect exposure to US monolines is no longer material, as it is manageable in terms of numbers and volume and has gradually reduced in line with maturities. No further details are therefore provided.

In addition, credit risk is presented using the balance sheet approach, which is based on balance sheet figures and focuses on the value of the financial assets shown in the balance sheet (in accordance with IFRS 7.36/37).

Portfolio overview in accordance with IFRS 7.34 a (Management Approach)

The figures for the management approach include BayernLB and DKB.

Gross credit volume by unit



The gross credit volume for credit transactions comprises the gross lending volume – drawdowns plus unutilised commitments – and undrawn internal current account limits. For trading transactions it is calculated from market value, for derivatives transactions from credit equivalent amounts.

Compared to 31 December 2016, the BayernLB Group's gross credit volume rose by EUR 8.7 billion or 3.4 percent to EUR 266.4 billion. Most of the growth came in the Countries/Public-Sector/Non-Profit Organisations sub-portfolio, driven for both BayernLB and DKB by the higher cash holdings at the Deutsche Bundesbank. Furthermore the volumes in the Commercial Real Estate and Retail sub-portfolios rose by EUR 0.9 billion and EUR 0.8 billion respectively, whereas lending to Corporates and Financial Institutions declined by EUR 2.0 billion and EUR 2.6 billion respectively.

At BayernLB gross credit volume rose by around EUR 3.2 billion. Along with considerable growth in the Countries/Public-Sector/Non-Profit Organisations sub-portfolio, the Commercial Real Estate sub-portfolio also increased slightly. Lending declined, however, in the Financial Institutions and Corporates sub-portfolios.

At DKB gross credit volume rose by around EUR 5.4 billion. As at BayernLB, most of this related to the Countries/Public-Sector/Non-Profit Organisations sub-portfolio. DKB also grew the retail business in particular.

Gross credit volume at BayernLB Group is broken down below by sub-portfolio, rating category, region, issuer risks, replacement risks and net credit volume by size.

Gross and net credit volume by sub-portfolio

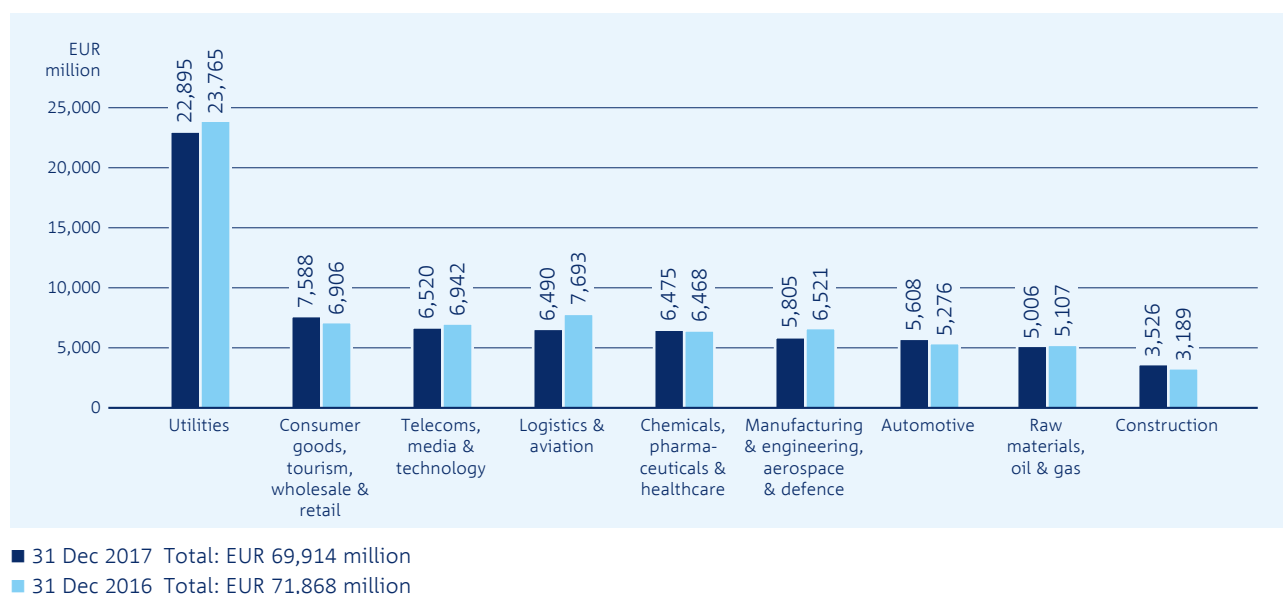
EUR million	Gross			Net		
	31 Dec 2017	31 Dec 2016	Change (in %)	31 Dec 2017	31 Dec 2016	Change (in %)
Corporates	69,914	71,868	–2.7%	52,465	54,492	–3.7%
Countries/Public-Sector/Non-Profit Organisations	66,046	54,481	21.2%	63,784	52,298	22.0%
Financial Institutions	50,626	53,200	–4.8%	48,048	49,475	–2.9%
Commercial Real Estate	47,465	46,543	2.0%	13,555	14,182	–4.4%
Retail/Other	32,305	31,605	2.2%	20,210	18,930	6.8%
• of which Retail	32,078	31,289	2.5%	20,036	18,642	7.5%
Total	266,356	257,697	3.4%	198,064	189,378	4.6%

Net credit volume is calculated as gross exposure less the value of collateral. This rose by EUR 8.7 billion at the BayernLB Group, the same amount as gross credit volume. Once again, the rise was driven by the higher holding of liquidity at the Deutsche Bundesbank. As it is unsecured, the collateralisation ratio in the Group fell accordingly from 26.5 percent to 25.6 percent.

Corporates sub-portfolio

The strategically important Corporates sub-portfolio retained its position as the largest sub-portfolio in the BayernLB Group in the current very challenging market environment. Gross credit volumes were up in three sectors, despite the difficult market. Overall, exposure in the sub-portfolio fell by a total of EUR 2.0 billion to EUR 69.9 billion. This is equivalent to a decline of 2.7 percent.

Sector breakdown within the Corporates sub-portfolio



Exposure was up by EUR 0.7 billion in the consumer goods, tourism, wholesale & retail sector to EUR 7.6 billion. The expansion mainly relates to the financing of cruise ships with export credit insurance and retailers in the United Kingdom.

The car industry also performed well, with business volumes up by EUR 0.3 billion to EUR 5.6 billion. The increase was mostly among leading auto suppliers and financing subsidiaries with a strong credit rating.

The construction industry performed well too, with business volumes up by EUR 0.3 billion to EUR 3.5 billion. This was largely caused by an expansion of business with two leading firms in this segment.

Major parts of the logistics & aviation, manufacturing & engineering and utilities sectors saw declines.

Exposure in logistics & aviation fell by EUR 1.2 billion to EUR 6.5 billion, principally driven by lower volumes of aircraft financing.

Gross credit volume in manufacturing & engineering fell by EUR 0.7 billion to EUR 5.8 billion. Much of this decline was due to lower financing volumes in aerospace and defence.

Credit volume in utilities, the largest sector by far, fell by EUR 0.9 billion or 3.7 percent to EUR 22.9 billion. In line with strategy, the focus of financings moved further towards renewable energy such as solar and wind parks; the share of these was up 3.5 percentage points to 61.4 percent. As loans for renewables are largely granted by DKB, it has an above-average share of the sector at 63.4 percent. The majority of these transactions are structured as project financings that are to a large degree associated with long-term, legally guaranteed feed-in tariffs under German law. With their above-average collateralisation ratio, this mitigates the high proportion of this sector in the Corporates sub-portfolio. In addition to project financing, another focus is traditional corporate loans. The portfolio is granular and is spread over customers from all stages of the sector's value chain, from the generation, transmission and distribution of electricity to integrated energy utilities and municipal utilities. At 86.8 percent, the majority of financing volume in the utilities sector is in Western Europe, of which Germany alone accounts for 77.4 percent.

The position in the strategically important home market was further strengthened. The share of Germany in the Corporates sub-portfolio rose to 72.8 percent (FY 2016: 70.0 percent) of the portfolio.

The high investment grade share in the Corporates sub-portfolio improved slightly to 71.7 percent (FY 2016: 71.5 percent) of the portfolio.

The granularity of the sub-portfolio also improved. Customers with a gross credit volume of less than EUR 50 million accounted for 53.1 percent (FY 2016: 51.1 percent) of the portfolio.

Transactions that are no longer part of the core business decreased further: Non-core business belonging to this sub-portfolio shrank by another EUR 0.6 billion to EUR 0.8 billion.

Countries/Public-Sector/Non-Profit Organisations sub-portfolio

Gross credit volume in the Countries/Public-Sector/Non-Profit Organisations sub-portfolio was up sharply by around EUR 11.6 billion or 21.2 percent to EUR 66.0 billion (FY 2016: EUR 54.5 billion). EUR 44.0 billion of this related to BayernLB and EUR 22.0 billion to DKB. The relative increase in gross credit volume was on a similar scale at both institutions. This was due in particular to the increase in funds held with the Deutsche Bundesbank and was primarily related to fine tuning of the increased excess liquidity.

Excluding the balance held with central banks, the credit volume in the sub-portfolio fell by around EUR 1.7 billion. This was largely to do with reduced lending to German states and foreign sovereigns.

The already very high investment grade share in the Countries/Public-Sector/Non-Profit Organisations sub-portfolio again improved slightly to 97.9 percent (FY 2016: 97.5 percent) of the portfolio.

Financial Institutions sub-portfolio

Gross credit volume in the Financial Institutions sub-portfolio fell by EUR 2.6 billion to EUR 50.6 billion (FY 2016: EUR 53.2 billion), a decrease of 4.8 percent. As with the previous year, the year under review also saw a decline.

Gross credit volume in the sub-portfolio in the BayernLB Group was broken down as follows:
Around EUR 49.3 billion related to BayernLB and roughly EUR 1.4 billion to DKB.

Most of the decrease in volume in the sub-portfolio occurred in the bank sector, where gross credit volumes were down, mainly to global commercial banks. This was predominantly driven by shifts in liquidity at various institutions. Contrary to the decline at global commercial banks, business volumes in the strategically important Savings Banks area rose slightly.

The quality of the sub-portfolio was very high and hardly changed. The investment grade share remained unchanged at 96.4 percent (FY 2016: 96.4 percent) of the portfolio. The share in Germany rose slightly to 62.8 percent (FY 2016: 62.1 percent) of the portfolio.

Commercial Real Estate sub-portfolio

In line with strategy, gross credit volume in the Commercial Real Estate sub-portfolio grew over the reporting period by some EUR 0.9 billion or roughly 2.0 percent. Business volume at the year-end was therefore EUR 47.5 billion (FY 2016: EUR 46.5 billion). Of this amount, EUR 22.6 billion stemmed from BayernLB and EUR 24.9 billion from DKB.

BayernLB accounted for EUR 0.8 billion of the increase; the rise at DKB was only EUR 0.1 billion. These figures already include the planned reduction of non-core business in the sub-portfolio. Accordingly, gross credit volume in the non-core business shrank by EUR 0.9 billion to EUR 1.2 billion.

The expansion in the business volume at BayernLB was largely in commercial real-estate management in logistics (EUR 0.3 billion), property developers' commercial construction (EUR 0.3 billion) and housing associations (EUR 0.1 billion).

The already high quality in the Commercial Real Estate sub-portfolio improved further, with the investment grade share rising to 82.5 percent (FY 2016: 80.0 percent) of the portfolio. This means that the investment grade share has risen by around 10 percentage points in ten years. The share in Germany rose to 90 percent (FY 2016: 88.4 percent) of the portfolio. Granularity and collateralisation rates in the sub-portfolio continued to be high for the most part. As at the reporting date, customers with a gross credit volume of less than EUR 50 million accounted for 57.8 percent (FY 2016: 59.1 percent) of the portfolio. The collateralisation ratio was 71.4 percent (FY 2016: 69.5 percent), still close to the three-year average of around 70 percent.

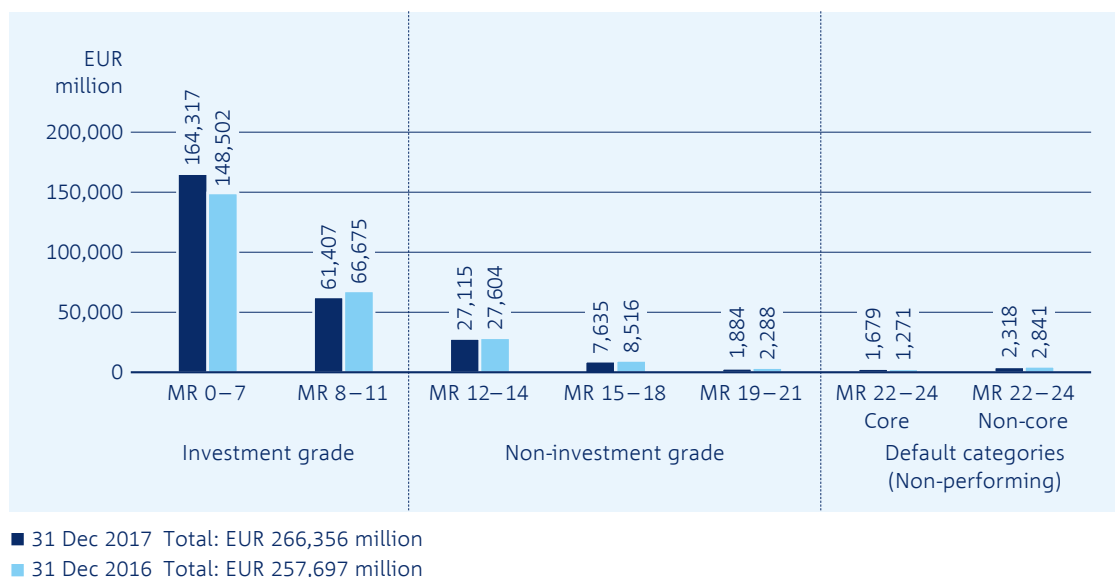
Retail/Other sub-portfolio

In the Retail/Other sub-portfolio, gross credit volume rose by EUR 0.7 billion or 2.2 percent to EUR 32.3 billion. In line with strategy, all growth took place at DKB. The bulk of the increase occurred in credit cards and current account receivables. Germany's share of the sub-portfolio remained unchanged at nearly 100 percent throughout the Group.

Breakdown by rating

The following table shows gross credit volume by rating category and sub-portfolio.

Gross credit volume by rating category and sub-portfolio



31 Dec 2017							(of which non-core)	Total
Rating categories	EUR million	MR 0-7	MR 8-11	MR 12-14	MR 15-18	MR 19-21	MR 22-24	
Corporates		20,394	29,741	13,272	4,030	1,064	1,413	244
Countries/Public-Sector/ Non-Profit Organisations		63,842	814	1,143	228	16	3	—
Financial Institutions		45,813	2,998	401	157	13	1,244	1,236
Commercial Real Estate		24,457	14,707	5,560	1,517	176	1,049	819
Retail/Other*		9,811	13,148	6,739	1,704	616	288	18
Total		164,317	61,407	27,115	7,635	1,884	3,997	2,318
31 Dec 2016							(of which non-core)	Total
Rating categories	EUR million	MR 0-7	MR 8-11	MR 12-14	MR 15-18	MR 19-21	MR 22-24	
Corporates		19,125	32,260	13,309	4,745	1,208	1,222	622
Countries/Public-Sector/ Non-Profit Organisations		52,025	1,103	1,122	192	37	3	—
Financial Institutions		46,321	4,955	487	119	20	1,298	1,262
Commercial Real Estate		22,333	14,898	6,035	1,756	343	1,178	931
Retail/Other*		8,699	13,459	6,652	1,705	681	411	26
Total		148,502	66,675	27,604	8,516	2,288	4,111	2,841

* of which gross credit volume in Retail of EUR 32.1 billion as at 31 December 2017 and EUR 31.3 billion as at 31 December 2016.

Gross credit volume in the BayernLB Group in the investment grade master rating (MR) categories 0–11 rose by EUR 10.5 billion in the reporting period. The investment grade share rose accordingly from 83.5 percent to 84.7 percent. The volume in rating category 0–7 rose by EUR 15.8 billion. Most of the increase occurred in the Countries/Public-Sector/Non-Profit Organisations sub-portfolio as a result of the aforementioned higher balances held at the Deutsche Bundesbank. The gross business volume in rating category 8–11 fell by EUR 5.3 billion. This was caused by declines in business volume in the Corporates and Financial Institutions sub-portfolios, which were primarily in this rating category.

Gross credit volume in rating category 12–14 declined slightly by EUR 0.5 billion. The percentage in this rating category also declined slightly, from 10.7 percent to 10.2 percent.

Gross credit volume in rating categories MR 15–18 and MR 19–21 fell by a total of EUR 1.3 billion over the reporting period, thereby reducing the proportion of gross credit volume in these rating categories from 4.2 percent to 3.6 percent.

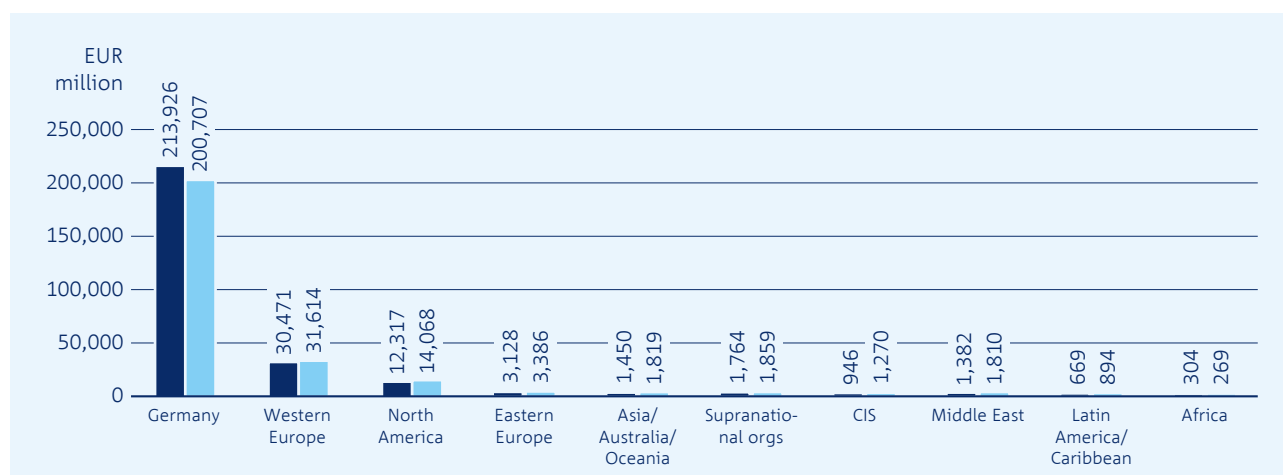
The non-performing loan ratio improved slightly during the reporting period to 1.5 percent (FY 2016: 1.6 percent) of the portfolio.

Adequate risk provisions were set aside to cover loans added to the default categories.

Breakdown by region

The following table shows gross credit volume by region.

Gross credit volume by region



■ 31 Dec 2017 Total: EUR 266,356 million

■ 31 Dec 2016 Total: EUR 257,697 million

In line with the Business and the Risk Strategy, Germany accounted for a dominant share of the BayernLB Group's lending at 80.3 percent (FY 2016: 77.9 percent) of the portfolio. Gross credit volume amounted to EUR 213.9 billion (FY 2016: EUR 200.7 billion). This rise was mainly due to the increase already mentioned in holdings at the Deutsche Bundesbank.

Regionally, gross credit volume declined particularly in North America (EUR –1.8 billion), Western Europe (EUR –1.1 billion) and the Middle East (EUR –0.4 billion).

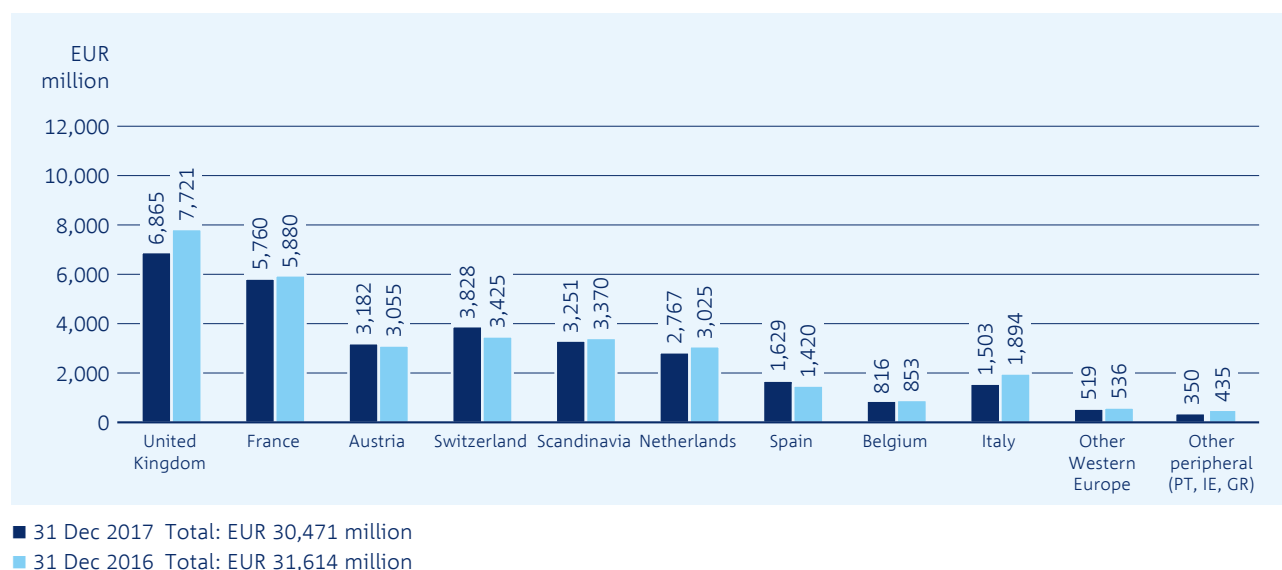
The reduction in the North America region was primarily in the USA, where volume was down in the Financial Institutions and Corporates sub-portfolios in particular.

In the Middle East, most of the declines occurred in the United Arab Emirates in the Corporates sub-portfolio.

Generally speaking, country risks and risk/return ratios in lending abroad continued to be very closely managed and monitored, given global developments, in particular persistent political tensions (e.g. Turkey, the Middle East) and oil prices which remain relatively low.

The following table shows gross credit volume in western European countries (excluding Germany).

Gross credit volume in western European countries

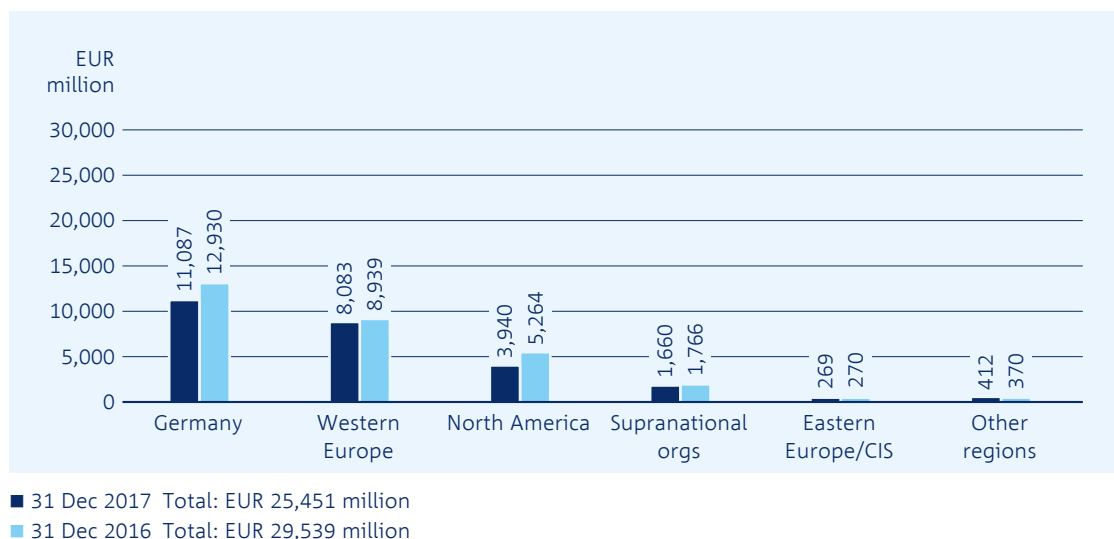


Gross credit volume in Western Europe (excluding Germany) declined by EUR 1.1 billion to EUR 30.5 billion (FY 2016: EUR 31.6 billion). The fall of EUR 0.9 billion mainly related to the United Kingdom, where business volumes declined in the Corporates and Commercial Real Estate sub-portfolios in particular.

In addition, gross credit volume also decreased markedly in Italy, Finland and the Netherlands. Increases in volume occurred mainly in Switzerland, Spain and Denmark.

The following table shows gross issuer risk by region.

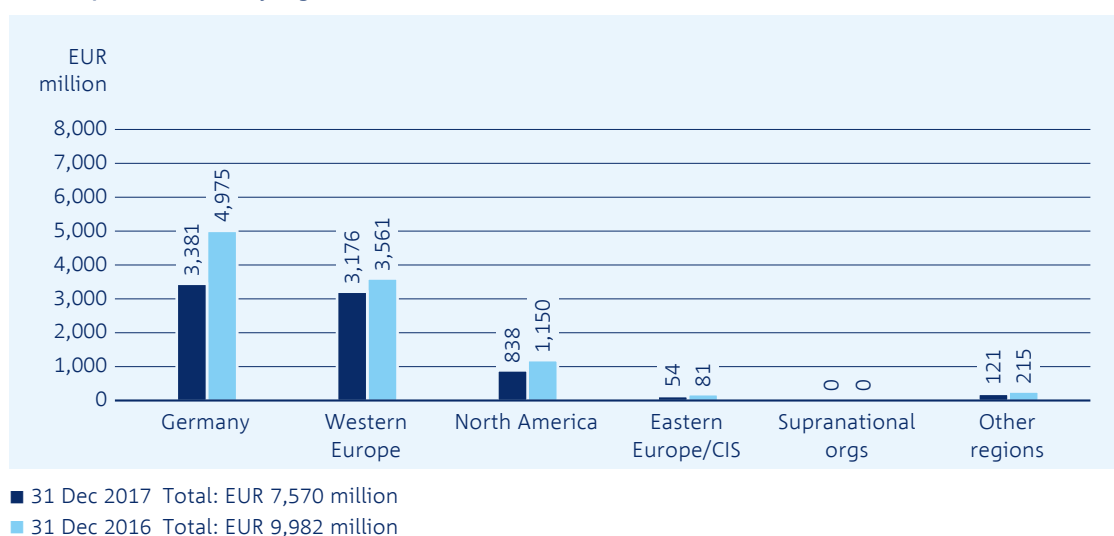
Gross issuer risk by region



Gross issuer risk fell again in the reporting period. It was down by around EUR 4.1 billion in total to EUR 25.5 billion (FY 2016: EUR 29.5 billion). Most of the reduction took place in Western Europe and North America. Gross issuer risk in Germany fell by EUR 1.8 billion to EUR 11.1 billion (FY 2016: EUR 12.9 billion), with reductions largely coming from public-sector borrowers.

The following table shows gross replacement risk by region.

Gross replacement risk by region

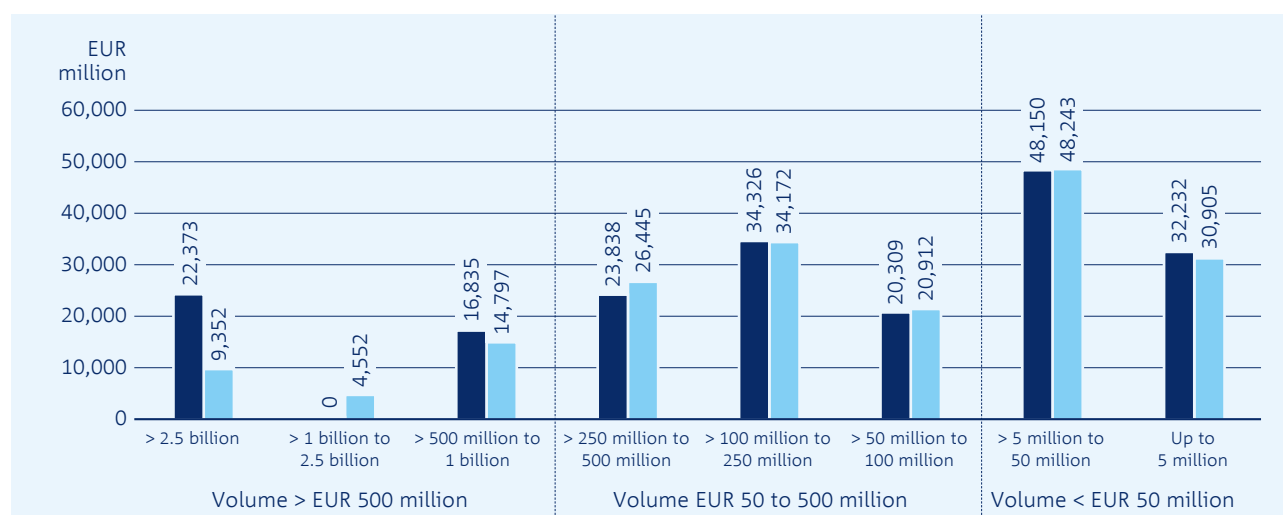


Gross replacement risk also fell in the reporting period, declining by EUR 2.4 billion to EUR 7.6 billion (FY 2016: EUR 10.0 billion). The reduction occurred mainly in Germany, where gross replacement risk fell by EUR 1.6 billion to EUR 3.4 billion (FY 2016: EUR 5.0 billion). Most of the decrease in Germany was spread evenly across the Corporates, Financial Institutions and Countries/Public-Sector/Non-Profit Organisations sub-portfolios.

Breakdown by size category

The following table shows net credit volume by size.

Net credit volume by size



■ 31 Dec 2017 Total: EUR 198,064 million

■ 31 Dec 2016 Total: EUR 189,378 million

Net credit volume was up sharply in the size category above EUR 2.5 billion, with business volumes up by EUR 13.0 billion to EUR 22.4 billion (FY 2016: EUR 9.4 billion). This rise was mainly due to the increase already mentioned in holdings at the Deutsche Bundesbank. This size category only contains loans and advances to top-rated German and US government entities with a first-class credit score.

Net credit volume with customers in the more than EUR 500 million to EUR 2.5 billion categories declined by around EUR 2.5 billion to EUR 16.8 billion (FY 2016: EUR 19.3 billion). The reduction in these categories resulted from the decline in the Countries/Public-Sector/Non-Profit Organisations and Financial Institutions sub-portfolios. These categories predominantly include savings banks, German and international banks, large DAX companies and government entities. The range of individual ratings is predominantly in the very good investment grade category (master ratings 0 to 7).

Summary

The overall market environment in 2017 remained very challenging, with persistent pressure on margins and high liquidity. Despite this difficult market environment, the core business with target customers was further expanded. The increase in business in the Commercial Real Estate sub-portfolio is particularly worthy of mention.

The quality of the credit portfolio remains very good. This is reflected in the high investment grade share, which continued to grow, improving from 83.5 percent to 84.7 percent. There was also further growth in the percentage of German customers. Portfolio granularity went down slightly in the reporting period.

Portfolio overview pursuant to the Financial Stability Board

Customer transactions

The nominal volume of transactions structured for customers rose to a total of EUR 2.3 billion in the reporting period (FY 2016: EUR 2.1 billion).

The portfolio consists almost solely of transactions structured for target customers of BayernLB. Trade, leasing receivables and consumer receivables from target customers are financed. This is carried out exclusively via the dedicated Corelux S.A. ABCP programme.

Only one transaction that is not related to target customers remains. The transaction, in the amount of EUR 33 million (FY 2016: EUR 36 million), is being wound down under close observation.

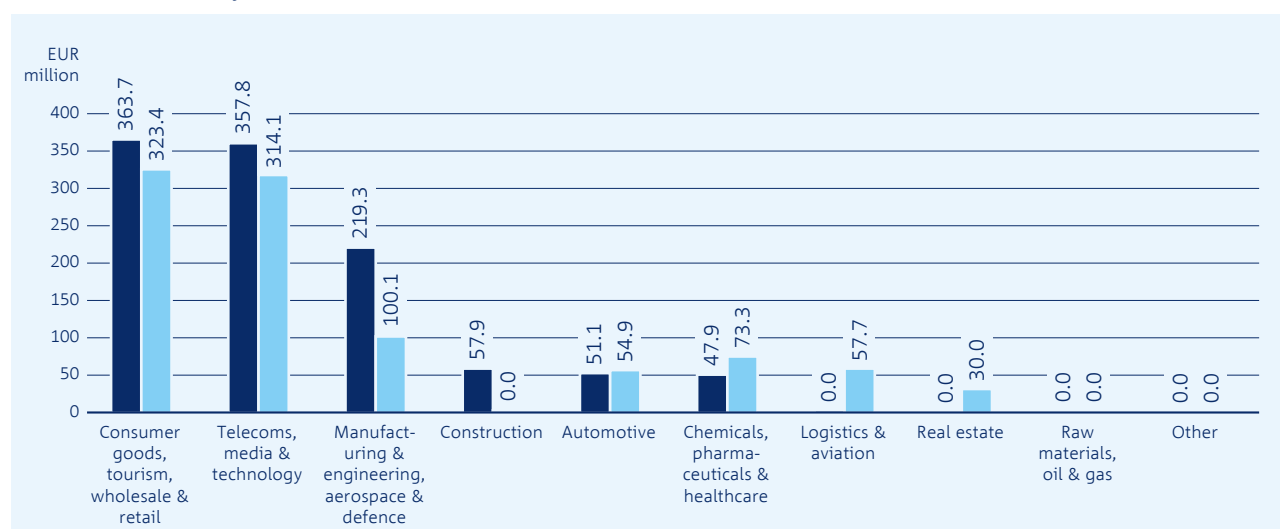
Leveraged finance

This includes leveraged buyouts (corporate acquisitions by financial investors) and corporate to corporate transactions (corporate acquisitions by strategic investors). As financing is normally on a non-recourse basis, repayments are mostly funded by the future cash flows of the acquired entity. Acquisition financing is typically highly leveraged, long dated (usually over five years), involves extensive covenants and collateral and a large number of contractual restrictions (e.g. on acquisitions, investments, distributions and additional debt).

Credit volumes within the BayernLB Group rose to EUR 1.1 billion (FY 2016: EUR 954 million). The share in Germany was little changed at 83 percent (FY 2016: 88 percent) of the portfolio. Western Europe accounted for the remaining 17 percent (FY 2016: 12 percent) of the portfolio. Since the parent company and its principal subsidiaries are usually jointly liable in leveraged finance, the domicile is based on the parent company's registered office, even if, in some cases, one of the Group's borrowers is domiciled outside Germany or Western Europe.

Leveraged finance transactions are solely at BayernLB and break down by sector and rating category as follows.

Gross credit volume by sector

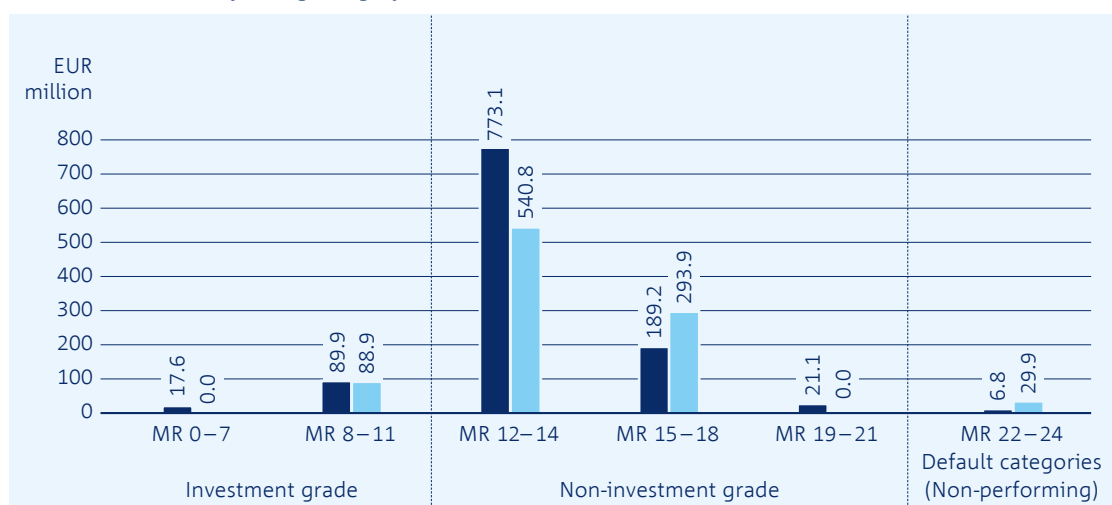


■ 31 Dec 2017 Total: EUR 1,098 million

■ 31 Dec 2016 Total: EUR 954 million

Within the sectors, the rankings of the sub-sectors remained largely unchanged on the previous year. The largest sub-sectors in terms of volume were manufacturing & engineering at EUR 219 million (FY 2016: EUR 100 million), media at EUR 206 million (FY 2016: EUR 185 million) and technology at EUR 152 million (FY 2016: EUR 117 million).

Gross credit volume by rating category



■ 31 Dec 2017 Total: EUR 1,098 million

■ 31 Dec 2016 Total: EUR 954 million

Upgrades considerably exceeded downgrades due to the gradual paying down of debt for acquisition financings. In addition, repayments were more than compensated for by good quality new business, which nonetheless was mostly non-investment grade due to the product (initial high debt). The risk provision set aside for problem loans dropped to 0.6 percent (FY 2016: 2 percent).

Summary

These sub-portfolios were marked by a slightly higher volume in the customer transaction portfolio and good quality leveraged finance transactions.

Portfolio overview in accordance with IFRS 7.36 a (Balance Sheet Approach)

Maximum credit risk

Based on data from the IFRS consolidated financial statements, the presentation below shows the BayernLB Group's maximum credit risk under IFRS 7.36 a, taking account of IFRS 7.B9. Gross carrying amounts are reduced by the offsetting amounts calculated in accordance with IAS 32 and impairment losses calculated in accordance with IAS 39. Credit risks included under the balance sheet item non-current assets or disposal groups classified as held for sale are allocated to the relevant positions in the following (for individual amounts see the details in note 49). Information on forbearance exposures is also included.

The figures used in the balance sheet approach for the maximum credit risk pursuant to IFRS 7.36 a are based on the IFRS scope of consolidation. Besides BayernLB and DKB, these include mainly Real I.S. and Bayern Card-Services GmbH.

Maximum credit risk

EUR million	31 Dec 2017	31 Dec 2016
Cash reserves	3,556	2,096
• Loans and receivables	3,556	2,096
Loans and advances to banks	37,783	28,793
• Loans and receivables	37,783	28,793
Loans and advances to customers	133,672	133,624
• Loans and receivables	133,552	133,335
• Available for sale	4	7
• Fair value option	117	281
Assets held for trading*	11,625	16,671
• Held for trading	11,625	16,671
Positive fair values from derivative financial instruments	813	1,073
• Held for trading	813	1,073
Financial investments*	22,522	25,921
• Available for sale	22,362	25,750
• Fair value option	88	–
• Loans and receivables	72	171
Contingent liabilities	10,759	10,678
Irrevocable credit commitments	25,521	24,095
Total	246,251	242,951

* Excluding equity instruments.

Financial assets that are neither past due nor impaired

31 Dec 2017 in %	Maximum credit risk						Total
	Rating categories						
	0–7	8–11	12–17	18–21	Default categories	Unrated	
Cash reserves	1.4	–	0.0	–	–	0.0	1.4
• Loans and receivables	1.4	–	0.0	–	–	0.0	1.4
Loans and advances to banks	14.4	0.7	0.2	0.0	0.0	0.0	15.3
• Loans and receivables	14.4	0.7	0.2	0.0	0.0	0.0	15.3
Loans and advances to customers	27.4	15.0	9.7	0.9	0.1	0.1	53.2
• Loans and receivables	27.4	15.0	9.6	0.9	0.1	0.1	53.1
• Fair value option	0.0	0.0	0.0	–	0.0	0.0	0.0
Assets held for trading	3.8	0.7	0.1	0.0	0.1	–	4.7
• Held for trading	3.8	0.7	0.1	0.0	0.1	–	4.7
Positive fair values from derivative financial instruments	0.3	0.0	–	–	–	–	0.3
• Held for trading	0.3	0.0	–	–	–	–	0.3
Financial investments	8.8	0.2	0.0	–	0.0	–	9.0
• Available for sale	8.8	0.2	0.0	–	0.0	–	9.0
• Fair value option	0.0	–	–	–	–	–	0.0
• Loans and receivables	0.0	0.0	0.0	–	–	–	0.0
Contingent liabilities	2.3	1.2	0.8	0.0	0.0	0.0	4.4
Irrevocable credit commitments	5.1	3.8	1.4	0.1	0.0	0.0	10.3
Total	63.5	21.6	12.3	1.0	0.2	0.1	98.7

31 Dec 2016 in %	Maximum credit risk						Total
	Rating categories						
	0–7	8–11	12–17	18–21	Default categories	Unrated	
Cash reserves	0.8	0.1	–	–	–	0.0	0.9
• Loans and receivables	0.8	0.1	–	–	–	0.0	0.9
Loans and advances to banks	10.2	1.3	0.4	0.0	0.0	0.0	11.8
• Loans and receivables	10.2	1.3	0.4	0.0	0.0	0.0	11.8
Loans and advances to customers	26.7	15.4	10.5	0.9	0.1	0.1	53.8
• Loans and receivables	26.6	15.4	10.5	0.9	0.1	0.1	53.6
• Fair value option	0.1	0.0	0.0	–	0.0	0.0	0.1
Assets held for trading	4.9	1.7	0.2	0.0	0.1	–	6.9
• Held for trading	4.9	1.7	0.2	0.0	0.1	–	6.9
Positive fair values from derivative financial instruments	0.4	0.1	–	–	–	–	0.4
• Held for trading	0.4	0.1	–	–	–	–	0.4
Financial investments	9.9	0.4	0.0	–	0.0	–	10.4
• Available for sale	9.9	0.4	0.0	–	0.0	–	10.3
• Loans and receivables	0.0	0.0	0.0	–	–	–	0.1
Contingent liabilities	2.2	1.2	0.9	0.1	0.0	0.0	4.4
Irrevocable credit commitments	4.5	3.8	1.5	0.2	0.0	0.0	9.9
Total	59.5	23.8	13.5	1.2	0.3	0.1	98.4

Financial assets that are past due but not impaired*

	Maximum credit risk					
	Time past due					
31 Dec 2017		> 30 days	> 3 months			Fair value
EUR million	≤ 30 days	to 3 months	to 1 year	> 1 year	Total	collateral
Cash reserves	–	–	–	–	–	–
Loans and advances to banks	–	–	–	–	–	–
Loans and advances to customers	134.5	230.5	118.3	1,279.6	1,762.8	148.0
• Loans and receivables	134.5	230.5	118.3	1,279.6	1,762.8	148.0
Assets held for trading	–	–	–	–	–	–
Positive fair values from derivative financial instruments	–	–	–	–	–	–
Financial investments	297.2	–	–	–	297.2	–
• Available for sale	297.2	–	–	–	297.2	–
Contingent liabilities	–	–	–	–	–	–
Irrevocable credit commitments	1.1	0.5	0.0	–	1.6	–
Total	432.8	231.0	118.3	1,279.6	2,061.6	148.0
Fair value collateral	24.1	74.3	38.1	11.5	148.0	

	Maximum credit risk					
	Time past due					
31 Dec 2016						Fair value** collateral
EUR million	≤ 30 days	> 30 days to 3 months	> 3 months to 1 year	> 1 year	Total	
Cash reserves	–	–	–	–	–	–
Loans and advances to banks	–	–	–	0.8	0.8	–
• Loans and receivables	–	–	–	0.8	0.8	–
Loans and advances to customers	476.8	253.4	126.9	64.1	921.1	484.4
• Loans and receivables	476.8	253.4	126.9	64.1	921.1	484.4
Assets held for trading	–	–	–	–	–	–
Positive fair values from derivative financial instruments	–	–	–	–	–	–
Financial investments	750.3	–	–	–	750.3	–
• Available for sale	750.3	–	–	–	750.3	–
Contingent liabilities	–	–	–	–	–	–
Irrevocable credit commitments	16.1	0.2	–	0.0	16.3	–
Total	1,243.1	253.5	126.9	65.0	1,688.5	484.4
Fair value collateral	283.5	138.1	57.2	5.6	484.4	

* The portfolio reflects the creation of portfolio loan loss provisions: “not impaired” in this context means “no specific loan loss provision was made”.

** Adjusted as per IAS 8.42 (see note 2).

Financial assets that are impaired

EUR million	Maximum credit risk		Fair value collateral	
	31 Dec 2017	31 Dec 2016	31 Dec 2017	31 Dec 2016
Cash reserves	–	–	–	–
Loans and advances to banks	–	13.1	–	–
• Loans and receivables	–	13.1	–	–
Loans and advances to customers	967.1	2,107.6	271.5	260.2
• Loans and receivables	963.2	2,100.5	271.5	260.2
• Available for sale	3.9	7.0	–	–
Assets held for trading	–	–	–	–
Positive fair values from derivative financial instruments	–	–	–	–
Financial investments	0.0	0.0	–	–
• Available for sale	0.0	0.0	–	–
Contingent liabilities	41.1	27.4	–	–
Irrevocable credit commitments	99.3	12.1	–	–
Total	1,107.6	2,160.1	271.5	260.2

Renegotiated credits

Forbearance exposures

31 Dec 2017			Collateral/financial
EUR million	Forbearance/deferrals	Impairments	guarantees received
Loans and advances to banks	4.5	–0.1	2.5
Loans and advances to customers	3,783.3	–785.7	582.3
Financial investments	0.0	0.0	0.0
Credit commitments	217.7	2.9	7.6
Total	4,005.4	–782.9	592.4

31 Dec 2016			Collateral/financial
EUR million	Forbearance/deferrals	Impairments	guarantees received
Loans and advances to banks	26.8	–1.7	0.0
Loans and advances to customers	3,324.4	–852.1	399.0
Financial investments	0.0	0.0	0.0
Credit commitments	148.5	3.9	0.9
Total	3,499.7	–849.9	399.9

Collateral realisation

In accordance with IFRS 7.38, financial and non-financial assets that were acquired in the reporting period by taking possession of collateral must be disclosed separately. In financial year 2017, realised collateral in the amount of EUR 1 (FY 2016: EUR 0.4 million) was posted to the BayernLB Group's consolidated balance sheet. These assets comprise shares in a company which is expected to be deleted from the commercial register.

Investment risk

Definition

Investment risk (shareholding risk) comprises the BayernLB Group's counterparty (default) risk arising from its shareholdings.

This risk entails a potential loss in value arising from the following:

- The provision of equity or equity-like financing (e.g. silent partner contributions), such as suspension of dividends, partial writedowns, losses on disposals, or reductions in hidden reserves
- Liability risks (e.g. letters of comfort) and/or profit and loss transfer agreements (e.g. assumption of losses)
- Capital contribution commitments

Group Risk Control is responsible for setting standards and reporting at portfolio level. BayernLB has an independent central unit with the authority to issue guidelines for all methods and processes relating to investment risk monitoring. Operational implementation of the risk management instruments is the responsibility of the business units concerned.

Risk Strategy

The goal is to hold a core portfolio of investments that support the BayernLB Group's business activities. The integral components of the BayernLB Group remain Deutsche Kreditbank AG and the other Group strategic subsidiaries: BayernInvest Kapitalverwaltungsgesellschaft mbH and Real I.S. AG Gesellschaft für Immobilien Assetmanagement. The BayernLB Group would like to dispose of its non-core investments.

The Group investment risk strategy, derived from the overarching BayernLB Group Risk Strategy, forms the framework for handling the risks of investments. The Bayerische Landesbank Act, the Statutes and the Rules of Procedure of the BayernLB Board of Management set further conditions for the Group Risk Strategy.

Measuring and monitoring risk

A classification procedure for identifying and measuring risk with clear guidelines on the early detection of risks has been implemented for all direct investments held by BayernLB. Key factors in this regard are risk-based early warning indicators and the assessment of the maximum potential loss.

Where BayernLB provides both equity and debt capital, it examines any additional risks, particularly those arising from its status as a lender.

Compatible processes apply to DKB. This is also built into the entire Group strategy, planning, management and monitoring process.

For CRR/CRD IV reporting purposes, investment risks are measured using the simple risk-weighted method unless they fall under the grandfathering method under article 495 para. 1 CRR.

Risk capital requirements for investment risk are measured in ICAAP using the regulatory PD/LGD method in accordance with CRR/CRD IV.

Risks from direct investments are reported to the Board of Management in the regular risk reporting process as well as in an annual investment report using the relevant procedures (classification, early warning). Major shareholdings with difficulties are monitored in the intensive support or problem-loan processes and reported to the Board of Management on a quarterly basis. The investment report sets out in particular recommendations for action and the implementation status of measures already executed for investments in the intensive support or problem loan processes with a potential loss in excess of EUR 10 million.

Summary

The investment portfolio moved in line with strategy during the year under review.

Market risk

Definition

Market risk is the risk of potential losses in value from changes in market prices (interest rates, credit spreads, exchange rates, equity and commodity prices) and other factors (correlations, volatility) that affect prices. Accordingly, BayernLB breaks down its market risks into general and specific interest rate risk, currency risk, equity price risk, commodity risk and volatility risk. Risks from pension liabilities are also included under market risks.

Risk Strategy

The Risk Strategy sets out the strategic principles for handling market risks and prescribes the amount of economic capital to be made available for them. Market risks may only be taken on within approved limits and are regularly measured and monitored. The risk capital requirement for pension risk is also limited and monitored separately.

The amount of economic capital provided for market risks is broken down by risk unit and, if necessary, by individual market risk type and, with the exception of pension risks, implemented in the form of value-at-risk (VaR) limits.

In accordance with the current Business and Risk Strategy, market risks are normally only assumed as a result of transactions on behalf of customers and related hedge transactions. Moreover, market risks may also result from transactions for liquidity management, asset/liability management or the non-core businesses.

Risk measurement

For operational monitoring and management, the calculation of market risk normally uses a VaR procedure based on a one-day holding period and a confidence level of 99 percent. BayernLB and DKB both use the historical simulation approach. Customer deposits at DKB are modelled using the dynamic replication method. Market risks that are not covered by the VaR limit calculation are taken into account by alternative risk assessment methods (e.g. stress test estimates). Since 30 June 2017 BayernLB has included a risk premium to estimate the interest rate risk on external credit margins. The interest rate risk in external credit margins has been shown in the daily VaR at DKB since mid-December 2017.

Pension risks (risks from pension liabilities) are calculated using a scenario-based approach. The model refinements applied in 2016 remained unchanged in 2017. As a result of the declining volatility in the discount rate, the risk model worked with the intended minimum fluctuation approach in the second half of the year.

Market risk measurement methods are constantly checked for the quality of their forecasting. In the backtesting process, the risk forecasts are compared with actual outcomes (gains or losses). As at 31 December 2017, the forecasting quality of the market risk measurement methods used at BayernLB, in accordance with the Basel traffic light approach, was classified as good.

The outcomes of VaR or scenario-based risk measurement must always be looked at in the context of the assumptions used in the model (mainly the confidence level selected, a one-day holding period, and the use of historical data over a period of around one year to forecast future events). For this reason, stress tests are conducted monthly on the risk positions at each Group institution simulating extraordinary changes in market prices, following which the potential risks are analysed. Additional stress tests are used at the individual bank level. Stress tests take into account all relevant types of market risk, are regularly reviewed, and their parameters modified if necessary.

For risk-bearing capacity one-day VaR is scaled to a one-year horizon, i.e. it is assumed risk positions are closed or hedged over a one-year time horizon. This takes particular account of market liquidity risk – the risk of having to close out risk positions on financial terms that are less favourable than had been expected. Valuation discounts for market liquidity-relevant factors (e.g. bid-ask spreads), which are relevant for accounting and reporting, are also modelled.

The standard approach is used at BayernLB and DKB to calculate the regulatory capital backing for trading transactions.

Risk monitoring

In the BayernLB Group, several tools are used to monitor and limit market risks, including VaR and related VaR limits, risk capital limits for market and pension risks, and risk sensitivity and stress tests, all of which constitute part of the mix in the assessment of risk-bearing capacity in various forms.

Pension risks are monitored monthly. The actual market risk is monitored independently by the risk controlling units in the relevant subsidiaries. Market risk is included in the daily Group-wide risk reporting. Market risks are monitored and reported independently of trading units. This is done daily at BayernLB for the trading book and the banking book, and at DKB daily for the A custody account and weekly for the banking book. In addition to complying with these regulatory requirements, this ensures risks are reconciled daily and reported to those responsible for positions. If a VaR limit is breached, appropriate measures are taken as part of an escalation procedure.

Interest rate risk in the banking book forms part of the regular risk calculation and monitoring processes of the risk-controlling units. Both contractual and legal termination rights on loan transactions are modelled as options and incorporated into the risk calculation.

In addition, an interest rate shock scenario of +/-200 basis points is also calculated for the interest rate risk, including pension risks, in the banking book at individual entity level and Group-wide. As at 31 December 2017, the calculated change in present value relative to liable capital at both BayernLB and the BayernLB Group was well below the 20 percent limit set in BaFin's criterion for institutions with elevated interest rate risk.

As part of Group risk reporting the Board of Management is informed monthly and the Risk Committee of the Supervisory Board is informed quarterly about the market risk situation.

Current situation

In the BayernLB Group, the main factor affecting the VaR for the actual market risks is general interest rate risk. All other types of risk play a much less significant role by comparison. The current situation for pension risks is presented in the chapter on "Economic capital adequacy".

VaR contribution of actual market risks by risk type (confidence level 99 percent, holding period 1 day)

EUR million	31 Dec 2017	31 Dec 2016	1 January 2017 to 31 December 2017		
			Average	Maximum	Minimum
General interest rate VaR	25.0	35.9	24.4	36.7	13.0
Specific interest rate VaR (credit spreads)*	5.5	11.0	8.4	12.6	5.5
Currency VaR	1.8	2.2	2.4	4.0	1.7
Equities VaR	2.3	4.6	3.1	4.7	2.2
Commodities VaR	1.7	1.7	1.7	3.4	1.0
Volatility VaR	1.0	5.2	3.0	5.0	0.9
Total VaR**	28.5	36.0	26.3	36.6	16.1

* After eliminating intra-Group positions upon Group consolidation;

** When calculating the risk capital requirement for BayernLB, risk-bearing capacity takes into account VaR, premiums for credit risks on money market transactions, risk on CVA fluctuations and risk on external credit margins.

Summary

Total VaR fell by around EUR 7.5 million compared with 31 December 2016. The decrease in general interest rate risk due to a smaller interest rate long position was strengthened further by lower market volatility. These significant risk-reducing effects were partly compensated by the effects of taking external credit margins at DKB into account from mid December 2017 onwards (EUR +7.8 million). Specific interest rate risk and equity risk declined due to lower market volatility and a reduction in positions, while volatility risk was additionally impacted by changed market data shifts for loan termination rights, which also contributed to the fall in risk.

Liquidity risk

Definition

The BayernLB Group defines liquidity risk as the risk of not being able to meet payment obligations in full or as and when they fall due (insolvency risk or liquidity risk in the narrow sense). It also considers it to be the risk – for example, in a liquidity crunch – that funding cannot be obtained at all or only at above-market rates (securing liquidity or refinancing risk) or that assets can only be sold at a discount to their market prices. This section looks first at liquidity risk in the narrow sense before moving on to refinancing risk, by means of changes in the funding mix.

Risk Strategy

The strategic principles for dealing with liquidity risk within the BayernLB Group are set out in the Group Risk Strategy. The overriding priority of liquidity risk management and monitoring is to ensure that the BayernLB Group can meet its payment obligations and obtain funding at all times. In addition to stringently ensuring solvency, the primary goal of BayernLB's liquidity management is to ensure long-term access to the market.

These strategic goals are detailed in the Group Guidelines for daily management. There is an emergency plan to safeguard liquidity in the event of emergencies. This defines the processes, management tools and hedging instruments needed to avert potential or address real acute crises. They also contain an escalation mechanism, which comes into operation when early warning signals are triggered.

In the BayernLB Group, daily limits are placed on liquidity risks at the operating unit level based on defined scenarios. This ensures that liquidity risks taken are managed and escalated in a consistent and effective manner at all times.

During the reporting year, responsibility for strategic and operational liquidity management at BayernLB belonged to the Group Treasury and the Structuring & Trading divisions of the Financial Markets business area. This ensures adequate liquidity reserves at all times and the management of operational liquidity on the market. Group-wide risk controlling of liquidity risks is conducted by the Group Risk Control division in the Risk Office central area. This area also prepares liquidity overviews, such as capital flow accounts and limit utilisation ratios as the basis for controlling and monitoring liquidity risks. The Liquidity Committee consults with the Group Treasury, Group Risk Control and the Controlling divisions on issues such as liquidity and refinancing strategies and acts as a driving force by preparing courses of action for the Board of Management.

BayernLB actively manages its liquidity reserves in accordance with the regulatory requirements of pillars 1 and 2. The active management of liquidity reserves also includes complying with the Net Stable Funding Ratio (NSFR) and the Liquidity Coverage Ratio (LCR) requirements contained in CRR and its subsequent regulations pursuant to the Delegated Regulation (DelReg). In line with regulatory requirements, the BayernLB Group's figures for ratios are regularly reported.

The Additional Liquidity Monitoring Metrics (ALMM) for the BayernLB Group were also reported regularly to the supervisor in 2017. Changes to regulatory requirements that have an impact on liquidity risk, such as the new version of MaRisk, the new version of CRR or new implementing technical standards are constantly monitored in order to identify additional requirements and ensure they are implemented as scheduled in close cooperation with all units affected. This ensures reporting requirements can be met and liquidity can be efficiently managed in the future.

Risk measurement

The BayernLB Group produces daily liquidity overviews to measure, analyse, monitor and report on liquidity risk. These project and compare the liquidity gaps, i.e. the net deterministic and non-deterministic future payment inflows and outflows, and the realisable liquidity counterbalancing capacity to an accuracy of one day.

In terms of volumes and timing, the liquidity counterbalancing capacity quantifies the ability of the BayernLB Group to obtain cash at the earliest opportunity at market rates and in accordance with supervisory restrictions. It indicates the ability to cover liquidity gaps and therefore all cash flow-based liquidity risks. The most important components of liquidity counterbalancing capacity are the holdings of highly liquid securities eligible as collateral at the central bank and other collateral eligible for discounting at the central bank.

Liquidity risks from an off-balance sheet conduit are fully incorporated. Model assumptions are regularly validated using backtesting and adjusted.

To be adequately prepared for various risk situations, the BayernLB Group also calculates and limits its liquidity on the basis of the management scenario and several stress scenarios (systemic and idiosyncratic stress scenarios, and a combination of both).

BayernLB regularly analyses the sensitivity of the liquidity risk profile to a series of extreme hypothetical stress scenarios. A check is also carried out to identify conditions that represent inverse scenarios which could jeopardise normal operations at the BayernLB Group.

Potential concentrations in the liquidity situation and refinancing structure are constantly analysed and monitored. There were no significant concentrations during the year under review.

At BayernLB level, a net cash flow figure for the next 180 days is calculated daily for the public Pfandbrief register and the mortgage register. In accordance with section 27 of the Pfandbrief Act (Pfandbriefgesetz), the results and other indicators with respect to the register of cover are reported quarterly to the Board of Management. The balance of cumulative cash flows and available liquidity indicated there was surplus liquidity throughout 2017.

Risk management

To safeguard solvency even in times of crisis, the BayernLB Group has a suitable portfolio of liquidity reserves comprising highly liquid securities, central bank facilities and economic capital in the registers of cover. The liquid funds that these can generate serve to cover unplanned cash outflows, even in a stress scenario.

The medium to long-term structure of the liquidity is managed over all maturities, while limits are placed only on terms of up to five years. To safeguard the solvency of the BayernLB Group and its ability to refinance, suitable tools are used to create a refinancing structure that is balanced in terms of maturities, instruments and currencies. The key management tool is the Group-wide refinancing planning, which is regularly adjusted in line with the current liquidity situation.

The liquidity transfer price system set up in BayernLB is another instrument to efficiently manage liquidity risks. This ensures that all relevant liquidity risks, costs and benefits are matched up internally to avoid misallocations in liquidity management.

The quality of assets in the register of cover for Pfandbriefs is set by law. This, combined with matching currencies and maturities, ensures that Pfandbriefs issued by BayernLB meet high standards on the market. BayernLB's Collateral Management makes sure that standards are maintained. This ensures that BayernLB has an ongoing ability to issue bonds in the Pfandbrief segment.

Operational liquidity management (observation period of up to one year) also ensures compliance with the supervisory requirements of the Regulation on the Liquidity of Institutions (Liquiditätsverordnung (LiqV)). In the year under review, BayernLB had a liquidity ratio of between 1.35 and 1.61 (FY 2016: between 1.41 and 2.10). The supervisory requirement that there always be sufficient available cash to cover callable payment obligations over the same period (ratio always in excess of 1.0) was therefore observed at all times.

The Bank also met the minimum regulatory Liquidity Coverage Ratio (LCR) at all times in the reporting year through its integrated management of operational liquidity. LCR at Group level amounted to 159 percent as at 31 December 2017. The LCR is calculated by comparing highly liquid assets with the net cash outflows for the following 30 days. In the reporting year there was a regulatory requirement that highly liquid assets cover at least 80 percent of the net cash outflow. In 2018, the minimum regulatory ratio will increase to 100 percent.

As a result of the Second Regulation on Amending LiqV issued by BaFin, LiqV no longer applies to institutions supervised by the ECB with effect from the start of 2018. It is therefore no longer monitored by BayernLB and has been fully replaced by the LCR.

The strategic subsidiary DKB has measures in place to ensure it complies with its specific Liquidity Coverage Ratio. The key requirements were complied with during the period under review.

Risk monitoring

Group Risk Control monitors liquidity risks independently of trading units and calculates and limits ratios derived from the daily scenario-based liquidity overview.

The risk appetite set by the BayernLB Group limits operational and structural liquidity surpluses separately by currency and across all currencies combined. The available liquidity thus calculated is a key parameter for the amount the managing units can use each day. To support the limiting of liquidity risks, BayernLB has established uniform escalation thresholds in the Group which are likewise monitored daily.

In addition to observing the maximum utilisation of available liquidity, ensuring that the time-to-wall figures in the defined stress scenarios are sufficient is key to complying with the liquidity risk limits. Time-to-wall shows the earliest point at which the forecast liquidity requirement ceases to be met by the liquidity counterbalancing capacity. The time-to-wall figures to be observed every day and the scenario-dependant minimum liquidity surplus limits to be observed at the BayernLB Group are set in the Group Risk Strategy.

In 2017 the limitation of liquidity risks once again ensured the BayernLB Group was solvent and able to fund itself at all times and made a valuable contribution to optimising the management of short-term and structural liquidity.

The BayernLB Group will continue to adapt the monitoring of liquidity risk as market circumstances and regulatory requirements change so as to optimise liquidity management. To this end, BayernLB has set up an early warning system for risks and regularly conducts backtesting and validation processes within the Group.

The liquidity overviews, minimum available unutilised limit and other relevant ratios are included in the risk reports submitted regularly to the Board of Management, the Liquidity Committee and the responsible managing units.

Current situation

The liquidity situation as at 31 December 2017 is shown based on both IFRS 7.39 maturity structures and an economic approach. In accordance with IFRS 7.39, the breakdown of financial liabilities by contractual maturity structure is shown below.

Contractual maturities of financial liabilities*

31 Dec 2017 EUR million	up to 1 month	up to 3 months	up to 1 year	up to 5 years
• Financial liabilities	71,371	82,157	95,012	128,932
• Liabilities from derivatives	28	-243	-624	-1,296
Total	71,399	81,915	94,388	127,636

31 Dec 2016 EUR million	up to 1 month	up to 3 months	up to 1 year	up to 5 years
• Financial liabilities	59,596	72,470	87,386	122,980
• Liabilities from derivatives	115	124	-47	-593
Total	59,712	72,594	87,339	122,388

* The contractual cash flows reported are not discounted and include interest payments. Thus they may differ from the carrying amounts on the balance sheet.

The BayernLB Group's open irrevocable commitments rose to EUR 25.5 billion (FY 2016: EUR 24.1 billion). The volume of contingent liabilities from guarantees and indemnity agreements remained almost unchanged at EUR 10.8 billion (FY 2016: EUR 10.7 billion). However, in contrast to the economic approach used below, call probabilities have not been factored into these volumes.

Liquidity overviews are compiled for the purpose of managing and monitoring liquidity risks. This involves calculating the liquidity surplus by subtracting the cumulative liquidity gaps from the realisable liquidity counterbalancing capacity in each maturity band. Expected economic cash flows from non-deterministic products are based partly on modelling assumptions.

The BayernLB Group management scenario produced the following results as at 31 December 2017 compared to 31 December 2016.

31 Dec 2017 Cumulative figures in EUR million	up to 1 month	up to 3 months	up to 1 year	up to 5 years
Liquidity surplus	28,502	24,412	17,534	17,478
arising from				
• liquidity counterbalancing capacity	38,804	38,220	30,600	11,505
less				
• liquidity gap	10,302	13,808	13,066	–5,973

31 Dec 2016 Cumulative figures in EUR million	up to 1 month	up to 3 months	up to 1 year	up to 5 years
Liquidity surplus	23,804	20,801	15,796	18,686
arising from				
• liquidity counterbalancing capacity	43,084	41,063	33,530	13,126
less				
• liquidity gap	19,280	20,261	17,733	–5,560

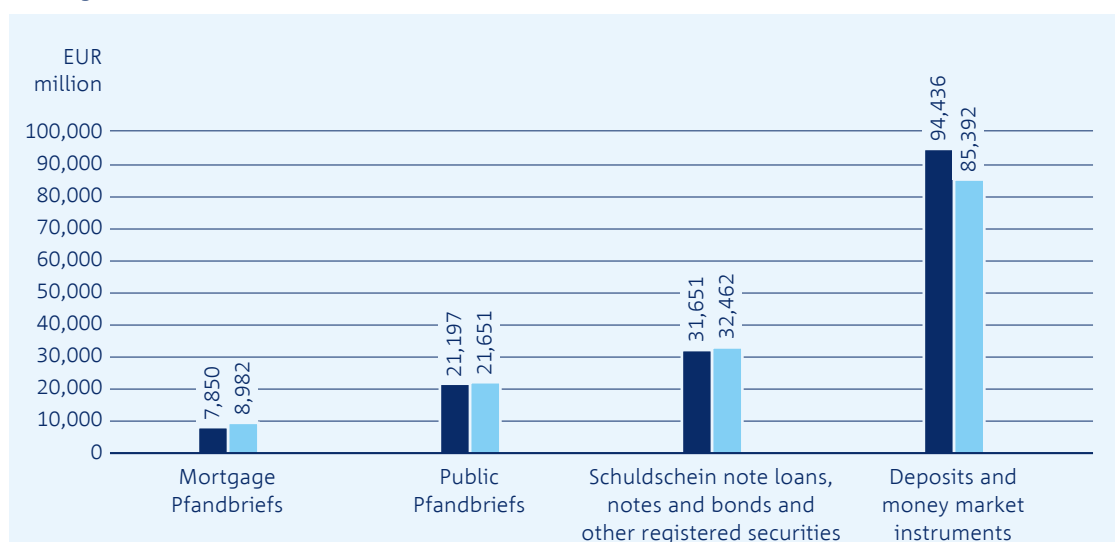
In order to more accurately capture the risk from revolving credit commitments, the modelling for these was refined in the second half of 2017 in line with IAS 8.32 – see note 2.

The changes in liquidity overviews between 31 December 2016 and 31 December 2017 continued to be marked by the focus on core business areas. The BayernLB Group was able to further increase the liquidity surplus by taking advantage of the excess liquidity on the market. In 2017 the Group subsidiary DKB bolstered its already strong position in the retail business through a sharp increase in customer deposits.

The liquidity surplus as at 31 December 2017 indicates that the BayernLB Group's liquidity is good.

The change in the refinancing structure of BayernLB for financial year 2017 compared to the previous year was as follows:

Funding structure



■ 31 Dec 2017

■ 31 Dec 2016

The entire year 2017 was marked by the excess liquidity created by the ECB's monetary policy and the associated pressure to invest, which was accentuated by the record low deposit rate at the ECB: minus 0.4 percent. The rise in uncertainty was reflected in the uptrend in volatility triggered by the prevailing political, geopolitical and monetary risks.

Supervisory requirements to monitor and manage liquidity and funding risk continued to be introduced into banks' treasury management in 2017:

- qualitative management metrics to measure short and medium-term minimum liquidity, such as the liquidity coverage ratio (LCR) and the net stable funding ratio (NSFR) and
- qualitative requirements for treasury under the ongoing supervisory review and evaluation process (SREP)

After years spent expanding and extending the funding mix, funding policy in 2017 sought to strike a balance between meeting minimum regulatory requirements and maximising the economic efficiency of liabilities.

In line with the sector trend, BayernLB also decided to link the interest rate on short-term deposits of institutional customers with the interest rate on the ECB's deposit facility.

The funding strategy also focused on maintaining and expanding the bail-in eligible liabilities in accordance with the new minimum TLAC and MREL requirements. BayernLB has benefited too from Moody's upgrading of long-term deposits to Aa3 (outlook stable) and short-term deposit rates to P-1 through the inflow of new short-term liquidity. Money market liabilities reflect the low level of holdings standard for the industry at year-end, e.g. in repos and time deposits, amongst other things.

Restrained capital market funding at BayernLB in 2017 helped reduce excess liquidity, but even so the low rates on the capital market were used opportunistically to raise strategic (reserve) financing. Unsecured funding was slightly ahead of plan at EUR 3.5 billion, but secured funding was cut to EUR 2.2 billion. This was around EUR 1.3 billion less than planned, not least because of the restrained performance on the asset side of the business and moves in interest rates and currencies which were favourable for margins. Cross-funding within the BayernLB Group was further reduced, as planned, but was on occasion a source of considerable inflows of liquidity.

BayernLB's funding spreads in 2017 were at the lower end of its peer group and reflect not just its good rating but also low demand. The savings bank sector was a key purchaser of unsecured bearer bonds. Huge demand for securities, including corporate issues, due to the ECB's purchasing programme saw supply tighten further across the whole market. No unit of the BayernLB Group drew any funds under the ECB's Targeted Long-Term Refinancing Operations II (TLTRO II).

This trend meant that maturing capital market issues did not have to be replaced in full, resulting in a slight decline in capital market financing outstanding. The rating upgrade and the early end to the state-aid proceedings led to a positive change in how BayernLB is perceived as a market participant, resulting in a marked increase in inflows of money market deposits, including from abroad.

At Group level, the picture at the subsidiaries and BayernLB was as follows: The high excess liquidity means only minimal capital market presence is required and has made it possible to optimise the liabilities side of the balance sheet, by amending terms amongst other things.

One of the objectives of deposits management at DKB is to cut back the high excess liquidity. So for example, deposit products were modified and volume-related custody fees introduced for all corporate clients. A presence on the capital market was successfully maintained by launching another green bond in the form of an unsecured bearer issue for EUR 500 million.

Higher tax receipts meant that the demand for credit from the public sector (one of BayernLabo's target groups) was limited.

BayernLB's sustainable business model and stable earnings with a strong awareness of risks (factors which had led to three ratings upgrades since 2014) allowed the Bank to bring the EU state-aid proceedings to an early close and repay EUR 1 billion to the Free State of Bavaria at the end of the first half of 2017.

2018 will see the legal basis laid for a new class in the seniority ranking of bank liabilities in Germany: senior unsecured bonds. Until that point, any unsecured issues will be subordinate to the new class in the event of liability. Moody's saw the structural subordination of unsecured bank bonds in the liability waterfall as a reason to assume less government support for this class of debt in future crises and placed senior unsecured bonds on the watchlist with a negative outlook (BayernLB has a senior unsecured rating of A1, outlook negative). This legal development at EU level results in existing unsecured bonds ceasing to be eligible at the ECB. This drawback compared to the new category of senior unsecured bonds is offset by the fact that they qualify for inclusion in regulatory ratios (e.g. they can be bailed in).

In the coming financial years liquidity management and monitoring at the BayernLB Group will continue to revolve around the funding options available. The focus will continue to be on ensuring liquidity reserves at the BayernLB Group are always adequate, even in stress situations. As well as actively managing liquidity reserves, the management of supervisory and economic liquidity risk will continue to be built around a broadly-diversified funding structure. This is supported by a reliable base of domestic investors and retail customer deposits at subsidiary DKB.

Summary

Thanks to its forward-looking liquidity management, the BayernLB Group had good liquidity throughout the period under review.

Reporting of products as defined in section 46f para. 6 and 7 KWG

Section 46f of the German Banking Act (KWG) was amended with effect from 1 January 2017. The amended regulation governs the seniority of payment under bankruptcy law for certain liabilities that are part of a bail-in and which are issued by institutions subject to the CRR.

The following tables show the debt instruments and structured financial products as defined in section 46f KWG:

Debt instruments as defined in section 46f para. 6 KWG that do not fall under section 46f para. 7 KWG

EUR million	31 Dec 2017	31 Dec 2016
Liabilities to banks	4,658	3,892
• of which Schuldschein note loans	3,387	2,699
• of which other registered securities	1,271	1,193
Liabilities to customers	7,057	7,778
• of which Schuldschein note loans	1,397	2,183
• of which other registered securities	5,660	5,595
Securitised liabilities	23,363	20,165
Liabilities held for trading	55	–
Total	35,134	31,836

Structured financial products as defined in section 46f para. 7 KWG

EUR million	31 Dec 2017	31 Dec 2016
Liabilities to banks	89	91
• of which Schuldschein note loans	89	91
Liabilities to customers	1,112	1,070
• of which Schuldschein note loans	144	207
• of which other registered securities	968	863
Securitised liabilities	1,830	2,073
Liabilities held for trading	501	458
Total	3,532	3,692

Operational risk

Definition

In line with the regulatory definition in CRR, the BayernLB Group defines operational risk (OpRisk) as the risk of loss resulting from inadequate or failed internal processes, people and systems, or from external events. This includes legal risks.

The main sub-risks below the level of operational risk identified in 2017 as part of the MaRisk risk inventory were legal risk, compliance risk, information security risk (including cyber risk), out-sourcing risk, model risk and process risk.

Risk Strategy

The treatment of operational risks is set out in the Risk Strategy and related sub-risk strategies and guidelines for non-financial risks. The strategic objective is to minimise or avoid risk in such a way that the costs do not exceed the risk of loss. This requires operational risks to be identified and assessed as completely as possible.

Moreover, as part of ensuring risk-bearing capacity, the risk appetite and limits are set for operational risks, and compliance with these is monitored on an ongoing basis.

Risk measurement

Operational risks for the calculation of risk-bearing capacity are quantified using the operational value at risk (OpVaR) calculation. The calculation is based on the losses incurred at BayernLB and DKB, the external losses collected via a data consortium, potential operational risks collected as part of the Operational Risk Self Assessment and the BayernLB and DKB scenario analyses (potential losses) drawn up for significant risks. The calculation is based on a loss distribution approach, using a confidence level of 99.95 percent. The key model assumptions and parameters used in the model are validated once a year. As at 31 December 2017 the risk capital requirement for the BayernLB Group was EUR 484 million (FY 2016: EUR 514 million).

The newly designed OpRisk Self Assessment (OSA) was completed in 2017, resulting in a considerable improvement in the quality of ex ante data. The results will be used as a database for future OpRisk management activities (e.g. managing measures, developing early warning indicators) and for quantifying operational risks.

The standard regulatory approach is used to calculate the regulatory capital backing for operational risks.

Risk management and monitoring

Operational risk is managed and monitored both centrally in the Group Risk Control division and decentrally in the responsible divisions (e.g. the Legal Services division for legal risks) for the individual risks.

The Group Risk Control division has the authority to establish guidelines for all methods, processes and systems to quantify operational risks. The relevant subsidiaries are included in the BayernLB Group's loss event reporting procedure.

Management of operational risk is complemented by an efficient system to monitor the execution of measures, which was further enhanced in 2017.

Operational risks at BayernLB Group are reported to the Board of Management every quarter as part of the regular reporting on risk and on an ad hoc basis if material losses occur. The operational risk loss situation and trends and the resulting capital charges form a major part of the regular reporting.

Operational risks are included in stress analyses and the monitoring of risk-bearing capacity across all types of risk, and integrated into the overall management of risk and the Risk Strategy.

Business continuity management

Business continuity management (BCM) is used at the BayernLB Group to manage risks to the continuation of business operations and deal with crisis situations. BCM establishes core procedures for continuing/restoring operations and has an integrated emergency/crisis management procedure for handling events that could have a sustained negative impact on activities and resources.

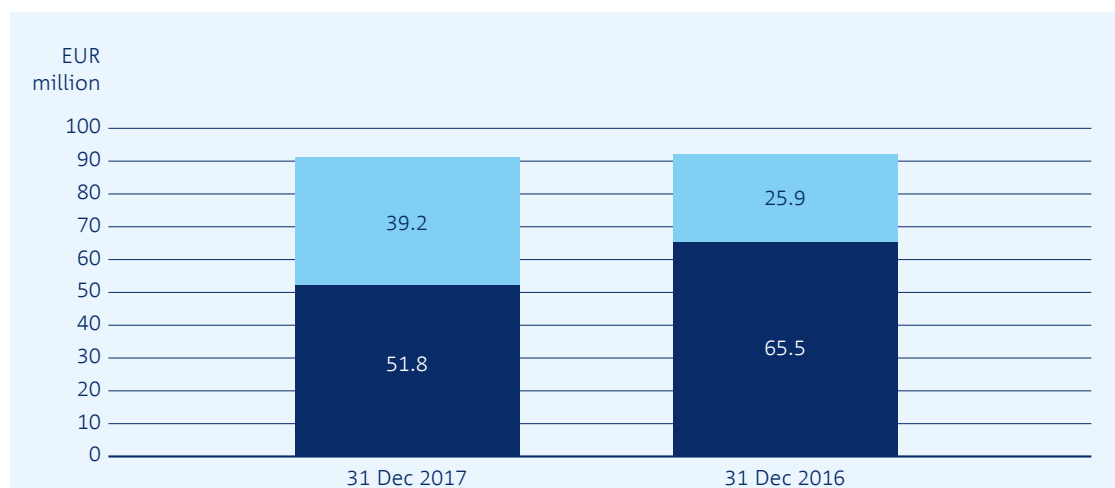
BCM is embedded in the Group Risk Strategy and the Data Security Guidelines.

The BCM requirements form part of the Group Risk Strategy and are given concrete form in the BCM Group Risk Strategy, which the Group companies set out in their BCM strategies, reflecting the supervisory requirements. The requirements include identifying time-critical activities and processes and specifying business continuity and restart procedures to protect these. They also cover regular testing of the efficiency and suitability of the measures defined. Care is taken to ensure that the interfaces between disruption management, emergency management and crisis management are clearly defined and that clear escalation and de-escalation processes are in place.

Current situation

The graph below shows the changes in operational risk losses recorded at the BayernLB Group in financial year 2017 compared to financial year 2016.

Losses by Group unit



31 Dec 2017 Total: EUR 91.0 million

31 Dec 2016 Total: EUR 91.4 million

■ BayernLB ■ DKB

The loss profile at BayernLB in 2017 was affected by provisions for legal change risk. A major factor in this was the ruling by the Federal Court of Justice that processing fees in corporate banking are invalid. The 2017 loss profile was positive in the context of BayernLB's continuing business activities.

In 2017 DKB's risk profile was mainly affected by its business model for retail customers, under which processes and transactions are performed online. The main sources of operational risks are: the availability of systems to permit trouble-free processing of all transactions, potential interference with the Bank's internet portal caused by external agents, the need to protect data from unauthorised access, account opening and credit fraud using falsified documentation and fraud through cashless means of payment. In addition, recent consumer protection rulings regarding the rights of retail and corporate customers have sharply increased operational risks, leading among other things to greater legal risks.

Summary

The amount of operational risk losses at the BayernLB Group in financial year 2017 was in line with expectations.

Summary and outlook

All in all, the BayernLB Group had a stable risk profile in financial year 2017.

The BayernLB Group had adequate risk-bearing capacity at all times during the financial year and as at 31 December 2017. The stress scenarios conducted also confirm that adequate capital is held. In addition, the BayernLB Group has a good supply of liquidity on hand. Risk provisions take appropriate account of known risks. Regulatory solvency requirements were met. Equity capital for the purpose of risk coverage amounted to EUR 10.0 billion (further details are reported in the Notes under Capital management).

The risk management and controlling system at the BayernLB Group has appropriate processes to ensure compliance with regulatory requirements while managing risks from an economic viewpoint.

Non-financial declaration

BayernLB's non-financial declaration and the BayernLB Group's non-financial declaration are combined in accordance with Section 315b para. 3 HGB in conjunction with Section 289b para. 2 sentence 2 HGB and are published in the 2017 annual report of the BayernLB Group.

The combined non-financial report for 2017 will be submitted to the operator of the Federal Gazette along with the consolidated financial statements and the Group management report of the BayernLB Group for financial year 2017 and published in the Federal Gazette.

BayernLB's annual financial statements and the BayernLB Group's annual report can also be viewed online at www.bayernlb.de.



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Statement of comprehensive income

Income statement

EUR million	Notes		1 Jan – 31 Dec 2017	1 Jan – 31 Dec 2016
• Interest income		6,335		6,494
• Interest expenses		–4,676		–5,019 ¹
Net interest income	(27)		1,659	1,475 ¹
Risk provisions in the credit business	(28)		–94	–87
Net interest income after risk provisions			1,565	1,388
• Commission income		683		688
• Commission expenses		–420		–392
Net commission income	(29)		263	296
Gains or losses on fair value measurement	(30)		205	142
Gains or losses on hedge accounting	(31)		–142	–80
Gains or losses on financial investments	(32)		23	274
Administrative expenses	(33)		–1,258	–1,280 ¹
Expenses for the bank levy and deposit guarantee scheme	(34)		–98	–88
Other income and expenses	(35)		91	51
Gains or losses on restructuring	(36)		2	4
Profit/loss before taxes			652	708
Income taxes	(37)		27	–158
Profit/loss after taxes			679	550
Profit/loss attributable to non-controlling interests			–2	–5
Consolidated profit/loss			677	545

Rounding differences may occur in the tables.

1 Adjusted as per IAS 8.22 (see note 2).

Statement of comprehensive income

EUR million	Notes	1 Jan – 31 Dec 2017	1 Jan – 31 Dec 2016
Profit/loss after taxes as per the income statement		679	550
Components of other comprehensive income temporarily not recognised in profit or loss			
• Changes in the revaluation surplus	(60)	–27	–94
– <i>change in measurement</i>		–124	231
– <i>reclassification adjustment due to realised gains and losses</i>		90	–319
Change not including deferred taxes		–34	–87
Change in deferred taxes		7	–7
• Currency-related changes	(60)	2	–
– <i>change in measurement</i>		2	–
– <i>reclassification adjustment due to realised gains and losses</i>		–	–
Change not including deferred taxes		2	–
Change in deferred taxes		–	–
Components of other comprehensive income permanently not recognised in profit or loss			
• Changes due to remeasurement of defined benefit plans	(60)	141	–69
– <i>change in measurement</i>		80	–102
Change not including deferred taxes		80	–102
Change in deferred taxes		61	33
Other comprehensive income after taxes		116	–163
Total comprehensive income recognised and not recognised in profit or loss		795	387
• attributable:			
– to BayernLB shareholders		794	382
– to non-controlling interests		2	5
• Total comprehensive income attributable to BayernLB shareholders:			
– from continuing operations		794	382
– from discontinued operations		–	–

Rounding differences may occur in the tables.

Balance sheet

Assets

EUR million	Notes	31 Dec 2017	31 Dec 2016
Cash reserves	(7, 38)	3,556	2,096
Loans and advances to banks	(8, 39)	37,783	28,794
Loans and advances to customers	(8, 40)	134,686	134,760
Risk provisions	(9, 41)	–1,185	–1,305
Portfolio hedge adjustment assets	(10)	455	831
Assets held for trading	(11, 42)	11,981	16,936
Positive fair values from derivative financial instruments (hedge accounting)	(12, 43)	813	1,073
Financial investments	(13, 44)	23,363	26,708
Investment property	(14, 45)	31	32
Property, plant and equipment	(14, 46)	340	347
Intangible assets	(15, 47)	86	86
Current tax assets	(25, 48)	10	44
Deferred tax assets	(25, 48)	544	358
Non-current assets or disposal groups classified as held for sale	(16, 49)	–	25
Other assets	(17, 50)	2,060	1,365
Total assets		214,521	212,150

Rounding differences may occur in the tables.

Liabilities

EUR million	Notes	31 Dec 2017	31 Dec 2016
Liabilities to banks	(18, 51)	54,442	54,211
Liabilities to customers	(18, 52)	91,945	86,795
Securitised liabilities	(18, 53)	41,847	39,618
Liabilities held for trading	(19, 54)	7,681	10,974
Negative fair values from derivative financial instruments (hedge accounting)	(20, 55)	841	1,124
Provisions	(21, 56)	4,233	4,443 ¹
Current tax liabilities	(25, 57)	252	198
Deferred tax liabilities	(25, 57)	–	–
Other liabilities	(22, 58)	562	671
Subordinated capital	(23, 59)	1,903	3,081
Equity	(60)	10,816	11,035 ¹
• Equity excluding non-controlling interests		10,803	11,019
– subscribed capital		3,412	4,412
– compound instruments (equity component)	(23)	45	69
– capital surplus		2,182	2,182
– retained earnings		4,825	4,043 ¹
– revaluation surplus		288	315
– foreign currency translation reserve		2	–1
– net retained profits/net accumulated losses		50	–
• Non-controlling interests		13	15
Total liabilities		214,521	212,150

Rounding differences may occur in the tables.

¹ Adjusted as per IAS 8.42 (see note 2).

Statement of changes in equity

	Parent								Non-controlling interests	
EUR million	Subscribed capital	Compound instruments (equity component)	Capital surplus	Retained earnings	Revaluation surplus	Currency translation reserve	Consolidated profit/loss	Equity before non-controlling interests		Consolidated equity
As at 31 Dec 2015	4,714	92	2,182	3,660	409	–	–	11,055	14	11,070
Adjusted as per IAS 8				–21				–21		–21
As at 1 Jan 2016	4,714	92	2,182	3,638	409	–	–	11,034	14	11,048
Changes in the revaluation surplus					–94			–94		–94
Currency-related changes								–		–
Changes due to remeasurement of defined benefit plans				–69				–69		–69
Other comprehensive income				–69	–94			–163		–163
Consolidated profit/loss							545	545	5	550
Total comprehensive income				–69	–94		545	382	5	387
Transactions with owners								–		–
Capital increase/capital decrease	–281	–6						–287		–287
Changes in the scope of consolidation and Other	–21	–17		66				28		28
Allocations to/withdrawals from reserves				407			–407	–		–
Withdrawals from compound instruments (equity component)								–		–
Distributions on silent partner contributions, profit participation rights and specific-purpose capital							–138	–138		–138
Distribution of profits								–	–4	–4
As at 31 Dec 2016	4,412	69	2,182	4,043	315	–1	–	11,019	15	11,035

Rounding differences may occur in the tables.
Adjusted as per IAS 8.42 (see note 2).

	Parent								Non-controlling interests	
EUR million	Subscribed capital	Compound instruments (equity component)	Capital surplus	Retained earnings	Revaluation surplus	Currency translation reserve	Consolidated profit/loss	Equity before non-controlling interests		Consolidated equity
As at 31 Dec 2016	4,412	69	2,182	4,043	315	-1	-	11,019	15	11,035
Adjusted as per IAS 8								-		-
As at 1 Jan 2017	4,412	69	2,182	4,043	315	-1	-	11,019	15	11,035
Changes in the revaluation surplus					-27			-27		-27
Currency-related changes						2		2		2
Changes due to remeasurement of defined benefit plans				141				141		141
Other comprehensive income				141	-27	2		116		116
Consolidated profit/loss							677	677	2	679
Total comprehensive income				141	-27	2	677	794	2	795
Transactions with owners								-		-
Capital increase/capital decrease	-1,000	-1						-1,001		-1,001
Changes in the scope of consolidation and Other		-23		58				35		35
Allocations to/withdrawals from reserves				583			-583	-		-
Withdrawals from compound instruments (equity component)								-		-
Distributions on silent partner contributions, profit participation rights and specific-purpose capital							-45	-45		-45
Distribution of profits								-	-4	-4
As at 31 Dec 2017	3,412	45	2,182	4,825	288	2	50	10,803	13	10,816

Rounding differences may occur in the tables.
Details on equity can be found in note 60.

Cash flow statement

EUR million	1 Jan – 31 Dec 2017	1 Jan – 31 Dec 2016 ¹
Profit/loss after taxes	679	550
Items in consolidated profit/loss not affecting the cash flow and carryforwards to cash flow from operating activities		
• Depreciation, impairment losses and reversals of impairment losses on receivables and fixed assets	229	183
• Changes to provisions	114	393
• Changes to other items not affecting cash flow	–314	–769
• Gains or losses on the sale of assets	–	–179
• Other adjustments (net)	–1,490	–1,314
Sub-total	–781	–1,137
Changes to assets and liabilities from operating activities		
• Loans and advances		
– to banks	–9,047	630
– to customers	–105	–80
• Securities (unless financial investments) and derivatives	4,510	1,548
• Other assets from operating activities	–695	–419
• Liabilities		
– to banks	325	–6,238
– to customers	5,466	666
• Securitised liabilities	2,611	4,759
• Other liabilities from operating activities	–398	–113
• Cash flows from hedging derivatives	160	633
Interest and dividends received	11,000	11,452
Interest paid	–9,509	–10,116
Income tax payments	–1	–22
Cash flow from operating activities	3,535	1,564

Rounding differences may occur in the tables.

Details on the cash flow statement can be found in note 70.

1 Adjusted as per IAS 8.42 (see note 2).

EUR million	1 Jan – 31 Dec 2017	1 Jan – 31 Dec 2016 ¹
Proceeds from the sale of		
• financial investments	30	231
• intangible assets	1	1
Payments for the acquisition of		
• financial investments	–3	–4
• property, plant and equipment	–9	–13
• intangible assets	–21	–17
Cash flow from investment activities	–2	196
Disbursements to company owners and minority shareholders	–997	–291
Changes in cash from subordinated capital (net)	–951	–1,605
Cash flow from financing activities	–1,948	–1,896
Cash and cash equivalents at end of previous period	2,096	2,246
+/- cash flow from operating activities	3,535	1,564
+/- cash flow from investment activities	–2	196
+/- cash flow from financing activities	–1,948	–1,896
+/- exchange-rate, scope of consolidation and measurement-related changes in cash and cash equivalents	–126	–14
Cash and cash equivalents at end of period	3,556	2,096

Rounding differences may occur in the tables.

Details on the cash flow statement can be found in note 70.

1 Adjusted as per IAS 8.42 (see note 2).

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Notes to the consolidated financial statements

The consolidated financial statements for Bayerische Landesbank, an institution established under public law, Munich, Germany (BayernLB), entered in the Commercial Register at Munich District Court (HRA 76030), for financial year 2017 were prepared in accordance with International Financial Reporting Standards (IFRS) pursuant to Commission Regulation 1606/2002 of the European Parliament and Council of 19 July 2002 (including all addenda), as well as supplementary provisions applicable under section 315e para. 1 of the German Commercial Code (HGB). In addition to the IFRS standards, IFRSs also comprise the International Accounting Standards (IAS) and the interpretations of the IFRS Interpretations Committee (IFRIC) and the Standing Interpretations Committee (SIC). All standards and interpretations that are mandatory within the EU for financial year 2017 have been applied.

The consolidated financial statements contain the statement of comprehensive income including the income statement, the balance sheet, the statement of changes in equity, the cash flow statement, and the notes including the segment report. The presentation currency is the euro.

Unless otherwise stated, all amounts are given in EUR million and rounded up or down to the nearest whole figure. Rounding differences may occur in the tables. Plus or minus symbols are not inserted in front of figures except where they are needed for clarity.

The Group management report, which also contains the information required under IFRS 7.31 to IFRS 7.42, has been published in a separate section of the Annual Report.

Accounting policies

(1) Principles

Pursuant to IFRS 10.19, the BayernLB Group's accounts are prepared in accordance with Group-wide accounting and valuation policies. Items are recognised and measured on a going concern basis.

Income and expenses are treated on an accruals basis and recognised in the period to which they are economically attributable.

Estimates and assessments required for recognition and measurement pursuant to IFRS are made in accordance with the respective standards. They are regularly checked and are based on past experience and other factors such as expectations of future events. No assurance as to the reliability of estimates can be given, particularly when calculating the value of risk provisions, provisions, deferred taxes, and the fair value of financial instruments.

An asset is recognised when it is probable that the economic benefits will flow to the BayernLB Group in the future and its cost can be measured reliably.

A liability is recognised when it is probable that an outflow of resources embodying economic benefits will result from its settlement and the settlement amount can be measured reliably.

Impact of amended and new International Financial Reporting Standards

In the reporting year the following amended standards were to be applied for the first time:

- **IAS 7**

As a result of the changes to IAS 7 “Cash Flow Statements”, improved information is provided on cash and non-cash cash flows from an entity’s financing activities. The expanded disclosures under the revised Standard are made in note 70.

- **IAS 12**

The amendments to IAS 12 “Income Taxes” mainly provide clarifications on how to account for deferred tax assets related to non-realised losses on debt instruments measured at fair value. There was no impact on BayernLB’s consolidated financial statements as at 31 December 2017.

- **Improvements to IFRS – 2014–2016 cycle**

Among the annual improvements to IFRS, minor amendments were made to IFRS 12 “Disclosure of Interests in Other Entities”. The changes had no impact on the consolidated financial statements of BayernLB as at 31 December 2017.

Voluntary, early (partial) application of the following amended or newly issued standards incorporated into European law by the European Commission, whose application becomes mandatory in financial year 2018 and 2019, was waived in the reporting year as permitted.

- **IFRS 2**

In June 2016 the International Accounting Standards Board (IASB) published amendments to IFRS 2 “Share-based Payment”, which provide clarifications on the classification and measurement of share-based payments. The amendments were incorporated into European law in February 2018 and take effect in financial years beginning on or after 1 January 2018. No impact on BayernLB’s consolidated financial statements is expected as a result.

- **IFRS 4**

In September 2016, the IASB published amendments to IFRS 4 “Insurance Contracts”, which were incorporated into European law in November 2017. It offers entities concluding agreements within the scope of IFRS 4 two options which they are free to apply (provided certain conditions are met) to deal with the challenges from the lack of synchronicity between the first-time application of IFRS 9 “Financial Instruments” and the new Standard for accounting for insurance contracts (see comments on IFRS 17 in the section “Impact of amended and new International Financial Reporting Standards”). The amendments take effect in financial years beginning on or after 1 January 2018. No impact on BayernLB’s consolidated financial statements is expected from these amendments.

- **IFRS 9**

In July 2014, the IASB concluded its project to replace the current Standard IAS 39 “Financial Instruments: Recognition and Measurement” by publishing the final version of IFRS 9 “Financial Instruments”. The new Standard was incorporated into European law in November 2016 and takes effect in financial years beginning on or after 1 January 2018. There are exemption rules on the entry into force for entities concluding agreements within the scope of IFRS 4. These exemption rules are not applicable in the BayernLB Group.

IFRS 9 contains new requirements on the classification and measurement of financial instruments, new rules on the recognition of impairments of financial assets and the treatment of hedge accounting.

Under IFRS 9, the classification and measurement of financial instruments is dependent on the business model in which the financial asset is held (business model criterion) and on the contractual cash flow characteristics of the respective financial instruments (cash flow criterion). The business model is determined on the basis of the objective set by management of how groups of financial assets are managed together. The analysis of the cash flow criterion must examine whether the respective financial instrument has only the cash flow characteristics of a basic lending arrangement. Upon initial recognition, financial assets are classified as financial assets at fair value through profit or loss, financial assets measured at amortised cost or financial assets measured at fair value through other comprehensive income. The financial asset's classification is used as a benchmark for its subsequent measurement. The analyses of contractual cash flows found that the majority of agreements in both the credit business and securities business in the BayernLB Group have the cash flows of a typical lending arrangement.

Classification and measurement of financial liabilities is largely unchanged compared with the rules under IAS 39. However, in the future the changes in value resulting from own default risk from financial liabilities designated at fair value through profit or loss will no longer be carried through the income statement, but booked to other comprehensive income, provided this does not lead to or aggravate a reporting or measurement inconsistency. In this case, all changes in value, including those resulting from own default risk, would have to be shown through profit or loss. There are no such reporting or measurement inconsistencies in the BayernLB Group at present.

IFRS 9 also provides for a new impairment model based on expected credit defaults. Besides financial assets not carried at fair value through profit or loss, the scope of the new impairment model includes certain credit commitments and financial guarantees. Under the impairment rules, entities must apply the general approach, simplified approach or approach for purchased or originated impaired financial assets. Under the general approach, an entity must disclose a writedown on each reporting date either in the amount of the credit defaults expected to occur in the next 12 months or in the amount of the credit defaults expected over the total life. This will depend on whether there has been a significant rise in default risk since initial recognition. The simplified approach can be applied to trade receivables, contract assets or lease receivables. In these cases, the loss allowance must be made on the basis of the credit defaults expected over the total life immediately from origination onwards. The cumulative changes in the credit defaults expected over the total life must be recognised in the case of purchased or originated impaired financial assets. The BayernLB Group believes its earnings will be more volatile in future as a result of the expanded recognition of expected credit defaults over the total life.

IFRS 9 also contains new rules on hedge accounting. The intention here in particular is to achieve closer interlocking between the accounting and risk management activities of an entity. However, the provisions on dynamic macro hedge accounting were omitted from the IFRS 9 rules. For this reason IFRS 9 contains options to continue applying IAS 39 rules for the recognition of all hedging relationships and exclusively for the recognition of portfolio fair value strategies.

The BayernLB Group will use the option to continue reporting all hedges under IAS 39 rules. Independently of this, however, it will make the expanded disclosures on hedge accounting in accordance with IFRS 7.

The new IFRS 9 requirements were analysed and implemented in a Group-wide project. Overall responsibility for the project lay with BayernLB's CFO/COO and CRO. A steering committee was set up to act as the highest decision-making body and escalation authority for important issues arising in the project. This took decisions of far-reaching strategic importance and was chaired by the Board of Management members with responsibilities in this area. The steering committee comprised the heads of Finance, Group Risk Control, Group IT and Controlling and one representative from Deutsche Kreditbank Aktiengesellschaft, Berlin, all of whom had voting rights, along with additional representatives from the business areas and central areas.

After the functional planning phase was completed and the test phase implementing the requirements and the changed processes was successfully concluded, the project findings were passed on (in virtually all cases in 2017) to the relevant line units.

As a result of the first-time application of the new requirements of IFRS 9 on 1 January 2018, the BayernLB Group is expecting an effect (excluding deferred taxes) on equity of between EUR –170 and –190 million, which is currently being verified based on quality assurance measures. This is largely due to the expanded presentation of impairments resulting from the new provisions on impairments. BayernLB's consolidated financial statements are also impacted in particular by the changes in the classification of financial assets from the application of IFRS 9, the differences in the methodology used to measure financial instruments compared with the previous system under IAS 39 and the expanded disclosure requirements under IFRS 7.

- **IFRS 15**

In May 2014, the IASB issued the new Standard IFRS 15 "Revenue from Contracts with Customers", which was incorporated into European law in October 2016. IFRS 15 will supersede IAS 11 "Construction Contracts" and IAS 18 "Revenue", the interpretations IFRIC 13 "Customer Loyalty Programmes", IFRIC 15 "Agreements for the Construction of Real Estate", IFRIC 18 "Transfers of Assets from Customers" and SIC-31 "Revenue-Barter Transactions Involving Advertising Services". With the changes to IFRS 15 published by the IASB in September 2015, mandatory first-time application of the Standard was deferred to financial years beginning on or after 1 January 2018.

The new Standard does not distinguish between different types of orders or performance, but sets uniform criteria as to when revenue must be realised for performance. Under IFRS 15, revenue is recognised if the customer has control over the goods or services. Revenue is recognised in the amount of the consideration expected for the performance obligations assumed. Collection of revenue from financial instruments does not fall within the scope of IFRS 15, but is governed in IAS 39/IFRS 9. A five-level model must be used to assess the amount of revenue that must be realised, as well as when and over what period. Disclosure requirements have also been significantly expanded under IFRS 15.

In April 2016, the IASB issued further amendments to IFRS 15 containing clarifications on the identification of performance obligations, classifications as principal or agent, recognition of revenues from licences, and reliefs with respect to the first-time application of IFRS 15. The amendments were incorporated into European law in November 2017 and also take effect in financial years beginning on or after 1 January 2018.

The impact on BayernLB's consolidated financial statements from the implementation of the new Standard was evaluated Group-wide. This involved identifying the relevant business areas at BayernLB and its subsidiaries and examining the various customer agreements by means of an impact analysis. Based on the analyses conducted, no significant impact is expected on BayernLB's consolidated financial statements.

- **IFRS 16**

In January 2016, the IASB published the new Standard IFRS 16 "Leases", which was incorporated into European law in November 2017. This replaces Standard IAS 17 "Leases" and the interpretations IFRIC 4 "Determining Whether an Arrangement Contains a Lease", SIC-15 "Operating Leases – Incentives" and SIC-27 "Evaluating the Substance of Transactions in the Legal Form of a Lease". IFRS 16 contains in particular new rules dealing with the definition of leases, the presentation on the balance sheet of leases at the lessee, sub-leasing arrangements and sale and leaseback transactions. It also significantly expands the disclosure requirements for lessees and lessors. IFRS 16 takes effect in financial years beginning on or after 1 January 2019. The Standard is not being applied early in the BayernLB Group.

The new IFRS 16 requirements are being analysed in a Group-wide project. Based on initial forecasts, this identified a minor impact on total assets (recognition of a leasing liability and right of use) for the BayernLB Group as a lessor, particularly as the Group intends to utilise the reliefs available under the rules for capitalising short-term leases and leases where the value of the underlying asset is low. Given the period of time until first-time application, the current uncertainties that still exist and the broad scope for interpretation, its impact cannot, however, be reliably estimated at present. No significant changes are expected regarding the recognition on the balance sheet of agreements made as a lessor.

- **IAS 40**

In December 2016, the IASB issued amendments to IAS 40 "Investment Property", which clarifies in particular that transfers to or from investment property may be made only if there is evidence of a change in use. The amendments were incorporated into European law in March 2018 and take effect in financial years beginning on or after 1 January 2018. BayernLB does not expect any impact on its consolidated financial statements as a result of these amendments.

- **Improvements to IFRS – 2014–2016 cycle**

In December 2016, in its Annual Improvement Cycle the IASB also published several smaller amendments to standards IFRS 1 "First-time Adoption of International Financial Reporting Standards" and IAS 28 "Investments in Associates and Joint Ventures", which were incorporated into European law in February 2018. The amendments take effect in financial years beginning on or after 1 January 2018. No impact on BayernLB's consolidated financial statements is expected from these amendments.

The IASB has also issued the following amended and new standards and interpretations which have not yet been incorporated into European law:

- **IFRS 9**

In October 2017 the IASB issued amendments to IFRS 9 “Financial Instruments”. This permits in particular measurement at amortised cost or at fair value through equity of financial assets with early repayment options, where the terminating party receives reasonable consideration for the early termination of the contract. The amendments take effect in financial years beginning on or after 1 January 2019. No impact on BayernLB’s consolidated financial statements is expected as a result.

- **IAS 10 and IAS 28**

In September 2014, the IASB published changes to IFRS 10 “Consolidated Financial Statements” and IAS 28 “Investments in Associates and Joint Ventures”, providing clarification in respect of the recognition of gains and losses from the sale or contribution of an investor’s assets to an associate or joint venture. If a transaction involves a business as defined in IFRS 3, the gains or losses must be recognised in full in the investor’s financial statements. If, however, the transaction involves assets that do not constitute a business, a partial gain or loss must be recognised. The amendments to IFRS 10 and IAS 28, published by the IASB in December 2015, have deferred first-time mandatory application to a date still to be determined by the IASB. BayernLB does not expect any impact on its consolidated financial statements as a result of these amendments.

- **IFRS 17**

In May 2017, the IASB published the new Standard IFRS 17, which contains new rules on the recognition of insurance contracts. IFRS 17 replaces Standard IFRS 4 “Insurance Contracts”. The Standard takes effect in financial years beginning on or after 1 January 2021. The impact on BayernLB’s consolidated financial statements when the new Standard is implemented is currently being evaluated.

- **IAS 19**

In February 2018 the IASB published amendments to IAS 19 “Employee Benefits”. These include a stipulation that if a pension plan amendment, curtailment or settlement occurs, the current service cost and the net interest must be remeasured using the actuarial assumptions applicable at the time of the plan event. The amendments take effect in financial years beginning on or after 1 January 2019. No impact on BayernLB’s consolidated financial statements is expected as a result.

- **IAS 28**

In October 2017 the IASB issued amendments to IAS 28 “Investments in Associates and Joint Ventures”. They clarify in particular that IFRS 9 must be applied to long-term interests that in substance form part of the net investment in an entity that must be recognised in accordance with the equity method but are not themselves determined in accordance with that method. The amendments take effect in financial years beginning on or after 1 January 2019. No impact on BayernLB’s consolidated financial statements is expected from these amendments.

- **IFRIC 22**

In December 2016, the IASB published the new Interpretation IFRIC 22, which deals with the translation of foreign currency transactions where advance consideration is paid or received. IFRIC 22 clarifies what exchange rate must be applied when initially recognising a foreign currency transaction in the functional currency if an entity pays or receives advance consideration on the assets, expenses or income underlying the transaction. The Interpretation takes effect in financial years beginning on or after 1 January 2018. No impact on BayernLB's consolidated financial statements is expected as a result.

- **IFRIC 23**

In June 2017, the IASB published the new Interpretation IFRIC 23, which expands on the rules in IAS 12 for determining the accounting position where there is uncertainty about income tax treatments. The rules in IFRIC 23 on the recognition and measurement of uncertain tax positions deal with all tax matters where there is uncertainty as to whether the treatment will be accepted by the tax authority. The Interpretation takes effect in financial years beginning on or after 1 January 2019. The application of IFRIC 23 would have impacted on the contingent assets from income taxes currently reported in BayernLB's consolidated financial statements.

- **Improvements to IFRS – 2015–2017 cycle**

In December 2017, in its Annual Improvement Cycle the IASB published several smaller amendments to standards IFRS 3 "Business Combinations", IFRS 11 "Joint Arrangements", IAS 12 "Income Taxes" and IAS 23 "Borrowing Costs". The amendments take effect in financial years beginning on or after 1 January 2019. No impact on BayernLB's consolidated financial statements is expected from these amendments.

(2) Changes on the previous year

In the reporting period the BayernLB Group made changes to estimates of measurement parameters for calculating liabilities under IAS 19. The changes in measurement produced an negative effect of EUR 18 million, reducing retained earnings by EUR 18 million. Of this amount, the revision of the discount rate for pension obligations accounted for EUR –2 million, the increase in estimated future medical costs for pension obligations for EUR –35 million, estimated future pension costs for EUR –4 million and the career trend for pension payments for EUR 23 million. As a result of the adjustments, pension obligations rose by EUR 18 million. The changes in estimates will also have an impact on future periods which currently cannot be reliably estimated.

In the reporting period, based on new findings, the Bank also revised certain assumptions which it made to model the useful life of intangible assets in the past. These revised assumptions relate to the allocation of amortisation periods to intangible assets. These changes in estimates are expected to lead to the following effects on the depreciation and impairments of property, plant and equipment and amortisation of intangible assets:

EUR million	2017	2018	2019	2020	2021	2022	2023 et seqq.
Administrative expenses – depreciation and impairments of property, plant and equipment and amortisation of intangible assets	–4.6	–2.7	1.6	2.1	1.6	0.9	0.8

In a change from the previous year, a tax planning horizon of five years (FY 2016: three years) was used as a basis for determining the value of deferred tax assets in the tax planning calculations.

In the management report (risk report), refinements were made to the estimates of liquidity risk under IFRS 7.39 in the reporting year. Within liquidity risk, the modelling of revolving credit commitments was refined to improve risk management. In the management scenario, depending on the maturity band, this produced the following effects impacting the liquidity potential, liquidity gap and liquidity surplus:

Cumulative figures in EUR million	up to 1 month	up to 3 months	up to 1 year	up to 5 years
Revolving credit commitments				
Liquidity surplus	1,252	1,247	1,106	244
• arising from liquidity cover potential	–835	–790	–708	–17
• less liquidity gap	–2,087	–2,037	–1,815	–261

In addition, under the disclosure for VaR contributions for actual market risks, general interest rate VaR and consequently total VaR rose by EUR 7.8 million as a result of a changeover in the VaR risk procedure.

Adjustments were also made to the previous years due to the retrospective inclusion of valuation components for calculating pension obligations. These were noted in the statement of comprehensive income, the balance sheet, the cash flow statement and the notes.

Pursuant to IAS 12, unused tax losses for which no deferred tax asset was recognised in the balance sheet must be reported in the consolidated financial statements. If necessary, the expiry date must also be quoted, with the Bank making a distinction in a table between loss carryforwards that may be used indefinitely and those that expire after 10 years. In connection with this, it was incorrectly stated in 2016 that loss carryforwards for corporate income tax (EUR 2,142 million) and municipal trade tax (EUR 617 million) may be used indefinitely. In the reporting year, a corresponding adjustment was made to report them as loss carryforwards for which no deferred tax assets were recognised and which expire after 10 years.

In addition, the amount of EUR 18 million was not recognised in reporting year 2016 under other liabilities within material relationships with companies controlled by the Free State of Bavaria, or which it jointly controls or has significant influence over.

In the management report (risk report), the value of disclosed fair value collateral shown under financial assets that are past due but not impaired was understated in 2016. As a result of the change, the fair value collateral values within the maturity band indicating the length of the time past due changed as follows:

EUR million	≤ 30 days	> 30 days to 3 months	> 3 months to 1 year	> 1 year	Total
Fair value collateral	12.4	20.4	7.6	3.4	43.7
Fair value collateral after adjustment	283.5	138.1	57.2	5.6	484.4

As the total volume of collateral relates to loans and advances to customers, this figure was also adjusted from EUR 43.7 million to EUR 484.4 million.

(3) Scope of consolidation

Besides the parent company, the group of companies consolidated within BayernLB comprises 11 (FY 2016: 14) subsidiaries that are consolidated in accordance with IFRS 10.

As before, it does not include any companies measured at equity.

Deconsolidations

Due to the repayment of all securities held or issued by BayernLB Capital Trust I and BayernLB Capital LLC I, both in Wilmington, Delaware, USA, the companies were dissolved and deconsolidated. No significant deconsolidation gain or loss arose.

Banque LBLux S.A. in Liquidation, Luxembourg, was deconsolidated on materiality grounds. Assets of EUR 33 million and liabilities of EUR 9 million were derecognised as a consequence of the deconsolidation. A deconsolidation loss of EUR 1 million was recognised under gains or losses on financial investments. The income statement of the BayernLB Group includes earnings of EUR 10 million from Banque LBLux S.A. in Liquidation for the period January to December 2017.

Determining the scope of consolidation

BayernLB's scope of consolidation is determined by materiality criteria. 114 (FY 2016: 118) companies were neither consolidated nor measured at equity due to their negligible importance individually or collectively to the financial position and financial performance of the Group. The impact on the balance sheet of the contractual relationships between Group entities and these non-consolidated entities is recognised in the consolidated financial statements.

The list of shareholdings shows all the subsidiaries included in the consolidated financial statements (see note 79).

(4) Consolidation principles

BayernLB, the parent company, and the subsidiaries within the scope of consolidation are presented in the consolidated financial statements as an economic unit. The subsidiaries comprise all entities controlled by the BayernLB Group, regardless of their legal structure. These also include structured entities where voting or similar rights are not the dominant factor in deciding who controls the entity. This also includes entities whose relevant activities are predetermined by a narrowly defined purpose in the articles of association or in other contractual arrangements or where the decision-making power of the governing body is permanently limited. Structured entities are included in the scope of consolidation if they are subsidiaries and material for the financial position and financial performance of the BayernLB Group.

A subsidiary is controlled if the BayernLB Group is exposed to variable returns as a result of its involvement with this entity or has rights to them and the ability to influence these returns through its power over decisions affecting the entity. The BayernLB Group has control over an entity if it has rights that give it the current ability to direct the relevant activities of the entity. Relevant activities are those that, depending on the nature and the purpose of the entity, significantly affect its returns. Variable returns are all returns that have the potential to vary as a result of the entity's performance. Returns from involvement with an entity may therefore be positive or negative. Variable returns include dividends, fixed and variable interest, remuneration and fees, changes in the value of the investment and other economic benefits.

When assessing whether control exists, all facts and circumstances must be considered. These include voting rights and other contractual rights to direct relevant activities if no economic or other obstacles to the exercise of existing rights exist. Control is exercised on the basis of voting rights if the BayernLB Group holds more than 50 percent of the voting rights based on equity instruments or contractual arrangements and its share of these voting rights gives it substantive power over the relevant activities. Other contractual rights that may give it controlling influence are primarily rights of appointment to or removal from corporate bodies, and rights of liquidation and other decision-making rights. Contractual arrangements designed to protect only the interests of the BayernLB Group as creditor or minority shareholder (protective rights) do not constitute control.

The BayernLB Group therefore also controls a subsidiary if control is exercised by a third party in the interest of and for the benefit of the BayernLB Group (principal-agent relationship). In such cases, if another party with decision-making rights acts as an agent for the BayernLB Group, it does not control the subsidiary as it is only exercising decision-making rights delegated by the BayernLB Group (the principal). To determine whether such delegated decision-making powers exist, an assessment is carried out based on the scope of its decision-making authority, the rights of other parties, the remuneration and the agent's exposure to risk.

In some cases, due to ongoing insolvency proceedings, the BayernLB Group holds more than 50 percent of the voting rights, but without the corresponding controlling influence. Conversely, in certain other cases, the BayernLB Group has contractual rights giving it controlling influence, but holds less than 50 percent of the voting rights.

Subsidiaries are included in the consolidated financial statements of the BayernLB Group through full consolidation. A subsidiary is consolidated from the date on which the BayernLB Group gains control over it.

When consolidating an acquisition, the cost of acquiring the subsidiary is eliminated against the Group's share of the completely remeasured equity on the date of acquisition. This equity is the balance of the assets and liabilities of the acquired company measured at their fair value at initial consolidation, adjusted for deferred taxes. If any differences between the higher cost of acquisition and the Group's share of the remeasured equity remain on the assets side, they are recognised in the consolidated balance sheet as goodwill under intangible assets.

Interests in subsidiaries not owned by the parent company are disclosed under the equity item as non-controlling interests.

If further equity interests are acquired in a company that is already fully consolidated, the transaction is not classified as a corporate acquisition as defined in IFRS 3 as control already existed. The acquisition of an interest is reported instead as a transaction with the minority shareholders. The positive or negative differences remaining after eliminating the additional interests acquired against equity are therefore offset against retained earnings and not recognised through profit or loss.

If first-time consolidation takes place at a later date on materiality grounds, it is not classified as a business combination as defined in IFRS 3 as control already existed. The positive or negative differences remaining after eliminating against equity are therefore offset against retained earnings and not recognised through profit or loss.

Joint arrangements are based on contractual arrangements which give two or more partners joint control. Joint control exists if the partners must cooperate to direct the relevant activities of the joint arrangement and decisions require the unanimous consent of the partners sharing control. A joint venture is a joint arrangement whereby the partners that have joint control have rights to the net assets of the arrangement. If, however, the partners have rights to the assets, and obligations for the liabilities relating to the joint arrangement, then the arrangement is a joint operation. A joint venture in principle exists if a joint arrangement is embodied in the form of a legally independent person or a corporation with its own assets, so that the BayernLB Group, based on its share of interests in the entity, only has a proportional claim to the net assets of the entity. If a joint arrangement is conducted in the form of a civil law partnership (e.g. a consortium) whose legal form does not confer separation of the vehicle's assets and liabilities from the partners, an assessment must be carried out to determine whether it is a joint venture or a joint operation based on the contractual arrangements and the purpose of the joint arrangement. If neither the legal form nor the contractual provisions or other facts and circumstances give any indication as to whether the BayernLB Group has direct rights to the assets or obligations for the liabilities of the joint arrangement, it is deemed to be a joint venture.

Associates are entities over which the BayernLB Group exercises significant but not controlling influence either directly or indirectly through subsidiaries. Significant influence is the power to participate in the financial and operating policy decisions of another entity without exercising control. Significant influence exists if the BayernLB Group holds, as an investor, 20 percent or more of the voting rights either directly or indirectly through subsidiaries. An entity can also be an associate if the BayernLB Group holds less than 20 percent of the voting rights, but, on the basis of other factors, it has the power to participate in the financial and operating policy decisions of the entity. This particularly applies to cases where the BayernLB Group is represented on the entity's governing body and has contractual rights to manage or realise assets, including making investment decisions.

In certain cases, the BayernLB Group holds at least 20 percent of the voting rights in the entity, but cannot exercise significant influence due to contractual or legal restrictions.

Subsidiaries cease to be consolidated on the date the BayernLB Group loses control over the subsidiary.

The financial statements of the entities included in the consolidated financial statements are prepared as at the parent company's reporting date.

When consolidating debt and earnings and eliminating intragroup earnings from subsidiaries, all receivables and liabilities, income and expenses and intragroup earnings from transactions within the Group are eliminated, provided their importance is not negligible.

Interests in subsidiaries, joint ventures and associates not consolidated or measured at equity due to their negligible importance and other ownership interests are reported in the balance sheet under financial investments and measured at fair value.

(5) Currency translation

On initial recognition, assets and liabilities denominated in a foreign currency are translated into the functional currency at the spot rate applicable on the date of the business transaction. When translating currency in subsequent periods, a distinction is made between monetary and non-monetary items. Monetary assets and liabilities denominated in a foreign currency are translated at the exchange rate at the end of the reporting period. Non-monetary items measured at historical cost are translated using the exchange rate on the date of the transaction. Non-monetary items measured at fair value are translated at the exchange rate on the date the fair value was calculated. Income and expenses in a foreign currency are translated into the functional currency at an average exchange rate. Gains or losses on currency translation are recognised in gains or losses on fair value measurement. Currency translation differences from equity instruments in the available-for-sale category are reported in the revaluation surplus and not recognised through profit or loss.

If their functional currency is not the euro, the balance sheet items of the subsidiaries and foreign branches included in the consolidated financial statements are translated into euros at the exchange rate of the respective currency as at the reporting date and the expenses and income translated into euros at an average exchange rate. Currency exchange rate differences arising from this translation are reported in the currency translation reserve within equity.

(6) Financial instruments

Recognition and measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. Financial instruments are recognised in the balance sheet from the date on which the entity drawing up the balance sheet becomes a contractual party and entitled to receive or obliged to make the agreed payments. Purchases or sales of financial assets (regular-way contracts) are normally recognised on the date of the trade. Derivatives (as defined in IAS 39) are always recognised on the date of the trade.

All financial instruments, including derivative financial instruments as defined under IAS 39, must be recognised in the balance sheet and assigned to measurement categories. Financial instruments are initially recognised at fair value, which, as a rule, is the cost of acquisition.

Financial instruments are subsequently measured in accordance with the measurement category to which they have been assigned. These categories are defined as follows:

Financial assets and financial liabilities measured at fair value through profit or loss

These include financial instruments and derivatives which are held for trading and reported on the balance sheet in accordance with IAS 39 (held for trading), and financial instruments which are not held for trading and which are designated at fair value under the fair value option (through profit or loss). Derivative financial instruments which are used as hedges and meet hedge accounting criteria under IAS 39 do not come under this category.

- **Held-for-trading financial instruments and derivatives:**
These instruments are measured at fair value. Measurement results are reported under gains or losses on fair value measurement. Realised and current income are also normally reported under this item. Current income from derivatives in economic hedges is recognised in net interest income. Derivatives in economic hedges include derivatives for hedging fair value option transactions and derivatives in other economic hedges. These derivatives do not meet hedge accounting criteria under IAS 39. They are used for risk management and have not been concluded for trading purposes. Held-for-trading financial instruments are largely reported under the assets held for trading and liabilities held for trading items.
- **Financial instruments designated at fair value through profit or loss (fair value option):**
The fair value option is applied to reduce or eliminate accounting mismatches and to avoid bifurcating embedded derivatives which must be separated. These instruments are measured at fair value. Measurement results are recognised under gains or losses on fair value measurement. Current income is reported under net interest income. Financial instruments (particularly structured issues and liabilities with embedded derivatives) designated at fair value (fair value option) are mainly reported under loans and advances to banks/customers, financial investments, liabilities to banks/customers, securitised liabilities and subordinated capital.

Held-to-maturity financial investments

These are non-derivative financial assets with fixed or determinable payments and fixed maturities traded on an active market which the BayernLB Group intends to, and is able to, hold until they mature.

At the end of the reporting period, the BayernLB Group held no financial investments designated as held to maturity.

Loans and receivables

These include non-derivative financial assets with fixed or determinable payments which are not quoted on an active market and not held for trading, not designated at fair value through profit or loss (fair value option), and not designated as available for sale. They are measured at amortised cost.

This category includes loans that are mainly reported under loans and advances to banks/customers. The treatment of impairment is described in note 9 on risk provisions. Current income is reported under net interest income.

This category also includes securities that were not traded on an active market on the date of recognition or reclassification, and where there is no intention to sell them in the short term. Any necessary impairments are deducted from the carrying amount of the asset. Tests for permanent impairment are carried out regularly. Impairments include specific loan loss provisions and portfolio provisions. Impairments of securities are determined in exactly the same way as for risk provisions (see note 9). Losses arising from impairments and realised gains or losses are recognised under gains or losses on financial investments. Current income and unwinding are reported under net interest income. Securities in the loans and receivables category are recognised under financial investments.

Available-for-sale financial assets

These include non-derivative financial assets (mainly securities and interests) which are classified as available for sale or are not assigned to any of the categories described. They are measured at fair value.

Any difference between fair value and amortised cost is shown as a separate item in equity (in the revaluation surplus) and not recognised through profit or loss until the asset is either disposed of or permanently impaired. Gains or losses on the sale or permanent impairment of the asset are reported under the gains or losses on financial investments item, and current income in net interest income. Available-for-sale financial assets are regularly assessed for objective evidence of impairment (e.g. significant financial difficulties of the issuer or borrower, a breach of contract such as a default or delinquency in interest or principal repayments, high probability of bankruptcy or other financial reorganisation) that has an impact on future expected incoming cash flows. If the asset is an equity instrument, a prolonged or significant decline in the fair value below its cost is also objective evidence of impairment. If the asset is a debt instrument, a significant decline in the fair value below amortised cost is an indicator of impairment, additional to the qualitative criteria of IAS 39.59. Where there is no further reason for impairment, write-downs on debt instruments are reversed directly in the income statement up to the value of the amortised cost had there been no impairment, and the difference to fair value is recognised in the revaluation surplus in equity. Reversals of equity instrument impairments are recognised directly in the revaluation surplus in equity. Most available-for-sale financial instruments are reported under financial investments.

Financial liabilities measured at amortised cost

Financial liabilities measured at amortised cost include financial instruments not used for trading purposes and not designated at fair value under the fair value option. They are measured at amortised cost. Current income is reported under net interest income. Most financial instruments in this category are reported on the balance sheet in the items liabilities to banks/customers, securitised liabilities and subordinated capital.

Renegotiated financial assets (forbearance)

BayernLB defines exposures in problem loan treatment which have been restructured in order to minimise the risk of default as forbearance exposures. An exposure has been restructured if concessions have been granted to a counterparty in financial difficulties in the form of refinancing/ restructuring and/or if the original terms and conditions of the loan agreement are modified (e.g. a deferral, waiver or standstill agreement).

Objective evidence of impairment exists if a restructuring is credit-rating related. If future incoming payments are likely to be affected, a specific loan loss provision is made in the case of a loan. For a security, the required impairment is deducted from the asset's carrying amount and the difference between fair value and amortised costs is recognised through profit or loss.

Restructuring measures that modify the terms of the contract so extensively that they essentially create a new asset must be recognised on the balance sheet by the disposal of the original asset and addition of the new asset. If the carrying amount of the asset to be disposed of differs from the fair value of the asset to be added, the difference between the two must be recognised directly in the income statement.

For more information on forbearance exposures please refer to the Group management report (risk report).

Offsetting

Financial assets and financial liabilities are offset against each other in accordance with IAS 32.42 if a legally enforceable right to set off the recognised amounts currently exists and an intention exists to settle on a net basis or to realise the asset and settle the liability simultaneously.

Derecognition

Financial assets are derecognised if the contractual rights to cash flows from the assets have lapsed or the BayernLB Group has for the most part transferred all risks and rewards of ownership. Financial liabilities are derecognised if the contractual liabilities are discharged, cancelled or expire.

Fair value

The fair value of a financial instrument is the price that would be received for the sale of an asset or paid for the transfer of a liability in an orderly transaction between market participants at the measurement date. Market participants are knowledgeable, willing partners that are independent of each other and able to enter into a transaction for the asset or liability. The relevant market for measuring fair value is the most active market that the BayernLB Group has access to (principal market). If no principal market exists, the most advantageous market is used.

Fair value is calculated where possible by reference to a quoted (unadjusted) price on an active market for an identical financial instrument. A market is considered active for a financial instrument if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If no active market exists, fair value is calculated using a range of measurement methods including measurement models based on discounted cash flow methods and indicative valuation prices. The objective is to estimate the price at which an orderly transaction to sell the asset or transfer the liability would take place between market participants at the measurement date under current market conditions. The valuation techniques used maximise the use of observable inputs and minimise the use of non-observable inputs.

Valuation models

The methods used to calculate fair values include recognised valuation models based mainly on observable market data. The discounted cash flow method and option pricing models are among the valuation models used.

If a quoted price is not available for an identical financial instrument, the discounted cash flow method is used for interest-bearing financial instruments. This method calculates the instruments' value based on their cash flow structures, taking account of their nominal values, residual maturities and the agreed day-count convention. If the financial instrument has a contractually agreed fixed cash flow, the cash flow structure is calculated using the agreed cash flows. In the case of variable rate instruments, cash flows are determined using forward curves. Cash flows are discounted using matching currency and maturity, secured and unsecured yield curves, and a risk-adjusted spread. Market data is used where spreads are publicly available. Bid-ask valuations must be used for fair value measurement. As the input parameters for the theoretical fair value of derivatives are generally based on mid-rate data, a fair-value discount is applied to the measurement of these transactions to take account of bid-ask spreads. In the case of OTC derivatives, discounting takes account of the collateral status and currency. In addition, counterparty risk and own default risk is taken into account by considering any netting agreements (credit valuation adjustment/debit valuation adjustment). Any allocations to individual transactions are made on the basis of the relative credit adjustment approach. In the case of uncollateralised OTC derivatives, account is taken of bank-specific financing conditions using a funding valuation adjustment.

Options and other derivative financial instruments with option characteristics are measured largely using the Black-Scholes option pricing model. The displaced diffusion model was used to perform valuations when interest rates were negative. The Black-Scholes model was used here again after parallel shifting of the strike price and forward price parameters (depending on the product type and currency). The following valuation parameters are used when measuring options and other derivatives: cumulative probability distribution function for standard normal distribution, option strike prices, continuously compounding risk-free interest rates (for different currencies and maturities), volatility, time to option expiry, estimated dividends, interest rate and pricing barriers, discounts, increments and probability of occurrence.

The binomial model is used for options with several possible exercise dates. Publicly accessible market data is also used in the measurement.

Credit derivatives are measured using the hazard rate model based on the latest credit spreads.

Summary of the principal valuation models by derivative product group

Product group	Principal valuation model
Interest rate swaps	Discounted cash flow method
Forward rate agreements	Discounted cash flow method
Interest rate options	Black 76, displaced diffusion
Forward exchange deals	Discounted cash flow method
Currency swaps/cross-currency swaps	Discounted cash flow method
Foreign exchange options	Black 76, Trinomial tree (Cox-Ross-Rubinstein)
Equity/index options	Black-Scholes, Roll-Geske-Whaley
Commodity caps/floors	Vorst
Credit derivatives	Hazard rate model

Structured products are concluded within structured issues. These structures are each hedged with mirror swaps. Besides using the above methods, these structures are measured largely using short-rate and BGM models (Libor market model) and Monte Carlo simulations.

In the case of equity instruments not traded on an active market, fair value is calculated using recognised valuation methods, particularly the German income method (Ertragswertverfahren). Here, the expected and valuation-relevant cash flows are based on budgeted values of the companies in question, which are discounted to the valuation date using a risk-adjusted capitalisation rate.

To calculate the fair values of lending transactions measured at amortised cost, cash flows are discounted using the risk-free yield curve adjusted by a transaction-specific spread. The spread comprises a margin held constant over the term to cover the costs and the expected gains, and a credit component reflecting changes in the creditworthiness of the business partner. On conclusion of a transaction the initial full spread is determined by interpolation. The transaction is measured at its carrying amount (or at par if the transaction is prior to the first-time application of IFRS). At the end of the following month, the current expected loss is determined and used to break down the spread into its margin and credit-rating related portions (on conclusion of the transaction). At the end of each reporting period, the fair value is calculated using the constant margin spread and the credit spread determined on the expected loss applicable at the time.

In the case of deposit-taking business, cash flows are discounted using the risk-free yield curve and a credit rating and liquidity spread. This spread reflects BayernLB's current credit rating and varies according to the currency and the transaction's collateral status (secured, unsecured, unsecured with guarantee obligation, or subordinated). The added spreads are based on the internal pricing curves of Asset Liability Management and tested for plausibility independently of Trading using the external market interest rate.

The valuation models presented above are used to calculate the fair values of financial instruments in the categories held for trading, fair value option, loans and receivables, available for sale, and financial liabilities measured at amortised cost. The balance sheet items most affected are loans and advances to banks/customers, assets held for trading, positive fair values from derivative financial instruments (hedge accounting), financial investments, liabilities to banks/customers, securitised liabilities, liabilities held for trading, negative fair values from derivative financial instruments (hedge accounting) and subordinated capital.

Embedded derivatives

Embedded derivative financial instruments are recognised as independent derivatives and measured at fair value if they have to be separated from the host contract. If this is the case, the host contract is recognised and measured according to its measurement category. In the case of structured products, no separation is made if the fair value option has been applied.

Hedge accounting

To manage interest rate, currency, equity and other price risks, and credit risks, derivative financial instruments are used to hedge assets or liabilities on the balance sheet. At present, only fair value hedges meet hedge accounting criteria for hedging relationships as defined under IAS 39. Assets or liabilities (or a portion of them) on the balance sheet, or a portfolio of financial instruments, are hedged against changes in fair value resulting from interest rate or currency risk which could affect the earnings for the period. A high degree of effectiveness is needed to ensure changes in the fair value of the hedged underlying transaction in terms of the hedged risk and the hedging derivative within a range of 80–125 percent balance each other out. In the BayernLB Group, fair value hedge accounting is applied in the form of micro fair value hedges, portfolio hedges in the narrow sense and portfolio hedges in the broader sense. Portfolio hedges in the narrow sense are reported in the same way as the underlying and hedging transactions of micro fair value hedges.

The main hedging instruments used are interest rate and currency swaps. Derivatives used to hedge the fair value of assets and liabilities on the balance sheet are measured at fair value and changes in their value are recognised through profit or loss. The carrying amounts of the underlying transactions in micro hedges and in portfolio hedges in the narrow sense are adjusted in line with the measurement results attributable to the hedged risk and recognised through profit or loss. Where the hedging of the fair value on a portfolio basis is carried out in the broader sense in the BayernLB Group, the cumulative measurement results attributable to the hedged risk for financial assets are recognised in the balance sheet under portfolio hedge adjustment assets and the carrying amounts of the underlying transactions left at amortised cost.

Derivative financial instruments in economic hedges that do not meet hedge accounting criteria are recognised and measured in accordance with their categorisation as held for trading. Unlike current income and expenses of held-for-trading derivative financial instruments, the current income and expenses arising from these derivatives are reported under net interest income.

(7) Cash reserves

Cash reserves comprise cash in hand and balances at central banks. They are recognised at nominal value.

(8) Loans and advances

Loans and advances to banks and customers are non-derivative financial assets with fixed or determinable payments that are not quoted on an active market or held for trading purposes. They are measured at amortised cost if they are not categorised as available for sale, fair value option receivables or underlying transactions in an effective fair value hedge. Premiums and discounts are spread over the term of the transaction and recognised in net interest income.

Impairments of receivables in the loans and receivables category are reported separately in the balance sheet under risk provisions and shown on the assets side.

(9) Risk provisions

Risk provisions for credit products in the loans and receivables category are reported as a separate item on the assets side. They comprise specific loan loss provisions and portfolio provisions for transactions on the balance sheet. BayernLB exercised its option of making flat-rate specific loan loss provisions for non-material receivables.

To calculate risk provisions, customer relationships in the BayernLB Group are generally analysed at quarterly intervals. If objective indications of impairment exist, an examination is carried out to determine if a risk provision needs to be made. These objective indications include interest and principal arrears of more than 30 days or a rating of 19 or worse on a 25-tier scale. If future incoming payments are likely to be affected, a specific loan loss provision is made.

The size of the specific loan loss provision is the difference between the carrying amount of the receivable and the present value of future expected incoming cash flows calculated on the basis of the original effective interest rate using the discounted cash flow method. Additions to or releases of risk provisions are made if expectations of cash flows change. Unwinding – a change in the present value of future expected incoming cash flows over the period – is reported as interest income; the actual interest payments received are subsequently recognised as repayments, and not as interest income. For portfolios composed of similar, immaterial receivables, flat-rate specific loan loss provisions are made on the basis of collective risk assessment. These are also reported under the specific loan loss provisions.

For material and immaterial receivables for which no indications of impairment have been detected on individual examination and no flat-rate specific loan loss provisions have been made, portfolio provisions based on creditworthiness factors are calculated on the basis of historical default rates and loss rates. The procedure for this uses parameters derived from the Basel II rules that are regularly assessed.

Country risks (transfer risk and general political risk) are reflected by making a portfolio provision on the basis of country risk-specific default rates and loss rates if these risks have not already been taken into account through specific loan loss provisions.

Non-recoverable receivables are derecognised; this is carried out by utilising specific loan loss provisions that have already been made. A direct writedown is made for bad debt losses for which no or insufficient specific loan loss provisions have been made. The direct writedowns are booked either to existing portfolio or specific loan loss provisions. The disclosure is made in each case as an “of which” item “direct writedown” in respect of a specific loan loss provision or a portfolio loan loss provision.

Where a specific loan loss provision exists, a direct writedown may not be charged to the portfolio loan loss provisions. In the case of specific and portfolio loan loss provisions, disclosure is of an addition with simultaneous utilisation.

(10) Portfolio hedge adjustment assets

This balance sheet item shows the changes in value of the underlying transactions for which fair value hedge accounting in the form of portfolio hedges in the broader sense was used.

(11) Assets held for trading

Assets held for trading comprise all held-for-trading financial assets and derivative financial instruments with positive market values reported on the balance sheet in accordance with IAS 39 and not designated as hedging instruments in accordance with hedge accounting criteria under IAS 39. Measurement results and realised and current income from assets held for trading are normally recognised in gains or losses on fair value measurement except for current income from derivatives in economic hedges, which is recognised in net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(12) Positive fair values from derivative financial instruments (hedge accounting)

This balance sheet item includes derivative financial instruments with positive market values which are used as hedges and meet hedge accounting criteria as defined in IAS 39. The derivative instruments are measured at fair value. Changes in the fair value of hedging instruments and changes in the fair value of hedged underlying transactions arising from the hedged risk are reported under gains or losses on hedge accounting. Interest income and expenses from hedging derivatives are recognised in net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(13) Financial investments

Financial investments comprise financial assets in the fair value option, loans and receivables and available-for-sale categories. Interests in unconsolidated subsidiaries, in joint ventures and associates not measured at equity, and other interests are classified as available for sale or under the fair value option and reported under financial investments unless they are classified as held for sale. Financial investments are measured according to their respective measurement category.

(14) Investment property and property, plant and equipment

Land or buildings leased to third parties or primarily held for capital appreciation is reported on the balance sheet under investment property. Property, plant and equipment comprise owner-occupied property, furniture and office equipment.

Mixed-use property that can be disposed of separately is allocated proportionately to the investment property and the property, plant and equipment items. If the property cannot theoretically be divided, the entire property is recognised as investment property only if an insignificant portion of the property (less than 10 percent) is held for internal operations.

Upon initial recognition property, plant and equipment are recognised at cost. Subsequent costs are capitalised if they lead to a significant improvement in the asset and thus add to the future economic benefit of the asset. Depreciable property, plant and equipment are subsequently reported on the balance sheet after deducting for straight-line depreciation corresponding to their useful life. BayernLB applies the option under IAS 40 to measure investment property at amortised cost.

Useful life is determined by considering the expected physical wear and tear, technical obsolescence and contractual restrictions. In the case of buildings, the components are depreciated over their specific useful life (component approach).

All property, plant and equipment is depreciated on a straight-line basis over the following periods:

- Buildings 28 – 90 years
- Furniture and office equipment 3 – 25 years

Impairments are made in the amount that the carrying amount exceeds the greater of the fair value less cost to sell and of the value in use (impairment test). If the reasons for impairment cease to apply, an impairment reversal (writeup) is made up to no more than the value of the amortised cost. Depreciation of investment property is reported under other income and expenses, while depreciation of property, plant and equipment is shown under administrative expenses. Writeups are reported in other income and expenses.

For materiality reasons acquisitions of low-value property, plant and equipment are recognised directly in administrative expenses. Profits from the sale of property, plant and equipment are reported under other income, while losses are reported under other expenses.

(15) Intangible assets

Intangible assets comprise internally generated intangible assets and other intangible assets (purchased software).

The costs of internally generated intangible assets are capitalised where their production is likely to result in an inflow of economic benefits and costs can be determined reliably. Expenditure on research is not capitalised but recognised through the income statement.

Intangible assets are reported on the balance sheet at amortised cost. They are amortised on a straight-line basis over an expected useful life of usually four or five years or up to ten years in certain cases. Useful life is determined by considering the expected technical obsolescence and legal and contractual restrictions.

Impairments are made in the amount that the carrying amount exceeds the greater of the fair value less cost to sell and of the value in use (impairment test). If the reasons for impairment cease to apply, an impairment reversal (writeup) is made up to no more than the value of the amortised cost. Amortisation of intangible assets is reported under administrative expenses. Writeups are reported in other income and expenses.

(16) Non-current assets or disposal groups classified as held for sale

This item comprises both non-current assets in the held-for-sale category and the assets of disposal groups in the held-for-sale category.

They are designated as held for sale if their carrying amount is to be recovered principally through a sale transaction rather than through continuing use and the non-current asset or disposal group can be sold immediately in its present condition and the sale is highly probable. This requires a decision by management to carry out the sale, with the expectation it will be completed within the next 12 months.

Non-current assets or disposal groups held for sale are recognised at the end of the reporting period at the lower of carrying amount and fair value less costs of sale if there are no measurement exceptions in accordance with IFRS 5.

The earnings or losses of disposal groups which meet the criteria for classification as discontinued operations are not reported in the income statement under gains or losses on continuing operations, but separately under the line item gains or losses on discontinued operations.

(17) Other assets

Other assets comprise assets not allocated to one of the other items on the assets side. It includes emissions certificates, precious metals and claims from reinsurance.

(18) Liabilities

Liabilities to banks and customers and securitised liabilities are measured at amortised cost if they are not allocated to the fair value option category or if they are not underlying transactions in an effective fair value hedge. Premiums and discounts are spread over the term of the transaction and recognised in net interest income.

(19) Liabilities held for trading

Liabilities held for trading comprise all held-for-trading financial liabilities and derivative financial instruments with negative market values reported on the balance sheet in accordance with IAS 39 and not designated as hedging instruments in accordance with hedge accounting criteria under IAS 39. Measurement results and realised and current income or expenses from liabilities held for trading are normally recognised in gains or losses on fair value measurement except for current income from derivatives in economic hedges, which is recognised in net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(20) Negative fair values from derivative financial instruments (hedge accounting)

This balance sheet item comprises derivative financial instruments with negative market values, which are used as hedges and meet hedge accounting criteria in accordance with IAS 39. The derivative instruments are measured at fair value. Changes in the fair value of hedging instruments and changes in the fair value of hedged underlying transactions arising from the hedged risk are reported under gains or losses on hedge accounting. Interest income and expenses from hedging derivatives are recognised in net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(21) Provisions

Provisions for pensions and similar obligations and other provisions are recognised under this item.

Provisions for pensions and similar obligations

Occupational retirement benefits within the BayernLB Group are based on different pension schemes. Employees acquire rights to benefit entitlements based on a direct pension commitment, where the size of the benefit is defined and dependent on factors such as salary, age and length of service (defined benefit plans). Alternatively employees acquire rights to benefit entitlements based on an indirect pension commitment, which is funded through defined contributions to a pension institution (external benefit provider) (defined contribution plans). There is no legal or de facto obligation to provide benefits beyond these terms for these plans, which predominantly relate to foreign branches. Most pension commitments in the BayernLB Group are in the form of salary-based defined benefit plans for employees in Germany.

In the BayernLB Group, the core element of the promised defined benefit obligations provided directly by the employer is the full benefits package (Gesamtversorgungszusage) modelled on the pension system for civil servants ("pension eligibility"). The size of the pension commitments for defined benefit plans is based largely on each employee's salary, length of service and other criteria. Civil-servant style pension benefits were agreed in individual employment contracts. Only employees with at least 20 years of eligible service who also meet other criteria such as positive performance evaluations and no negative health issues were eligible for these pension benefits. The full benefits package also includes entitlements to allowances in the event of illness and an entitlement to payments of death benefits.

In essence, no more employees are being added to the number of employees eligible for civil-servant style pension benefits, as BayernLB closed the scheme to new entrants at the end of the first quarter of 2009. In a suit brought by employees who were originally entitled to qualify for the civil-servant style benefits under the terms of their employment agreements, the German Federal Employment Court in Erfurt, Germany ruled on 15 May 2012 in favour of the plaintiffs to restore their eligibility to these pension benefits, which BayernLB then reinstated subject to the original criteria.

BayernLB also has two legally independent pension funds (Versorgungskasse) for its indirect benefit obligations in Germany: Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich (Versorgungskasse I) and Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich (Versorgungskasse II). Versorgungskasse I primarily manages obligations to former employees entitled to or in receipt of vested benefits, while Versorgungskasse II manages the portion of the benefits package that had already been earned when the arrangements were changed in respect of some occupational retirement benefits in financial year 2010. BayernLB makes regular contributions to the pension funds in accordance with thresholds defined by fiscal law.

Defined benefit pension obligations are partly funded by assets and qualifying insurance policies. To qualify as plan assets, they must be separated from the employer's other assets (e.g. by placing them in a separate fund held by a legally independent benefit provider) and only used to provide employees' benefits. The plan assets invested in Germany by Versorgungskasse I and in the United Kingdom are administered by externally managed funds and insurance companies. BayernLB sets the general investment guidelines for these funds, but does not take specific investment decisions. The assets in the pension plan in the United Kingdom are also subject to a legal minimum funding requirement. This obliges the trustees and the Bank as the sponsoring undertaking to ensure sufficient plan assets are available to cover pension liabilities. Under the trust deed, the trustee is required to regularly check the value of the plan assets and to arrange for additional funding if the value of the plan assets falls below that of the pension liabilities.

To fund the pension obligations of Versorgungskasse II, BayernLB purchased reinsurance in the amount of the existing rights to entitlements, which is managed by an external trustee. In addition, the rights to entitlements are protected from insolvency. The assets managed in trust by the trustee do not qualify as plan assets. As the beneficial owner, BayernLB reports the claims from reinsurance as an asset on the balance sheet under the other assets item. These assets from the claims from reinsurance (reimbursement claims) are equivalent to the benefit entitlements in terms of size and maturity, so that the assets and indirect pension obligations via Versorgungskasse II are recognised in the same amount.

Under the 2005 and 2010 pension schemes, BayernLB employees in Germany acquire rights to benefit entitlements based on indirect pension commitments. To fund these pension commitments, BayernLB and current employees pay defined contributions to two external benefit providers not part of the Group (ÖBAV Unterstützungskasse e. V., Munich and BVV Versorgungskasse des Bankgewerbes e. V, Berlin). These providers conclude reinsurance to fund occupational retirement benefits. As far as the basic provision is concerned, the contributions to the pension institutions comprise employer-funded allowances based on a defined percentage of annual remuneration. In

addition to the basic provision, employees can also pay supplementary contributions into the pension institution through deferred compensation via the employer. The benefits promised by BayernLB are essentially the same as the ones the external benefit providers have agreed to provide. However, the external benefit providers are not under an explicit obligation to provide annual pension rises. As an annual pension rise is not explicitly ruled out in the contract, BayernLB still has a de facto obligation to provide the benefits. Consequently these indirect pension obligations are treated formally like defined benefit plans in accordance with IAS 19, but accounted for as defined contribution plans due to their economic substance. This means that the contribution payments made to the external benefit providers are recognised as pension costs and therefore in administrative expenses, while the net present value of the benefit obligations and the plan assets used to cover them are of the same size so that no pension provisions for these pension schemes are reported on the BayernLB Group's balance sheet. Based on the current outlook, it is unlikely that the annual pension rise guarantee will be utilised in a financially significant amount.

All direct obligations from pensions, allowances in the event of illness, payments of death benefits and other indirect pension obligations within the BayernLB Group are calculated each year and half-year in actuarial reports produced by independent actuaries.

The size of the defined benefit plan obligations is calculated using the projected unit credit method, which measures the obligations on the basis of the proportion of the defined benefit entitlements acquired at the end of the reporting period. Assumptions about future trends of certain parameters such as salaries and pensions, and the discount rate are made when conducting the measurement. The discount rate is based on yields on high-quality, fixed rate corporate bonds on the respective markets. The values of the parameters used to measure plan assets, especially the discount rate, have a major impact on the amount of the benefits in the pension plans.

The following actuarial assumptions are used:

in %	2017	2016
Discount rate	1.8	1.8
Salaries ¹	2.3	2.5
Benefits ²	2.0	2.0
Medical costs	5.3	5.0

¹ In the case of non-payscale employees, a different assumption of a 2.5 percent change in estimated future salaries was used as a basis.

² Eligible social insurance pensions at BayernLB in Germany were calculated to have increased by 2.25 percent.

They are measured in Germany on the basis of Professor Dr Klaus Heubeck's biometric probabilities (in the "Richttafeln 2005G" actuarial tables) and in other countries on the basis of country-specific mortality tables.

The qualifying plan assets used to cover pension obligations are measured at fair value as at the reporting date. If pension assets exceed pension obligations, the surplus asset is accounted for under the asset ceiling rules. The asset is recognised mainly on the basis of the future economic benefits it will provide, taking account of future charges from a reduction in contributions due to existing minimum funding requirements being met.

To calculate the amount of the pension provision, the fair value of any plan assets is deducted from the present value of the pension obligation (pension deficit or surplus). The potential impact from the pension asset ceiling is then incorporated.

The impact from the remeasurement of defined benefit plans, such as actuarial gains and losses arising from the difference between expected and actual values or changed assumptions, is now recognised directly in the period it arises in retained earnings within equity and not through the income statement and in parallel in pension provisions. The rules therefore specify that these amounts cannot be reclassified to the income statement in future periods.

Regular contributions to fund pension obligations and pension schemes will have a negative impact on the BayernLB Group's liquidity in future periods. The Group's pension obligations are not fully funded by plan assets, i.e. pension obligations currently exceed plan assets at Group level, resulting in a shortfall in funding. Even marginal changes in the actuarial assumptions used to measure pension plans, notably the discount rate and future growth of salaries and pensions, would produce a change in the funding situation and by extension the pension provisions. The value of externally invested plan assets is also subject to capital market volatility, which is outside of BayernLB's control. Plan assets are invested in a range of asset classes to prevent risk concentrations. The investment strategy matches the maturity structure of the assets with the expected pension payout dates. This is especially the case for plan assets of a foreign branch, whose funds for covering pension obligations are invested in several asset classes such as equities and fixed-interest securities. Unfavourable capital market performance could lead to material shortfalls in the coverage of its pension obligations and increase the BayernLB Group's pension obligations. Such an increase could have a negative impact on BayernLB's financial situation, as additional funds would have to be injected to fund the pension obligations. BayernLB must also pay contributions to the healthcare costs of current and former employees, which could also rise in the future.

The risks arising from the BayernLB Group's pension plans are addressed in the Group-wide asset liability management strategy. To reduce the risks from defined benefit plans, new plans have been introduced in recent years at BayernLB in Germany, and at a foreign branch, some pension obligations and their related pension assets were transferred to external pension funds.

Other provisions

Provisions in the credit business are made for both single transactions and portfolios to meet contingent liabilities and other commitments where there is a risk of default.

Miscellaneous provisions are made in accordance with IAS 37 for present legal or de facto obligations if it is probable that an outflow of resources embodying economic benefits will be required to settle the obligations.

The size of the provision corresponds to the best estimate of the amount that would be required to settle the liability as at the reporting date. The risks and uncertainties associated with the liability are factored into the calculation.

Where the effect of the time value of money is material, provisions are discounted and the present value of the expenditures required to settle the liability is reported. To this end a pre-tax discount rate is used that reflects the current market assessments of the time value of money and the risks specific to the liability.

Provisions for restructuring measures are recognised if the BayernLB Group has a detailed formal plan for the restructuring measures and has already begun to carry it out, or if the major details of the restructuring have been announced.

(22) Other liabilities

Other liabilities comprise liabilities not allocated to one of the other items on the liabilities side. It includes deferred income and accruals.

(23) Compound capital instruments

Debt and equity instruments are classified in accordance with IAS 32, taking account of IDW statement HFA 45 on the presentation of financial instruments under IAS 32. A financial instrument is therefore recognised in equity if for example

- it evidences a residual interest in the assets of an entity after deducting all of its liabilities (IAS 32.11) and
- it contains no contractual obligation to deliver cash or another financial asset to the contractual partner (IAS 32.16).

The contractual terms of the compound capital instruments used by BayernLB result in the following accounting treatment and measurement in the consolidated financial statements.

Perpetual silent partner contributions not callable by the lender meet the criteria for disclosure under equity.

As they are compound financial instruments, dated silent partner contributions, including those that are callable by the lender, and profit participation certificates, must be divided into their equity and debt components (split accounting). The fair value of the debt component was initially measured by discounting the nominal value of the compound instrument as a whole by its effective interest rate. The value is recognised in the balance sheet in the subordinated capital item. In subsequent years, interest on the debt component accrues and the resulting expense is reported in net interest income. The equity component – which as a residual interest as defined in IAS 32.11 corresponds to the present value of expected future distributions – is recognised in equity in the compound instruments (equity component) sub-item. Distributions on compound instruments are made only if their payment does not produce or increase a net accumulated loss in the separate accounts prepared under the German Commercial Code (HGB).

If a compound financial instrument shares in the losses, this affects the repayment of the nominal value of the compound instrument and therefore the debt component whose present value must be adjusted as necessary to take account of the changed cash flow expectations in accordance with IAS 39 AG8. The income resulting from the change in the present value (or expenses resulting from replenishing the instrument in subsequent years) is recognised in other income and expenses.

(24) Leasing

Leases are agreements whereby the lessor conveys to the lessee the right to use an asset for an agreed period of time in return for a fee. In accordance with IAS 17, leases are divided into finance leases and operating leases. Agreements are classified on the basis of the distribution of economic risks and rewards from the leased property. A lease is classified as a finance lease if it substantially transfers all the risks and rewards incidental to ownership to the lessee.

The BayernLB Group as lessor

In operating leases, leased property is measured at amortised cost and recognised as investment property or as property, plant and equipment. Lease payments received and impairments and depreciation are reported in other income and expenses.

The BayernLB Group as lessee

Lease payments payable by the BayernLB Group in operating leases are recognised under administrative expenses.

(25) Tax

Current tax assets and liabilities are measured by applying the currently applicable tax rates and netting against expected tax refunds or tax liabilities.

Deferred tax assets and liabilities result from the temporary differences between the carrying amount of an asset or a liability and the tax base and from unused loss carryforwards and tax credits. This creates tax liabilities or assets expected in the future. Deferred taxes are recognised where permitted. They are measured for each of the companies consolidated within the Group, at the specific applicable income tax rate expected to be applicable for the period of the reversal of the temporary differences based on tax laws that have been enacted or passed by the end of the reporting period.

Deferred tax assets are only reported if it is probable that taxable profit in future periods will be sufficiently high to offset the as yet unused tax losses carried forward and deductible temporary differences. The amount of deferred tax assets recognised is calculated on the basis of the tax planning for the company in question or – if a tax group exists – for the consolidated tax group in question. When recognising deferred tax assets from interest carryforwards, the same accounting policies as used for deferred tax assets from tax loss carryforwards are applied.

Deferred taxes are not discounted. Deferred tax assets and liabilities are created and carried through profit or loss if the underlying item is recognised in the income statement, or are created and carried in equity if the underlying item is recognised in equity.

Income tax expenses and income calculated on profit before taxes are reported in the consolidated income statement as income taxes. Other taxes not based on income are reported under other income and expenses.

Segment reporting

(26) Notes to the segment report

The segment report reflects the business structure of the BayernLB Group. A total of five segments are shown, comprising the four operating business segments and the Central Areas & Others segment. The earnings of the consolidated subsidiaries and units are also allocated to the segment to which they have been assigned.

Segment reporting is based on IFRS 8 and therefore on the monthly management reports submitted to the Board of Management, which serves as the chief operating decision maker as defined in IFRS 8.7. The management reports – and therefore the segmentation – are based on the accounting policies used in the consolidated financial statements under IFRS. Segment reporting does not therefore need to be reconciled with the IFRS accounting policies used in the consolidated financial statements. The earnings contributions reported under the segments are generated largely from banking transactions and financial services. Net interest income and net commission income are shown respectively as net figures comprising interest income and interest expenses and commission income and commission expenses. The additional information about products and services required under IFRS 8.32 and on non-current assets by geographical region required under IFRS 8.33 (b) is not available and the costs of providing the information would be excessive.

Parts of the BayernLB Group's segment structure have been revised in the period since 31 December 2016, specifically the segments to which the remaining non-core business and the consolidated subsidiary Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (Real I.S.) are assigned. The business segments are now: Corporates & Mittelstand, Real Estate & Savings Banks/Association, Deutsche Kreditbank (DKB) and Financial Markets. In addition, there is the Central Areas & Others segment. With the exception of the Corporates & Mittelstand segment, all other segments are affected by the revisions to the segment structure.

The former Non-Core Unit is no longer managed as an independent segment after its mandate to wind down portfolios not managed as core business was largely fulfilled. All non-core activities of the BayernLB Group were pooled here up to the end of financial year 2016. The remaining non-core activities of the Credit Consulting central area (formerly the Restructuring Unit) and the former Other NCU sub-segment are reported as part of the Central Areas & Others segment in the revised segment structure from 1 January 2017. The still existing non-core business of the subgroup Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB) was integrated into the DKB segment.

Likewise at the start of financial year 2017, the subsidiary Real I.S., which was in the Financial Markets segment in the previous year, was assigned to the Real Estate & Savings Banks/Association segment.

The segment figures for the comparison period have been adjusted in accordance with the new structure.

The risk-weighted assets (RWAs) shown include the figures as at the reporting date for credit risk, market risk positions and operational risk. For the Group, the average regulatory capital available over the reporting period is reported as equity. For this, common equity tier 1/CET1 is calculated using the respective valid supervisory regulations. For the purposes of internal management, economic capital is allocated to the segments in the amount of 12.0 percent of the average risk weighted assets (RWAs). Economic capital is reconciled to regulatory capital in the column headed "Consolidation".

The return on equity (RoE) shown is calculated on the basis of internal management information from the ratio of profit before taxes to the average regulatory capital (Group)/the average allocated economic capital (at segment level). The cost/income ratio (CIR) is the ratio of administrative expenses and gross profit comprising net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting, gains or losses on financial investments and other income and expenses.

Segment reporting as at 31 December 2017

EUR million	Corporates & Mittelstand	Real Estate & Savings Banks/Association	DKB	Financial Markets	Central Areas & Others (including Consolidation)	Group
Net interest income	287	230	935	142	64	1,659
Risk provisions in the credit business	-164	23	-127	-	175	-94
Net commission income	102	144	-6	27	-4	263
Gains or losses on fair value measurement	30	47	91	104	-68	205
Gains or losses on hedge accounting	-	-2	-124	-7	-8	-142
Gains or losses on financial investments	-1	3	20	2	-	23
Administrative expenses	-291	-255	-477	-196	-38	-1,258
Expenses for the bank levy and deposit guarantee scheme	-	-	-35	-	-64	-98
Other income and expenses	-7	-13	-3	22	93	91
Gains or losses on restructuring	-	-	-3	-	6	2
Profit/loss before taxes	-44	175	272	94	156	652
Risk-weighted assets (RWAs)	19,370	7,739	24,536	6,508	3,268	61,420
Average economic/regulatory capital	2,490	917	2,970	920	1,514	8,811
Return on equity (RoE) (%)	-1.8	19.1	9.1	10.2	10.3	7.4
Cost/income ratio (CIR) (%)	70.8	62.6	52.2	67.6	49.9	59.9
Average number of employees (FTE)	348	590	3,222	457	1,888	6,504

Segment reporting as at 31 December 2016¹

EUR million	Corporates & Mittelstand	Real Estate & Savings Banks/Association	DKB	Financial Markets	Central Areas & Others (including Consolidation)	Group
Net interest income	304	236	794	40	101 ²	1,475
Risk provisions in the credit business	8	24	-129	-1	12	-87
Net commission income	114	131	24	29	-2	296
Gains or losses on fair value measurement	44	65	51	40	-57	142
Gains or losses on hedge accounting	-	2	-86	6	-1	-80
Gains or losses on financial investments	29	-	161	65	21	274
Administrative expenses	-293	-242	-450	-176	-119 ²	-1,280
Expenses for the bank levy and deposit guarantee scheme	-	-	-27	-	-60	-88
Other income and expenses	-2	-4	19	20	19	51
Gains or losses on restructuring	-	-1	-3	-	8	4
Profit/loss before taxes	203	209	353	23	-80	708
Risk-weighted assets (RWAs)	21,783	7,141	24,603	8,024	3,655	65,206
Average economic/regulatory capital	2,553	826	2,868	1,018	1,476	8,742
Return on equity (RoE) (%)	8.0	25.3	12.3	2.2	-5.4	8.1
Cost/income ratio (CIR) (%)	60.0	56.5	46.8	88.1	149.1	59.3
Average number of employees (FTE)	345	583	3,180	451	1,881	6,439

¹ Adjusted as per IFRS 8.29.

² Adjusted as per IAS 8.42 (see note 2).

Breakdown of the aggregated Central Areas & Others segment results and consolidation entries not allocated to the segments as at 31 December 2017

EUR million	Central Areas & Others	Consolidation	Central Areas & Others (including Consolidation)
Net interest income	28	36	64
Risk provisions in the credit business	175	–	175
Net commission income	–4	–	–4
Gains or losses on fair value measurement	–32	–36	–68
Gains or losses on hedge accounting	–8	–	–8
Gains or losses on financial investments	–1	–	–
Administrative expenses	–44	6	–38
Expenses for the bank levy and deposit guarantee scheme	–64	–	–64
Other income and expenses	99	–6	93
Gains or losses on restructuring	6	–	6
Profit/loss before taxes	156	–	156
Risk-weighted assets (RWAs)	3,268	–	3,268
Average economic/regulatory capital	397	1,117	1,514

Breakdown of the aggregated Central Areas & Others segment results and consolidation entries not allocated to the segments as at 31 December 2016¹

EUR million	Central Areas & Others	Consolidation	Central Areas & Others (including Consolidation)
Net interest income	65 ²	36	101
Risk provisions in the credit business	12	–	12
Net commission income	–2	–	–2
Gains or losses on fair value measurement	–21	–36	–57
Gains or losses on hedge accounting	–1	–	–1
Gains or losses on financial investments	21	–	21
Administrative expenses	–124 ²	5	–119
Expenses for the bank levy and deposit guarantee scheme	–60	–	–60
Other income and expenses	24	–5	19
Gains or losses on restructuring	8	–	8
Profit/loss before taxes	–80	–	–80
Risk-weighted assets (RWAs)	3,655	–	3,655
Average economic/regulatory capital	510	966	1,476

¹ Adjusted as per IFRS 8.29.

² Adjusted as per IAS 8.42 (see note 2).

Notes on delimitation of segments

The Corporates & Mittelstand segment serves large German Mittelstand corporate customers, large German corporations and international companies with a connection to Germany. Its clients include in particular DAX and MDAX-listed companies and family-owned or operated businesses which conduct international business from their German home market. To better serve clients' export and trade finance needs as well as provide payment services, this segment also includes relationships with banks in emerging markets. In addition, the Corporates & Mittelstand segment conducts the syndicated loan business together with the Bavarian savings banks for their corporate customers. The following core activities are located in this segment: traditional loan financing, including working capital, capex and trade financing, leasing finance and global project and export financing for customers worldwide with a focus on the infrastructure, energy and renewable energy sectors. It also acts as lead manager for its customers in syndicated loans and plays a leading role in placing corporate bonds and Schuldschein note loans on the market in cooperation with the Financial Markets business area.

The Real Estate & Savings Banks/Association segment incorporates business with commercial and residential real estate customers, the savings banks and the public sector. In addition, the legally dependent institution Bayerische Landesbodenkreditanstalt, Munich (BayernLabo) and consolidated subsidiary Real I.S are allocated to this segment. The Real Estate division focuses on long-term commercial real estate financing in Bavaria and Germany and business with residential construction companies and residential property developers. BayernLB offers commercial real estate customers a comprehensive range of services related to real estate financing. The Savings Banks & Association division now forms the central hub for collaboration with savings banks and public-sector customers in Germany. Its activities include BayernLB's business with savings banks in Germany, particularly Bavaria, and the state-subsidised loan business. The savings banks are a fundamental part of BayernLB's business model as both customers and as sales partners. The division also serves state and municipal customers and public agencies in Germany which BayernLB, as a partner, provides with a wide range of products and tailor-made solutions. BayernLabo is responsible for the non-competitive residential construction and urban development business under public mandate on behalf of BayernLB. It also provides financing for local authorities in Bavaria.

The main component of the DKB segment is the business with the DKB sub-group, including the remaining non-core activities there. This segment also includes the consolidated subsidiary Bayern Card-Services GmbH – S-Finanzgruppe, Munich (BCS). In addition to providing online banking for its retail customers, DKB's business activities also include the infrastructure and corporate banking markets. In these markets DKB specialises largely in business with customers in promising sectors with long-term growth potential such as residential property, healthcare, education and research, agriculture and renewable energy. BCS's business activities are focused on credit card services.

The Financial Markets segment comprises the business area of the same name and the consolidated subsidiaries BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest). The Financial Markets business area combines all trading and issuing activities as well as asset and liability management. Related to this, BayernLB's business relationships with banks in developed markets, insurers and other institutional customers which are primarily focused on capital market products are assigned to this segment. The Financial Markets segment also provides a range of capital market and Treasury products that are cross-sold to BayernLB's Corporates, Mittelstand, Savings Banks and Real Estate customers. Market and default risks are hedged and solvency assured at all times through risk and liquidity management.

The Central Areas & Others segment comprises the earnings contributions of the Corporate Center, Financial Office, Operating Office, Risk Office and Credit Consulting central areas, along with the remaining non-core business of the former Restructuring Unit. The segment also includes transactions that cannot be allocated to either a business area or a central area. The consolidated subsidiary Banque LBLux S.A. in Liquidation, Luxembourg, which was deconsolidated on 31 December 2017, was also assigned to the segment. This segment also included the subsidiary BayernLB Capital LLC I, Wilmington until its deconsolidation on 30 June 2017. The Consolidation column, disclosed with the segment on an aggregate basis, includes consolidation entries not allocated to any segment. These mainly arise from differences in the way internal Group transactions are measured and the application of hedge accounting to cross-divisional derivatives transactions.

Earnings from typical banking operations after risk provisions (net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting and gains or losses on financial investments) were EUR 1,914 million (FY 2016: EUR 2,021 million), including EUR 26 million (FY 2016: EUR 44 million) in Europe excluding Germany, and EUR 60 million (FY 2016: EUR 88 million) in America. Of the risk-weighted assets (RWAs) in the amount of EUR 61,420 million (FY 2016: EUR 65,206 million) recognised instead of non-current assets, EUR 258 million (FY 2016: EUR 676 million) relate to Europe excluding Germany and EUR 1,296 million (FY 2016: EUR 2,102 million) relate to America.

Notes to the statement of comprehensive income

(27) Net interest income

EUR million	2017	2016
Interest income	6,335	6,494
• From lending and money market transactions	3,594	3,871
of which:		
– from unwinding	13	37
• From bonds, notes and other fixed-income securities	195	216
• Current income from equities and other non-fixed income securities	3	1
• Current income from interests in non-consolidated subsidiaries, joint ventures, associates and other interests	12	8
• Current income from profit-pooling and profit transfer agreements	3	4
• Current income from other financial investments	2	9
• From hedge accounting derivatives	839	979
• From derivatives in economic hedges	1,302	1,199
• From negative interest	385	207
Interest expenses	4,676	5,019
• For liabilities to banks and customers	1,440	1,748
• For securitised liabilities	448	424
• For subordinated capital	152	196
• For hedge accounting derivatives	749	1,017
• For derivatives in economic hedges	1,396	1,293
• Other interest expenses	106	135
• From negative interest	386	206
Total	1,659	1,475

Interest income from financial assets and financial liabilities not carried at fair value in the income statement totalled EUR 3,894 million (FY 2016: EUR 4,144 million). Interest expenses totalled EUR 1,987 million (FY 2016: EUR 2,285 million).

(28) Risk provisions in the credit business

EUR million	2017	2016
Additions	498	449
Direct writedowns	22	23
Releases	314	303
Recoveries on written down receivables	98	69
Other gains or losses on risk provisions	14	14
Total	94	87

The amounts include on-balance sheet and off-balance sheet credit transactions.

(29) Net commission income

EUR million	2017	2016
Securities business	18	26
Broker fees	-11	-11
Credit business	132	152
Payments	-45	-46
Foreign commercial operations	3	1
Trust transactions	16	17
Fund business	97	78
Miscellaneous	53	80
Total	263	296

Net commission income includes EUR 69 million (FY 2016: EUR 114 million) from financial instruments. This commission primarily relates to financial assets and financial liabilities not carried at fair value in the income statement.

(30) Gains or losses on fair value measurement

EUR million	2017	2016
Net trading income	202	159
• Interest-related transactions	152	100
• Equity-related and index-related transactions and transactions with other risks	15	14
• Currency-related transactions	27	27
• Credit derivatives	-5	-1
• Other financial transactions	26	35
• Refinancing of trading portfolios	6	2
• Trading-related commission	-20	-17
Fair value gains or losses from the fair value option	3	-17
Total	205	142

Net trading income includes realised and unrealised gains or losses attributable to these trading activities, the interest and dividend income related to these transactions, and gains or losses on foreign currency translation.

Current income and expenses from financial instruments in the fair value option category and from derivatives in economic hedges are reported under net interest income.

(31) Gains or losses on hedge accounting

EUR million	2017	2016
Gains or losses on micro fair value hedges	-17	7
• Measurement of underlying transactions	167	258
• Measurement of hedging instruments	-184	-252
Gains or losses on portfolio fair value hedges	-124	-86
• Measurement of underlying transactions	-52	177
• Amortisation of the portfolio hedge adjustment	-324	-490
• Measurement of hedging instruments	252	227
Total	-142	-80

(32) Gains or losses on financial investments

EUR million	2017	2016
Gains or losses on financial investments in the loans and receivables category	1	5
• Gains or losses on sales	-	5
Gains or losses on financial investments in the available-for-sale category	24	269
• Gains or losses on sales	23	270
• Income from impairment reversals	4	-
• Expenses from impairments	3	1
Gains or losses on deconsolidation	-1	-
Total	23	274

(33) Administrative expenses

EUR million	2017	2016
Staff costs	663	718
• Salaries and wages	521	556
• Social security contributions	67	65
of which:		
– employer contributions to statutory pension scheme	34	32
• Expenses for pensions and other employee benefits	75	97
of which:		
– expenses for defined contribution plans	10	8
Other administrative expenses	559	508
• Owner-occupied property	51	56
• Data processing costs	205	179
• Office costs	3	3
• Advertising	38	45
• Communication and other selling costs	58	53
• Membership, legal and consulting fees	158	132
• Miscellaneous administrative costs	46	40
Amortisation and depreciation of property, plant and equipment and intangible assets (not including goodwill)	36	55
Total	1,258	1,280

(34) Expenses for the bank levy and deposit guarantee scheme

EUR million	2017	2016
Expenses for the bank levy	52	51
Expenses for the deposit guarantee scheme	46	37
Total	98	88

(35) Other income and expenses

EUR million	2017	2016
Other income	285	222
• Rental income	4	5
of which:		
– rental income from investment property	3	4
• Gains on the sale of investment property, property, plant and equipment, intangible assets, and property held as inventory and other investments	–	3
• Gains on the sale of receivables	–	6
• Gains on the sale of underlying transactions from hedge accounting	20	10
• Gains on repurchases of own issues	4	5
• Income from the release of provisions	121	61
• Interest income from tax refunds due	71	10
• Sundry other income	66	122
Other expenses	194	171
• Current expenses from leased investment property	2	1
• Losses on the sale of investment property, property, plant and equipment, intangible assets, and property held as inventory and other investments	1	1
• Depreciation of investment property, property held as inventory and other investments	3	3
• Losses on sales of receivables	8	4
• Losses on the sale of underlying transactions from hedge accounting	3	1
• Losses on repurchases of own issues	10	9
• Expenses from establishing provisions	15	43
• Expenses from loss transfers	2	3
• Expenses from other taxes	9	12
• Interest expenses from tax arrears	42	13
• Sundry other expenses	100	80
Total	91	51

Sundry other income and sundry other expenses include principally income and expenses that are not typical for banks.

(36) Gains or losses on restructuring

EUR million	2017	2016
Income from restructuring measures	9	19
Expenses for restructuring measures	6	15
Total	2	4

(37) Income taxes

EUR million	2017	2016
Current income taxes	56	135
• Domestic and foreign corporation tax including solidarity surcharge	42	71
• Municipal trade tax/foreign local taxes	14	64
Deferred income taxes	–82	23
• Domestic and foreign corporation tax including solidarity surcharge	–60	14
• Municipal trade tax/foreign local taxes	–23	9
Total	–27	158

The tax income totalled EUR –27 million in the reporting year (FY 2016: tax expense of EUR 158 million). Deferred tax income of EUR –83 million (FY 2016: tax expense of EUR 23 million) arose from changes in the value of deferred tax assets on loss carryforwards and temporary differences. Current tax expenses of EUR 56 million (FY 2016: EUR 135 million) arose largely from the current income taxes in the reporting year of the consolidated tax group of the Bank's domestic units in the amount of EUR 111 million and the tax refunds for previous years of EUR –73 million. A current tax expense of EUR 13 million also arose in the consolidated tax group of the Bank's domestic units in the reporting year, which was booked in other comprehensive income under equity.

The effective income tax expense recognised in the reporting year was EUR 235 million lower (FY 2016: EUR 68 million) than the expected tax expense. The factors responsible for this difference are shown in the table below:

EUR million	2017	2016
Profit/loss before taxes	652	708
Group tax rate (in %)	32.0	32.0
Estimated tax expense (+) / or income (–)	208	226
Effects from differing local tax rates	–6	–15
Effects from taxes from previous years recognised in the reporting year	–255	–64
Effects from changes in tax rates	26	2
Effects from additions to/deductions of municipal trade tax	–1	–7
Effects from other non-deductible operating expenses	19	10
Effects from tax-free income	–29	–68
Effects from permanent accounting differences	4	11
Effects from revaluations and corrections	6	63
Other	1	–
Effective tax expense (+) or income (–)	–27	158
Effective tax rate (in %)	–4.1	22.3

Estimated income tax expenses/income were calculated using the tax rate for companies liable to taxes in Germany. In the reporting year, based on the applicable tax rates for corporate income tax, the solidarity surcharge and municipal trade tax, the Group tax rate was 32.0 percent as at the reporting date (FY 2016: 32.0 percent).

The main factors affecting the calculation of the effective tax rate in the reporting year were tax effects from previous years recognised in the financial year, tax-free gains on earnings from equity interests in the consolidated tax group of the Bank's domestic units and the effects from writedowns and corrections.

The effect from the change to tax rates (tax expense) of EUR 26 million (FY 2016: EUR 2 million) was almost entirely due to the remeasurement of the surplus of deferred tax assets of the New York branch arising from the US tax reforms which took effect at the end of the reporting year.

The impact from the tax income from previous years recognised in the reporting year of EUR 255 million (FY 2016: EUR 64 million) arose mainly from the income tax refunds of EUR 73 million recognised for previous years and the correction of amounts on the tax balance sheet from previous years of EUR 131 million.

The tax effects from writedowns/corrections of EUR 6 million (FY 2016: EUR 63 million) arose from changes in the recognition of deferred taxes on temporary differences, and from changes in the recognition of deferred taxes on tax loss carryforwards. In the reporting year, these arose mainly on the Bank's domestic units in the amount of EUR 60 million and on the New York branch in the amount of EUR –57 million (tax income).

Notes to the balance sheet

(38) Cash reserves

EUR million	2017	2016
Cash	126	177
Deposits with central banks	3,429	1,919
Total	3,556	2,096

(39) Loans and advances to banks

EUR million	2017	2016
Loans and advances to domestic banks	32,393	21,465
Loans and advances to foreign banks	5,391	7,329
Total	37,783	28,794

Loans and advances to banks by maturity

EUR million	2017	2016
Payable on demand	16,233	6,387
With residual maturity of	21,550	22,407
• up to 3 months	4,154	4,798
• between 3 months and 1 year	3,634	4,156
• between 1 year and 5 years	5,542	6,079
• more than 5 years	8,219	7,374
Total	37,783	28,794

(40) Loans and advances to customers

EUR million	2017	2016
Loans and advances to domestic customers	112,036	110,593
• Government entities/companies under public law	26,091	24,700
• Private companies/private individuals	85,945	85,893
Loans and advances to foreign customers	22,650	24,167
• Government entities/companies under public law	1,954	1,935
• Private companies/private individuals	20,695	22,232
Total	134,686	134,760

Loans and advances to customers by maturity

EUR million	2017	2016
With residual maturity of	132,976	132,939
• up to 3 months	13,225	11,871
• between 3 months and 1 year	10,191	11,884
• between 1 year and 5 years	42,968	41,787
• more than 5 years	66,592	67,397
Perpetual maturities	1,710	1,821
Total	134,686	134,760

(41) Risk provisions

EUR million	2017	2016
Specific loan loss provisions	1,013	1,146
Portfolio provisions	172	160
Total	1,185	1,305

Changes in specific loan loss provisions

EUR million	Loans and advances to banks		Loans and advances to customers		Total	
	2017	2016	2017	2016	2017	2016
As at 1 Jan	1	113	1,145	2,405	1,146	2,518
Changes recognised in income statement	7	-15	162	205	169	190
• Additions	10	-	412	422	422	422
• Releases	3	15	236	180	239	195
• Unwinding	-	-	14	37	14	37
Changes not recognised in income statement	-8	-98	-294	-1,465	-302	-1,563
• Currency-related changes	1	-	-16	-15	-15	-15
• Utilisation	8	-	290	1,535	298	1,535
• Transfers/other changes	-	-98	12	85	12	-12
As at 31 Dec	-	1	1,013	1,145	1,013	1,146

Specific loan loss provisions by sector

EUR million	2017	2016
Real estate	331	380
Consumer durables	133	–
Renewable energy	115	140
Retail customers	107	173
Construction	65	71
Utilities	60	40
Logistics	49	143
Technology	31	8
Food & beverages	17	23
Healthcare	17	20
Gas	15	17
Automotive	13	12
Non-ferrous metals/iron and coal mining	12	44
Ship/rolling stock construction	9	–
Aviation	7	8
Telecommunications	7	7
Steel	5	5
Wholesale & retail	5	2
Media	2	3
Pulp & paper	2	3
Manufacturing & engineering	2	–
Banks/financial services providers	1	2
Countries/public sector	1	1
Defence	–	1
Other sectors	5	42
Total	1,013	1,146

Changes in portfolio provisions

EUR million	Loans and advances to banks		Loans and advances to customers		Total	
	2017	2016	2017	2016	2017	2016
As at 1 Jan	10	94	150	134	160	228
Changes recognised in income statement	–3	–35	7	–23	5	–58
• Additions	–	1	43	28	43	29
• Releases	3	36	35	51	38	87
• Unwinding	–	–	–	–	–	–
Changes not recognised in income statement	–	–49	7	39	7	–11
• Utilisation	–	–	1	3	1	3
• Transfers/other changes	–	–49	8	41	8	–8
As at 31 Dec	7	10	165	150	172	160

Risk provisions for contingent liabilities and other commitments are shown as provisions for risks in the credit business (see note 56).

(42) Assets held for trading

EUR million	2017	2016
Bonds, notes and other fixed-income securities	1,607	2,573
• Money market instruments	177	351
• Bonds and notes	1,430	2,222
Equities and other non-fixed income securities	356	265
• Equities	356	265
Receivables held for trading	1,306	1,511
• Schuldschein note loans	1,306	1,511
Positive fair values from derivative financial instruments (not hedge accounting)	8,712	12,587
Total	11,981	16,936

Assets held for trading by maturity

EUR million	2017	2016
With residual maturity of	11,625	16,671
• up to 3 months	860	1,573
• between 3 months and 1 year	1,187	1,728
• between 1 year and 5 years	3,286	5,141
• more than 5 years	6,292	8,229
Perpetual maturities	356	265
Total	11,981	16,936

(43) Positive fair values from derivative financial instruments (hedge accounting)

EUR million	2017	2016
Positive fair values from micro fair value hedges	813	1,073
Total	813	1,073

Positive fair values from derivative financial instruments (hedge accounting) by maturity

EUR million	2017	2016
With residual maturity of		
• up to 3 months	7	–
• between 3 months and 1 year	22	16
• between 1 year and 5 years	124	182
• more than 5 years	660	874
Total	813	1,073

(44) Financial investments

EUR million	2017	2016
Financial investments in the fair value option category	267	134
• Bonds, notes and other fixed-income securities	88	–
• Interests in non-consolidated subsidiaries, joint ventures, associates and other interests	179	134
Financial investments in the loans and receivables category	72	171
• Bonds, notes and other fixed-income securities	72	171
Financial investments in the available-for-sale category	23,024	26,403
• Bonds, notes and other fixed-income securities	22,362	25,750
• Equities and other non-fixed income securities	218	210
• Interests in non-consolidated subsidiaries, joint ventures, associates and other interests	312	293
• Other financial investments	132	151
Total	23,363	26,708

Financial investments in the loans and receivables category resulted from the reclassification of securities from the available-for-sale category (see note 63).

The sub-items bonds, notes and other fixed-income securities and equities and other non-fixed income securities comprise:

EUR million	2017	2016
Bonds, notes and other fixed-income securities	22,522	25,921
• Money market instruments	24	217
• Bonds and notes	22,498	25,704
Equities and other non-fixed income securities	218	210
• Investment units	218	210

Financial investments by maturity

EUR million	2017	2016
With residual maturity of	22,833	26,206
• up to 3 months	440	1,462
• between 3 months and 1 year	1,880	2,102
• between 1 year and 5 years	11,976	12,333
• more than 5 years	8,537	10,309
Perpetual maturities	530	502
Total	23,363	26,708

(45) Investment property

EUR million	2017	2016
Land and buildings for rental	31	32
Total	31	32

Changes in investment property

EUR million	2017	2016
Cost		
• As at 1 Jan	59	58
• As at 31 Dec	59	59
Depreciation and impairment reversals		
• As at 1 Jan	27	23
• Depreciation	1	1
• Transfers	–	2
• As at 31 Dec	28	27
Carrying amount		
• As at 1 Jan	32	35
• As at 31 Dec	31	32

As at the reporting date, the fair value of investment property was EUR 86 million (FY 2016: EUR 86 million). The fair value was calculated by independent experts and based on the German income method (Ertragswertverfahren) using market and geodata. The main inputs are unobservable (Level 3 in the fair value hierarchy).

(46) Property, plant and equipment

EUR million	2017	2016
Owner-occupied property	309	317
Furniture and office equipment	31	31
Total	340	347

Changes in property, plant and equipment

EUR million	Owner-occupied property		Furniture and office equipment		Total	
	2017	2016	2017	2016	2017	2016
Cost						
• As at 1 Jan	379	378	116	131	495	509
• Currency-related changes	–	–	–1	1	–1	1
• Additions	1	1	8	12	9	13
• Disposals	–	–	5	28	5	28
• As at 31 Dec	379	379	119	116	498	495
Depreciation and impairment reversals						
• As at 1 Jan	62	56	86	102	148	158
• Currency-related changes	–	–	–	1	–	1
• Depreciation	8	8	7	9	15	17
• Impairments	–	–	–	2	–	2
• Transfers	–	–2	–	–	–	–2
• Disposals	–	–	4	28	4	28
• As at 31 Dec	70	62	88	86	158	148
Carrying amount						
• As at 1 Jan	317	322	31	30	347	351
• As at 31 Dec	309	317	31	31	340	347

In the reporting year and in the year before, no transfers were made from property, plant and equipment to non-current assets or disposal groups classified as held for sale.

(47) Intangible assets

EUR million	2017	2016
Internally generated intangible assets	52	56
Other intangible assets	34	31
Total	86	86

Other intangible assets comprise purchased software.

Changes in intangible assets

EUR million	Internally generated intangible assets		Other intangible assets		Total	
	2017	2016	2017	2016	2017	2016
Cost						
• As at 1 Jan	153	151	189	179	343	329
• Currency-related changes	–	–	–1	–	–1	–
• Additions	5	3	16	15	21	17
• Disposals	–	–	11	4	11	4
• As at 31 Dec	158	153	194	189	352	343
Depreciation and impairment reversals						
• As at 1 Jan	98	74	159	149	256	223
• Currency-related changes	–	–	–1	–	–1	–
• Depreciation	8	12	11	12	20	24
• Impairments	–	12	1	–	1	12
• Disposals	–	–	10	3	10	3
• As at 31 Dec	106	98	160	159	266	256
Carrying amount						
• As at 1 Jan	56	77	31	29	86	106
• As at 31 Dec	52	56	34	31	86	86

In the reporting year and in the year before, no reclassifications were made from other intangible assets to non-current assets or disposal groups classified as held for sale.

(48) Current and deferred income tax assets

EUR million	2017	2016
Current income tax assets	10	44
• Germany	8	40
• Abroad	2	4
Deferred income tax assets	544	358
• Germany	497	338
• Abroad	47	20
Total	554	402

The current income tax assets arose principally from previous years' municipal trade tax reimbursements claims and deductible income taxes.

The following deferred taxes under assets and liabilities relate to recognition and measurement differences in individual balance sheet items, and to tax loss carryforwards and tax credits:

	Deferred tax assets	Deferred tax liabilities	Deferred tax assets	Deferred tax liabilities
EUR million	2017	2017	2016	2016
Loans and advances to banks and customers including risk provisions in Germany	13	479	9	551
Assets held for trading	19	166	59	362
Positive fair values from derivative financial instruments (hedge accounting)	3	402	3	597
Financial investments	72	92	21	302
Property, plant and equipment	–	41	2	49
Other assets	138	129	144	219
Liabilities to banks and customers	619	28	568	66
Securitised liabilities	140	1	188	2
Liabilities held for trading	66	–	548	–
Negative fair values from derivative financial instruments (hedge accounting)	416	1	395	–
Provisions	156	42	252	29
Other liabilities	60	188	224	224
Subordinated capital	–	16	–	8
Loss carryforwards and other	427	–	354	–
Sub-total	2,129	1,585	2,767	2,409
Less netting	1,585	1,585	2,409	2,409
Total deferred taxes less provisions and netting	544	–	358	–

The deferred tax assets and liabilities of each reporting unit subject to taxation and of the consolidated tax group of the Bank's domestic units were fully netted, as the applicable tax laws permit actual tax liabilities to be offset against actual tax assets.

The EUR 186 million change (FY 2016: EUR 31 million) in net deferred income tax assets and liabilities (increase in surplus assets) does not correspond to deferred tax income of EUR 83 million (FY 2016: EUR 23 million tax expenses). This was primarily due to the changes in deferred taxes not recognised in the income statement; these offsetting effects were mainly the result of:

- the decrease in the surplus of deferred income tax liabilities recognised in the revaluation surplus in the amount of EUR 64 million (FY 2016: EUR 26 million).
- the correction of the loss carryforwards not carried through profit and loss in the previous years in the amount of EUR 45 million (FY 2016: EUR 27 million).

Tax loss carryforwards, tax credits and instalments for which a deferred tax asset has been recognised or not recognised are listed separately in the table below for all types of loss and tax credits relevant to the BayernLB Group. The tax loss carryforwards for the consolidated tax group of the Bank's domestic units were calculated based on the audit of the units. The period of time in which unrecognised loss carryforwards may still be used according to the tax law applicable in each case is also shown. Tax loss carryforwards of companies liable to taxes in Germany may be used indefinitely.

EUR million	2017	2016
Corporation tax		
• Loss carryforwards	3,781	4,374
– loss carryforwards for which a deferred tax asset has been recognised	1,187	894
– loss carryforwards for which no deferred tax asset has been recognised	2,594	3,480
expire after 10 years	1,728	2,142 ¹
may be used indefinitely	866	1,338 ¹
Municipal trade tax		
• Loss carryforwards	2,786	3,006
– loss carryforwards for which a deferred tax asset has been recognised	1,101	988
– loss carryforwards for which no deferred tax asset has been recognised	1,685	2,018
expire after 10 years	540	617 ¹
may be used indefinitely	1,145	1,401 ¹
Tax credits		
• Tax credits	11	13
– tax credits for which a deferred tax asset has been recognised	11	13

¹ Adjusted as per IAS 8.42 (see note 2).

No deferred tax assets were recognised for deductible temporary differences of EUR 1,834 million (FY 2016: EUR 1,704 million).

The deferred tax assets recognised on loss carryforwards relate to the tax planning for the relevant company/consolidated tax group of the Bank's domestic units.

(49) Non-current assets or disposal groups classified as held for sale

EUR million	2017	2016
Loans and advances to customers	–	27
Risk provisions	–	27
Financial investments	–	24
Total	–	25

With the deconsolidation of Banque LBLux S.A. in Liquidation, Luxembourg (LBLux i.L.), the held-for-sale equity interests in LB-RE S.A., Luxembourg were also disposed of.

The two held-for-sale loan exposures and the project financing were sold in the first half of 2017. As a result the associated risk provisions were released or utilised.

(50) Other assets

EUR million	2017	2016
Emissions certificates	1,256	697
Claims from reinsurance	222	219
Precious metals	356	175
Pre-paid expenses	21	20
Other assets	204	253
Total	2,060	1,365

EUR 375 million (FY 2016: EUR 198 million) of other assets are due after more than 12 months.

(51) Liabilities to banks

EUR million	2017	2016
Liabilities to domestic banks	48,512	48,620
Liabilities to foreign banks	5,929	5,591
Total	54,442	54,211

Liabilities to banks by maturity

EUR million	2017	2016
Payable on demand	7,027	6,395
With residual maturity of	47,415	47,816
• up to 3 months	4,881	4,569
• between 3 months and 1 year	5,126	5,291
• between 1 year and 5 years	14,058	15,074
• more than 5 years	23,350	22,882
Total	54,442	54,211

Liabilities to banks by product

EUR million	2017	2016
Schuldschein note loans/issues	5,490	5,695
• Schuldschein note loans	2,457	2,789
• Registered public Pfandbriefs issued	996	1,006
• Mortgage Pfandbriefs issued	709	706
• Other registered securities	1,326	1,193
Book-entry liabilities	48,952	48,515
• Pass-through business/subsidised loans	33,100	32,138
• Overnight and time deposits	7,386	8,728
• Current account liabilities	6,559	6,683
• Securities repurchase transactions	1,051	556
• Other liabilities	856	410
Total	54,442	54,211

(52) Liabilities to customers

EUR million	2017	2016
Liabilities to domestic customers	82,809	80,302
• Government entities/companies under public law	13,293	13,631
• Private companies/private individuals	69,516	66,671
Liabilities to foreign customers	9,136	6,493
• Government entities/companies under public law	2,700	1,899
• Private companies/private individuals	6,436	4,594
Total	91,945	86,795

Liabilities to customers by maturity

EUR million	2017	2016
With residual maturity of		
• up to 3 months	64,650	59,550
• between 3 months and 1 year	4,761	3,646
• between 1 year and 5 years	7,821	7,820
• more than 5 years	14,713	15,779
Total	91,945	86,795

Liabilities to customers by product

EUR million	2017	2016
Schuldschein note loans/issues	20,150	21,348
• Schuldschein note loans	1,541	2,652
• Registered public Pfandbriefs issued	8,677	8,680
• Mortgage Pfandbriefs issued	3,303	3,558
• Other registered securities	6,628	6,458
Book-entry liabilities	71,796	65,447
• Pass-through business/subsidised loans	–	–
• Overnight and time deposits	37,258	36,974
• Current account liabilities	32,015	26,425
• Securities repurchase transactions	536	70
• Other liabilities	1,987	1,978
Total	91,945	86,795

(53) Securitised liabilities

EUR million	2017	2016
Bonds and notes issued	35,058	36,051
• Mortgage Pfandbriefs	3,837	4,718
• Public Pfandbriefs	11,524	11,964
• Other bonds	19,698	19,369
Other securitised liabilities	6,789	3,568
• Money market instruments	6,729	3,568
• Miscellaneous securitised liabilities	60	–
Total	41,847	39,618

Securitised liabilities by maturity

EUR million	2017	2016
With residual maturity of		
• up to 3 months	8,604	4,374
• between 3 months and 1 year	3,751	4,570
• between 1 year and 5 years	14,640	14,831
• more than 5 years	14,854	15,843
Total	41,847	39,618

(54) Liabilities held for trading

EUR million	2017	2016
Trading portfolio liabilities	746	632
• Liabilities from short sales	190	174
• Other liabilities	556	458
Negative fair values from derivative financial instruments (not hedge accounting)	6,935	10,342
Total	7,681	10,974

Liabilities held for trading by maturity

EUR million	2017	2016
With residual maturity of		
• up to 3 months	1,054	1,655
• between 3 months and 1 year	1,044	1,577
• between 1 year and 5 years	2,074	2,773
• more than 5 years	3,508	4,969
Total	7,681	10,974

(55) Negative fair values from derivative financial instruments (hedge accounting)

EUR million	2017	2016
Negative fair values from micro fair value hedges	774	930
Negative fair values from portfolio fair value hedges	67	194
Total	841	1,124

Negative fair values from derivative financial instruments (hedge accounting) by maturity

EUR million	2017	2016
With residual maturity of		
• up to 3 months	12	23
• between 3 months and 1 year	20	124
• between 1 year and 5 years	114	186
• more than 5 years	695	791
Total	841	1,124

(56) Provisions

EUR million	2017	2016
Provisions for pensions and similar obligations	3,718	3,775¹
Other provisions	515	668
• Provisions in the credit business	80	87
• Restructuring provisions	192	241
• Miscellaneous provisions	242	340
Total	4,233	4,443

¹ Adjusted as per IAS 8.42 (see note 2).

EUR 323 million (FY 2016: EUR 407 million) of other provisions are due after more than 12 months.

Provisions for pensions and similar obligations

The provisions for pensions recognised in the balance sheet are broken down as follows:

EUR million	2017	2016
Present value of defined benefit obligations	3,883	3,936 ¹
Fair value of plan assets	–168	–161
Effects of the asset ceiling	3	–
Recognised pension provisions	3,718	3,775

¹ Adjusted as per IAS 8.42 (see note 2).

Reimbursement rights of EUR 222 million (FY 2016: EUR 219 million) are recognised as assets in the BayernLB Group and reported under other assets. These are rights from insurance contracts (reinsurance) which correspond in terms of their size and maturity to the benefits from the related pension obligations to be paid.

Changes in provisions for pensions

EUR million	2017	2016
As at 1 Jan	3,775	3,623¹
Current service cost	54	52
Past service cost	–	26
Net interest expenses	66	80
Changes arising from remeasurement	–80	101
Employer contributions	–7	–15
Benefits paid	–91	–90
Transfers/other changes	1	–3
As at 31 Dec	3,718	3,775

¹ Adjusted as per IAS 8.42 (see note 2).

The changes arising from remeasurement comprise actuarial gains and losses from the change in the present value of defined benefit obligations of EUR –81 million (FY 2016: EUR 119 million), income from plan assets of EUR 2 million (FY 2016: EUR 9 million) and changes arising from the asset ceiling of EUR 3 million (FY 2016: EUR –9 million). These are shown in retained earnings within equity (see note 60).

Change in the present value of defined benefit obligations

EUR million	2017	2016
As at 1 Jan	3,936	3,762¹
Currency-related changes	–3	–12
Current service cost	54	52
Past service cost	–	26
Net interest expenses	70	85
Changes arising from remeasurement	–81	119
Employee contributions	1	–
Benefits paid	–94	–94
Transfers/other changes	1	–3
As at 31 Dec	3,883	3,936

¹ Adjusted as per IAS 8.42 (see note 2).

The changes arising from the remeasurement of the present value of defined benefit obligations are due to changes in actuarial assumptions. Of this, EUR 14 million (FY 2016: EUR 112 million) relates to changes in financial assumptions and EUR –88 million (FY 2016: EUR 7 million) to experience-based changes. The change in financial assumptions takes account of losses arising from lower market interest rates.

As at the reporting date, the present value of the BayernLB Group's defined benefit obligations was EUR 3,883 million (FY 2016: EUR 3,936 million¹). Of this, EUR 2,551 million (FY 2016: EUR 2,633 million) relates to salary-related entitlements, EUR 673 million (FY 2016: EUR 655 million) to allowances in the event of illness, and EUR 659 million (FY 2016: EUR 647 million¹) to other defined benefit plans, which are determined largely on the basis of contributions to legally independent benefits providers.

The assumptions concerning the measurement parameters have an impact on the size of the present value of defined benefit obligations and therefore the pension expense. To calculate the impact of changes in assumptions on the present value of defined benefit obligations, a sensitivity analysis is conducted for each major measurement parameter in the same way as for the original measurement of the present value of defined benefit obligations using the projected unit credit method.

¹ Adjusted as per IAS 8.42 (see note 2).

A change in the assumptions used to calculate the present value of defined benefit obligations in the reporting year (see note 21) of 0.5 percentage points in each case would, as at 31 December 2017, impact the present value of the defined benefit obligations as follows:

EUR million	0.5 percentage point increase		0.5 percentage point decrease	
	2017	2016	2017	2016
Discount rate	–310	–323 ²	355	371 ²
Salaries and benefits ¹	260	266 ²	–231	–236 ²
Changes in medical costs	78	85	–68	–75

¹ In the sensitivity calculations, changes in estimated future salaries and benefits are shown together. These incorporate the offsetting impact from a change in the social insurance pension trend by +/-0.25 percentage points.

² Adjusted as per IAS 8.42 (see note 2).

An increase in life expectancy (biometrics) by one year has an impact of EUR 127 million (FY 2016: EUR 128 million).

Change in the fair value of plan assets

EUR million	2017	2016
As at 1 Jan	161	149
Currency-related changes	–3	–13
Interest income	4	5
Changes arising from remeasurement	2	9
Employer contributions	7	15
Employee contributions	1	–
Benefits paid	–3	–3
As at 31 Dec	168	161

The BayernLB Group's plan assets comprise:

EUR million	Prices not quoted on active markets	
	2017	2016
Cash and cash equivalents	58	57
Equity Instruments	39	42
• Fund units	39	42
Debt instruments	71	61
• Corporate bonds	27	24
• Government bonds	14	14
• Fund units	20	15
• Reinsurance	6	6
• Other debt instruments	4	3
Total	168	161

Change in the fair value of the reimbursement rights reported as an asset

EUR million	2017	2016
As at 1 Jan	219	215
Interest income	5	6
Benefits paid	–2	–2
As at 31 Dec	222	219

In the BayernLB Group, rights from insurance contracts were capitalised as reimbursement claims. These were acquired by BayernLB in Germany in its role as employer to provide funding that matches employee's entitlements in Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich.

Changes in the impact of the asset ceiling

EUR million	2017	2016
As at 1 Jan	–	10
Currency-related changes	–	–1
Changes arising from remeasurement	3	–9
As at 31 Dec	3	–

As at 31 December 2017, the pension plan of a foreign branch reported pension assets in excess of pension obligations.

The pension expenses recognised in the income statement comprise:

EUR million	2017	2016
Current service cost	–54	–52
Past service cost	–	–26
Interest income/expenses	–61	–75 ¹
Total	–115	–152

¹ Adjusted as per IAS 8.42 (see note 2).

The total pension expenses in the reporting year of EUR –115 million (FY 2016: EUR –152 million²) were recognised under the net interest income item in the amount of EUR –61 million (FY 2016: EUR –75 million¹) and under administrative expenses in the amount of EUR –54 million (FY 2016: EUR –77 million).

The current pension obligations have an average term (capital tie-up period) of 19 years. Contributions to the BayernLB Group's pension plans in financial year 2018 are estimated to be EUR 105 million.

¹ Adjusted as per IAS 8.42 (see note 2).

² Adjusted as per IAS 8.42 (see note 2).

Other provisions

EUR million	Provisions in the credit business				Restructuring provisions		Miscellaneous provisions	
	Individual transaction level		Portfolio level					
	2017	2016	2017	2016	2017	2016	2017	2016
As at 1 Jan	70	73	17	20	241	292	340	314
Currency-related changes	−3	1	−	−	−	−	−	−
Changes in the scope of consolidation	−	−	−	−	−	−	−1	−
Utilisation	−	−	−	−	42	44	163	115
Releases	31	17	2	4	5	17	118	55
Additions	54	19	1	1	−2	−1	177	184
Interest	−	−	−	−	2	3	1	2
Changes in discount rate	−	−	−	−	−1	9	−	4
Transfers/other changes	−26	−6	−	−	−	−	6	6
As at 31 Dec	63	70	17	17	192	241	242	340

The restructuring provision was created mainly due to BayernLB's cost-cutting programme and includes, in particular, future expenses from planned reductions in headcount.

The miscellaneous provisions item includes personnel-related provisions which are mainly short-term in nature. This line item also includes provisions in connection with equity interests, litigation costs and for loss events.

The size of each provision corresponds to the best, i.e. uncertain, estimate of the amount of the liability which is likely to be utilised. In the case of litigation, neither the length of the proceedings nor the amount can be reliably predicted when the provision is created.

(57) Current and deferred income tax liabilities

EUR million	2017	2016
Current income tax liabilities	252	198
• Germany	251	194
• Abroad	1	4
Total	252	198

Current income tax liabilities arose predominantly (in Germany) in the consolidated tax group of the Bank's domestic units (EUR 250 million) and (outside Germany) in the New York branch (EUR 1 million).

Deferred income tax liabilities are listed in note 48, alongside the breakdown for deferred income tax assets.

(58) Other liabilities

EUR million	2017	2016
Accruals	364	350
Deferred income	40	28
Other liabilities	158	294
Total	562	671

EUR 10 million (FY 2016: EUR 11 million) of other liabilities are due after more than 12 months.

(59) Subordinated capital

EUR million	2017	2016
Subordinated liabilities	1,446	2,600
Profit participation certificates (debt component)	414	398
Dated silent partner contributions (debt component)	43	40
Hybrid capital	–	44
Total	1,903	3,081

Subordinated capital by maturity

EUR million	2017	2016
With residual maturity of	1,876	3,054
• up to 3 months	131	83
• between 3 months and 1 year	75	1,203
• between 1 year and 5 years	593	674
• more than 5 years	1,077	1,094
Perpetual maturities	27	27
Total	1,903	3,081

(60) Equity

EUR million	2017	2016
Equity excluding non-controlling interests	10,803	11,019
• Subscribed capital	3,412	4,412
– statutory nominal capital	2,800	2,800
– capital contribution	612	612
– perpetual silent partner contributions	–	1,000
• Compound instruments	45	69
– profit participation certificates (equity component)	40	61
– dated silent partner contributions (equity component)	5	8
• Capital surplus	2,182	2,182
• Retained earnings	4,825	4,043
– statutory reserve	1,268	1,268
– other retained earnings	3,557	2,775 ¹
• Revaluation surplus	288	315
• Foreign currency translation reserve	2	–1
• Net retained profits/net accumulated losses	50	–
Non-controlling interests	13	15
Total	10,816	11,035

1 Adjusted as per IAS 8.42 (see note 2).

Subscribed capital

BayernLB Holding AG, Munich holds 100 percent of BayernLB's nominal capital. As at 31 December 2017, the Free State of Bavaria's equity interest in BayernLB Holding AG was 75 percent and the equity interest of the Association of Bavarian Savings Banks, Munich was 25 percent.

The capital contribution, reported as specific-purpose capital up to 31 December 2012, was created by a contribution in kind by the Free State of Bavaria in the form of subsidised loans in 1994/1995. Its basis was the law on the formation of special-purpose assets through the transfer of receivables held in trust belonging to the Free State of Bavaria to the liable equity capital of Bayerische Landesbank Girozentrale of 23 July 1994, as most recently amended by the law of 9 May 2006, and the contribution agreements of 15 December 1994 and of 28 December 1995, each as most recently amended by agreement on 23 December 2005. The specific-purpose capital transferred is used to construct social housing. To ensure various equity components are recognised as Common Equity Tier 1 capital under the CRR/CRD IV requirements applicable since 1 January 2014, specific-purpose capital was modified and transferred to the capital contribution reported in subscribed capital with effect from 1 January 2013.

The fall in undated silent partner contributions is due to the mutually agreed termination of silent partner contributions with the Free State of Bavaria and the related repayment of the remaining contributions of EUR 1 billion.

Compound instruments

As a residual interest as defined in IAS 32.11, the equity components of profit participation certificates and dated silent partner contributions reported in this sub-item correspond to the present value of expected future distributions. All liabilities on profit participation certificates and silent partner contributions will be paid from the net income for the reporting year in accordance with the terms of the contract.

Capital surplus

The capital surplus is derived mainly from additional contributions to the parent company's equity.

Retained earnings

Allocations to the reserves from earnings generated in previous years and the reporting year are reported in the retained earnings item.

In addition, the retained earnings item includes the impact from the remeasurement of defined benefit pension plans.

Revaluation surplus

Gains or losses on the measurement of available-for-sale financial instruments are reported in this sub-item in equity.

EUR million	2017	2016
As at 1 Jan	315	409
Currency-related changes	1	1
Changes in the scope of consolidation	-19	-
Changes in value not recognised in the income statement	-76	231
Changes in deferred taxes not recognised in the income statement	2	-7
Changes in value/realisations recognised in the income statement	65	-320
Non-controlling interests/other changes	-	1
As at 31 Dec	288	315

Foreign currency translation reserve

The foreign currency translation reserve principally includes the exchange rate differences arising from the translation of the separate financial statements of the subsidiaries and foreign branches incorporated in the consolidated financial statements whose functional currency is not the euro.

Net retained profits/net accumulated losses

The net retained profits/net accumulated losses of the BayernLB Group correspond to the consolidated profit after changes in reserves.

Notes to financial instruments

(61) Fair value of financial instruments

	Fair value	Carrying amount	Fair value	Carrying amount
EUR million	2017	2017	2016	2016
Assets				
• Cash reserves	3,556	3,556	2,096	2,096
• Loans and advances to banks ¹	37,786	37,783	28,815	28,794
• Loans and advances to customers ¹	137,978	134,686	140,484	134,760
• Assets held for trading	11,981	11,981	16,936	16,936
• Positive fair values from derivative financial instruments (hedge accounting)	813	813	1,073	1,073
• Financial investments	23,370	23,363	26,717	26,708
• Non-current assets or disposal groups classified as held for sale	–	–	33	25
Liabilities				
• Liabilities to banks	55,488	54,442	55,795	54,211
• Liabilities to customers	93,776	91,945	89,178	86,795
• Securitised liabilities	42,292	41,847	40,215	39,618
• Liabilities held for trading	7,681	7,681	10,974	10,974
• Negative fair values from derivative financial instruments (hedge accounting)	841	841	1,124	1,124
• Subordinated capital	2,106	1,903	3,167	3,081

¹ Carrying amounts not including deductions of risk provisions for loans and advances to banks in the amount of EUR 7 million (FY 2016: EUR 10 million) and loans and advances to customers in the amount of EUR 1,178 million (FY 2016: EUR 1,295 million).

Information on the fair value measurement of financial instruments recognised at amortised cost is given in note 6.

(62) Financial instrument measurement categories

EUR million	2017	2016
Assets		
• Financial assets at fair value through profit or loss	12,364	17,352
– held-for-trading financial assets	11,981	16,936
assets held for trading	11,981	16,936
– fair value option	383	416
loans and advances to customers	117	281
financial investments	267	134
• Loans and receivables	175,976	165,532
– cash reserves	3,556	2,096
– loans and advances to banks ¹	37,783	28,794
– loans and advances to customers ¹	134,565	134,472
– financial investments	72	171
• Available-for-sale financial assets	23,028	26,435
– loans and advances to customers	4	7
– financial investments	23,024	26,403
– non-current assets or disposal groups classified as held for sale	–	24
• Positive fair values from derivative financial instruments (hedge accounting)	813	1,073
Liabilities		
• Financial liabilities at fair value through profit or loss	15,474	18,726
– held-for-trading financial liabilities	7,681	10,974
liabilities held for trading	7,681	10,974
– fair value option	7,794	7,752
liabilities to banks	237	217
liabilities to customers	3,301	3,444
securitised liabilities	4,252	4,043
subordinated capital	4	48
• Financial liabilities measured at amortised cost	182,343	175,953
– liabilities to banks	54,205	53,994
– liabilities to customers	88,645	83,351
– securitised liabilities	37,596	35,576
– subordinated capital	1,898	3,032
• Negative fair values from derivative financial instruments (hedge accounting)	841	1,124

¹ Not including deduction of risk provisions.

(63) Reclassification of financial assets

Pursuant to the amendments by the International Accounting Standards Board to IAS 39 and IFRS 7 “Reclassification of Financial Assets” and to Commission Regulation (EC) No 1004/2008, BayernLB reclassified certain available-for-sale securities as loans and receivables as at 1 July 2008.

No active market exists for the securities reclassified from the available-for-sale category to the loans and receivables category. There is also no short-term intention to sell or trade them. BayernLB has the intention and the ability to hold them for the foreseeable future.

No other reclassifications were made during the reporting year.

The fair values and the carrying amounts of the reclassified securities at the end of the reporting period in accordance with IAS 39 in conjunction with IFRS 7.12A (b) were:

	Fair value	Carrying amount	Fair value	Carrying amount
EUR million	2017	2017	2016	2016
Available-for-sale securities reclassified as loans and receivables	80	72	179	171
Total	80	72	179	171

As at the reporting date the nominal volume of the reclassified securities was EUR 57 million (FY 2016: EUR 151 million).

In the following table, in accordance with IAS 39 in conjunction with IFRS 7.12A, the changes in value, whether recognised or not in profit or loss, as well as current income, are shown “without reclassification” as compared with the corresponding “with reclassification” values. All earnings effects including current earnings components have been recognised.

	Without reclassification ¹	With reclassification ²	Without reclassification ¹	With reclassification ²
EUR million	2017	2017	2016	2016
Reclassification from the available-for-sale category				
• Net interest income	7	7	13	13
– interest income from bonds, notes and other fixed-income securities	7	7	13	13
• Gains or losses on hedge accounting	–1	–1	–2	–2
– measurement of underlying transactions	–1	–1	–2	–2
• Gains or losses on financial investments	–	–	5	5
– gains or losses on sales	–	–	5	5
• Change in the revaluation surplus	–	–1	–1	1
Total	6	5	15	18

¹ Taking account of the category before reclassification.

² Taking account of the category after reclassification.

(64) Fair value hierarchy of financial instruments

The fair value hierarchy divides the inputs used to measure the fair value of financial instruments into three levels:

- Unadjusted quoted prices for identical financial instruments in active markets that the BayernLB Group can access at the measurement date (Level 1),
- Inputs not included within Level 1 that are observable either directly or indirectly, i.e. quoted prices for similar financial instruments in active markets, quoted prices in markets that are not active, other observable inputs that are not quoted prices, and market-corroborated inputs (Level 2) and
- Unobservable inputs (Level 3).

Financial instruments measured at fair value

In the overviews below, financial instruments recognised at fair value in the balance sheet are classified according to whether they are measured with prices quoted on active markets (Level 1), their fair value is calculated using measurement methods whose key inputs can be directly or indirectly observed (Level 2) or are not based on observable market data (Level 3).

EUR million	Level 1		Level 2		Level 3		Total	
	2017	2016	2017	2016	2017	2016	2017	2016
Assets								
• Loans and advances to customers	–	–	117	281	4	7	120	288
• Assets held for trading	629	666	11,286	15,713	66	557	11,981	16,936
• Positive fair values from derivative financial instruments (hedge accounting)	–	–	813	1,073	–	–	813	1,073
• Financial investments	6,587	9,645	16,245	16,436	458	456	23,291	26,537
• Non-current assets or disposal groups classified as held for sale	–	–	–	–	–	24	–	24
Total	7,217	10,311	28,460	33,504	528	1,045	36,204	44,859
Liabilities								
• Liabilities to banks	–	–	237	217	–	–	237	217
• Liabilities to customers	–	–	3,301	3,444	–	–	3,301	3,444
• Securitised liabilities	363	213	3,889	3,830	–	–	4,252	4,043
• Liabilities held for trading	276	210	7,394	10,745	10	19	7,681	10,974
• Negative fair values from derivative financial instruments (hedge accounting)	–	–	841	1,124	–	–	841	1,124
• Subordinated capital	–	–	4	48	–	–	4	48
Total	640	423	15,665	19,407	10	19	16,315	19,849

Fair values calculated on the basis of unobservable market data (Level 3) by risk type

EUR million	Interest rate risks		Currency risks		Equity and other price risks		Total	
	2017	2016	2017	2016	2017	2016	2017	2016
Assets								
• Loans and advances to customers	4	7	–	–	–	–	4	7
• Assets held for trading	57	532	9	25	–	–	66	557
• Financial investments	–	–	–	–	458	456	458	456
• Non-current assets or disposal groups classified as held for sale	–	–	–	–	–	24	–	24
Total	61	539	9	25	458	481	528	1,045
Liabilities								
• Liabilities held for trading	1	2	9	17	–	–	10	19
Total	1	2	9	17	–	–	10	19

Reclassifications between Levels 1 and 2

EUR million	Reclassifications			
	to Level 1 from Level 2		to Level 2 from Level 1	
	2017	2016	2017	2016
Assets				
• Assets held for trading	14	26	35	18
• Financial investments	971	1,612	1,917	1,925
Total	985	1,639	1,951	1,943
Passiva				
• Securitised liabilities	325	168	150	186
• Liabilities held for trading	4	7	2	5
Total	328	175	152	190

In the reporting year, financial instruments were reclassified between Level 1 and Level 2, as they will again be measured/will no longer be measured using prices quoted on active markets. The amounts reclassified were calculated on the basis of the fair value at the end of the reporting year.

Changes in fair values calculated on the basis of unobservable market data (Level 3) – assets

EUR million	Loans and advances to customers		Assets held for trading		Positive fair values from derivative financial instruments (hedge accounting)		Financial investments		Non-current assets or disposal groups classified as held for sale		Total	
	2017	2016	2017	2016	2017	2016	2017	2016	2017	2016	2017	2016
As at 1 Jan	7	12	557	584	–	–	456	477	24	151	1,045	1,225
Currency-related changes	–	–	35	31	–	–	–1	–	–	–	35	31
Changes in the scope of consolidation	–	–	–	–	–	–	50	–3	–24	–	26	–3
Income and expenses recognised in the income statement	–1	–2	–88	20	–3	–	2	2	–	–	–91	21
Changes in the revaluation surplus	–1	–1	–	–	–	–	–4	35	–	11	–5	45
Purchases	–	–	–	6	–	–	3	23	–	–	3	29
Sales	–	2	500	11	–	–	46	41	–	169	546	222
Settlements	1	1	–	–	–	–	1	–	–	–	2	1
Reclassifications to Level 3 from Levels 1 and 2	–	–	40	9	–	–	–	–	–	–	40	9
Reclassifications from Level 3 to Levels 1 and 2	–	–	78	127	–	–	–	–	–	–	78	127
Transfers/other changes	–	–	101	44	3	–	–3	–36	–	30	101	38
As at 31 Dec	4	7	66	557	–	–	458	456	–	24	528	1,045
Income and expenses recognised in the income statement during the financial year for financial instruments held at 31 Dec	–1	–2	–92	56	–3	–	2	–1	–	–	–94	54

Changes in fair values calculated on the basis of unobservable market data (Level 3) – liabilities

EUR million	Liabilities held for trading		Negative fair values from derivative financial instruments (hedge accounting)		Total	
	2017	2016	2017	2016	2017	2016
As at 1 Jan	19	20	–	–	19	20
Currency-related changes	–35	20	–	–	–35	20
Income and expenses recognised in the income statement	8	–16	–	–	8	–16
Reclassifications to Level 3 from Levels 1 and 2	4	3	–	–	4	3
Reclassifications from Level 3 to Levels 1 and 2	87	50	3	–	90	50
Transfers/other changes	102	43	3	–	104	43
As at 31 Dec	10	19	–	–	10	19
Income and expenses recognised in the income statement during the financial year for financial instruments held at 31 Dec	–5	–13	–	–	–5	–13

The income and expenses recognised in the income statement are shown under the gains or losses on fair value measurement item if they are not measurement gains or losses from hedge accounting (recognised in gains or losses on hedge accounting), impairments of financial investments in the available-for-sale category (recognised in gains or losses on financial investments) or writedowns of receivables in the available-for-sale category (recognised in other income and expenses). Changes in the revaluation surplus are a component of other comprehensive income.

In the reporting period, the materiality of the unobservable inputs was assessed based on fair value. As a result financial instruments were reclassified to Level 3 from Levels 1 and 2 and from Level 3 to Levels 1 and 2.

The models used to calculate fair value must conform with financial valuation methods and take account of all factors market participants would consider reasonable when setting a price. Within the BayernLB Group, the models used, including any major changes, are reported to the Board of Management for approval mainly by Group Risk Control and Group Strategy in the form of a separate resolution or as part of their regular reporting. All calculated fair values are subject to internal controls and are independently checked or validated by risk-control units and the units with responsibility for equity interests in accordance with the dual control principle. The procedures used for this are contained in the guidelines approved by the Board of Management for the BayernLB Group. Fair values are reported on a regular basis to the management of the divisions concerned and to the Board of Management.

Until the structure was dissolved in April 2017, a financial instrument with an embedded derivative structure was allocated to Level 3 of the fair value hierarchy. This financial instrument was in an economic hedge with the associated hedging derivative. As at 31 December 2017, the sensitivity of this hedge package to changes in key factors was:

- for a ten-basis point upward (downward) shift in the euro yield curve:
EUR –0.1 million (EUR +0.1 million)
- for a ten-basis point increase (decrease) in the measurement spread:
EUR –1.3 million (EUR +1.3 million)

Other derivative financial instruments whose significant inputs for measuring fair value are not observable on the market are also allocated to Level 3 of the fair value hierarchy. As at 31 December 2017, the sensitivity of these financial instruments to changes in key factors was:

- for a 10-percentage point increase (decrease) in expected loss given default:
EUR –1.2 million (EUR +1.2 million) (31 December 2016: EUR –0.8 million (EUR +0.9 million))
- for a one notch improvement (deterioration) in the ratings:
EUR +0.8 million (EUR –1.0 million) (31 December 2016: EUR +0.3 million (EUR –0.6 million)).

In addition, receivables secured by real estate that were purchased on the non-performing loan market were allocated to Level 3 of the fair value hierarchy as there was no current market activity in these or similar loans and advances. As at 31 December 2017, the sensitivity of these real estate secured receivables to changes in key factors was:

- for a 5-percentage point increase (decrease) in the realisable value:
EUR +0.2 million (EUR –0.2 million) (31 December 2016: EUR +0.3 million (EUR –0.3 million)).
- for a 6-month extension (reduction) in the realisation period:
EUR 0 million (EUR 0 million) (31 December 2016: EUR 0 million (EUR 0 million)).

For the acquisition of its shares in Visa Europe Limited, London by Visa Inc., San Francisco on 21 June 2016, the BayernLB Group received a payment in cash, the right to further payments in future, and preference shares in Visa Inc., San Francisco. The fair value of the preference shares is determined by the market price of Visa Inc. common stock and potential risks from litigation. A risk discount of about 50 percent was therefore used to calculate the fair value. As at 31 December 2017, the key sensitivity of this financial instrument to changes in key factors was:

- for a 10-percentage point upward (downward) movement in the conversion ratio:
EUR +2.8 million (EUR –2.8 million) (31 December 2016: EUR +2.2 million (EUR –2.2 million)).

As at 31 December 2017, the key sensitivity of equity interests whose fair value is calculated using the German income method (Ertragswertverfahren) to changes in key factors was:

- for a 25-basis point upward (downward) movement in the base interest rate:
EUR –4.8 million (EUR +5.1 million) (31 December 2016: EUR –5.0 million (EUR +5.3 million))
- for a 25-basis point upward (downward) movement in the market risk premium:
EUR –4.3 million (EUR +4.5 million) (31 December 2016: EUR –4.4 million (EUR +4.7 million)).

The underlying base interest rate moved within a range of 1.0–1.5 percent (average: 1.25 percent), while the underlying market risk premium moved within a range of 6.25–6.75 percent (average: 6.5 percent).

Financial instruments measured at amortised cost

In the overview below, the fair values of the financial instruments recognised at amortised cost in the balance sheet are classified according to whether they are measured with prices quoted on active markets (Level 1), their fair value is calculated using measurement methods whose key inputs can be directly or indirectly observed (Level 2) or are not based on observable market data (Level 3).

EUR million	Level 1		Level 2		Level 3		Total	
	2017	2016	2017	2016	2017	2016	2017	2016
Assets								
• Cash reserves	–	–	–	–	3,556	2,096	3,556	2,096
• Loans and advances to banks	–	–	15,348	10,844	22,438	17,971	37,786	28,815
• Loans and advances to customers	–	–	3,935	2,266	133,922	137,930	137,857	140,196
• Financial investments	–	34	80	146	–	–	80	179
• Non-current assets or disposal groups classified as held for sale	–	–	–	–	–	8	–	8
Total	–	34	19,363	13,255	159,916	158,006	179,279	171,294
Liabilities								
• Liabilities to banks	–	–	12,685	20,065	42,565	35,513	55,251	55,578
• Liabilities to customers	–	–	28,389	25,128	62,086	60,607	90,476	85,735
• Securitised liabilities	1,414	3,451	36,384	32,422	241	300	38,040	36,172
• Subordinated capital	414	223	1,505	2,686	183	210	2,102	3,118
Total	1,828	3,674	78,965	80,301	105,075	96,629	185,868	180,604

(65) Financial instruments designated at fair value through profit or loss

The maximum default risk for loans and receivables in the fair value option category was EUR 117 million as at the reporting date (FY 2016: EUR 281 million). The rating-related change in the fair value of these financial assets since designation was EUR 2 million in the reporting year (FY 2016: EUR 4 million). There were only minor changes in fair value in the reporting year or in the year before.

There were no rating-related changes in the fair value of financial liabilities in the fair value option category in the reporting year (FY 2016: EUR –20 million) and, since designation, it has fallen by EUR 71 million (FY 2016: reduction of EUR 61 million). The difference between the carrying amount of the financial liabilities and the redemption amount at maturity was EUR 527 million as at the reporting date (FY 2016: EUR 703 million).

The change in fair value caused by changes in ratings was calculated by taking the difference between the fair value based on the credit spreads at the end and at the beginning of the reporting year.

(66) Net profit or loss from financial instruments

The net profit or loss from financial instruments in each category incorporates the gains or losses from measurement and realisation.

EUR million	2017	2016
Financial assets and financial liabilities at fair value through profit or loss	205	142
• Held-for-trading financial instruments ¹	202	159
– gains or losses on fair value measurement	202	159
• Financial instruments at fair value through profit or loss (fair value option)	3	–17
– gains or losses on fair value measurement	3	–17
Loans and receivables	–92	–94
• Risk provisions in the credit business	–85	–101
• Gains or losses on financial investments	1	5
• Other income and expenses	–8	2
Available-for-sale financial assets	24	269
• Gains or losses on financial investments	24	269
Financial liabilities measured at amortised cost	–6	–3
• Other income and expenses	–6	–3

¹ Includes current income (except for derivatives in economic hedges) and gains or losses from currency translation.

Gains or losses from the fair value measurement of available-for-sale financial assets in the amount of EUR –76 million (FY 2016: EUR 231 million) were reported in the revaluation surplus in equity (see note 60).

(67) Offsetting of financial instruments

When conducting derivatives transactions and securities repurchase transactions, the BayernLB Group regularly concludes bilateral netting agreements in the form of master agreements with business partners. Among the standard master agreements used are the ISDA Master Agreement for Financial Derivatives, the German Master Agreement for Financial Derivatives Transactions and the Global Master Repurchase Agreement for securities repurchase transactions. Agreements granting rights of set-off include the clearing conditions of Eurex Clearing AG, LCH.Clearnet Limited, European Commodity Clearing AG, and the client clearing agreements for indirect clearing. The netting agreements provide for conditional rights of set-off in the form of close-out netting for receivables and liabilities covered by these agreements, i.e. only if previously defined conditions, e.g. cancellation of the master agreement, default or insolvency, occur can the legal right of set-off be enforced.

Besides the master agreements for financial derivatives, collateral agreements are concluded with business partners to safeguard the net claim or liability left after offsetting. The main ones used are the Credit Support Annex to the ISDA Master Agreement and the collateral addendum to the German Master Agreement for Financial Derivatives Transactions. The master agreements for securities repurchase transactions and the derivatives clearing agreements contain similar collateral rules. Collateral agreements usually grant the protection buyer an unrestricted right of disposal

over the collateral, which is normally cash or securities collateral. Collateral agreements with no or a limited right of disposal are rare. Bilateral master agreements mainly provide for the realisation of collateral through offsetting.

The tables below give information on recognised financial instruments offset in accordance with IAS 32.42 and recognised financial instruments with a legally enforceable right of set-off or which are subject to a similar agreement. The “Set-off amount” column shows the amounts offset in accordance with IAS 32.42. These relate to transactions with central counterparties. The “Effect of netting arrangements” column shows the amounts relating to financial instruments subject to a netting agreement, but not offset on the balance sheet as the criteria under IAS 32.42 were not met. The “Collateral” column shows the fair value of received or pledged financial collateral.

Offsetting of financial assets and financial liabilities as at 31 December 2017 – assets

EUR million	Gross carrying amount	Set-off amount	On-balance net carrying amount	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	22,344	-12,820	9,524	-4,760	-1,836	2,928
• Assets held for trading/ Positive fair values from derivative financial instruments (hedge accounting)	22,344	-12,820	9,524	-4,760	-1,836	2,928
Securities repurchase transactions	3,297	-	3,297	-224	-3,001	73
• Loans and advances to banks	3,072	-	3,072	-224	-2,775	73
• Loans and advances to customers	226	-	226	-	-226	-
Total	25,642	-12,820	12,822	-4,984	-4,837	3,001

Offsetting of financial assets and financial liabilities as at 31 December 2017 – liabilities

EUR million	Gross carrying amount	Set-off amount	On-balance net carrying amount	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	21,408	-13,632	7,775	-4,760	-1,229	1,786
• Liabilities held for trading/ Negative fair values from derivative financial instruments (hedge accounting)	21,408	-13,632	7,775	-4,760	-1,229	1,786
Securities repurchase transactions	1,564	-	1,564	-224	-1,318	23
• Liabilities to banks	1,028	-	1,028	-224	-784	20
• Liabilities to customers	536	-	536	-	-533	3
Total	22,972	-13,632	9,339	-4,984	-2,547	1,809

Offsetting of financial assets and financial liabilities as at 31 December 2016 – assets

EUR million	Gross carrying amount	Set-off amount	On-balance net carrying amount	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	29,960	-16,300	13,660	-7,206	-1,646	4,808
• Assets held for trading/ Positive fair values from derivative financial instruments (hedge accounting)	29,960	-16,300	13,660	-7,206	-1,646	4,808
Securities repurchase transactions	4,229	-	4,229	-510	-3,472	247
• Loans and advances to banks	4,229	-	4,229	-510	-3,472	247
Total	34,189	-16,300	17,889	-7,715	-5,118	5,056

Offsetting of financial assets and financial liabilities as at 31 December 2016 – liabilities

EUR million	Gross carrying amount	Set-off amount	On-balance net carrying amount	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	29,260	-17,796	11,465	-7,206	-1,653	2,606
• Liabilities held for trading/ Negative fair values from derivative financial instruments (hedge accounting)	29,260	-17,796	11,465	-7,206	-1,653	2,606
Securities repurchase transactions	608	-	608	-510	-97	1
• Liabilities to banks	538	-	538	-510	-28	-
• Liabilities to customers	70	-	70	-	-69	1
Total	29,868	-17,796	12,073	-7,715	-1,750	2,607

(68) Derivative transactions

The tables below show interest rate and foreign currency-related derivatives still open at the end of the reporting period and other forward transactions and credit derivatives. Most were concluded to hedge fluctuations in interest rates, exchange rates or market prices or were trades for the account of customers.

EUR million	Nominal value		Positive fair value		Negative fair value	
	2017	2016	2017	2016	2017	2016
Interest rate risks	898,670	883,478	19,893	26,072	18,916	25,287
• Interest rate swaps	648,135	617,153	19,197	25,065	17,998	23,894
• FRAs	205,270	223,702	28	17	27	16
• Interest rate options	17,484	19,682	531	821	796	1,251
– call options	6,613	6,379	452	763	48	34
– put options	10,871	13,303	79	58	748	1,217
• Caps, floors	10,416	10,335	131	166	57	69
• Exchange-traded contracts	16,628	11,285	–	–	–	–
• Other interest-based forward transactions	737	1,321	5	3	38	56
Currency risks	113,659	117,585	2,142	3,561	1,874	3,467
• Forward exchange deals	89,839	87,679	1,310	2,104	1,231	1,903
• Currency swaps/cross-currency swaps	20,520	26,712	761	1,400	591	1,526
• Foreign exchange options	2,711	2,858	68	42	45	37
– call options	1,548	1,533	66	40	1	1
– put options	1,163	1,325	2	2	44	36
• Other currency-based forward transactions	588	336	2	15	7	1
Equity and other price risks	5,531	4,893	292	296	480	423
• Equity forward transactions	307	221	–	–	34	26
• Equity/index options	403	425	5	5	1	1
– call options	365	387	5	5	–	–
– put options	38	38	–	–	1	1
• Exchange-traded contracts	1,100	634	–	–	16	15
• Other forward transactions	3,721	3,612	286	291	430	382
Credit derivative risks	175	964	–	–	4	2
• Protection buyer	175	804	–	–	4	2
• Protection seller	–	160	–	–	–	–
Total	1,018,035	1,006,920	22,327	29,930	21,274	29,179

Derivative transactions by maturity

EUR million	Nominal value							
	Interest rate risks		Currency risks		Equity and other price risks		Credit derivative risks	
	2017	2016	2017	2016	2017	2016	2017	2016
Residual maturities								
• up to 3 months	43,022	34,898	52,103	52,027	1,869	1,468	–	50
• between 3 months and 1 year	235,951	253,377	30,839	31,126	1,431	1,041	–	221
• between 1 year and 5 years	346,978	322,873	21,589	24,519	2,050	2,066	135	650
• more than 5 years	272,720	272,330	9,127	9,913	181	318	40	43
Total	898,670	883,478	113,659	117,585	5,531	4,893	175	964

Derivative transactions by counterparty

EUR million	Nominal value		Positive fair value		Negative fair value	
	2017	2016	2017	2016	2017	2016
OECD banks	272,379	269,012	8,555	11,764	7,594	11,340
Non-OECD banks	357	661	3	10	2	15
Public-sector entities within the OECD	10,205	13,313	642	845	403	513
Other counterparties ¹	735,094	723,934	13,126	17,311	13,275	17,312
Total	1,018,035	1,006,920	22,327	29,930	21,274	29,179

¹ Including exchange-traded contracts.

Derivatives for trading purposes

EUR million	Nominal value		Positive fair value		Negative fair value	
	2017	2016	2017	2016	2017	2016
Interest rate derivatives	690,115	701,198	15,024	19,833	14,281	19,238
Currency derivatives	106,482	106,165	1,679	2,761	1,791	3,176
Equity derivatives	3,507	3,433	188	225	284	306
Credit derivatives	135	872	–	–	4	2
Total	800,238	811,667	16,891	22,819	16,360	22,723

(69) Transfer of financial assets

The following transactions were executed at standard market terms and conditions.

Transferred financial assets that are not derecognised in their entirety

As at the reporting date the volume of financial assets transferred as collateral that are not derecognised was EUR 49,858 million (FY 2016: EUR 50,371 million).

These include genuine securities repurchase agreements, where the BayernLB Group sold securities with a repurchase obligation. As the risks (interest rate, currency, equity and other price risks and credit risks) and rewards (particularly capital gains and current income) are largely retained by the BayernLB Group, the financial assets are not derecognised. The obligation of the lender to return the payment received as collateral for the transferred security is recognised as a financial liability. The lender has an unrestricted right of disposal over the securities once they are delivered.

The BayernLB Group also passes on funds received from development institutions for specific purposes on their own terms through savings banks or directly to end-borrowers. The loans and advances to savings banks and end-borrowers are recognised as assets and the liabilities to development institutions as liabilities. The loans and advances to savings banks and end-borrowers and any pledged collateral are assigned as collateral to the development institutions and may be realised by them in the event of loss. The BayernLB Group retains default risk in respect of the loans and advances to the savings banks and end-borrowers.

The BayernLB Group has also pledged collateral for funding, largely for tender operations with the European Central Bank. Collateral has also been pledged to the European Investment Bank and for transactions on other exchanges and clearing systems. The financial assets transferred as collateral for the corresponding (contingent) liabilities are not derecognised, as the risks and rewards are largely retained by the BayernLB Group.

The carrying amount of transferred financial collateral relates to the following items:

EUR million	2017	2016
Loans and advances to banks	15,622	15,718
Loans and advances to customers	20,339	20,811
Assets held for trading	375	328
of which:		
• collateral received which may be sold or pledged on	16	17
Financial investments	13,522	13,515
of which:		
• collateral received which may be sold or pledged on	437	255
Total	49,858	50,371

The transferred financial assets are matched against liabilities of EUR 19,702 million (FY 2016: EUR 18,374 million).

The assets in the cover pool are managed in accordance with the German Pfandbrief Act (Pfandbriefgesetz). As at the reporting date the volume of the cover funds was EUR 46,369 million (FY 2016: EUR 47,880 million) for an outstanding volume of mortgage-backed Pfandbriefs and public Pfandbriefs of EUR 27,898 million (FY 2016: EUR 29,357 million).

The BayernLB Group also pledged collateral of EUR 67 million (FY 2016: EUR 41 million) for the utilisation of irrevocable payment obligations in connection with the bank levy and deposit guarantee scheme. Of this amount, cash collateral of EUR 35 million (FY 2016: EUR 26 million) was deposited for the bank levy and EUR 7 million (FY 2016: EUR 4 million) deposited for the statutory compensation scheme which Deutsche Kreditbank Aktiengesellschaft, Berlin belongs to. Securities of EUR 25 million (FY 2016: EUR 12 million) were transferred for the bank-specific guarantee scheme BayernLB belongs to (see note 77).

Transferred financial assets that are derecognised in their entirety

As at the reporting date there was no material continuing involvement in transferred financial assets that are derecognised in their entirety.

Notes to the cash flow statement

(70) Notes on items in the cash flow statement

The cash flow statement shows the cash flows of the financial year classified into operating activities, investment activities and financing activities.

The cash and cash equivalents line item corresponds to the cash reserves item in the balance sheet and comprises cash and deposits with central banks, including the corresponding exchange rate loss of EUR 94.6 million. Cash and cash equivalents are not subject to any drawing restrictions.

Cash flows from operating activities comprise payments from loans and advances to banks and to customers, from securities (not including financial investments), derivatives, and other assets. Payments from liabilities to banks/customers, securitised liabilities, and from other liabilities also fall under this category. Likewise included are interest and dividend payments from operating activities.

Cash flows from investment activities include payments for: financial investments; investment property; property, plant and equipment; and intangible assets. The impact from changes to the scope of consolidation is also reported under this item.

Distributions to company owners and minority shareholders, and changes in subordinated capital and non-controlling interests are likewise part of cash flow from financing activities. The non-cash changes in subordinated capital on the balance sheet were due to falls in fair value of EUR 28.4 million and other negative changes (including exchange rate losses) of EUR 199.2 million.

Supplementary information

(71) Subordinated assets

Subordinated assets are recognised in the following items on the balance sheet:

EUR million	2017	2016
Loans and advances to banks	11	30
Loans and advances to customers	424	370
Financial investments	116	128
Total	551	528

(72) Assets and liabilities in foreign currency

EUR million	2017	2016
Foreign currency assets	22,024	22,762
• CAD	432	497
• CHF	1,881	2,293
• GBP	5,699	5,502
• HKD	3	2
• JPY	86	131
• USD	13,193	13,691
• Other currencies	731	647
Foreign currency liabilities	21,585	16,429
• CAD	68	97
• CHF	512	491
• GBP	3,455	2,436
• HKD	149	1
• JPY	311	450
• USD	16,619	12,696
• Other currencies	470	259

(73) Collateral received

Certain assets that have been pledged as collateral through securities repurchase transactions may be sold on or repledged even if the collateral provider has not defaulted. As at the reporting date their fair value was EUR 6,884 million (FY 2016: EUR 8,895 million).

EUR 4,656 million (FY 2016: EUR 4,638 million) of this collateral was either sold on or repledged. An obligation to return this collateral exists.

These transactions were executed at standard market terms and conditions.

(74) Leasing

Finance leases

The BayernLB Group did not have any finance leases as at the reporting date.

Operating leases

The BayernLB Group as lessor

The BayernLB Group is a lessor in operating leases. The leased property is real estate. The future minimum lease payments from non-cancellable operating leases are broken down as follows:

EUR million	2017	2016
Residual maturities		
• up to 1 year	4	4
• between 1 year and 5 years	14	15
• more than 5 years	3	6
Total	22	25

The BayernLB Group as lessee

The BayernLB Group's current commitments from operating leases are primarily for leases for office space with options to extend the lease or clauses to adjust prices. The future minimum lease payments based on non-cancellable operating leases are broken down as follows:

EUR million	2017	2016
Residual maturities		
• up to 1 year	20	20
• between 1 year and 5 years	75	72
• more than 5 years	38	40
Total	134	133

In the reporting year minimum lease payments of EUR 19 million (FY 2016: EUR 20 million) were recognised as an expense.

(75) Trust transactions

EUR million	2017	2016
Assets held in trust	4,889	4,957
• Loans and advances to banks	23	32
• Loans and advances to customers	4,866	4,925
Liabilities held in trust	4,889	4,957
• Liabilities to banks	11	12
• Liabilities to customers	4,878	4,945

(76) Contingent assets, contingent liabilities and other commitments

EUR million	2017	2016
Contingent liabilities	10,759	10,691
• Liabilities from guarantees and indemnity agreements	10,753	10,671
• Other contingent liabilities	6	20
Other commitments	25,510	24,099
• Placement and underwriting commitments	–	15
• Irrevocable credit commitments	25,510	24,085
Total	36,269	34,790

Contingent liabilities and other commitments are possible liabilities arising from the occurrence of an uncertain future event whose settlement amount and date cannot be reliably estimated. Other contingent liabilities include possible liabilities arising from litigation.

EUR 7,787 million (FY 2016: EUR 7,936 million) of contingent liabilities and EUR 17,519 million (FY 2016: EUR 16,588 million) of other liabilities are due after more than 12 months.

As at the reporting date there were also contingent assets from income taxes in the triple-digit million range and contingent assets from litigation where the Bank considers an inflow of economic benefits that cannot be reliably estimated at present to be probable.

(77) Other financial obligations

Other financial obligations arise principally from agency, rental, usage, service, maintenance, consulting and marketing agreements.

As at the reporting date there were call commitments for capital not fully paid up of EUR 8 million (FY 2016: EUR 10 million) and uncalled liabilities from German limited partnership (Kommanditgesellschaft) interests of EUR 29 million (FY 2016: EUR 29 million). Liabilities to subsidiaries not incorporated in the consolidated financial statements totalled EUR 29 million (FY 2016: EUR 30 million).

As at the reporting date, the BayernLB Group had EUR 67 million (FY 2016: EUR 41 million) of irrevocable payment obligations in connection with the bank levy and deposit guarantee scheme. Cash collateral of EUR 42 million (FY 2016: EUR 30 million) and securities collateral of EUR 25 million (FY 2016: EUR 12 million) were provided for these obligations (see note 69).

Following the implementation of the Deposit Guarantee Scheme Act (EinSiG), which became law on 3 July 2015, agreement was reached on a new system for calculating the target volume in the guarantee scheme. Member institutions have until 3 July 2024 to achieve the target volume of funds for the guarantee scheme (the fill-up phase). The amount of the target volume will be calculated each year based on the data as at 31 December of the previous year. By 31 May of any given year, the German Savings Bank Association (DSGV), the body responsible for the guarantee scheme, will calculate the mandatory annual contribution.

Under the terms of the statutes of the deposit insurance fund run by the Association of German Public Banks, VÖB, e. V. (VÖB), BayernLB has undertaken to reimburse the fund for all payments made pursuant to the statutes on behalf of Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB) to cover proven defaults as the fund is unable to enforce its rights of recourse against DKB.

Under the terms of the contract to spin off Bayerische Landesbausparkasse (LBS AöR-alt) to LBS Bayerische Landesbausparkasse (LBS AöR-neu) on 10 December 2012, BayernLB and LBS AöR-neu are jointly and severally liable for the liabilities that were created up until the date of spin-off and assigned to LBS AöR-neu in the spin-off agreement. BayernLB is liable for the liabilities within the meaning of the preceding sentence only if they mature within five years of the date of the spin-off and the resulting claim has been legally enforced against BayernLB. Due to the stable financial position and financial performance of LBS AöR-neu there is currently no risk of a claim being brought.

(78) Letters of comfort

BayernLB provides its subsidiaries with significant benefits in the form of improved business terms and better financing conditions by issuing them and their creditors letters of comfort. BayernLB also benefits as the value of its subsidiaries is enhanced. At the same time, however, it is also potentially liable for losses.

BayernLB is liable for ensuring that Deutsche Kreditbank Aktiengesellschaft, Berlin is able to fulfil its contractual obligations in proportion to the size of its equity interest except in cases of political risk.

Expiry of the letter of comfort for LB(Swiss) Privatbank AG as at 21 December 2009 and for Landesbank Saar as at 21 June 2010

Prior to the reporting year, BayernLB issued letters of comfort for LB(Swiss) Privatbank AG, Zurich (LB(Swiss)) and Landesbank Saar, Saarbrücken (SaarLB). At the end of 21 December 2009 BayernLB transferred its equity interest in LB(Swiss) to Landesbank Hessen-Thüringen, Frankfurt am Main and at the end of 21 June 2010 sold its 25.2 percent interest in the share capital of SaarLB to the Saarland. SaarLB therefore no longer qualifies as an associate of BayernLB under section 271, para. 2 HGB (German Commercial Code). As a result the letter of comfort for LB(Swiss) expired at the end of 21 December 2009 and for SaarLB at the end of 21 June 2010. The liabilities of LB(Swiss) created after the end of 21 December 2009 and the liabilities of SaarLB created after the end of 21 June 2010 are not covered by the letters of comfort and therefore any previous declarations have been revoked.

Expiry of the letter of comfort for Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation), Luxembourg as at 1 May 2015

BayernLB previously issued a letter of comfort for Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation), Luxembourg. This letter of comfort was rescinded with effect from the end of 30 April 2015. As a result, the letter of comfort will in particular no longer cover liabilities of Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation) that were created after 30 April 2015, and all previously issued letters were also rescinded.

(79) Shareholdings

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR '000	Earnings in EUR '000
Consolidated subsidiaries				
Bayern Card-Services GmbH - S-Finanzgruppe, Munich	Direct	50.1	23,818	3,573
BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich ¹	Direct	100.0	18,754	–
Deutsche Kreditbank Aktiengesellschaft, Berlin ¹	Direct	100.0	2,435,912	–
Subsidiaries included in the Deutsche Kreditbank Aktiengesellschaft sub-group:				
• DKB Finance GmbH, Berlin	Indirect	100.0	12,115	–
• DKB Grund GmbH, Berlin	Indirect	100.0	126	9
• DKB Service GmbH, Potsdam	Indirect	100.0	7,100	–
• FMP Forderungsmanagement Potsdam GmbH, Potsdam	Indirect	100.0	8,190	3,535
• MVC Unternehmensbeteiligungsgesellschaft mbH, Berlin	Indirect	100.0	224	16
• PROGES EINS GmbH, Berlin	Indirect	100.0	480	–
Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich ¹	Direct	100.0	45,455	–
Real I.S. Investment GmbH, Munich ²	0	100.0	3,000	–
Non-consolidated subsidiaries				
Banque LBLux S.A. i.L., L - Luxembourg	Direct	100.0	60,071	–35,754
Bauland GmbH, Baulandbeschaffungs-, Erschließungs- und Wohnbaugesellschaft, Munich	Indirect	94.5	–10,106	–
Bavaria Immobilien-Beteiligungs-Gesellschaft mbH & Co. Objekt Fürth KG, Munich	Indirect	100.0	–	–
Bavaria Immobilien-Beteiligungs-Gesellschaft mbH, Munich	Indirect	100.0	4	–1
Bayerische Landesbank Europa-Immobilien-Beteiligungs-GmbH, Munich	Indirect	100.0	109	–
Bayerische Landesbank Immobilien-Beteiligungs-Gesellschaft mbH & Co. KG, Munich	Direct	100.0	37,115	4,560
Bayerische Landesbank Immobilien-Beteiligungs-Verwaltungsgesellschaft mbH, Munich	Direct	100.0	51	4
Bayern Bankett Gastronomie GmbH, Munich ¹	Direct	100.0	514	–
Bayern Corporate Services GmbH, Munich	Indirect	100.0	205	–
Bayern Facility Management GmbH, Munich ¹	Direct	100.0	2,560	–
BayernFinanz Gesellschaft für Finanzmanagement und Beteiligungen mbH, Munich ¹	Direct	100.0	725	–
Bayernfonds Australien 4 GmbH i.L., Munich	Indirect	100.0	25	–
Bayernfonds Immobilien Concept GmbH, Munich	Indirect	100.0	18	–4
Bayernfonds Immobiliengesellschaft mbH, Munich	Direct and indirect	100.0	4,087	–982
Bayernfonds Kamberra GmbH, Munich	Indirect	100.0	25	–
Bayernfonds Opalus GmbH, Munich	Indirect	100.0	25	–
BayernImmo 2. Joint Venture Verwaltungs GmbH, Munich	Indirect	100.0	22	–3
BayernInvest Luxembourg S.A., L - Munsbach	Indirect	100.0	1,288	–35
BayernLB Capital Partner GmbH, Munich	Direct	100.0	1,325	41
BayernLB Capital Partner Verwaltungs-GmbH, Munich	Direct	100.0	44	2
BayernLB Mittelstandsfonds GmbH & Co. Unternehmensbeteiligungs KG, Munich	Direct and indirect	100.0	25,508	1,584
BayernLB Private Equity GmbH, Munich	Direct	100.0	25,565	9,255
BayTech Venture Capital Initiatoren GmbH & Co. KG, Munich	Indirect	46.8	16	–41

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR '000	Earnings in EUR '000
Berchtesgaden International Resort Betriebs GmbH, Munich ¹	Direct	100.0	9,368	0
Berthier Participations SARL, F - Paris	Direct	100.0	398	12
BestLife 3 International GmbH & Co. KG, Munich	Indirect	50.4	10,418	-3,457
BGFM Bayerische Gebäude- und Facilitymanagement AG & Co. KG, Munich	Indirect	100.0	42	84
BGV IV Verwaltungs GmbH, Munich	Indirect	100.0	40	1
BGV VII Verwaltungs GmbH, Munich	Indirect	100.0	25	0
BGV VI Verwaltungs GmbH, Munich	Indirect	100.0	16	-7
BGV V Verwaltungs GmbH, Munich	Indirect	100.0	34	1
BLB-Beteiligungsgesellschaft Sigma mbH, Munich ¹	Direct	100.0	971	-
BLB-VG22-Beteiligungsgesellschaft mbH, Munich	Direct	100.0	2,467	-4
DKB BayernImmo Beteiligungs GmbH & Co. KG, Munich ³	Indirect	100.0		
DKB Immobilien Beteiligungs GmbH, Potsdam	Indirect	100.0	2,165	157
DKB Stiftung Liebenberg gGmbH, Löwenberger Land/ OT Liebenberg ⁴		100.0	562	2
DKB Stiftung Schorssow UG, Schorssow ⁴		100.0	0	184
DKB Stiftung - Vermögensverwaltungsgesellschaft mbH, Fürth ⁴		100.0	24	72
DKB Wohnen GmbH, Berlin	Indirect	94.5	25	0
DKB Wohnungsbau- und Stadtentwicklung GmbH, Berlin	Indirect	100.0	2,500	-
GbR Olympisches Dorf, Potsdam	Indirect	100.0	86	86
German Centre for Industry and Trade Shanghai Co. Ltd., PRC - Shanghai	Indirect	100.0	40,034	1,334
German Centre for Industry and Trade Taicang Co. Ltd., PRC - Taicang	Indirect	100.0	3,300	-798
German Centre Limited, BVI - Tortola	Direct	100.0	30,185	1,152
gewerbegründ AIRPORT GmbH Beteiligungsgesellschaft, Munich	Indirect	100.0	61	-1
gewerbegründ Bauträger GmbH & Co. Objekt IGG KG, Munich	Indirect	100.0	64	7
gewerbegründ Projektentwicklungsgesellschaft (gpe) mbH, Munich ¹	Direct	100.0	50	0
Global Format GmbH & Co. KG, Munich	Direct	52.4	1,992	170
Global Format Verwaltungsgesellschaft mbH, Munich	Indirect	100.0	30	1
LB Immobilienbewertungsgesellschaft mbH, Munich ¹	Direct	100.0	827	0
LB-RE S.A., L - Luxembourg	Indirect	100.0	5,082	0
Melhoria Immobiliengesellschaft mbH, Potsdam	Indirect	100.0	3,102	-
Oberhachinger Bauland GmbH, Wohnbau- und Erschließungsgesellschaft, Munich	Indirect	91.0	-2,416	-
Potsdamer Immobiliengesellschaft mbH, Potsdam	Indirect	100.0	44	8
PROGES DREI GmbH, Berlin	Indirect	100.0	662	-4
PROGES ENERGY GmbH, Berlin	Indirect	100.0	732	278
PROGES Sparingberg GmbH, Berlin	Indirect	100.0	110	-474
PROGES VIER GmbH, Berlin	Indirect	100.0	210	51
PROGES ZWEI GmbH, Berlin	Indirect	100.0	3,941	2,718
Real I.S. Australia Pty. Ltd., AUS - Sydney	Indirect	100.0	169	107
Real I.S. Beteiligungs GmbH, Munich	Indirect	100.0	88	8
Real I.S. BGV VII Europa Verwaltungs GmbH, Munich	Indirect	100.0	24	-1
Real I.S. Finanz GmbH, Munich ¹	Direct	100.0	25	-

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR '000	Earnings in EUR '000
Real I.S. Fonds Service GmbH, Munich ¹	Direct	100.0	196	–
Real I.S. France SAS, F - Paris	Indirect	100.0	886	197
Real I.S. Fund Management GmbH, Munich	Indirect	100.0	58	8
Real I.S. Gesellschaft für Immobilien Entwicklung und Management mbH & Co. KG, Munich	Indirect	100.0	4,388	–33
Real I.S. Gesellschaft für Immobilienmanagement mbH, Munich	Indirect	100.0	1,151	7
Real I.S. GREF Verwaltungen GmbH, Munich	Indirect	100.0	23	–2
Real I.S. Melbourne Australien 10 GmbH & Co. KG, Munich ³	Indirect	100.0		
Real I.S. Management Hamburg GmbH, Munich	Indirect	100.0	27	1
Real I.S. Management SA, L - Munsbach	Indirect	100.0	267	12
Real I.S. Objekt Bruchsal Verwaltungsgesellschaft mbH i.L., Oberhaching	Indirect	100.0	29	3
Real I.S. SMART Verwaltungen GmbH, Munich	Indirect	100.0	23	–2
Schütz Group GmbH & Co. KG, Rosbach	Indirect	54.4	2,783	1
Schütz Group Verwaltungsgesellschaft mbH, Rosbach	Indirect	100.0	49	2
SEPA Objekt Bruchsal GmbH & Co. KG i.L., Oberhaching	Indirect	100.0	91	–10
SEPA/Real I.S. Objekt Bruchsal Rathausgalerie GmbH & Co. KG, Oberhaching	Indirect	100.0	2,162	770
SEPA/Real I.S. Objekt Bruchsal Rathausgalerie Verwaltungen-GmbH, Oberhaching	Indirect	94.0	32	2
TFD und BGV VI Verwaltungen GmbH, Munich	Indirect	100.0	22	–
TFD und RFS Verwaltungen GmbH, Munich	Indirect	100.0	23	–
TFD Verwaltungen GmbH, Munich	Indirect	100.0	22	–3
Joint ventures not measured at equity				
ABG Allgemeine Bauträger- und Gewerbeimmobilien-gesellschaft & Co. Holding KG, Munich	Indirect	50.0	158	–134
ABG Allgemeine Bauträger- und Gewerbeimmobilien-gesellschaft mbH, Munich	Indirect	50.0	60	1
AKG ImmoPlus GmbH, Berlin ³	Indirect	50.0		
BayernImmo 1. Joint Venture GmbH & Co. KG, Munich	Indirect	50.0	7,588	–3
BayernImmo 1. Joint Venture Verwaltungen GmbH, Munich	Indirect	50.0	20	–5
CommuniGate Kommunikationsservice GmbH, Passau	Indirect	50.0	3,607	406
Einkaufs-Center Győr Verwaltungen G.m.b.H., Hamburg	Indirect	50.0	31	2
German Biofuels GmbH, Pritzwalk	Indirect	19.9	–7,712	1,169
German Centre for Industry and Trade India Holding-GmbH, Munich	Direct	50.0	906	–500
GHM MPP Reserve GmbH, Regenstein	Indirect	50.0	357	–4
GHM MPP Verwaltungen GmbH, Regenstein	Indirect	50.0	21	–1
MTI Main-Taunus Immobilien GmbH, Bad Homburg v.d.H.	Indirect	50.0	177	–4
S-Karten-Service-Management GmbH - Saarbrücken - München, Munich	Indirect	50.0	100	1
TEGES Grundstücks-Vermietungsgesellschaft mbH, Berlin	Indirect	50.0	18	–
TEGES Grundstücks-Vermietungsgesellschaft mbH & Co. Objekt Berlin KG, Berlin	Indirect	47.0	–6,714	295
Associates not measured at equity				
Bayerngrund Grundstücksbeschaffungs- und -erschließungs-Gesellschaft mit beschränkter Haftung, Munich	Direct	50.0	8,951	5

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR '000	Earnings in EUR '000
Bayern Mezzaninekapital GmbH & Co. KG - Unternehmensbeteiligungsgesellschaft, Munich	Direct	25.5	31,864	2,358
Bayern Mezzaninekapital Verwaltungs GmbH, Munich	Direct	49.0	46	1
Erste Tinten Holding GmbH, Hohenbrunn	Indirect	21.0	4,717	203
GHM Holding GmbH, Regenstein	Indirect	40.0	17,219	-17
G.I.E. Max Hymans, F - Paris	Indirect	33.3	-24,848	4,093
Neumarkt-Galerie Immobilienverwaltungsgesellschaft mbH i.L., Cologne	Indirect	49.0	82	-2
RSU Rating Service Unit GmbH & Co. KG, Munich	Direct	20.0	14,946	1,825
Unconsolidated structured entities				
Baserepo No. 1 S.A., L - Luxembourg ⁵			31	-
Bayern Invest Renten Europa-Fonds, Munich	Direct	52.2	20,243	1,760
DKB Asien Fonds ANL, L - Luxembourg	Indirect	86.1	21,491	-26
DKB Europa Fonds ANL, L - Luxembourg	Indirect	86.4	41,245	804
DKB Pharma Fonds ANL, L - Luxembourg	Indirect	78.8	36,917	-241
DKB Stiftung für gesellschaftliches Engagement, Löwenberger Land/OT Liebenberg ⁵			14,513	152
DKB Tele Tech Fonds ANL, L-Luxembourg	Indirect	93.0	21,952	-240
DKB Zukunftfonds ANL, L - Luxembourg	Indirect	83.5	35,806	-184
EK-Fonds der BayernInvest, Munich	Indirect	100.0	20,828	117
Other investees				
AKA Ausfuhrkredit GmbH, Frankfurt am Main	Direct	7.2	231,752	22,885
AQUILA Technische Entwicklungen GmbH i.L., Schönhagen ³	Indirect	16.1		
Bau-Partner GmbH i.L., Halle/Saale	Indirect	49.6	-239	-553
BayBG Bayerische Beteiligungsgesellschaft mbH, Munich	Direct	12.9	226,714	12,688
Bayerische Garantiegesellschaft mbH für mittelständische Beteiligungen, Munich	Direct	8.2	48,737	2,360
Bayernfonds Asia-Pacific Growth GmbH & Co. KG, Munich	Indirect	0.1	17,967	-1,220
Bayernfonds Immobilien Bürocenter Leipzig Käthe Kollwitz Straße KG, Munich	Indirect	0.2	-	2,232
Bayernfonds Immobilien Bürocenter Magdeburg KG, Munich	Indirect	0.1	6,582	-811
Bayernfonds Immobilien City-Investitionen Objekte Erfurt und Jena KG, Munich	Indirect	5.1	17,010	1,218
Bayernfonds Immobilien Dresden Bürozentrum Falkenbrunnen KG, Munich	Indirect	0.0	18,406	844
Bayernfonds Immobilien Fachmarktzentrum Erfurt, Leipziger Straße KG, Munich	Indirect	0.2	3,383	678
Bayernfonds Immobiliengesellschaft mbH & Co. Objekt Bad Kissingen Burkardus Wohnpark KG i.L., Munich	Indirect	0.2	-	8,032
Bayernfonds Immobiliengesellschaft mbH & Co. Objekt Hannover Forum im Pelikanviertel KG, Munich	Indirect	0.1	3,361	452
Bayernfonds Immobilien Jena Gewerbepark KG, Munich	Indirect	0.1	9,291	563
Bayernfonds Immobilien Objekt Berlin Hofgarten Friedrichstraße KG i.L., Munich	Indirect	0.0	79,584	53,238
Bayernfonds Immobilien Objekt Essen Holle-Karree KG, Munich	Indirect	0.1	8,206	676
Bayernfonds Immobilien Objekt Leipzig, Friedrich List Haus KG, Munich	Indirect	0.0	24,806	737

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR '000	Earnings in EUR '000
Bayernfonds Immobilienverwaltung Austria Objekt Bischofshofen KG, Munich	Indirect	0.0	7,393	266
Bayernfonds Immobilienverwaltung Austria Objekte Salzburg und Wien KG, Munich	Indirect	0.1	24,401	686
Bayernfonds Immobilienverwaltung GmbH & Co. Australien 7 KG, Munich	Indirect	0.0	71,730	2,664
Bayernfonds Immobilienverwaltung GmbH & Co. Australien 8 KG, Munich	Indirect	0.0	82,432	4,457
Bayernfonds Immobilienverwaltung GmbH & Co. Australien 9 KG, Munich	Indirect	0.0	83,661	3,027
Bayernfonds Immobilienverwaltung GmbH & Co. Hamburg Steindamm KG, Munich	Indirect	0.3	16,989	902
Bayernfonds Immobilienverwaltung GmbH & Co. Kamera KG, Munich	Indirect	0.0	129,395	9,446
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt England I KG, Munich	Indirect	0.2	20,954	575
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt Hamburg 3 KG, Munich	Indirect	5.3	24,753	134
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt Hamburg I KG, Munich	Indirect	0.3	6,654	456
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt München KG, Munich	Indirect	0.3	10,874	522
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt München Landsberger Straße KG, Munich	Indirect	0.3	23,417	1,110
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt München Ungerer Straße KG, Munich	Indirect	0.3	13,383	252
Bayernfonds Immobilienverwaltung GmbH & Co. Opalus KG, Munich	Indirect	0.0	100,727	8,482
Bayernfonds Immobilienverwaltung GmbH & Co. Regensburg KG, Munich	Indirect	0.3	33,267	1,371
Bayernfonds Immobilienverwaltung Objekt Bad Homburg KG, Munich	Indirect	5.1	7,810	714
Bayernfonds Immobilienverwaltung Objekt Berlin Schönhauser Allee Arcaden KG, Munich	Indirect	5.7	5,891	2,753
Bayernfonds Immobilienverwaltung Objekt Berlin Taubenstraße KG, Munich	Indirect	0.4	-10,434	868
Bayernfonds Immobilienverwaltung Objekt Düsseldorf Bonneshof GmbH & Co. KG, Munich	Indirect	0.3	27,425	927
Bayernfonds Immobilienverwaltung Objekt Wiesbaden, Hagenauer Straße 42, 44 und 46 KG, Munich	Indirect	5.1	13,899	-56
Bayernfonds Pacific Growth GmbH & Co. KG, Munich	Indirect	0.0	19,655	-92
BF Gewerbepark I GmbH i.L., Oberhaching	Indirect	6.0	22	0
BF Immobilienverwaltung Objekte München, Rüsselsheim, Düsseldorf-Ratingen KG, Munich	Indirect	0.3	7,606	14,426
BF REAL I.S. - DB Real Estate Immobilienverwaltung Objekte Berlin, Düsseldorf, Essen KG, Munich	Indirect	5.5	47,876	29,094
BGV Holding GmbH & Co. KG, Oberhaching	Indirect	0.0	44,456	3,196
BGV III Feeder 1 S.C.S. SICAV-FIS, L - Luxembourg	Indirect	0.1	-	17,990
BGV IV LYON 1 SCI, Munich	Indirect	0.0	12,467	-705
BGV IV PARIS 1 SCI, F - Paris	Indirect	0.0	5,731	72
BGV VI FAUBOURG SCI, F - Paris ³	Indirect	0.0		
BGV V LYON 1 SCI, F - Paris	Indirect	0.0	19,405	-1,473

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR '000	Earnings in EUR '000
BGV V Paris 1 SCI, F - Paris	Indirect	0.0	7,930	-609
BGV V Paris 2 SCI, F - Paris	Indirect	0.0	21,990	-1,346
BGV V ST GENEVIEVE 1 SCI, F - Paris	Indirect	0.0	7,830	-707
Cap Decisif S.A.S., F - Paris	Indirect	6.0	2,265	-14
CLS Group Holdings AG Zürich, CH - Zurich	Direct	0.7	431,717	37,777
Deutsche Life Science GmbH, Berlin	Indirect	10.2	-15,052	655
Deutsche WertpapierService Bank AG, Frankfurt am Main	Direct	3.7	180,188	8,725
DKB Wohnimmobilien Beteiligungs GmbH & Co. KG, Potsdam	Indirect	5.1	36,746	1,832
Fay & Real I.S. IE Regensburg GmbH & Co. KG i.L., Oberhaching	Indirect	50.0	425	200
Fay & Real I.S. IE Regensburg Verwaltungs GmbH i.L., Oberhaching	Indirect	50.0	36	2
FidesSecur Versicherungs- und Wirtschaftsdienst Versicherungsmakler GmbH, Munich	Indirect	14.0	4,757	25
Fondations Capital I S.C.A. i.L., L - Senningerberg	Direct	23.2	271,667	21,194
Fondsbörse Deutschland Beteiligungsmakler AG, Hamburg	Indirect	2.5	3,384	0
Galintis GmbH & Co. KG, Frankfurt am Main	Direct	15.9	532,745	13,597
GbR Datenkonsortium OpRisk, Bonn ^{3,6}	Direct	0.0		
GESO Gesellschaft für Sensorik, Geotechnischen Umweltschutz und mathematische Modellierung mbH i.L., Jena	Indirect	43.1	-353	-
GLB GmbH & Co. OHG, Frankfurt am Main	Direct	6.3	6,236	494
GLB-Verwaltungs-GmbH, Frankfurt am Main	Direct	6.2	52	2
Immo 3 Rue Jean Monnet S.à.r.l., L - Luxembourg	Indirect	10.0	55,388	1,132
JFA Verwaltung GmbH, Leipzig	Indirect	10.7	-13,033	78
KGAL GmbH & Co. KG, Grünwald	Direct	3.4	59,140	21,914
Kreditgarantiegemeinschaft des bayerischen Gartenbaus GmbH, Munich	Direct	7.2	649	-
Kreditgarantiegemeinschaft des bayerischen Handwerks GmbH, Munich	Direct	9.9	4,846	-
Kreditgarantiegemeinschaft des Hotel- und Gaststätten-gewerbes in Bayern GmbH, Munich	Direct	8.6	4,359	-
Kreditgarantiegemeinschaft für den Handel in Bayern GmbH, Munich	Direct	6.8	6,317	-
LEG Kiefernriedlung Grundstücksgesellschaft b.R., Berlin	Indirect	6.4	-3,360	338
LEG Wohnpark am Olympischen Dorf Grundstücks-gesellschaft b.R., Berlin	Indirect	7.5	-5,767	668
LEG Wohnpark Heroldplatz Grundstücksgesellschaft b.R., Berlin	Indirect	7.7	-1,512	112
Mediport Venture Fonds Zwei GmbH i.L., Berlin	Indirect	53.8	267	-1,687
MVP Fund II GmbH & Co. KG, Munich	Direct	10.0	54,998	-2,909
Neue Novel Ferm Verwaltungs GmbH, Berlin	Indirect	49.0	24	-3
nfon AG, Munich	Indirect	6.4	5,428	-687
Novel Ferm Brennerei Dettmannsdorf GmbH & Co. KG, Berlin	Indirect	49.0	-	-21
PARIS EDEN MONCEAU SCI, F - Paris	Indirect	0.0	60,399	-351
RAC 2 N.V., B - Watermael-Boitsfort ³	Indirect	0.0		
Real I.S. Grundvermögen GmbH & Co. geschlossene Investment-KG, Munich	Indirect	5.4	68,710	594

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR '000	Earnings in EUR '000
Real I.S. Institutional Real Estate 1 GmbH & Co. geschlossene Investment-KG, Munich	Indirect	0.0	66,086	7,224
Real I.S. Westbahnhof Wien GmbH & Co. geschlossene Investment-KG, Munich ³	Indirect	0.0		
RealMatch Ltd., IL - Kfar Sava ⁷	Indirect	9.2	1,133	-3,207
S CountryDesk GmbH, Cologne	Direct	2.5	405	32
SIGNA 03 Milano S.a.s. di SIGNA Milano S.r.l. & C., I - Bolzano	Indirect	2.0	26,161	-2,366
SIZ GmbH, Bonn	Direct	5.0	4,920	334
Sophia Euro Lab S.A.S. i.L., F - Sophia Antipolis Cedex	Indirect	32.3	1,550	148
SOUTH CITY OFFICE FONSNY S.A., B - Bruxelles ³	Indirect	0.0		
TAG Wohnungsgesellschaft Berlin-Brandenburg mbH, Hamburg	Indirect	5.2	8,235	-369
THE GREEN CORNER S.A., B - Watermael-Boitsfort ³	Indirect	0.0		
True Sale International GmbH, Frankfurt am Main	Direct	7.7	4,809	46
Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich	Direct	100.0	18,434	3,187
Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich	Direct	100.0	19,335	2,076
VISA Inc., USA - San Francisco	Direct and indirect	0.0	32,760,000	6,699,000

The information is based on the most recent annual accounts of the investees.

Foreign currency amounts were converted into euros at the respective spot exchange rate at the end of the year.

Unless otherwise stated, the BayernLB Group's share of the voting rights corresponds to the share of equity.

Unless otherwise stated, third parties hold a share of the voting rights in the amount not held by the BayernLB Group.

1 A profit and loss transfer agreement has been concluded with the company.

2 Included under Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich sub-group.

3 Approved annual financial statements are not available yet.

4 Control through a structured entity of the BayernLB Group.

5 Structured entity under IFRS 10 with no equity interests held by the BayernLB Group.

6 Share of voting rights: the BayernLB Group 11.1 percent, third party 89.9 percent.

7 Share of voting rights: the BayernLB Group 1.7 percent, third party 98.3 percent.

Investments in large limited companies (including credit institutions and investment companies) exceeding 5 percent of the voting rights

Name and location of the investee
AKA Ausfuhrkredit GmbH, Frankfurt am Main
BayBG Bayerische Beteiligungsgesellschaft mbH, Munich
BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich
BayernInvest Luxembourg S.A., L - Munsbach
Bayerische Garantiegesellschaft mbH für mittelständische Beteiligungen, Munich
Bayern Card-Services GmbH - S-Finanzgruppe, Munich
Deutsche Kreditbank Aktiengesellschaft, Berlin
DKB Service GmbH, Potsdam
Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich
Real I.S. Investment GmbH, Munich

Companies for which BayernLB or a consolidated subsidiary acts as a partner with unlimited liability

Name and domicile of the companies
ABAKUS GbR, Hannover
BGFM Bayerische Gebäude- und Facilitymanagement AG & Co. KG, Munich
GbR Datenkonsortium OpRisk, Bonn
GLB GmbH & Co. OHG, Frankfurt am Main

(80) Unconsolidated structured entities

The BayernLB Group maintains business relationships with structured entities. These are contractual and non-contractual business relationships with entities which are structured so that they are not controlled by voting or comparable rights, with voting rights relating only to administrative tasks. The structured entity's own relevant activities are directed by means of contractual arrangements.

Some of the main features common to structured entities are:

- restricted activities
- a narrow and precisely defined purpose
- insufficient equity to fund their own activities
- funding in the form of multiple instruments contractually linked to investors that pool together credit or other risks (tranches)

The BayernLB Group's interests in unconsolidated structured entities include debt or equity instruments, liquidity facilities, guarantees and various derivative instruments for absorbing the Group's risks from unconsolidated structured entities.

Securitisation vehicles

The BayernLB Group's business activities with securitisation vehicles is mainly in the form of securitisations structured for customers (customer transactions) with the ABCP programme Corelux S.A., Luxembourg that was set up exclusively for this purpose. The securitisation vehicle Corelux S.A. purchases trade and leasing receivables from the BayernLB Group's core customers and funds them by issuing asset-backed securities and through credit facilities from BayernLB. This financing had a weighted average term of 6 years (FY 2016: 7 years). The value of the unconsolidated securitisation vehicles with which the BayernLB Group has business relationships is based on the sum of their assets and was EUR 5,107 million (FY 2016: EUR 7,943 million).

Investment funds

The BayernLB Group invests in funds launched by its investment companies Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (Real I.S.) and BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest). As a member of the Savings Banks Finance Group, Real I.S. is the BayernLB Group's asset manager and fund service provider for real estate. It invests to a limited extent in equity instruments, for example, in its capacity as a managing limited partner. In certain cases it makes loans to the investment company's special funds. BayernInvest is the centre of expertise for institutional asset management within the BayernLB

Group and a master investment company. Equity interests in certain special funds exist to an insignificant extent. These investments are usually secured by the fund's underlying pool of assets. In the reporting year, the BayernLB Group supported investments in which it has no holdings by paying costs and providing collateral in the amount of EUR 8.4 million (FY 2016: EUR 3 million). These investments generated income of EUR 1 million (FY 2016: EUR 1 million) from investor management. The weighted average term of funding for investment funds was seven years (FY 2016: seven years). The value of the investment funds with which the BayernLB Group has business relationships is based on their fund assets and was EUR 267,921 million (FY 2016: EUR 219,181 million).

Other financing

The BayernLB Group loans to structured entities which may hold a wide variety of assets. In all cases these loans are secured by these assets. This includes commercial real estate, property, project and leasing financing, as well as fund-based financing of commercial real estate. This financing had a weighted average term of 12 years (FY 2016: 12 years). The size of the structured entities in the form of other financing is based on the sum of their assets and was EUR 7,997 million (FY 2016: EUR 9,081 million).

Assets and liabilities from interests in unconsolidated structured entities recognised on the balance sheet

EUR million	Securitisation vehicles		Investment funds		Other financing		Total	
	2017	2016	2017	2016	2017	2016	2017	2016
Assets								
• Loans and advances to customers	449	492	2,709	1,778	1,529	1,930	4,688	4,201
• Risk provisions	–	1	32	78	2	13	34	92
• Assets held for trading	6	752	57	193	41	77	104	1,022
• Financial investments	22	217	156	180	179	924	357	1,320
• Other assets	–	–	4	4	–	–	4	4
Liabilities								
• Liabilities to customers	25	5	4,541	2,671	202	233	4,767	2,909
• Liabilities held for trading	–	–	60	111	–	–	61	111
• Provisions	–	–	1	–	–	3	2	3
• Other liabilities	–	–	–	–	–	2	–	2
• Equity - revaluation surplus	–	–	2	2	–	–	2	2

Contingent liabilities and other liabilities from interests in unconsolidated structured entities

EUR million	Securitisation vehicles		Investment funds		Other financing		Total	
	2017	2016	2017	2016	2017	2016	2017	2016
Contingent liabilities	–	–	1	3	9	58	10	61
Other commitments	1,811	1,163	163	57	62	274	2,036	1,494

The maximum default risk the BayernLB Group is exposed to from its business activities with structured entities depends on the carrying amount of receivables from the credit business, assets held for trading and financial investments on their balance sheets. These carrying amounts do not reflect the BayernLB Group's economic risk as they do not take account of collateral or hedges.

The maximum default risk of off-balance sheet transactions is reflected by their nominal value. The nominal values do not represent the economic risk as they do not take account of the impact of collateralisation or securitisation, or the probability of losses that could arise.

Gains or losses on interests in unconsolidated structured entities

EUR million	Securitisation vehicles		Investment funds		Other financing		Total	
	2017	2016	2017	2016	2017	2016	2017	2016
Net interest income	14	15	48	4	31	20	93	39
Risk provisions in the credit business	–	–	–25	–13	–12	–5	–36	–19
Net commission income	3	2	49	46	1	2	52	50
Gains or losses on fair value measurement	5	7	–	12	45	18	51	36
Gains or losses on hedge accounting	–	–	4	–	–	–	4	–
Gains or losses on financial investments	–	–	17	3	–	–	17	3
Other income and expenses	–	6	–1	–2	–6	–1	–7	3

(81) Capital management

The aim of capital management is to preserve capital over the long term.

Capital management is based on a Group-wide planning process that incorporates strategic, risk-based and regulatory factors into a multi-year operational plan. Regulatory capital is allocated in the Group planning process to the individual planning units. The planning units (Group units) are BayernLB's defined business segments, Bayerische Landesbodenkreditanstalt, Munich and Deutsche Kreditbank Aktiengesellschaft, Berlin. Regulatory capital is allocated to the Group units on a top-down basis approved by the BayernLB Board of Management, through limits on risk-weighted assets (RWAs) combined with an internally set capital ratio of 12.5 percent.

Capital management deals with, among other things, changes in target regulatory capital ratios, the type and amount of the capital base and the allocation of RWAs, and entails ongoing monitoring of changes.

In addition to the Capital Requirements Regulations (CRR), BayernLB is subject to the European Central Bank's supervisory review and evaluation process (SREP). As a result of the outcome of the SREP, BayernLB was assigned a total capital ratio of 9.92 percent on a consolidated basis and taking into account the transitional provisions in CRR.

The SREP capital ratio is used in BayernLB's capital management. It is used to determine the internal target capital ratio set in the planning process, monitored on an ongoing basis and regularly reported to the committees and bodies referred to below.

Management structure

BayernLB's Board of Management is assisted in this area by the Performance & Capital Committee. The Performance & Capital Committee's responsibilities include the management and allocation of the key resource of capital. The Performance & Capital Committee is supported by the RWA Board.

The Performance & Capital Committee mainly comprises the Chief Financial Officer and senior management from the risk control, financial controlling and treasury units. Its tasks include preparing decisions for the Board of Management on capital management, taking account of framework conditions such as rules set by the owners, and regulatory or EU requirements. The Performance & Capital Committee is therefore an important source of input for BayernLB's Board of Management and prepares suitable recommendations for action on capital-related matters.

The RWA Board comprises senior management from risk control and financial controlling, the Group strategy and key business areas. It monitors and manages RWA trends across the Group, particularly RWA plan utilisation at segment level and optimisation measures. It also prepares RWA-related topics for the Performance & Capital Committee.

Key banking regulatory data

The BayernLB Group's supervisory capital is calculated on the basis of CRR/CRD IV.

Own funds are defined as Common Equity Tier 1 capital (CET1), additional Tier 1 capital and Tier 2 capital. Common Equity Tier 1 capital comprises subscribed capital plus reserves and various supervisory deductions. The additional Tier 1 capital is currently not reported due to deduction items exceeding silent partner contributions. Tier 2 capital comprises profit participation certificates and long-term subordinated liabilities.

Banking supervisory capital of the BayernLB Group (as reported)

EUR million	2017	2016
Total RWAs	61,420	65,206
Own funds	9,984	10,149
of which:		
• Tier 1 capital	8,660	8,660
• Common Equity Tier 1 capital (CET1 capital)	8,660	8,660

Banking supervisory capital of the BayernLB Group (as reported)

in %	2017	2016
Total capital ratio	16.3	15.6
Common Equity Tier 1 capital (CET1) ratio	14.1	13.3
CET1 ratio (fully loaded)	14.0	11.8

Banking supervisory capital of the BayernLB Group (as per consolidated financial statements)

EUR million	2017	2016
Total RWAs	61,420	65,206
Own funds	10,756	11,059
of which:		
• Tier 1 capital	9,393	9,564
• Common Equity Tier 1 capital (CET1 capital)	9,393	9,564

Banking supervisory ratios of the BayernLB Group (as per consolidated financial statements)

in %	2017	2016
Total capital ratio	17.5	17.0
Common Equity Tier 1 capital (CET1) ratio	15.3	14.7
CET1 ratio (fully loaded)	15.3	13.2

The BayernLB Group complied at all times with the external capital requirements under Art. 92 para. 1 CRR, sections 10c to 10i KWG and under SREP in the reporting year.

(82) Administrative bodies of BayernLB

Supervisory Board

Gerd Haeusler

Chairman of the BayernLB Supervisory Board
Munich

Walter Strohmaier

Deputy Chairman of the BayernLB
Supervisory Board
Chairman of the Board of Directors
Sparkasse Niederbayern-Mitte
Straubing

Dr Roland Fleck

Managing Director
NürnbergMesse GmbH
Nuremberg

Dr Ute Geipel-Faber

Senior Advisor
Invesco Real Estate GmbH
Munich

Dr Kurt Gribl

since 1 January 2017
Member of the BayernLB Supervisory Board
Lord Mayor
Augsburg

Dr Ulrich Klein

Under Secretary
Bavarian State Ministry of Finance,
Regional Development and Regional Identity
Munich

Dr Thomas Langer

Under Secretary
Bavarian State Ministry for Economic Affairs
and the Media, Energy and Technology
Munich

Wolfgang Lazik

Deputy Secretary
Bavarian State Ministry of Finance,
Regional Development and Regional Identity
Munich

Professor Dr Bernd Rudolph

Professor at LMU Munich and
Steinbeis University Berlin

Henning Sohn

Chairman of the General Staff Council
BayernLB
Munich

Stephan Winkelmeier

since 1 May 2017
Member of the BayernLB Supervisory Board
Spokesman of the Board of Directors
FMS Wertmanagement AöR
Munich

Professor Dr Christian Rödl

until 30 April 2017
Member of the BayernLB Supervisory Board
Managing Partner
Rödl & Partner GbR
Nuremberg

Board of Management (including allocation of responsibilities from 1 January 2018)

Dr Johannes-Jörg Riegler

CEO

Corporate Center

Deutsche Kreditbank Aktiengesellschaft

Dr Edgar Zoller

Deputy CEO

Real Estate & Savings Banks/Association

Bayerische Landesbodenkreditanstalt¹

Real I.S. AG Gesellschaft für Immobilien

Assetmanagement

Marcus Kramer

CRO

Risk Office

Michael Bucker

Corporates & Mittelstand

Dr Markus Wiegelmann

CFO/COO

Financial Office

Operating Office

Ralf Woitschig

Financial Markets

BayernInvest Kapitalverwaltungsgesellschaft mbH

¹ Dependent institution of the Bank.

(83) Related party disclosures

The BayernLB Group maintains business relationships with related parties. These include the Free State of Bavaria and the Association of Bavarian Savings Banks, Munich (SVB), whose indirect stakes in BayernLB are 75 percent and 25 percent respectively, non-consolidated subsidiaries, joint ventures, associates, Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich and Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich. The members of BayernLB's Board of Management and Supervisory Board and their close family members, and companies controlled by these parties or jointly controlled if these parties are members of their management bodies are also deemed related parties.

The list of shareholdings gives an overview of BayernLB's investees (see note 79).

Relationships with the Free State of Bavaria

EUR million	2017	2016
Loans and advances	4,087	4,754
Assets held for trading	32	101
Financial investments	15	43
Liabilities	1,319	1,287
Securitised liabilities	12	–
Liabilities held for trading	13	13
Liabilities held in trust	4,596	4,613
Contingent liabilities	4	4
Other commitments	1,065	1,065

The following were material relationships with companies controlled by the Free State of Bavaria, or which it jointly controls or has significant influence over:

EUR million	2017	2016
Loans and advances to banks	–	21
Loans and advances to customers	229	244
Assets held for trading	32	40
Financial investments	30	30
Liabilities to banks	3,092	3,071
Liabilities to customers	44	38
Securitised liabilities	163	127
Other liabilities	1	–
Assets held in trust	392	394
Contingent liabilities	–	1
Other liabilities	32	38 ¹

¹ Adjusted as per IAS 8.42 (see note 2).

Relationships with the Association of Bavarian Savings Banks

EUR million	2017	2016
Liabilities	92	76

Relationships with investees

EUR million	2017	2016
Loans and advances to customers	177	359
• Non-consolidated subsidiaries	87	256
• Joint ventures	36	35
• Associates	54	67
Risk provisions	32	90
• Non-consolidated subsidiaries	9	67
• Joint ventures	23	23
Financial investments	41	10
• Non-consolidated subsidiaries	41	10
Other assets	7	3
• Non-consolidated subsidiaries	7	3
Liabilities to customers	165	100
• Non-consolidated subsidiaries	146	80
• Joint ventures	2	2
• Associates	17	18
Securitised liabilities	2	2
• Associates	2	2
Provisions	11	4
• Non-consolidated subsidiaries	11	4
Other liabilities	2	3
• Non-consolidated subsidiaries	1	3
Contingent liabilities	24	28
• Non-consolidated subsidiaries	8	13
• Associates	15	15
Other liabilities	5	9
• Non-consolidated subsidiaries	1	4
• Joint ventures	–	1
• Associates	3	3

An expense of EUR 8 million (FY 2016: EUR 42 million) was recognised for non-recoverable or doubtful receivables in the reporting year.

In the reporting year, capital contributions were made to unconsolidated entities, joint ventures and associates in the amount of EUR 1 million (FY 2016: EUR 0 million). These investees repaid capital in the amount of EUR 7 million (FY 2016: EUR 36 million).

Relationships with other related parties

EUR million	2017	2016
Liabilities to customers	22	10

As at the reporting date, there were liabilities to benefit plans as related parties of the BayernLB Group of EUR 22 million (FY 2016: EUR 10 million). In reporting year, staff costs of EUR 3 million (FY 2016: EUR 10 million) arose for contributions to the plan assets of Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich and Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich.

Relationships with members of the BayernLB Board of Management and Supervisory Board

EUR million	2017	2016
Members of the BayernLB Board of Management		
• Deposits	3	4
Members of the BayernLB Supervisory Board		
• Deposits	1	2

Remuneration of members of the BayernLB Board of Management and Supervisory Board

EUR '000	2017	2016
Members of the BayernLB Board of Management	6,519	5,972
• Short-term benefits	4,282	4,074
• Post-employment benefits	2,237	1,898
– defined benefit plan costs	2,237	1,898 ¹
Members of the BayernLB Supervisory Board	714	851
• Short-term benefits	714	851
Former members of the BayernLB Board of Management and their surviving dependants	4,263	4,127
Former members of the BayernLB Supervisory Board and their surviving dependants	11	45
Pension provisions established for members of the BayernLB Board of Management	15,077	12,528¹
Pension provisions established for former members of the BayernLB Board of Management and their surviving dependants	106,823	110,066¹

¹ Adjusted as per IAS 8.42 (see note 2).

(84) External auditor's fees

The total fees for the external auditors for the financial year comprise:

EUR million	2017	2016
Financial statements audit services	6	4
Other certification and valuation services	–	1
Other services	–	1
Total	6	5

The financial statements audit services item includes fees of EUR 0.4 million for the review of the Group Interim Report for 2017. In respect of other assurance services, fees were paid to the external auditors for certifications/confirmations required under supervisory law and the voluntary issuance of a letter of comfort. Other services comprises fees for other certifications/confirmations contractually agreed between BayernLB and the external auditor for a third party (e.g. with the German Savings Bank Association (DSGV)). There are no services included under other assurance services and other services that are significant in terms of amounts.

(85) Human resources

Average headcounts for the reporting year were:

	2017	2016
Full-time employees (not including trainees)	4,967	4,972
• Female	2,040	2,087
• Male	2,927	2,885
Part-time employees (not including trainees)¹	2,046	1,962
• Female	1,625	1,582
• Male	421	380
Trainees²	87	106
• Female	29	40
• Male	57	67
Total	7,099	7,040

¹ Part-time headcount equated to 1,396 full-time employees (FY 2016: 1,325).

² Including students on a work/study programme.

(86) Events after the reporting period

The following events of major significance to the BayernLB Group occurred after the close of financial year 2017:

The economic deterioration of a credit exposure meant that a large addition had to be made to the risk provisions in the fourth quarter of 2017. The exposure was sold off in full in the first quarter of 2018. As a result, BayernLB expects to release a double-digit million euro amount from the risk provision created in the 2017 annual financial statements. In the first quarter of 2018, BayernLB also received recoveries on written-down receivables in the lower double-digit million euros from an earlier loan exposure.

No other events of major significance occurred after 31 December 2017.

Responsibility statement by the Board of Management

To the best of our knowledge and in accordance with the applicable reporting principles for financial reporting and generally accepted accounting standards, the consolidated financial statements give a true and fair view of the financial performance and financial position of the Group, and the management report of the Group includes a fair review of the development and performance of the business and the position of the Group, together with a description of the principal opportunities and risks associated with the expected development of the Group.

Munich, 19 March 2018

Bayerische Landesbank
The Board of Management

Dr Johannes-Jörg Riegler

Dr Edgar Zoller

Marcus Kramer

Michael Bucker

Dr Markus Wiegelmann

Ralf Woitschig

Independent Auditor's Report

To Bayerische Landesbank AöR, Munich

Report on the Audit of the Consolidated Financial Statements and of the Group Management Report

Audit Opinions

We have audited the annual consolidated financial statements of Bayerische Landesbank AöR, Munich and its subsidiaries (the Group), which comprise the consolidated balance sheet as at 31 December 2017, the consolidated statement of profit and loss including the consolidated statement of comprehensive income, the consolidated statement of changes in equity and the consolidated cash flow statement for the financial year from 1 January to 31 December 2017, as well as the notes to the consolidated financial statements, together with a summary of the significant accounting policies. In addition, we have audited the group management report of Bayerische Landesbank AöR, Munich for the financial year from 1 January to 31 December 2017. In accordance with the German legal requirements, we have not audited the content of the group management report specified in the "Other Information" section of our auditor's report.

In our opinion, on the basis of the knowledge obtained in the audit,

- the accompanying consolidated financial statements comply, in all material respects, with International Financial Reporting Standards (IFRS) as adopted by the EU and the additional requirements of German commercial law pursuant to Section 315a (1) German Commercial Code (HGB) and, subject to these regulations and the supplementary provisions of the Bayerische Landesbank Act and the Statutes of Bayerische Landesbank, give a true and fair view of the assets, liabilities and financial position of the Group as at 31 December 2017 and its financial performance for the financial year from 1 January to 31 December 2017, and
- the accompanying group management report as a whole provides an appropriate view of the Group's position. In all material respects, this group management report is consistent with the consolidated financial statements, complies with German legal requirements and appropriately presents the opportunities and risks of future development. Our audit opinion on the group management report does not cover the content of the group management report specified in the "Other Information" section of our auditor's report.

Pursuant to Section 322 (3) Sentence 1 German Commercial Code (HGB), we declare that our audit has not led to any reservations relating to the legal compliance of the consolidated financial statements and of the group management report.

Basis for the Audit Opinions

We conducted our audit of the consolidated financial statements and of the group management report in accordance with Section 317 German Commercial Code (HGB) and the EU Audit Regulation (No. 537/2014; referred to subsequently as "EU Audit Regulation") and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer (IDW). Our responsibilities under those requirements and principles are further described in the "Auditor's Responsibilities for the Audit of the Consolidated Financial Statements and of the Group Management Report" section of our auditor's report. We are independent of

the Group entities in accordance with the requirements of European law and German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. In addition, in accordance with Article 10 (2) Point (f) of the EU Audit Regulation, we declare that we have not provided non-audit services prohibited under Article 5 (1) of the EU Audit Regulation. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions on the consolidated financial statements and on the group management report.

Key Audit Matters in the Audit of the Consolidated Financial Statements

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the financial year from 1 January to 31 December 2017. These matters were addressed in the context of our audit of the consolidated financial statements as a whole and in forming our audit opinion thereon; we do not provide a separate audit opinion on these matters.

In the following we present the key audit matters we have determined in the course of our audit:

1. Risk provisions in lending business
2. Measurement of trading transactions
3. Completeness and measurement of pension provisions

Our presentation of these key audit matters has been structured as follows:

- a) Description (including reference to corresponding information in the consolidated financial statements)
- b) Auditor's response

1. Risk provisions in lending business

- a) The consolidated financial statements of Bayerische Landesbank AÖR as at 31 December 2017 show loans and advances to customers and banks in the amount totalling EUR 149.8 billion, equivalent to 69.8 percent of total assets. There are also contingent liabilities and other obligations of EUR 36.3 billion. The Bank reviews the recoverability of its credit transactions on a regular basis and whenever there is objective evidence (impairment triggers) this is necessary. A potential need to recognise a provision, i.e. a depreciation to the lower attributable value, is calculated using a procedure set by the Bank as the difference between the current carrying amount of the receivable and the expected future cash inflows discounted using the receivable's original effective interest rate. Corresponding provisions must also be recognised where necessary for off balance sheet transactions when either drawdown by a doubtful borrower is imminent (guarantees, warranties) or impairments are expected due to obligations to pay (irrevocable credit commitments). Because estimation of the expected future cash flows involves significant discretion, there is a considerable risk that the amount of any necessary value adjustments required may not be appropriate.

In view of the fact that lending is the core business activity of the Group and the measurement of receivables and the creation of provisions for drawdowns of contingent liabilities and other obligations depend to a material extent on estimates made at the discretion of the Bank's Board of Management, this was an especially important matter for our audit.

The disclosures made by the executive directors of the Bank on the risk provisions recognised can be found in particular in the consolidated financial statements in notes 9, 41 and 56.

- b) As part of our audit we reviewed the relevant internal controls in the lending business for identifying evidence of impairment, rating customers and calculating impairments for the suitability of their design, implementation and effectiveness.

We also assessed, using risk-based samples, the measurement of receivables where the Bank deemed it necessary to conduct an impairment test, including the appropriateness of the values estimated. This involved examining the underlying assumptions, in particular the amount and timing of expected future incoming cash flows.

2. Measurement of trading transactions

- a) Bayerische Landesbank AöR enters into trading transactions, especially in securities, Schuldschein note loans and financial derivatives, which are recognised in the consolidated financial statements at fair value and are mainly reported under assets held for trading, positive fair values from derivative financial instruments (hedge accounting), financial investments, liabilities to customers, securitised liabilities, liabilities held for trading and negative fair values from derivative financial instruments (hedge accounting). For the purposes of drawing up the financial statements and the information in the notes, Bayerische Landesbank AöR determines the fair value of these holdings in accordance with IFRS 13. Measurement of these holdings mainly uses methods and procedures whose key inputs can be directly or indirectly observed and are not part of valuation hierarchy level 1. Where no market prices are available for a financial instrument to be measured, price quotations for similar instruments on active markets, price quotations on inactive markets, other observable inputs which are not price quotations, market-based inputs (valuation hierarchy level 2) and non-observable inputs (valuation hierarchy level 3) are used.

For over-the-counter traded (OTC) derivative financial instruments the Bank calculates fair value adjustments for counterparty risks (bilateral credit valuation adjustments) and for funding costs (funding valuation adjustments) and adjustments for the bid/ask spread.

Measurement using models gives rise to increased valuation uncertainty and larger reasonable ranges; consequently, we identified measurement of these financial instruments as subject to discretion and thus a key audit matter.

Disclosures of the measurement of trading transactions can be found in particular in consolidated financial statements in notes 6, 62, 64 and 65.

- b) Our audit paid particular attention to financial instruments which had been measured using models and were recognised at fair value. We assessed the appropriateness and effectiveness of the relevant internal control system at Bayerische Landesbank AöR for measuring such financial instruments, especially examining the appropriateness and effectiveness of the audit-relevant controls on the independent price verification (IPV) process and the model validation. Taking a risk-based approach, we assessed the suitability of the valuation models used for selected products with the aid of our internal valuation specialists on the audit team.

We also satisfied ourselves that financial instruments were correctly measured by taking samples. As part of our analysis of securities recognised by the Bank at fair value, we consulted experts from the Deloitte network and considered their results, which mainly consisted of comparison prices calculated for securities. We conducted our measurements, particularly of Schuldschein note loans, using sample-based independent comparison valuations as at the reporting date and compared them with the valuation used by the Bank. In addition, we carried out our own independent ex-post valuation of selected OTC derivative products (valuation hierarchy level 2) as at the reporting date and compared this with the valuation used by Bayerische Landesbank AöR. We then checked the methodology used for calculating fair value adjustments for counterparty risks (bilateral credit valuation adjustments), for funding costs (funding valuation adjustments) and for the bid/ask spread on OTC derivatives and examined if it was suitable for reporting fair value properly in accordance with the requirements under IFRS 13.

3. Completeness and measurement of pension provisions

- a) Various retirement benefit plans are in place for active employees of the Bank, those who have left with vested benefits and those who have retired. These are shown in the balance sheet under provisions and amounted to a total of EUR 3,718.2 million as at the reporting date. This is equivalent to 1.7 percent of total assets. The amount of the provision is calculated based on an actuarial report commissioned by the Bank using the projected unit credit method and taking the plan assets held in account. To calculate pension obligations, assumptions have to be made about the long-term trend in salaries and pensions, staff turnover, the trend in statutory pensions, inflation and mortality. In addition, under IAS 19.83 the discount rate used as at the reporting date must be based on high-yield corporate bonds with comparable maturities in the eurozone. When measuring the provisions for allowances in the event of illness and other medical benefits, the trend in healthcare costs also has to be taken into consideration. The assumptions in each case are made by the executive directors.

We identified this as a key audit matter, since the completeness and measurement of pension obligations depends to a considerable extent on the correct underlying data being passed on to the actuary and the calculation is based on assumptions and estimates that rely on the discretion of the executive directors.

Disclosures of the pension provisions can be found in particular in the consolidated financial statements in notes 21 and 56.

b) As part of our audit we assessed, inter alia, the actuarial reports commissioned by the Bank. Given the specific features of the actuarial calculations, we were supported in this by specialists in our audit team who are qualified members of the German Association of Actuaries and the Institute of Pension Actuaries. To assess the reports for our audit we satisfied ourselves of the competence, ability and objectivity of the external advisers and subjected the valuation processes and assumptions to critical scrutiny and examination. Based on this, we then, inter alia, tracked the figures, the actuarial parameters, the calculation of the provisions and what is shown in the notes to the consolidated financial statements on the basis of the reports.

We also analysed and evaluated the organisational and procedural measures taken by Bayerische Landesbank AöR to see how they ensure that data for individual employees' employment contracts are recorded and that figures transferred to and from the actuary are complete. In addition, our internal specialists in the audit team compared the values for obligations calculated by the Bank's external expert with their own calculations, on a sample basis.

To verify the market values of the plan assets, we examined statements from life insurance companies and external retirement benefit institutions and other evidence of assets. We checked whether these market values had been taken into account as offsettable assets when calculating the pension obligations.

Other Information

The executive directors are responsible for the other information. The other information comprises

- the combined non-financial report pursuant to Sections 289b to 289e, 315b and 315c German Commercial Code (HGB) mentioned in the group management report,
- the responsibility statement by the Board of Management on the consolidated financial statements and the group management report pursuant to Section 297 (2) Sentence 4 and Section 315 (1) Sentence 5 German Commercial Code (HGB) and
- the remaining parts of the Annual Report with the exception of the audited consolidated financial statements and group management report and our audit report.

Our audit opinions on the consolidated financial statements and on the group management report do not cover the other information, and consequently we do not express an audit opinion or any other form of assurance conclusion thereon.

In connection with our audit, our responsibility is to read the other information and, in so doing, to consider whether the other information

- is materially inconsistent with the consolidated financial statements, with the group management report or our knowledge obtained in the audit, or
- otherwise appears to be materially misstated.

Responsibilities of the Executive Directors and the Supervisory Board for the Consolidated Financial Statements and the Group Management Report

The executive directors are responsible for the preparation of the consolidated financial statements that comply, in all material respects, with IFRS as adopted by the EU and the additional requirements of German commercial law pursuant to Section 315a (1) German Commercial Code (HGB) and the supplementary provisions of the Bayerische Landesbank Act and the Statutes of Bayerische Landesbank, and that the consolidated financial statements, in compliance with these requirements, give a true and fair view of the assets, liabilities, financial position, and financial performance of the Group. In addition, the executive directors are responsible for such internal control as they have determined necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the executive directors are responsible for assessing the Group's ability to continue as a going concern. They also have the responsibility for disclosing, as applicable, matters related to going concern. In addition, they are responsible for financial reporting based on the going concern basis of accounting, unless there is an intention to liquidate the Group or to cease operations or there is no realistic alternative to doing so.

Furthermore, the executive directors are responsible for the preparation of the group management report that, as a whole, provides an appropriate view of the Group's position and is, in all material respects, consistent with the consolidated financial statements, complies with German legal requirements, and appropriately presents the opportunities and risks of future development. In addition, the executive directors are responsible for such arrangements and measures (systems) as they have considered necessary to enable the preparation of a group management report that is in accordance with the applicable German legal requirements, and to be able to provide sufficient appropriate evidence for the assertions in the group management report.

The supervisory board is responsible for overseeing the Group's financial reporting process for the preparation of the consolidated financial statements and of the group management report.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements and of the Group Management Report

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and whether the group management report as a whole provides an appropriate view of the Group's position and, in all material respects, is consistent with the consolidated financial statements and the knowledge obtained in the audit, complies with the German legal requirements and appropriately presents the opportunities and risks of future development, as well as to issue an auditor's report that includes our audit opinions on the consolidated financial statements and on the group management report.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Section 317 German Commercial Code (HGB) and the EU Audit Regulation and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer (IDW) will always detect a material misstatement. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements and this group management report.

We exercise professional judgment and maintain professional scepticism throughout the audit. We also

- identify and assess the risks of material misstatement of the consolidated financial statements and of the group management report, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our audit opinions. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- obtain an understanding of internal control relevant to the audit of the consolidated financial statements and of arrangements and measures relevant to the audit of the group management report in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an audit opinion on the effectiveness of these systems.
- evaluate the appropriateness of accounting policies used by the executive directors and the reasonableness of estimates made by the executive directors and related disclosures.
- conclude on the appropriateness of the executive directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in the auditor's report to the related disclosures in the consolidated financial statements and in the group management report or, if such disclosures are inadequate, to modify our respective audit opinions. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to be able to continue as a going concern.
- evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements present the underlying transactions and events in a manner that the consolidated financial statements give a true and fair view of the assets, liabilities, financial position and financial performance of the Group in compliance with IFRS as adopted by the EU and with the additional requirements of German commercial law pursuant to Section 315e (1) German Commercial Code (HGB).
- obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express audit opinions on the consolidated financial statements and on the group management report. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinions.

- evaluate the consistency of the group management report with the consolidated financial statements, its conformity with German law, and the view of the Group's position it provides.
- perform audit procedures on the prospective information presented by the executive directors in the group management report. On the basis of sufficient appropriate audit evidence we evaluate, in particular, the significant assumptions used by the executive directors as a basis for the prospective information, and evaluate the proper derivation of the prospective information from these assumptions. We do not express a separate audit opinion on the prospective information and on the assumptions used as a basis. There is a substantial unavoidable risk that future events will differ materially from the prospective information.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with the relevant independence requirements, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, the related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter.

Other Legal and Regulatory Requirements

Further Information pursuant to Article 10 of the EU Audit Regulation

We were proposed by the supervisory board and elected as group auditor by the annual general meeting on 27 April 2017. In accordance with the resolution of the supervisory board on the appointment pursuant to Section 11 (2) no. 1 of the Statutes of Bayerische Landesbank AöR, we were engaged by the supervisory board in its confirmation dated 17 July 2017 to carry out a financial statement audit. We have been the group auditor of Bayerische Landesbank AöR, Munich, without interruption since the financial year 2012.

We declare that the audit opinions expressed in this auditor's report are consistent with the additional report to the audit committee pursuant to Article 11 of the EU Audit Regulation (long-form audit report).

German Public Auditor Responsible for the Engagement

The German Public Auditor responsible for the engagement is Herbert Apweiler.

Munich, 19 March 2018

Deloitte GmbH

Wirtschaftsprüfungsgesellschaft

(Löffler)
Wirtschaftsprüfer/in
(German Public Auditor)

(Apweiler)
Wirtschaftsprüfer/in
(German Public Auditor)

Country by country reporting pursuant to section 26a, para. 1 sentence 2 of the German Banking Act (KWG) as at 31 Dec 2017

This report shows revenues, number of employees, profit or loss before taxes, taxes on profit or loss and state aid received for the reporting year by country on an unconsolidated basis. It covers the companies fully included in the IFRS consolidated financial statements.

The revenue shown is profit/loss before taxes, without accounting for risk provisions, administrative expenses, expenses for the bank levy and deposit guarantee scheme and gains or losses on restructuring as reported in the consolidated financial statements. Taxes on profit or loss include current income taxes reported in the consolidated financial statements. The number of employees is shown in full-time equivalent positions.

Country	Revenue (EUR million)	Number of employees	Profit or loss before taxes (EUR million)	Taxes on profit or loss (EUR million)	State aid received (EUR million)
Germany	2,118	6,381	687	–56	0 ¹
United Kingdom	–83	67	–61	0	0
Italy	3	9	1	0	0
USA	58	78	14	2	0
France	0	18	1	0	0
Luxembourg	10	0	10	–1	0

Name of foreign branch/investee	Type of business	Location	Land
Foreign branch offices of Bayerische Landesbank			
BayernLB London	Financial institution	London	United Kingdom
BayernLB Milan	Financial institution	Milan	Italy
BayernLB New York	Financial institution	New York	USA
BayernLB Paris	Financial institution	Paris	France
Banque LBLux S.A. i.L. ²	Other company	Luxembourg	Luxembourg
BayernLB Capital LLC I ³	Other financial company	Wilmington	USA
BayernLB Capital Trust I ³	Other company	Wilmington	USA

¹ On 5 February 2013 the European Commission ruled that the following measures constitute state aid as defined in article 107, para 1 of the Treaty on the Functioning of the European Union:

- a) the EUR 10 billion recapitalisation of Bayerische Landesbank by the Free State of Bavaria
- b) the EUR 4.8 billion second loss guarantee provided to Bayerische Landesbank by the Free State of Bavaria in the form of a risk umbrella
- c) the EUR 15 billion in state guarantees provided to Bayerische Landesbank by Germany
- d) the EUR 2.638 billion funding guarantee provided to Bayerische Landesbank by Austria
- e) the transfer to Bayerische Landesbank of capital amounting to EUR 1 billion held by the Free State of Bavaria in Bayerische Landesbodenkreditanstalt

On 30 June 2017, BayernLB concluded the EU state aid proceedings ahead of schedule.

² Banque LBLux S.A. was deconsolidated as at 31 December 2017.

³ BayernLB Capital LLC I and BayernLB Capital Trust I were deconsolidated as at 30 June 2017.

Supplementary information

Financial measures not calculated in accordance with IFRS

In its entire financial reporting and other published documents, the BayernLB Group uses financial measures not calculated in accordance with IFRS. These measures indicate past or future financial performance, financial position and cash flows derived from the financial statements prepared in accordance with the relevant accounting framework or internal management information.

They should be seen as a supplement to and not a replacement of the figures calculated in accordance with IFRS. Readers of the financial reports and other documents containing these measures should be aware that similarly named financial measures published by other companies could have been calculated differently.

The BayernLB Group uses the following financial measures not calculated in accordance with IFRS:

- Return on equity (RoE)
- Cost/income ratio (CIR)

The RoE and CIR are important financial performance indicators. They provide information about profitability and are used by BayernLB to manage it.

Return on equity (RoE)

RoE is calculated on the basis of internal management information from the ratio of profit before taxes to average regulatory capital (Group)/average allocated economic capital (at segment level). At Group level, the average Common Equity Tier 1/CET1 capital available over the financial year has been used for this purpose since the start of financial year 2016. For all management levels below this, the average economic capital employed in the financial year is derived from the average risk-weighted assets (RWA) of the underlying individual transactions as specified by the regulatory authorities. The allocated amount corresponds to 12.0 percent (FY 2016: 11.5 percent) of the average risk-weighted assets specified by the regulatory authorities arising from the individual transactions entered into by the respective segment in the reporting period concerned. Economic capital is reconciled to regulatory capital in the column headed Central Areas & Others (including Consolidation).

RoE reconciliation calculation (as at 31 December 2017)

EUR million	Corporates & Mittelstand	Real Estate & Savings Banks/ Association	DKB	Financial Markets	Central Areas/Other (including Consolidation)	Group
Profit/loss before taxes	-44	175	272	94	156	652
Average risk-weighted assets (RWA)	20,753	7,641	24,754	7,664	3,306	64,118
Target CET1 ratio (%)	12.0	12.0	12.0	12.0		
Average economic/regulatory capital	2,490	917	2,970	920	1,514	8,811
Return on equity (RoE) (%)	-1.8	19.1	9.1	10.2	10.3	7.4

RoE reconciliation calculation (as at 31 December 2016)

EUR million	Corporates & Mittelstand	Real Estate & Savings Banks/ Association	DKB	Financial Markets	Central Areas/Other (including Consolidation)	Group
Profit/loss before taxes	203	209	353	23	-80	708
Average risk-weighted assets (RWA)	22,203	7,181	24,943	8,852	4,438	67,617
Target CET1 ratio (%)	11.5	11.5	11.5	11.5		
Average economic/regulatory capital	2,553	826	2,868	1,018	1,476	8,742
Return on equity (RoE) (%)	8.0	25.3	12.3	2.2	-5.4	8.1

Cost/income ratio (CIR)

The CIR is the ratio of administrative expenses and gross earnings comprising net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting, gains or losses on financial investments and other income and expenses. The CIR is calculated using the figures reported in the respective consolidated financial statements.

CIR reconciliation calculation (as at 31 December 2017)

EUR million	Corporates & Mittelstand	Real Estate & Savings Banks/ Association	DKB	Financial Markets	Central Areas/Other (including Consolidation)	Group
Administrative expenses	-291	-255	-477	-196	-38	-1,258
Net interest income	287	230	935	142	64	1,659
Net commission income	102	144	-6	27	-4	263
Gains or losses on fair value measurement	30	47	91	104	-68	205
Gains or losses on hedge accounting	-	-2	-124	-7	-8	-142
Gains or losses on financial investments	-1	3	20	2	-	23
Other income and expenses	-7	-13	-3	22	93	91
Gross earnings	411	408	913	290	77	2,099
Cost/income ratio (CIR) (%)	70.8	62.6	52.2	67.6	49.9	59.9

CIR reconciliation calculation (as at 31 December 2016)

EUR million	Corporates & Mittelstand	Real Estate & Savings Banks/ Association	DKB	Financial Markets	Central Areas/Other (including Consolidation)	Group
Administrative expenses	-293	-242	-450	-176	-119	-1,280
Net interest income	304	236	794	40	101	1,475
Net commission income	114	131	24	29	-2	296
Gains or losses on fair value measurement	44	65	51	40	-57	142
Gains or losses on hedge accounting	-	2	-86	6	-1	-80
Gains or losses on financial investments	29	-	161	65	21	274
Other income and expenses	-2	-4	19	20	19	51
Gross earnings	489	429	962	200	80	2,159
Cost/income ratio (CIR) (%)	60.0	56.5	46.8	88.1	149.1	59.3

Combined non-financial report of the BayernLB Group for 2017

As part of the formalities for complying with the German Corporate Social Responsibility Directive Implementation Act (Corporate Social Responsibility-Richtlinie-Umsetzungsgesetz (CSR-RUG)), this section contains the non-financial report of the BayernLB Group combined with the report of the parent company Bayerische Landesbank, Munich (BayernLB or Bank). The content is based on the specific materiality approach taken under CSR-RUG which is not equivalent to the understanding of materiality under the current Global Reporting Initiative (GRI) Standards or other frameworks. Therefore when preparing the combined non-financial report of the BayernLB Group, the Bank only made piecemeal use of the GRI Standards and did not utilise any framework in full.

The information essential for the BayernLB Group under CSR-RUG, which is needed to understand the course of business, performance, the Group's position, and the impacts of its activities on the minimum aspects (environmental, employee and social issues, respect for human rights, and combating corruption and bribery), was identified in a multi-level procedure (prioritisation of topics based on task descriptions and risk analyses, plausibility checks based on previous sustainability reporting, and management discussions) and summarised in the following topic areas:

- Combating corruption and bribery (aspect: combating corruption and bribery)
- Sustainable banking business (main aspects: respect for human rights, and environmental and social issues)
- Human resources development (main aspect: employee issues)

The purpose of all other content of this non-financial report is to place this information in a broader context to make it more comprehensible.

As a starting point, certain aspects of the business model and the Group's current situation are outlined below and used as a basis for drawing conclusions about the impacts on non-financial aspects. In the next step, the Bank broadly fleshes out the management systems referred to for dealing with non-financial aspects if it has not already done so sufficiently in other parts of the management report. This includes a description of human resources management and purchasing activities. Integrated within this are the requirements placed on product and service areas where these systems have a particular impact; the purpose here is to shape and/or mitigate the potential and actual impacts on the aspects referred to above.

In addition, sustainability topics in the BayernLB Group identified as not relevant for this report from a CSR-RUG perspective are published in other publications (e.g. environmental statements).

Business model and impacts of the BayernLB Group on non-financial aspects

The BayernLB Group mostly comprises non-producing companies focused on the banking business whose registered office is in Germany, Europe or North America. Any potential impacts on non-financial aspects are mitigated by various strict requirements under the prevailing legal system and an effective judiciary (e.g. a very large proportion of the workforce is protected by collective agreements). Like many other groups of companies, BayernLB has a validated environmental management system which, besides the environmental aspects of operations, covers the indirect environmental impact of business relationships and includes occupational health and safety-related aspects. Sustainability management also delivers concepts, goals and measures to identify and exploit potential improvements in the areas mentioned. These management systems also extend

to areas not covered by the strict German and European frameworks or where potentially any equally large-scale and intensive business relationship with an adverse impact on the minimum aspects could arise. In conjunction with this, the Group also has a compliance management system which explicitly directs various areas of governance, including combating corruption and bribery, and beyond this, any ecological, social and governance-related (ESG) topics relevant for reputational risk by means of reputational risk management.

As a commercial bank, Landesbank and central bank to the savings banks, BayernLB is a strong corporate and real estate lender focused geographically on Bavaria and Germany as well as a reliable partner to the Bavarian savings banks.

BayernLB's strategic business model is based on the following operating business segments (operating segments):

- Corporates & Mittelstand
- Real Estate & Savings Banks/Association, including the legally dependent institution Bayerische Landesbodenkreditanstalt, Munich (BayernLabo) and the subsidiary Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (Real I.S.)
- DKB with the core business activities of the Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB) sub-group and Bayern Card-Services GmbH – S-Finanzgruppe, Munich (BCS)
- Financial Markets, including the subsidiary BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest)

The Corporates & Mittelstand business area handles business with large German and selected international companies and the Mittelstand corporate customer business in Germany, Austria and Switzerland. These large customers are mostly DAX, MDAX and family-owned companies with annual sales of at least EUR 1 billion. The focus in Mittelstand is on companies with annual sales of over EUR 50 million. BayernLB's core competencies include traditional and structured credit financing, comprising working capital, capex and trade financing, project and export financing, lease financing and transportation finance (including rolling stock). Since the early completion of the EU proceedings, the transportation product range has also been complemented by aircraft finance. In addition, BayernLB helps its customers tap capital markets for their financing needs, for example through traditional bonds, German Schuldschein note loans and interest rate and currency hedging. BayernLB also has a strong market position in the subsidised loan business.

BayernLB's real estate business focuses on long-term commercial real estate financing and services. The regional focus here is on Germany, although it also supports customers' activities abroad to diversify the portfolio and risks. In the commercial real estate area, products include financing for existing real estate assets, project development, housing developers and real estate portfolios. In the managed real estate area, the focus is mainly on financing concepts for hotels, logistics centres, hospitals, clinics and care homes, and syndicated financing with savings banks. To serve customers more comprehensively under one roof, the Bank makes extensive use of its working relationship with subsidiaries and affiliates, such as Real I.S. AG, Bayerische Landesbank Immobilien-Beteiligungs-Gesellschaft mbH & Co. KG, Munich (BayernImmo), LB Immobilienbewertungsgesellschaft mbH, Munich (LB ImmoWert) and Bayern Facility Management GmbH, Munich (BayernFM).

The Bavarian savings banks and BayernLB are linked together in a preferred partnership. For the Bank, the savings banks are both important customers and sales partners, and thus they form one of the key pillars of its business model. BayernLB acts as a central service provider for the savings banks and supplies them with tailored products and services in its Association business. The focus of the relationship is on supplying the savings banks with a range of complementary products and services for both their own business and their customers, including payment services, capital market business, international business, syndicated and subsidised loan business, as well as foreign notes and coins/precious metal activities. The savings banks outside Bavaria also have access to selected product segments. Liquidity management is particularly important for these customers. Funding from the savings banks is an important source of refinancing for BayernLB and for strengthening the common liquidity pool. BayernLB also acts as a lender and service provider to the public sector and institutional investors. The focus here is on intensifying sales in Germany and on expanding market share in the core market of Bavaria in close partnership with the Bavarian savings banks. It provides a wide range of customised financing and investment solutions to state governments, local authorities and public institutions. BayernLB also stands out in this segment thanks to its expertise in public-private partnership projects and the renewable energy sector.

Bayerische Landesbodenkreditanstalt (BayernLabo) and BayernLB core Bank together make up BayernLB Bank. BayernLabo is a legally dependent institution established under public law within BayernLB that is organisationally and financially independent. As an institution implementing state housing policy, it has a statutory obligation to promote housing in the Free State of Bavaria. In addition, as a municipal and development bank for the Free State of Bavaria and in partnership with Kreditanstalt für Wiederaufbau (Reconstruction Loan Corporation (KfW)), BayernLabo supports Bavarian municipalities and special-purpose associations with municipal loans and its development programmes in areas such as barrier-free access and energy-efficiency improvements for buildings.

Financial Markets offers a range of money market, forex and capital market services, funding and treasury strategies, and a broad portfolio of structured investment products. Main customers include the savings banks, banks, German and international large and Mittelstand companies, real estate customers and institutional customers, which are served in the respective business areas. Securities asset management for BayernLB is handled by the Group subsidiary BayernInvest. This investment company focuses mainly on advisory services and managing securities investment funds for institutional and private investors.

DKB, an integral part of the BayernLB Group, complements the business model. It operates in the retail segment as an online direct bank with a steadily growing customer base, and in the infrastructure and corporate customers segment as a specialist. Its expertise extends especially to financing and investment products in the environmental technology, residential, municipal, social infrastructure, health services, education & research, energy and utilities segments and other areas. DKB operates in Germany.

Although BayernLB's regional focus is on Bavaria and Germany, it also supports its customers in their global activities. It has its own branches and offices at particularly important locations in Germany. In other countries, there are branches in London, Milan, Paris and New York as well as a representative office in Moscow. The core business' strong connections with Germany and

Europe can be clearly seen through, for example, the gross credit volume by region: only 10 per cent relates to other regions (see chart on “Gross credit volume by region” in the risk report of the management report).

BayernInvest Kapitalverwaltungsgesellschaft mbH (BayernInvest), with its head office in Munich, is the centre of expertise within the BayernLB Group for institutional asset management of the “securities” asset class and, with more than EUR 80 billion of assets under management, is one of the ten largest asset management companies in Germany. The registered office of the subsidiary BayernInvest Luxembourg S.A. is in Luxembourg City.

As a fund service provider, Real I.S. AG Gesellschaft für Immobilien Assetmanagement (Real I.S.), with its head office in Munich, is the centre of expertise in the Group for the “real estate” asset class and is one of the leading German providers of real estate investments for retail and institutional investors. Real I.S. has subsidiaries in Luxembourg, France and Australia.

Bayern Card-Services GmbH – S-Finanzgruppe, Munich (BCS) is the centre of expertise in the Group for the credit card business and one of the leading providers of credit card processing across Germany.

As is the case for all banks, regulatory requirements are very much key to understanding the performance and the position of the BayernLB Group. As before, these placed high demands in the financial year to be reported on. The resulting large-scale projects, combined with forward-looking investments required in IT infrastructure and digitalisation, resulted once again in high and rising project costs, especially in the core Bank. On top of all this, the line units required a persistently higher level of resources to carry out their tasks in fulfilment of the much stiffer regulations.

To meet the rises in costs, the Bank initiated an efficiency programme in 2016 to optimise its business and processes over the long term. The efficiency programme was successfully completed at the end of 2017 and the potential increases in earnings and cost savings identified were incorporated into the current medium-term planning. By providing a broad view of the Bank’s operating model, the programme has significantly helped reveal the efficiency potential that lies within the Bank. The close of the project does not mean, however, that the Bank has finished optimising its operating model, i.e. regularly questioning its current structures, processes, systems and work methods and striving towards becoming an agile organisation. Identifying and using the potential for optimising in-house operations, and permanently improving efficiency, will in fact be an ongoing task over the next few years and a key to success in the current banking environment.

With the signing of the agreement for BayernLB to repay EUR 1 billion to the Free State of Bavaria, the EU state-aid proceedings were brought to a close in June 2017, as the Bank had complied with all major EU conditions and commitments about two and a half years ahead of the deadline. Since under the state aid proceedings BayernLB was only permitted to enter into transactions with a connection to Germany and specific activities were either prohibited or restricted, the completion of the process opens up new strategic options that have already been decided upon or are soon to be examined in the form of “post-EU initiatives”.

In its annual strategy process, BayernLB defined a set of overarching strategic goals in 2017 and drew up the specific measures for achieving them, taking account of the new strategic options. For BayernLB's business strategy to be successfully implemented, the capital base must continue to remain solid and the core business stable. The focus of the strategic goals will be on prudent internationalisation to achieve a sustained increase in returns and regional diversification of risks, selective digitalisation of sales channels, targeted volume growth within the existing risk guidelines to increase the ability to cover fixed-costs, and strengthening of sources of earnings not dependent on interest. The BayernLB Group's market presence will continue to be shaped by its universal bank-like business model with a geographical focus on Bavaria and Germany.

Managing non-financial aspects

Within the BayernLB Group, various units manage the above-mentioned minimum aspects in accordance with CSR-RUG. The main units responsible, such as Compliance (including Reputational Risk Management), Sustainability Management, Human Resources and Purchasing, are shown here. Integrated within this is an overview of the requirements on the banking business.

The various management components are intertwined in many ways. For example, Sustainability Management coordinates the sustainability report, which reports on a number of areas including compliance, HR and purchasing. In turn, Compliance Management provides Sustainability Management with policies. These interconnections are elaborated on in the text only when needed. However, in day-to-day business they result in multi-dimensional management which makes the respective measures taken markedly more effective overall.

No management is currently carried out at Group level based on uniform non-financial performance indicators. Accordingly Group-wide indicators are collected in the respective Group units purely on an ad-hoc basis, e.g. to produce reports for various ends.

DKB has developed a separate system of supplementary reporting for its business model, which it reports on in its annual report, the declaration of compliance with the German Sustainability Code (DNK), the abridged environmental statement, the green bond reports and on its website www.dkb.de. DKB also supplies information in its management report on, for example, employees and customers. It operates exclusively in Germany. Consequently many areas are governed by German law. DKB also focuses on selected sectors, reducing the potential for controversy.

Compliance management system

Non-financial aspects are managed centrally in the BayernLB Group principally by Compliance, Reputational Risk and Sustainability Management. It is important to note that the areas illustrated here are established not with reference to the CSR-RUG system as a whole, but based on other and in each case different (regulatory) requirements and expectations of their stakeholder groups.

Observing rules, regulations and standards and fulfilling the expectations of stakeholder groups have clearly gained in importance in the past few years in the face of a changing regulatory and social environment. Faced with more external demands, BayernLB took action years ago at both an organisational and procedural level and steadily expanded Group Compliance's remit: key tasks for this division are to avoid, investigate and punish breaches of regulations. It gives advice

on compliance in a broader sense in order to safeguard BayernLB's reliable market image, which is shaped by compliance with statutory and regulatory requirements, and to protect the whole Bank and corporate group against illegal actions. Another objective is to support and implement legal, corporate, social and ethical policies and values within BayernLB. Besides fighting money laundering, financial crime and the financing of terrorism, Group Compliance's remit includes combating corruption and bribery, and central reputational risk management. The division is directly subordinate to the Chief Risk Officer and regularly reports to the Board of Management and the Audit Committee of the Supervisory Board on the annual compliance report dealing with the relevant topics. Group companies and foreign locations have their own compliance units.

The main principles for protecting the Group against reputational losses/damage are set out in the Group Reputational Risk Guidelines. This stipulates, among other things, that the experts in Central Reputational Risk Management (CRRM) must be contacted in regard to all issues with medium to high reputational risk and that they even have a right of veto in some areas. These issues can also include risky (planned) business activities that (potentially) fall within the scope of application of existing ESG Standards and Policies on environmental or social issues.

The measures taken to ensure compliance with regulatory requirements and to take account of society's expectations focus on the individual employees themselves. All employees have a duty to ensure they are aware of the relevant legal obligations, instructions, policies and framework relating to their area of activities and responsibility and to follow these. They are fully supported by Group Compliance as well as other areas such as Legal Services and Sustainability Management.

Code of Conduct

BayernLB regards acting lawfully, ethically and responsibly as an elementary and indispensable part of its corporate and social responsibility.

The Code of Conduct serves as a set of standards for day-to-day activities and describes the appropriate procedure for complying with the framework. It lists the most important legal and social requirements, e.g. in relation to responsibility for employees, transparent internal and external communication, conflicts of interest, sustainability and ethics, social responsibilities and a risk and compliance culture. The rules formulated are important minimum standards in the BayernLB Group. They apply in dealings with colleagues, customers, suppliers, business partners, market participants, shareholders, the public and official bodies. In addition to the Code of Conduct, there are detailed internal instructions and policies in each case.

The Code of Conduct applies to all BayernLB's business areas, to all employees and the members of the Board of Management and Supervisory Board. New members of staff are made aware of the Code of Conduct when they take up their position. It is also published on BayernLB's website and serves as a template for the codes of conduct of Group units.

The obligations in the Code of Conduct far exceed simply adhering to regulations. All employees are called upon to exercise propriety and judgement in their areas, so as to maintain a corporate culture that allows the Bank to live up to its social responsibilities and move ahead as a company in a sustainable manner.

BayernLB's Code of Conduct is managed by the Group Compliance division. Compliance is an integral component of corporate management and is defined as risk management with a focus on prevention. Appropriate risk analysis, measures based on this process, the promotion of a uniform understanding of values and integrity, and penalties in the event of breaches all play a role here. The independent Compliance function is a trustworthy and fair point of contact, both inside and outside the Bank.

The Code of Conduct is supplemented by guidelines such as Management Principles, environmental and sustainability policies, which are also publicly available, and by internal regulations, which govern in detail issues such as equal treatment and the acceptance and granting of gifts and invitations. This is carried out in the respective Group units in line with their business model and local needs. DKB and BayernInvest also publish their own environmental and sustainability policies and/or respective guidelines. Plans are underway to publish Real I.S.'s information.

Other sub-segments of the compliance management system are relevant for the management of the minimum aspects under CSR-RUG.

Management of conflicts of interest

The Conflicts of Interest Management Group Policy is used to manage conflicts of interest. This is implemented in BayernLB Bank through the official Instruction on "Managing conflicts of interest" and rolled out to the subsidiaries DKB, BCS, Real I.S. and BayernInvest. The latter have implemented the content relevant to them into their own rules. The policy provides general guidance for dealing with conflicts of interest and summarises the relevant points from existing regulations in the form of a framework.

Reputational risks related to conflicts of interest are considered to be elevated in the subsidiary BayernInvest and this assessment is taken into account by means of appropriate requirements and controls, such as the monitoring of all transactions concluded by employees. The probability of a loss occurring is considered to be low, not just in light of the internal control system and measures taken in particular, but also the lack of loss events to date.

In accordance with the "Guidelines for employee transactions" which are embedded in all relevant Group units, employees may not, for example, buy or sell securities they deal with professionally. Furthermore, staff transactions may not be in conflict with the interests of customers or the Bank. Breaches of these guidelines may involve steps being taken under employment law.

In addition to requirements under criminal and tax law that must be observed, the regulations on accepting and granting benefits provide employees with a code of conduct and support for dealing with the acceptance and granting of gifts and invitations (see also "Combatting corruption and bribery"). These regulations apply to all relevant Group units.

Furthermore, all ancillary activities in BayernLB must be approved by the employer and criteria have been determined for gaining approval.

BayernLB's Corporate Governance Principles and the Statutes of Bayerische Landesbank also provide for the abstention of Board of Management members in respect of decisions affecting them or their family members.

DKB's Corporate Governance Principles also govern and communicate the issue of conflicts of interest.

Combatting corruption and bribery

One of the key tasks of BayernLB's compliance management system is compliance with legal and supervisory requirements with respect to combatting corruption and bribery in all locations. This includes the avoidance of cases of corruption and monitoring all locations for corruption risks. Non-compliance with these standards can result in legal (and/or potentially supervisory) penalties and loss of reputation in particular.

Various measures are therefore implemented in the BayernLB Group to achieve the above goals.

BayernLB's written organisational rules enshrine the principle that the Group may not enter into any business relationships with persons who have been legally convicted of corruption or with companies managed by such persons.

The prohibition on accepting and granting benefits at BayernLB concerns both direct financial contributions and other benefits which call into question the official independence of the employee. Any gifts, invitations or benefits which could limit the personal independence of the recipient or raise doubts among the public about the integrity of BayernLB or the recipient are not permitted. Further details can be found in an internal instruction "Rules governing the acceptance and granting of gifts and invitations" (see "Conflicts of interest" above).

The Group-wide review and monitoring of all corruption risks is carried out annually by the respective compliance units in the Group companies. They have taken the appropriate precautions and regularly carry out suitable risk analyses. This takes the form of a risk analysis explicitly focussed on financial crime, with a subsequent report being sent to the Board of Management and the Audit Committee of the Supervisory Board. The risk analysis identifies the basic risk and the effectiveness of the measures taken. Sales practices and specific features of customers such as offices held are considered.

All in all, there are no risks of corruption and bribery in the business activities of the BayernLB Group that would trigger a report under CSR-RUG.

The preventative measures anchored in the Bank include the compliance management system, the Code of Conduct, special policies, official instructions and related forms, the strict separation of donations and sponsorship, the competence regulations, the whistleblowing system, checks on accepted and granted invitations and gifts on the basis of the relevant documentation for this, the evaluation of and controls governing pricing and the evaluation of and checks on new lending. The existing rules and conduct for combating corruption are addressed in regular training sessions for all members of staff. Examples are used to illustrate how to recognise corruption and conduct/ events that are out of the ordinary, and what options are available in the existing whistleblowing system.

No cases of corruption are known to have occurred in the reporting period.

MaRisk compliance assessment

Pursuant to MaRisk AT 4.4.2 the MaRisk compliance function at Group Compliance is responsible for identifying and analysing the key legal rules and requirements at regular intervals. To this end, an assessment examining potential compliance risks is carried out every year in conjunction with the individual areas of BayernLB Bank and relevant Group units. Legal rules and regulations are also assessed if non-compliance arising from business activities could have a serious adverse impact on the (minimum) aspects under CSR-RUG. The issue of corruption is already covered above, where the focus is on the risks for the Bank that could arise from breaches of rules.

To identify risks both to BayernLB itself and to “third parties” such as the environment, employees or other persons, this assessment and the annual inventory by Reputational Risk Management mentioned below are used as a basis for this combined non-financial report. To classify the size of the damage to “third parties” certain criteria were drawn up that take account of the specific intentions of CSR-RUG. No risks regarding minimum aspects were identified within the BayernLB Group that would trigger a report in light of CSR-RUG.

Reputational risk management

Reputational risk within the BayernLB Group is managed through an in-house set of rules containing a strategy, specific guidelines, official instructions and the definition of tasks and competencies for employees, managers and other reputational risk-specific roles.

The strategy mentioned above states that: “Reputational risk includes the following [...]: all activities within or in connection with the BayernLB Group along the entire value chain that may have an impact on the perception of its stakeholders (stakeholder groups) such as the conclusion of business or transactions (with existing or potential customers, other business partners such as suppliers or external service providers), [...] human resources policy or corporate citizenship (e.g. donations, sponsorship) [...]”

The guidelines that apply in the major Group units state in respect of the ecological, social and governance-related (ESG) issues from which reputational risks could arise:

“Reputational risk may arise from dealing inadequately with the relevant (sub)-aspects of: [...]”

- Climate and environmental protection (protecting the atmosphere, water, etc.)
- Conservation of natural resources/avoiding damage to ecosystems
- Preservation of natural habitats and biodiversity (animal protection [...])
- Protection of human rights/non-discrimination
- Compliance with fair labour conditions/provision of a safe and healthy working environment
- Prohibition of forced labour and exploitative child labour
- Preservation of cultural heritage/fair treatment of indigenous peoples/prevention of expulsion, forced resettlement and land seizure
- Freedom of the press and opinion/freedom of assembly and the freedom to form trade unions
- Consumer protection [...]
- Prevention of financial crime, corruption and the financing of terrorism [...]”

These cover the minimum aspects pursuant to CSR-RUG. CRRM is continually involved in assessing and managing event and transaction-based issues that pose a medium to high reputational risk. It also conducts an annual risk inventory in BayernLB and the relevant Group companies. This meant CRRM's findings relating to the estimation of risks from business activities pursuant to CSR-RUG could be incorporated into the non-financial report.

From a CSR-RUG perspective, there are no significant risks from business relationships, products and services that had an impact on the situation or the business performance of the BayernLB Group during the reporting period.

Sustainability and environmental management system

BayernLB is actively committed to the challenge of sustainable development and heeds its responsibility by taking environmental, economic and social aspects into account along the entire value chain. It does so within its company operations by being careful in its use of resources, avoiding harmful environmental impacts and treating employees responsibly.

It also considers non-financial aspects in respect of business relationships and when reviewing (business) transactions. It ensures they are compatible with the relevant international environmental, ethical and social standards which BayernLB has signed up to. The BayernLB Group Reputational Risk Guidelines stipulate that Sustainability Management is responsible for all (planned) business activities that (potentially) fall within the scope of existing ESG standards and policies relating to environmental or social topics and/or potentially incur social and/or environmental risks.

They include the minimum aspects of human rights, environmental, social and employee issues under CSR-RUG in particular. Transactions include all types of business activities and relationships along the value chain of the Group. These are set out in more detail in an internal Group-wide sustainability management instruction.

Both BayernLB and DKB report transparently on their respective sustainability performance and environmental aspects and publish detailed information in, for instance, the Sustainability Report, the German Sustainability Code (DNK) declaration of compliance, and the respective environmental statements on their websites www.bayernlb.de and www.dkb.de. BayernLB and DKB also have their own sustainability and environmental policies, which are published on the respective websites.

Sustainability Management is responsible for the design of the environmental management system validated in line with the Eco Management and Audit Scheme (EMAS), which covers large parts of the Group. It regularly conducts a materiality analysis with all relevant Group units to ensure that non-financial issues such as employee issues, environmental issues, etc. are given greater consideration. The starting point for the definition of the main topics is the UN Sustainable Development Goals (SDGs), which cover the aspects relevant under CSR-RUG. Out of a total of 17 development objectives, BayernLB identified ten that it could help achieve within the framework of its business activities. In the next step, 12 BayernLB-specific areas for action were identified on the basis of these ten objectives and prioritised according to various criteria such as expectations of the stakeholder groups. The materiality matrix forms both the basis for BayernLB's sustainability reporting and the foundation on which the Bank defines the goals for its sustainability programme. In its

sustainability report, BayernLB reports every year on the progress of these goals and the corresponding measures adopted. DKB has its own environmental programme within the environmental management system. It also has other human resources management goals, which it voluntarily reports on, for instance, in the publicly available DNK declaration of compliance.

These sustainability activities contribute to a reduction in the corresponding risks, with the basic level of risks being classified as essentially low, especially from business activities relating to operations for social and environmental concerns.

In the opinion of the BayernLB Group, the effects on the natural environment directly attributable to operations, such as water and energy consumption, are not material to its business activities from a CSR-RUG perspective and therefore are not looked at in detail in this report. Further information on BayernLB's environmental commitment can be found in the environmental declaration, which is published regularly as part of the certification of the environmental management system under EMAS. DKB also publishes its own environmental statement every year.

Sustainable banking business: internal requirements and financial solutions

The purpose of creating sustainable banking products is set out in BayernLB's Code of Conduct:

"We acknowledge our responsibility by taking ecological, economic and social issues into consideration along the entire value chain. [...] We also consider sustainability issues when looking at business transactions. We follow the principle of ethical responsibility in our dealings and in examining business relationships and transactions. We also ensure they are compatible with the relevant international environmental, ethical and social standards we have signed up to."

This is specified in greater detail in the sustainability policy:

"Because we integrate social and environmental aspects into our financing and capital market products, both we and our customers weigh the risks and opportunities that come with such global challenges as climate change and dwindling resources and thus make an active contribution to a sustainable development. In addition to setting and continuously improving basic social and ecological standards for our financing and capital market transactions, we set out to serve companies and projects that explicitly tackle these global challenges through, for instance, renewable energy."

A sustainable banking business and the financial solutions that go with it at BayernLB therefore cover the following areas:

- Compliance with environmental, social and ethical standards in financing and capital market transactions;
- Offering sustainable investment products for retail and institutional investors;
- Financing companies and projects to address societal challenges such as climate change and the energy transition.

A description is given below of BayernLB Group's corresponding standards and guidelines and of the range of products in this regard.

The components of the compliance and sustainability management system mentioned above combine to form a system of internal requirements that ensures that sustainability aspects and thus also the minimum aspects under CSR-RUG are adequately reflected in the BayernLB Group's banking products and services.

These specifications are presented in this report in an integrated methodology and are regulated within the Bank in various policies, guidelines, etc.

The BayernLB Group's commitment to sustainable development is based on the sustainability policy approved by the Board of Management. It is transposed into daily action through specific ESG-related standards, which are assigned to three categories based on their scope. The first category includes all kinds of business activities in the Group, from procurement to financial services. The second category relates to the overall guidelines for trade and capital market transactions and financing, while further regulations relate to individual sectors or topics.

The success of efforts to achieve sustainable banking activities and the corresponding range of financial solutions is regularly analysed and evaluated by independent sustainability ratings agencies. These sustainability ratings are based on comprehensive lists of criteria relating to social, environmental and good corporate management (ESG) aspects, which regularly cover the aspects referred to in CSR-RUG. In the past few years, the BayernLB Group has consistently been rated above average compared with the rest of the sector. Of particular interest is that the BayernLB Group and, in separate ratings, BayernLabo and DKB have been awarded the renowned oekom prime status by the agency oekom research. In addition, MSCI ESG, the arm of the financial services provider MSCI specialised in sustainability ratings, awarded an "A" to BayernLB's sustainability management, which is above the sectoral average of ("BBB").

Overarching ESG standards for all business activities

The first category of the principles, which apply Group-wide to all types of business activities, include the following rules:

- The Group adheres to all embargoes and sanctions imposed by the EU and the UN. Moreover, local regulations also apply insofar as these are required.
- The Group engages in no business activities of any kind with persons or with companies run by persons who have been legally declared bankrupt or insolvent or convicted of serious offences against property or economic crimes.
- The Group engages in no business activities of any kind that serve to evade and/or reduce duties or taxes or to conceal and/or unfairly and significantly encourage such actions in its own or a foreign country.
- The Group engages in no business activities of any kind connected with a deliberate breach of copyright and industrial property rights.
- The Group complies with the recommendations of the FATF (Financial Action Task Force) in conducting business with countries which the FATF lists as non-cooperative states.
- The Group engages in no business activities of any kind connected with illegal forms of business (such as drug, human or organ trade/trafficking, slavery), prostitution, sexual exploitation or pornography, or exploitative (child) labour or forced labour.

Guidelines for trading and capital market transactions

BayernLB has defined the following guidelines for trading and capital market transactions:

Food

A Group-wide policy stipulates that the BayernLB Group does not engage in speculative transactions in staple foods. In this vein the Group does not invest directly in staple foods, nor indirectly in derivatives which replicate or speculate on the price performance and/or shortages of staple foods. Furthermore, it does not offer any investment products which replicate or speculate on the price performance and/or shortages of staple foods. In addition, the BayernLB Group does not provide any financing for speculative transactions with staple foods.

In actively managed mandates and funds, BayernInvest does not invest in individual commodity exposures to foodstuffs. This also applies when managing its own retail funds, from which agricultural commodities and related derivatives are excluded. This exclusion also applies to all retail funds managed or administered by BayernInvest.

Physical trading in gold

The BayernLB Group is aware of the great responsibility that comes with trading in gold. The Group has therefore been a member of the LBMA (London Bullion Market Association) since 2002 and complies Group-wide with this body's standards. Refineries approved for trading on the London Bullion Market must ensure that the gold delivered does not originate from sources associated with money laundering, terrorism financing or abuses of human rights.

Controversial weapons

BayernInvest excludes companies which manufacture controversial or illegal weapons from its actively managed investments. These include anti-personnel mines, nuclear weapons, biological and chemical weapons and cluster munitions. This applies to the investment volumes actively managed by BayernInvest. In particular, BayernInvest ensures compliance with this regulation through the use of a database – the Controversial Weapons Monitor (CWM) – established by the sustainability ratings agency oekom research, and automated monitoring.

Guidelines for financing transactions

BayernLB has also defined detailed guidelines for financing operations. These are used for earmarked financing, where BayernLB is aware of the purpose of use.

Complying with the relevant BayernLB standards wards off the risks to the realisation of projects and BayernLB's reputation. Among other things, this also precludes to the extent possible any negative impact on human rights in the context of financed projects. BayernLB has also undertaken to comply with the Modern Slavery Act.

World Bank standards

The BayernLB Group observes the World Bank's environmental and social standards in all relevant financing transactions. These are based on the performance standards of the World Bank Group's International Finance Corporation (IFC) and the World Bank's Environmental, Health, and Safety (EHS) Guidelines. The standards include criteria for the observance of human and employee rights, the protection of indigenous peoples, the inclusion and protection of the population (such as local communities) affected by the projects as well as the protection of biotopes and habitats.

Violations of human rights and the rights of indigenous peoples are often associated with large mining and infrastructure projects in emerging and developing countries, which is why the specifications for earmarked project financing are of central importance. In complying with the World Bank standards and topic and sector-specific policies, BayernLB is respecting, among other things, the protection of human rights within the context of project financing. This also often involves dealing with local communities or indigenous peoples, so that respect for human rights is closely linked to the "social issues" aspect.

Sector and topic-specific standards

For sectors and topics that are particularly sensitive from an environmental and social perspective, BayernLB has formulated Group-wide policies based on the World Bank standards.

Nuclear power and fossil fuels

One focus here is on the use of fossil fuels, which, in the opinion of the Bank, is a bridging technology on the road to an energy economy which is resource-conserving and climate friendly. The Group also defines criteria for financing in the nuclear power sector. The specifications for nuclear power and fossil fuels also include earmarked financing under strict conditions.

Exclusions and requirements for earmarked financing in the field of nuclear power and fossil fuels

Sector	Exclusion	Conditions
Nuclear power	• New construction of nuclear power plants	
Coal	• Extraction of lignite • Extraction projects involving mountaintop removal • New construction of power plants running on lignite • Extraction of hard coal and the construction of new coal-fired power plants in protected areas (UNESCO world heritage sites, IUCN-/Ramsar-protected areas)	• Construction of coal-fired power plants only using the latest technology. • Modernisation of existing coal-fired power plants only if efficiency gains/higher levels of efficiency are realised and/or climate-damaging emissions are reduced
Oil & gas	• Arctic drilling • Projects in protected areas (UNESCO world heritage sites, IUCN-/Ramsar-protected areas) • Extraction of tar sands • Extraction by fracking	

In the nuclear power sector, the rules permit both the financing of projects to ensure the security of the current facilities and the provision of replacement capital expenditure if it is needed for compliance with the strictest safety standards. Also permitted is the financing of projects for the decommissioning of nuclear power plants, as well as of projects for treating, temporarily storing and disposing of nuclear waste. By providing financing in the areas of safety and waste disposal, BayernLB is meeting its social responsibilities for dealing with the consequences of the use of nuclear power.

Wind energy

Separate Wind Energy Financing Guidelines at DKB lay down specific lending criteria and documentation and collateral standards which stipulate that A) only (onshore) wind energy projects in Germany may be financed, where B) approval under the German Federal Immission Control Act (BImSchG) has been granted – thus ensuring compliance with minimum social and environmental standards in Germany. As part of the regulatory approval process, detailed assessments of the impact of wind turbines on affected ecosystems are undertaken and measures specified if any environmental impacts of the construction and operation of the wind turbines are identified. These include noise proofing (noise maps, noise action plans), shutdown times (prevention of shadows and ice shedding, as well as protection of bats and birds), the use of reflection-reducing coatings and measures for water protection.

Gambling

In line with its gambling policy BayernLB does not involve itself with the gambling industry in principle. Exceptions apply if gambling is offered by a public or non-profit body or organisation. Various rules must be observed in this case. For example, gambling may be offered only in compliance with applicable laws, e.g. federal and state law, and the protection of consumers must be demonstrably taken into consideration, for example, in terms of addiction prevention and protecting gamblers from reckless loss of assets.

Arms manufacture

BayernLB recognises the right of a state to defend itself. On this basis, offering services to arms companies or individual financial transactions for weapons and armaments is in principle possible within the framework of existing laws. We require that the financing is approved following an obligatory case-specific examination and that it is in line with our business model. Processes and criteria are set out in a separate policy. Accordingly, during each review an assessment is made of the arms companies, the purpose of the funding and, where appropriate, the importer, the importing country as well as the current local political and social situation. ABC weapons are excluded from financing.

Forests

The goal of the forest policy is to ensure in particular that:

- No transactions related to illegal deforestation are carried out
- No forested areas that are protected or worthy of protection are destroyed when clearing land for plantations, especially to cultivate palm oil and soya
- Recognised environmental and social standards are complied with in the management of forests and plantations, especially of palm oil and soya plantations

BayernLB helps raise sustainability standards in the sector by referring to existing environmental and social certifications, e.g. Forest Stewardship Council (FSC), Roundtable on Sustainable Palm Oil (RSPO) and Round Table on Responsible Soy (RTRS).

Organisational anchoring

Responsibility for reviewing existing and formulating new policies on the subject of sustainability and reputational risk usually falls within the remit of the Group's central Sustainability Management or Group Compliance units. All policies were approved by the Board of Management of BayernLB and apply throughout the Group. The respective specialist divisions and subsidiaries are responsible for implementing the guidelines and policies. If it is unclear whether a transaction falls within the scope of the policies, Sustainability Management/Group Compliance/central Reputational Risk Management will provide an opinion at the request of the person responsible.

The risks related to the minimum aspects that mainly arise in the business relationships, products and services are also minimised. This functioning risk management system covers all minimum aspects pursuant to CSR-RUG.

Sustainable products

From BayernLB's perspective, there is also the option of actively promoting environmentally responsible developments such as the climate-friendly restructuring of energy supply or social projects by means of suitable products and services, thereby opening up business potential.

This includes:

Product area (As at 31 Dec 2017)	BayernLB Group	Of which BayernLB
Volume of sustainability issues issued or arranged by the BayernLB Group in 2017	EUR 1.0 billion	EUR 0.5 billion
Volume of new subsidised loans business in 2017 (e.g. the relevant KfW programmes) targeting ecological applications (through the increased use of renewable energy/energy-saving measures)	EUR 1.5 billion	EUR 0.5 billion

Services are also offered in respect of other non-financial aspects. BayernLB's awareness of its responsibilities in these areas is underlined by official memberships held by parts of the Group with, e.g. the UN PRI (United Nations Principles for Responsible Investment) and the signing, e.g. of the codes of conduct of the BVI Bundesverband Investment und Asset Management e.V. or the Green Bond and Social Bond Principles. This product segment regularly appears in the BayernLB Group's sustainability reporting.

Personnel management

In line with the Group-wide sustainability policy, the employees at BayernLB Group play a key role in, for example, meeting numerous political, social and technological challenges.

The goal and major key to success is therefore the continuous honing of employees' personal and professional skills. To implement these measures, BayernLB sets an appropriate further training budget every year.

The headcount in the Group as at 31 December 2017 was as follows:

Headcount (as at 31 Dec 2017)	BayernLB Group	(Of which) BayernLB
Number of employees	7,219	3,216
• of which women	3,689	1,475
• of which men	3,530	1,741
• of which in Germany	7,042	3,040
• of which abroad	177	176
• of which full-time	5,125	2,250
• of which part-time	2,094	966
Average age (in years)	43.5	44.3

Human resources development and policy

The foundations of human resources (HR) policy and employee management are defined in various principles and guidelines. They include the Code of Conduct, which comprises two chapters on the topics of "Individual rights and protection from discrimination" and "Responsibility for employees". Key aspects of employee management are laid down in BayernLB's "Management principles". Both documents are published on the Bank's website www.bayernlb.com and regularly communicated to the management. The Management Principles are used as the basis for management training at all levels as well as for feedback tools and the staff appraisal. Various relevant individual aspects are regulated in binding policies. For example, the principles governing interaction between women and men were defined in the "Directive regulating cooperative behaviour", which was published in the middle of 2015 and communicated in the Bank via the intranet. The HR policy also contains other legal frameworks such as the German General Act on Equal Treatment (Allgemeines Gleichstellungsgesetz (AGG)).

Management positions: Female headcount (as at 31 Dec 2017)	BayernLB Group	BayernLB
1 st management level	18.5%	0.0%
all other management levels	32.8%	21.1%

Besides this indicator, DKB collects its own information and data (among other things) on equality and employee health, and reports on this in its annual report.

A key tool of staff management and development is the staff appraisal. On the basis of the objectives agreement reached at the beginning of the year, employees are given feedback each year in the appraisal on areas such as the degree to which targets were achieved as well as guidance to enable them to determine where they currently stand in terms of their personal development and to reconcile their career and personal development objectives. Individual development planning highlights prospects and areas for development. The assessment of potential ensures that the employees can make optimum use of their skills, while functioning as a basis for potential development and talent management to advance and foster career development in a targeted way from among the Bank's own ranks.

With the help of an appropriate further training budget, a comprehensive range of training and qualification programmes is available in BayernLB for this purpose. This allows the individually tailored objectives agreed in the staff appraisal to be realised by the employee.

Further training (financial year 2017)	BayernLB Group	Of which BayernLB
Further training budget	EUR 4.5 million	EUR 2.0 million

Health management

The BayernLB Group faces the challenge of maintaining and promoting the health of its workers. In particular, this commitment is emphasised in the Bank's Code of Conduct: "It is essential that occupational health and safety and workplace security regulations be observed by all employees. It is one of the management tasks of BayernLB to provide a healthy and hazard-free working environment. [...] In turn, we expect that our employees show a responsible approach to their health and fitness."

The Bank has an integrated health management system. This includes company doctors, nurses and human resources managers specialised in health management. They work closely with the Staff Council, occupational safety officers, BayernLB's sports club and the nutritional specialists for the employee canteen. There is also an occupational safety committee in accordance with occupational safety law, which supports the monitoring of occupational health and safety programmes and also has an advisory role. Members from the Staff Council and therefore the workforce sit on the committee. There are no indications of relevant risks in the area of health and safety at work.

Health (financial year 2017)	BayernLB Group	BayernLB
Health rates	95.4%	95.7%

To prevent "typical" health problems associated with activities performed mainly while sitting at computer workstations, the health and safety officers pay attention to the ergonomic design of the workstation. As part of its healthcare management the Bank also offers its employees opportunities for sports activities and holds regular Health Days, focusing on topics such as exercise and a healthy diet. BayernLB offers comprehensive services and support for the issues of mental

health problems, coping with stress and burn-out, partly by providing extensive information in the intranet and holding seminars for employees and managers on topics such as “stress, burn-out and depression”. The Bank has also successfully implemented an operational reintegration management programme (BEM) pursuant to section 84 (2) of the Social Security Code (SGB) IX, in which its employees can request professional support when reintegrating after a long illness. The corresponding measures have also been enshrined at DKB and are published in the annual report.

Challenges

Human resources management helps reduce CSR-RUG-related risks in the area of employee issues primarily by introducing measures to further equality and promote the health, skills and professional and personal further development of the employees. At the same time it is responsible for structuring the salary, bonus and pensions schemes. Risks may arise here both for the Bank and staff through non-payment of salary components. BayernLB and DKB provide detailed information on this matter in their respective remuneration reports.

Another risk is that the remuneration system might encourage inappropriate conduct in certain circumstances. To manage this particular risk, a Group Remuneration Strategy and Guidelines are in place which specify in detail the requirements under the Remuneration Ordinance for Institutions (Institutsvergütungsverordnung) stipulating appropriate remuneration and define them for BayernLB.

To counter the risk of employees’ human rights and right of assembly being infringed, they can turn to, for instance, the Code of Conduct and works and staff councils in many organisation units and levels. Other risks arise from the national specifics of employment law. These are specifically monitored by the above-mentioned risk instruments.

BayernLB successfully tackled the challenge of implementing the EU restructuring plan and complying with the repayment plan to the Free State of Bavaria with its cost-cutting programme (KSP). This not only led to a significant reduction in administration costs, but also ensured that the risks of the employees concerned were minimised based on a voluntary arrangement by both sides.

As a result of the measures for handling risks described above, there were no relevant CSR-RUG-related risks in the area of employee concerns, including human rights. The information in the Notes on provisions for pensions and similar liabilities, which are referred to here, are relevant for gaining an understanding of the Bank’s culture.

Purchasing

BayernLB purchases a range of items, including IT hardware and software, office equipment and materials and consulting and audit services. BayernLB’s suppliers and external service providers are almost all based in Germany and neighbouring countries. The purchasing volume tends to be of subordinate importance compared with the overall economic activity of the BayernLB Group.

There are risks here of bribery and corruption, both in BayernLB’s own business activities and with business partners. These risks are regularly monitored by the above-mentioned risk analysis

and Reputational Risk Management. The process is also monitored in the MaRisk compliance assessment (see above). This did not result in any indicators that would trigger a report under CSR-RUG.

This is largely due to the effective preventive measures and controls enshrined in the procurement processes in the written organisational rules (including procurement rules for tenders, dual-control principle, signature regulations, tiered approval limits, and preliminary and recurrent service provider checks for legal and reputational risk issues).

There are also risks relating to other aspects such as the environment and employees. In the case of outsourcing arrangements and other external procurement of goods and services by its suppliers and external service providers, the Bank therefore requires that ecological, ethical and social standards are adhered to, e.g. the core labour standards, laid out in the fundamental conventions of the International Labour Organization (ILO), so that human rights are respected. The relevant documents in this regard are BayernLB's Code of Conduct and the sustainability agreement for suppliers and external service providers. Among other requirements, BayernLB expects its suppliers and external service providers to offer fair working conditions. It also obliges them and their supplier chains to comply with the requirements. The Bank does not work with external partners who have objectives that are cult-like or hostile to the constitution.

DKB also attaches great importance to compliance with ecological, ethical and social minimum requirements along the entire value chain. The procurement of standard products and services is pooled under DKB Service GmbH (Potsdam). Standard suppliers and partners with a master agreement have the appropriate sustainability certificate or sign a sustainability agreement.

Community work and engagement with stakeholders

Corporate citizenship in terms of donations, sponsorship and corporate citizenship at BayernLB's locations is in BayernLB's view not material for the purposes of CSR-RUG and is therefore not addressed in this report.

As an active part of society, BayernLB is engaged in regular exchanges with numerous social groups with different, partly conflicting expectations and demands on the company. BayernLB's Group Reputational Risk Guidelines define as a stakeholder a group (or person) with a legitimate interest in the business practices of BayernLB who – depending on how they react to events in the BayernLB Group – may have an influence on its reputation. The guidelines distinguish between material stakeholders – e.g. employees, customers and business partners, investors and shareholders – and other relevant stakeholders – e.g. supervisory bodies, the public, rating agencies and non-governmental organisations. This delineation is based on risk considerations.

A number of areas are responsible for engaging with the different stakeholders. For example, the HR area is the point of contact for employees, the front office area is responsible for contact with the customer, Rating & Investor Relations for working with the investors and ratings agencies, and the Press Office for media contacts. Sustainability Management supports the areas where there are sustainability-relevant issues, and also engages directly with selected stakeholders, in particular with non-governmental organisations (NGOs), environmental associations and sustainability-rating agencies.

Independent Practitioner's Report on a Limited Assurance Engagement on the combined non-financial report¹

To Bayerische Landesbank Anstalt des öffentlichen Rechts, Munich

We have performed a limited assurance engagement on the non-financial report 2017 of Bayerische Landesbank Anstalt des öffentlichen Rechts, Munich, (hereinafter: "BayernLB" or "Bank") in accordance with Section 315b German Commercial Code (HGB), which was combined with the non-financial report of the parent company in accordance with Section 289b German Commercial Code (HGB) (hereinafter: "combined non-financial report"), for the period from January 1 to December 31, 2017.

Management's Responsibility

The Bank's Executive Board is responsible for the preparation of the combined non-financial report in accordance with Sections 289b to 289e and 315b, 315c in connection with 289c to 289e HGB. This responsibility includes the selection and application of appropriate methods for preparing the combined non-financial report as well as making assumptions and estimates related to individual non-financial disclosures, which are reasonable in the circumstances. Furthermore, the Bank's Executive Board is responsible for such internal control, as it has considered necessary to enable the preparation of the combined non-financial report that is free from material misstatement, whether due to fraud or error.

Practitioner's Declaration Relating to Independence and Quality

We are independent of the entity in accordance with the provisions under German commercial law and professional requirements, and we have fulfilled our other ethical responsibilities in accordance with the relevant provisions within these requirements.

Deloitte GmbH Wirtschaftsprüfungsgesellschaft applies the German national legal requirements and the German profession's pronouncements for quality control, in particular the by-laws regulating the rights and duties of "Wirtschaftsprüfer" and "vereidigte Buchprüfer" in the exercise of their profession (Berufssatzung für Wirtschaftsprüfer und vereidigte Buchprüfer) as well as the IDW Standard on Quality Control: Requirements for Quality Control in Audit Firms [IDW Qualitätssicherungsstandards: Anforderungen an die Qualitätssicherung in der Wirtschaftsprüferpraxis (IDW QS 1)], that are consistent with the International Standard on Quality Control 1 (ISQC 1) issued by the International Auditing and Assurance Standards Board (IAASB).

¹ We have performed a limited assurance engagement on the German version of the combined non-financial report and issued an independent assurance report in German language, which is authoritative. The following text is a convenience translation of the independent practitioner's assurance report.

Practitioner's Responsibility

Our responsibility is to express a limited assurance conclusion on the combined non-financial report, based on the assurance engagement we have performed.

We conducted our assurance engagement in accordance with the International Standard on Assurance Engagements (ISAE) 3000 (Revised): Assurance Engagements other than Audits or Reviews of Historical Financial Information, issued by the IAASB. This Standard requires that we plan and perform the assurance engagement to allow us to conclude with limited assurance that no matters have come to our attention that cause us to believe that the information disclosed in the combined non-financial report for the period from January 1 to December 31, 2017 has not been prepared, in all material respects, in accordance with Sections 315b, 315c in connection with 289c to 289e German Commercial Code (HGB). In a limited assurance engagement the assurance procedures are less in extent than for a reasonable assurance engagement and therefore a substantially lower level of assurance is obtained. The assurance procedures selected depend on the practitioner's professional judgment.

Within the scope of our limited assurance engagement, which was – with intermittent delays – performed from December 2017 to March 2018, we have performed, amongst others, the following audit procedures and other activities:

- Obtaining an understanding of the structure of the sustainability organization and of the stakeholder engagement
- Interviews with legal representatives and employees involved in the preparation of the combined non-financial report regarding the preparation process, the related internal control system and selected disclosures in the combined non-financial report at the Munich site
- Identification of the likely risks of material misstatement within the combined non-financial report
- Analytical evaluation of selected disclosures within the combined non-financial report
- Comparison of selected disclosures with corresponding data in the consolidated financial statements
- Evaluation of the presentation of the selected disclosures regarding sustainability performance

Assurance Conclusion

Based on the assurance procedures performed and assurance evidence obtained, nothing has come to our attention that causes us to believe that the disclosures of the combined non-financial report of BayernLB, for the period from January 1 to December 31, 2017 have not been prepared, in all material aspects, in accordance with Sections 289b to 289e and 315b, 315c in connection with 289c to 289e German Commercial Code (HGB).

Purpose of the Assurance Statement

We issue this report on the basis of the engagement agreed with BayernLB. The assurance engagement has been performed for purposes of BayernLB and the report is solely intended to inform BayernLB as to the results of the assurance engagement.

Limitation of Liability

The report is not intended to provide third parties with support in making (financial) decisions. Our responsibility lies solely toward BayernLB and is limited based on the “Special engagement terms of Deloitte GmbH Wirtschaftsprüfungsgesellschaft” as well as on the “General Engagement Terms for Wirtschaftsprüfer and Wirtschaftsprüfungsgesellschaften of the IDW” from January 1, 2017, which were agreed with BayernLB. We do not assume any responsibility towards third parties.

Munich, March 19, 2018

Deloitte GmbH

Wirtschaftsprüfungsgesellschaft

Signed: (Klaus Löffler)
German public auditor

Signed: (Herbert Apweiler)
German public auditor

BayernLB 2017 Annual Report and Accounts

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Reuters Dealing BLAM, BLAS
BIC/SWIFT code: BYLA DE MMXXX
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Picture credits

P. 6/7 BayernLB/Tanja Huber

Text/editorial staff/production

BayernLB
Financial Office, Rating & Investor Relations Section
Group Strategy & Group Communications,
Communication and Press Department

Layout and printing

DruckArt c/o Gebr. Geiselberger GmbH
86916 Kaufering, Germany

Editorial deadline: 20 April 2018

The Annual Report can be downloaded as a pdf file
from www.bayernlb.com/ir.
It is also available in German.

The translation of the annual financial statements, comprising the balance sheet, the income statement and the notes to the financial statements, together with the management report and the report by the Supervisory Board of Bayerische Landesbank as well as the auditor's report is for convenience only; the German versions prevail.

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